

Westlife Development (WESTLIFE)

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Call: May 2023

WESTLIFE FOODWORLD LTD.

[Formerly known as Westlife Development Ltd.]

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15th May, 2023

To,

BSE Ltd.

Phiroze Jeejeebhoy Towers

Dalal Street

Mumbai 400 001

Sub : Compliance with Regulations 30 of the SEBI (LODR) Regulations, 2015, submission of transcript of earnings conference call for the quarter ended 31st March , 2023

Re : Westlife Foodworld Ltd. (formerly known as Westlife Development Ltd.) ("the Company") : Scrip Code -505533

Dear Sirs,

In compliance with Regulation s 30 of the Securities and Exchange Board of India (Lis ting Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith transcript of earnings conference call for the quarter ended 3 1st March, 2023.

In this regard, the transcript of the said earnings conference call has also been uploaded on the Company's website and can be accessed at the weblink : [https://westlife.co .in/investors -earnings -release.php](https://westlife.co.in/investors-earnings-release.php)

You are requested to take the same on record.

Thanking you,

Yours faithfully,

For Westlife Foodworld Ltd.

Dr Shatadru Sengupta

Company Secretary

Encl : as above

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Westlife Foodworld Limited

Q4 FY23 Earnings Conference Call

May 09, 202 3

MANAGEMENT :

■ Mr. Amit Jatia – Vice Chairman

■ Ms. Smita Jatia – Director

■ Mr. Saurabh Kalra – Managing Director

■ Mr. Akshay Jatia – Executive Director

■ Mr. Saurabh Bhudolia – Chief Financial Officer

■ Mr. Chintan Jajal – Lead Investor Relations

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Moderator: Ladies and gentlemen, go od day, and welcome to the Westlife Foodworld Limited Q4 and Full Year FY '23 Earnings Conference Call. As a reminder, all participant lines will be

in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

We would like to remind you that certain statements made by the management in today's call may be forward -looking statements. These forward -looking statements reflect management's best judgment and analysis as of today. The actual results may differ materially from the current expectations based on a number of factors affecting the business. Please refer to the safe harbor disclosure in the earnings presentation. I now hand the conference over to Mr. Chintan Jajal. Thank you, and over to you, sir.

Chintan Jajal: Thanks, Bikram . Welcome, everyone, and thank you for joining us on Westlife Foodworld Earnings Conference Call for the fourth quarter ended 31st March 2023.

I am Chintan Jajal, Lead IR Westlife. From the management team, I have with me have with me Mr. Amit Jatia, Vice Chairman; Ms. Smita Jatia, Director; Mr. Saurabh Kalra, Managing Director; and Mr. Akshay Jatia, Executive Director; and Mr. Saurabh Bhudolia, Chief Financial Officer. We will kick off today's conversation with Smita sharing her thoughts on overall business progress and outlook. This will be followed by Akshay taking us through operational, financial, and strategic highlights. Post that, we can open the forum for questions and answers. We will be referring to earnings presentation and financial releases available on the stock exchange and the Investors page of our website.

With that, I now request Smita to commence this session . Thank you, and over to you Smita.

Smita Jatia: Thank you, Chintan, and a very good afternoon to you all. On behalf of the Westlife Foodworld team, I'd like to warmly welcome you to our investor update. It gives me great confidence and happiness to share that we have delivered another strong quarter, resulting in a record year.

We can say with great optimism that our strategy is generating growth and strengthening our brand year after year, and we have now established a new baseline to build upon. We also acknowledge that our strong performance is a result of great teamwork and individual efforts. Towards that end, we are rewarding our employees

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with the highest ever variable pay. We also celebrated our success in a grand convention in Pattaya, wherein 650 of us together and aligned to the organization's vision. We achieved the execution excellence through our focus on menu, meals, and branding.

Our increased sales reinforced our belief in our bricks and clicks Omni channel strategy, in which dine -in and convenience channels complemented each other, providing consumers with more occasions and options to experience us. We have consistently driven efficiencies in utilities, supply chain and productivity, resulting in margin improvement. Our consistent focus on the right network and economics, cost management and profitability and seamless service at every customer touch point throughout the year has enabled us to build a strong business model, which is broadly debt -free and a much -loved brand.

Our expansion plans are on schedule to add 40 to 45 new restaurants in FY '24. If we continue to grow at this rate, we will be well positioned to provide all our stakeholders with accelerated business results and long -term value. We also promised a strong succession plan for the company and to that end organization elevated Saurabh Kalra, our COO, to MD with effect from March 2023. I'm also delighted to inform you that Rohit Kumar and Sohail Nalwala joined our team as CHRO and supply chain Head,

respectively. We are confident that the knowledge and expertise of our management team will continue to enable our differentiation.

In conclusion, I'd like to say that I'm proud of the remarkable progress we've made on our strategic growth levers, which include driving profitable growth, increasing wallet share , exploring whitespace space opportunities, expanding our geographic footprint, and increasing market penetration. I believe we are on a strong growth trajectory and will continue to build on all our competitive strengths and further our business advantage.

I'd like to thank all our shareholders, customers, partners, and employees for their contribution to our strong performance. I will now request Akshay to share the operational highlights of the quarter gone by.

Akshay Jatia: Good day, everyone. I hope you have been able to go through the numbers. FY '23 was a great year for us, where we executed our strategic goals flawlessly. During the year, we have grown from strength to strength, achieving market-leading performance across all core parameters and establishing a new baseline with the highest ever annual

sales at INR 22.7 billion, backed by 36% same -store sales growth. Our average unit volumes crossed INR 66 million with nearly 60% of sales driven through digital. Our EBITDA margin was the highest ever at 17.3%, while ROCE stood at 31% with a strong

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financial position. Looking at the year, we can finally say we have emerged bigger better bolder, which is what our goal was when we entered the COVID period.

Moving to quarter 4, it is very encouraging to see that the growth trend has persisted across channels, geographies, and the portfolio. Overall, sales during the quarter grew by 22% year -on-year on the back of very healthy same -store sales growth of 14%. Our on-premises business gained significant traction by growing 38% year -on-year, led by continued strong uptick in the dine -in business. A key driver of this performance is our robust value proposition backed by relevant offerings and consistent investments in modernizing our restaurants, which offer memorable customer experiences.

As of March end, over 72% of our restaurants are in the experience of the future format. Our off premise business continued to rise steadily on a high base, contributing over 40% of the business. Our McDelivery platform continued to grow at 1.5 x the growth of third -party operators. We introduced our new McDelivery app in March. It has a highly scalable market which significantly enhanced user experience design . It will help us drive much higher levels of consumer interaction , while offering the ability to manage greater order volume during peaks. Our menu innovation centered around burgers, meals, chicken and McCafe continues to work well for us and captures the diverse consumer preferences .

Our Chicken Big Mac launch elevated the Mac platform and burger meals while bolstering our market position in chicken. McCafe beverages also grew strongly. I'm pleased to share that we saw continued improvement in our great -tasting burger scores and coffee scores, which stood at the highest ever mark in Q4. Geographically, west, and south markets continue to grow steadily. Digital sales in Q4 jumped sharply to 62%, led by improvements in self -ordering kiosks and an increased number of EOTF stores.

Moving to Slide number 10 on profitability. We saw an overall improvement in margins. Gross margins improved by 371 basis points year -on-year, led by onetime volume delivery incentive , cost savings and flow -through of earlier pricing actions while EBITDA margins grew by 51 basis points to 16.5%, with gains being partially offset by higher G&A. Our cash PAT stood at INR 567 million in Q4, implying a 10.2% margin. During the quarter, we added 18 new restaurants achieving the annual target of 35 new restaurants in FY '23. With this, we now

have a total of 357 restaurants, including 311

McCafes, 68 Drive Thrus and 220 EOTF restaurants across 56 cities.

Going ahead, we have further stepped up our plans to add 40 to 45 new restaurants in FY '24, eventually moving towards our vision of having 580 to 630 restaurants by 2027. I would also like to touch upon another topic, which was discussed during strategy day

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back in early December. As you would have noted the business is generating a healthy amount of cash, perhaps slightly more than what we will need for network expansion, capex, and other business activities. Hence, we were working on refreshing our dividend distribution policy with an aim to balance shareholder reward while retaining sufficient capital for growth.

Accordingly, today, the Board approved an updated dividend distribution policy which guides for maintaining around 25% dividend pay -out ratio subject to conditions mentioned in the policy. The policy document will be available on our corporate website shortly. Also for the first time, Hardcastle Restaurants Private Limited, our wholly owned subsidiary proposed a dividend to Westlife.

I will end by saying that we had a strong quarter and a remarkable year. We are happy with our achievements so far but aiming much higher. I now hand over the call to the moderator and open the forum for your questions.

Moderator: Thank you very much, sir. Ladies and gentlemen, we will now begin the question -and -answer session. We will wait for a moment while the question. Take our first question from the line of Jay Doshi from Kotak.

Jay Doshi: Hi, thanks for the opportunity and congratulations on a fairly decent SSSG performance. My question is can you give some color in terms of how SSSG trends have been during the course of March quarter Jan, Feb, March and continuing into April.

Have you seen any deceleration in general? Or has it been more of stable for you?

Amit Jatia: Thank you, Jay. I'll have Saurabh answer the question.

Saurabh Kalra: Okay. I think it's a good question. I think same -store sales growth for us in Q4 was

robust. As we've also outlined in the deck that we see this last year as a new baseline, which has been established. And from here on, we expect what we have talked about in Vision 2027, which is high single-digit same-store sales growth coming into account. And we believe from that standpoint, what we delivered last quarter was quite robust and quite good.

Jay Doshi: Thank you and congratulations Saurabh, on your elevation. My second question is on - it's a bookkeeping question. Could you please provide us breakup of capex, the INR 270 crores capex that you've done in the year spread across new stores, EOTF initiative or any other upgradations?

Amit Jatia: Amit, here. So sorry, we don't share breakup of our capex, but broadly 60%, 70% of that is into new stores.

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Jay Doshi: Understood. So in that case, is there any significant inflation in per store per restaurant capex that you've seen given the inflationary environment? Because if I'm not mistaken, INR 270 crores, of which CWIP increases 20. So INR 250 crores would be of that 60% could be INR 150 crores for 35 gross store openings. So am I and it comes across a little over INR 4.25 crores. So whereas our earlier impression was 3.25 or something, including McCafe.

Amit Jatia: Yes, let me start -- so you see store capex. Therefore, we always give a range. And I think we had talked about it in the last call as well, where we are now sort of between INR 3 crores and INR 4 crores. So for example, if you do a Drive Thru, it's on the higher side and now McCafe along with the EOTF and certain higher design standards that we are now following, would stay in the INR 3.5 crores to INR 4 crores range. Also remember, we have not only increased the penetration of McCafe, now almost 311 restaurants. Also now EOTF

is in 72% - 73% of our restaurants. So there's a lot of incremental investment that has gone to keep our facilities modern.

Also, I mentioned this in the past, at least I'm a strong believer that you've got to keep your facilities, your asset base, very modern and relevant. And even by global McDonald's standards, in fact, 95% of our stores are in that category. So we have invested a lot of money into that.

There are some IT investments as well on information technology as the base is increasing. Just to give you a small example, with 350 restaurants, different cities, price points, product, deals could be different. We put in a central file management system that allows us to manage our menu across all these stores sitting from the corporate office itself and some investments in technology around our app and so on. So like I said that it's not all into new restaurants. But I hope I answered your question.

Jay Doshi: That's helpful. One final follow-up here. So next year, you are targeting 40, 45 stores versus gross to openings of about 35, 36 there. So there will be 30% higher store opens. Will this absolute number of INR 270 crores go up? Or do you think that the other capex that you are doing will probably not grow or will moderate?

Amit Jatia: So our typical capex range is between INR 200 crores to INR 250 crores. And I think we will continue to maintain that.

Moderator: We take the next question from the line of Shirish Pardeshi from Centrum Broking. Please go ahead.

Shirish Pardeshi: Congratulations for good set of numbers. I just wanted to check, between last quarter and this quarter, we have added 4 new cities. So would you give us some color, some sense how this SSG is panning out? And maybe if you have now touched upon the 67

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million average store sale, what are the store sales happening in these 4 cities over, say, quarter 1, quarter 2?

Amit Jatia: I mean, we don't break up our SSG by cities, to be honest. And essentially, as I think we said in our presentation as well, that we are seeing the smaller cities respond extremely well. A lot of it has to do with aspiration and when especially the new experience of the future restaurants, along with McCafe opening in these new cities, we are seeing the response pretty good. So I would say that it is a [inaudible] but we don't share breakup, unfortunately.

Shirish Pardeshi: Amit that may be a number? Just let me clarify. Is that number is significantly higher than 14%?

Aksay Jatia: No. So what we've said in the past is that when we have gone into smaller towns and newer cities, we've seen a very good response for the brand because our product market fit and brand relevance has only been increasing. As a result, a smaller town have performed very well, and they in line up to the system average quite fast. I think that's all we said in terms of color, and we continue to maintain that.

Shirish Pardeshi: Sure, sure. That's helpful. My second question is that in this quarter, have we taken any price increases? And a second question to Saurabh is that what is the inflation rate we are facing at this time?

Saurabh Kalra: So from a pricing standpoint, we haven't taken any price increase yet. We typically take 2% to 3% a year. In this year, we will take 2% to 3%. Inflation, like all of you know, is generally in the range of what normal India range is, which is 4% to 6%. I think we have operated the business for 25 years with that range. The normalcy has restored unlike last year, where there was excessive inflation. There are some commodities like dairy, which are still having a little bit of inflation, but nothing out of manageable range, I feel very comfortable on the way we have been able to manage inflation and we'll continue to do that.

Shirish Pardeshi: Okay. My second last question, we have now 220 EOTF rather, which covers almost 72%. And during the Investor D

ay, you said that very quickly, you want to go to 100%. So does that mean that all the new stores that we are opening will essentially have a EOTF feature?

Amit Jatia: Yes, yes. Absolutely.

Shirish Pardeshi: Okay. Okay. And my last question on the -- I'm sure you will not give me the number. But this Big Mac spot, what we have done, what would be a rough contribution maybe if you can share in terms of revenue or volume or in terms of SSG growth.

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Amit Jatia: So as you rightly guessed, we don't share a breakup of our product mix. So sorry to share that we may not be able to.

Shirish Pardeshi: No. I mean I wanted to check this part is really helped. So it shows in the numbers. So such interference, you will do more of in FY '24? Or it's just one of the learning...

Amit Jatia: No, no. I mean, as I've said before, our menu is a very, very important part of our growth around SSG. And we have to engage with the consumer, and we have 3 or 4 different ways in which we engage with them. And that, hopefully, that might give you some sense. So one is where we do what I call limited timeline line extensions. So we may take the McSpicy Chicken and play with it a little bit and give lovers of McSpicy Chicken a slight different flavour or something new to look forward to.

Then there are platforms and platforms are like the fried chicken where we've launched that particular platform itself. And then there are some other just seasonal things that we do, which in Diwali, we may do something or if there's a movie like Minions, we may do something with banana -- so this is how we deal with it. So you will continue to see us do things around premium, around value. It will fit the particular situation in the marketplace at that time. Right? So like gourmet burgers, I must say, was a quite interesting thing because everybody thought and that is ended, McDonald's ended with Aloo Tikki and McVeggie. But we clearly demonstrated that gourmet burgers have done well, and they are here to stay. And more recently, we did a Piri Piri extension around that, and that has worked very well for us as well.

Shirish Pardeshi: I got that, Amit, I was just trying to push you to give us some sense that is there any target the management is working that certain contribution should come from the new experiments or new product development or something like that?

Akshay Jatia: No. I think that our entire goal is to grow average unit volume, and we do that through this multi-category multi-day-part approach because we believe we're relevant across all these categories. We stand for all of them as leaders. So that's the approach when we look at new product development because we want to launch platforms. And within the platform, we do limited time offers, as we were saying. But the entire objective is to grow average unit volumes.

Amit Jatia: So one last thing on this, maybe that helps you. So we keep pushing ourselves to look for lines like we did with McCafe. So for example, we will keep experimenting with things, which will give us a very large chunk of our business for day after tomorrow. So past examples around that are the fried chicken, McCafe and things like that. So we are constantly innovating to see because we are saying that at least 50%, 60% of our

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business has to come from innovation over a 2 - to 3 -year horizon. So that keeps the brand modern and relevant, which is the vision that we've set for ourselves.

Shirish Pardeshi: Sure. That's helpful. My last question on the margin. If you can help me, given the milk inflation, which is looking very high rather steep and cheese is also looking very steep in the medium to short term, I'm not saying guidance, but should we inch up the margin because you always have the price increase lever with you. So any indication that we should we inch up more or we will take some time to improve the margin?

Saurabh Kalra: Like I said, I think the inflation is absolutely in the range we should be able to more than easily manage the inflation at this current stage of state of where it is right now. So from -- we don't give any future guidance. But obviously, we are comfortable managing it and continuing with the momentum which we've got as far as margins are concerned.

Moderator: Thank you. We'll take your next question from the line of Percy Panthaki from IIFL. Please go ahead.

Percy Panthaki: Congrats on a good set of numbers. My first question is on the gross margins, which have sequentially expanded 170 bps, so 3Q versus 4Q. Could you give some idea as to what has driven this 170-bps expansion?

Amit Jaitia: Yes, sure. So I'll have Saurabh answer that.

Saurabh Kalra: Yes. So obviously, so we have given a bridge in terms of how in the presentation also. But if you look at it broadly, if I zoom out, then obviously, there have been inflation, which is reduced, etcetera, etcetera. We do go into renegotiation in the time of January. So some of it is the benefit which has come on the system, which is here to stay. And some of it is onetime, which is an advantage in terms of volume benefit, etcetera, which is flown back in the P&L in quarter 4. So that's how it is.

Percy Panthaki: Okay. So basically, the 71.9%, which we are seeing in our Q4 that is a more or less sustainable number is what you see?

Amit Jaitia: See how -- this is Amit here. How I look at gross margin. As I mentioned before, I feel that we are in very good territory with gross margin, 100 bps here and there is hard to sort of determine. At the end of the day, it's about finally delivering the operating EBITDA. So sometimes that line item goes up, and sometimes one other line item goes up. But I would keep 100 bps plus/minus. And I would say that's the range in which we will deal with. I think Saurabh would also like to add...

Saurabh Bhudolia: Yes. This is Saurabh Bhudolia. And there is like a slight change this time, while we were doing the accounting of entire COGS, as the company has taken a few measures where

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we have started doing part of our production through the job worker, and expenses which is related to processing charges has been recouped from COGS to other expenses as processing charges. So if you see the like -to-like my gross margin should be for the quarter would be in the range of around 68.2%, because of this regrouping, it has went up to 71.9%. This entire regrouping impact has been given in the presentation for all the 5 comparable periods so that the apple -to-apple comparison can be done...

Percy Panthaki: Right. Got that. But there is still a sequential increase, and I was just asking the drivers for that. So got that. Second question is, over the next 2 to 3 years, what would be your main top line and bottom -line drivers. Like, for example, over the last 3, 4 years, McCafe was a big driver. But now with McCafe present in a very high percentage of stores, EOTF also presented a very high percentage of stores -- what are the drivers for the next few years because these drivers have served us well in the past, but they have sort of already caught up in terms of percentage penetration to a very large extent. Yes. So that's my question.

Akshay Jaitia: Yes. So Percy, we had our strategy day in December, and we spoke about the next phase of growth being very similar, right? We've highlighted that our core remains burger, chicken, coffee. We're going to continue to double down on average unit volume growth through these categories. Secondly, we are a very strong digitally led company. So a lot of digital focus. We will continue to work on a growth pipeline as well, and we've discussed that too. So this is how we kind of build out that INR 4,000 crores to INR 4,500 crores of sales as a vision for 2027, and that's how growth will look like, but we'll -- I'll

pass it on as well

Amit Jaitia: Yes. So just to build on one what Akshay said that in the vision document which kind of describe what we will do. But I just also wanted to clarify that by no means have we even come close to scratching the surface on either McCafe or experience of the future. All we've done right now in the last 4 or 5 years is, one, get the platform across our network; and two, introduce the fact that McDonald's does beverages. We still feel there is a lot of room to play out in the beverage category. And similarly, the experience of the future, consumers are still understanding it. And day by day, it is helping us get a better yield on that and for consumers to feel more comfortable. Soon as they continue to use this after a few years further, consumers will now feel comfortable and as they get more comfortable, sales continue to grow. So I don't think it's over. I also wanted to add that along with what Akshay said.

Moderator: Thank you. We take the next question from the line of Devanshu Bansal from Emkay Global. Please go ahead.

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Devanshu Bansal: Congrats on a good set of numbers. So this off premise sales have seen some growth

moderation in Q4 to about 5% despite launch of a new app. So what is the reason for that?

Saurabh Kalra: So I think, number one, a lot of our growth in the last full year has been on the back of dine-in. Now dining typically has got some amount of seasonality. We factored this kind of growth. We are very, very happy with 14% growth on a very high base. And we believe that this is something which is going to continue, and we'll be able to deliver our goals both for the year and for the next 5 years as we have talked about.

Devanshu Bansal: Great. And this 40% is it a optimum level of off premise mix? Or do you see further reduction in this sort of?

Saurabh Kalra: See, off-premises, on-premises, these are various channels to do sales, and that depends on the given point in time of where the business is. So for example, in the month of February, March where there are more exams, you will see off-premises business going up and on the other hand we see that turnaround in some other quarters. So we don't actually look on to off-premises, on-premises only from the length of percentages. I think as long as overall, the average unit volume is growing versus the previous year, we believe we are in a good space and growth has come from all channels so that on McDonald's true omni-channel experience comes to life across channels.

Devanshu Bansal: Got it. And the PPT mentions that McCafe has seen strong growth in this quarter. So what is the extent of recovery in McCafe sales relative to pre-COVID on a per-store level?

Saurabh Kalra: We don't give breakups. But having said that, I think we've already said last quarter that both Dine-In and McCafe are doing better than what they used to do pre-COVID.

Devanshu Bansal: Got it. Last question from my end. Sir, we have seen a very healthy top line growth, but G&A expenses sort of remained stable at about 6% in FY '23. Do you expect this level to sustain, or it can go down going ahead?

Saurabh Kalra: So I think one of the guidance which we need to look at is the annual number. This has been a phenomenal, phenomenal year for us, and we believe we have set up a new baseline on which we need to deliver beyond this in the coming years. If you look at it, I think Smita mentioned, we had our convention in Pattaya, 650 of us went and celebrated the great year. Also on the variable incentive, we have triggered a higher incentive than what was budgeted initially. So it's been a great year. It's -- some of it is onetime expenditure, which is coming to G&A. But to me, the way to look at the entire

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P&L is with an annualized P&L for the entire financial year and through that financial year.

Amit Jatia: Yes.

And longer term, as sales continue to rise, we do believe that there will be some benefits that we will get out of G&A as well.

Moderator: Thank you. Will take the next question from the line of Chirag Lodaya from ValueQuest Investment Advisors. Please go ahead.

Chirag Lodaya: Sir, my first question was on guidance on store addition. So we have said that we'll be opening 40 to 45 stores. Just wanted one clarification. Is it a gross store addition or a net for addition? And is there any seasonality in terms of store opening over the quarter?

Akshay Jatia: Sure. So we spoke about 42, I think, new stores in the coming year as being part of our plan. This is gross. We rarely close any stores. So at the most, it's a number of 1 to 2 or so. I'm sorry, could you repeat the second part of your question?

Chirag Lodaya: In terms of store openings throughout the year, is there any seasonality between the quarters?

Akshay Jatia: Yes. So I mean, what you've seen this year is you've seen a large number of openings in half 2. Our cycle times are long from identifying real estate to opening, especially as the opening more Drive Thrus. However, we look to even it out in the years to come. You will see marginally more store openings in half 2 this year as well probably. But we'll continue to kind of show you all the trend in the years to come as we ramped up our store opening plan.

Chirag Lodaya: And in terms of SSG, this year, we have done almost INR 6.6 crores as average sales throughout the year. Do we expect high single-digit kind of this number? Is that the understanding are correct?

Saurabh Kalra: Yes. So the guidance we have given for the next 5 years is to maintain high single-digit SSG and new store growth on top of that. So yes, I mean, that is our plan as well.

Chirag Lodaya: And in gross margins, can you help us understand how -- what was the quantum of onetime volume delivery incentive?

Amit Jatia: So that comes every year. So it's more a quarter aspect. But essentially, as I mentioned in my earlier conversation that 100 basis points here and there, but I mentioned this

even a year or 2 ago, but we continue to improve it, essentially, the focus about really to now grow gross margin, but at least to try and maintain it in this territory. The focus is really to grow sales and through operating leverage, bring profit to the bottom line.

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Akshay Jatia : Yes. So as we mentioned, multiple in, it's about operating profit for us and that guidance, again, we've given in our vision statement. And we've spoken about how sequentially year-on-year improve our operating profit through multiple levers, operating leverage being one of them .

Chirag Lodaya: And just lastly, any plans to introduce chicken platform in West India? Or still it is a South phenomenon?

Amit Jatia: So currently, we retained this as a south phenomenon for now because it's still playing out extremely well over there. And when we think it's right, we may decide to do what we need to do. But for example, when you saw the chicken Maharaja Mac promotion, that was, of course, across West and South. So it is something that will evolve. But currently, the focus is to keep fried chicken in South India.

Moderator: We take our next question from the line of Amnish Aggarwal from Prabhudas Lilladher. Please go ahead.

Amnish Aggarwal: Congrats on some good set up numbers. I have a couple of questions. So my first question is that you can say there was a lot of buzz data demand in the various case segments in QSR that is slowing down. So what is your assessment? And what is the current state as we are sitting already in the month of May?

Akshay Jatia: So I think we've spoken about same -store sales growth delivered a very healthy number in the last quarter, and that is what we can comment on, right, as well in the current quarter. We maintain our plan like we said up high si

ngle -digit SSG for the year.

So that's our outlook on demand as well as same -store sales growth.

Amit Jatia: And essentially, you see, at least from our point of view at McDonald's, we believe in growing the base line. And if you are continuously doing what I talked earlier about Horizon 2, like how we did McCafe few years ago. And similarly, we intend to do similar things in the future. We believe that by building baseline, as Akshay said, we will be able to maintain the same -store sales growth. And as long as we deliver that, I think what happens in the marketplace to some extent, is irrelevant , from our point of view. So we have to, of course, push harder, but we are quite confident that our foundation is strong to be able to deliver that.

Amnish Aggarwal: Okay. So that's very helpful. My second question is that next year, now we are aiming at adding, say, 40 to 45 stores. So I just wanted to understand that as we -- you can say, open now and new stores, while our average last year is on INR 66 million throughput per store. So how is the performance in the new stores, say, in the first year or second year?

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Amit Jatia: No, I mean, again, we don't share breakup of how stores age and all of that. But even these numbers that you've seen is with 35 new openings and before that, 25. So on our base, the percentage of new openings have been reasonably decent. So we don't -- we -- our belief is that the 66 has to go up, the \$66 million volume per restaurant per year has to go up with new stores included in that.

Amnish Aggarwal: Okay. So it means you don't expect that any drag coming...

Amit Jatia: So whether this drag or not, we will give you a number higher than 6.6 crs, is the endeavour -- so far, we've been able to do it through the last 5 years, I would say.

Amnish Aggarwal: Yes, yes, sure. And my final question is on the manpower cost in this quarter. So if you look at on a Q-on-Q basis, it has gone up from INR 83.7 crores to INR 92.6 crores. So just wanted to understand that, is there any onetime element in this?

Amit Jatia: Which number are we talking about?

Amnish Aggarwal: Payroll and employment benefits?

Amit Jatia: Payroll and employee benefits Yes. So that's to do with crew. You see what happens is, I mean, we have seen broken our P&L, and we are able to share for wise data. Now what happens is that as sales go up, your crew strength required goes up as well. Overall, I think if you look at it from a year-on-year basis, we've done extremely well. 9.1% has gone to 8.9%, and that normally comes through as well because as volume goes up, your incremental cost as a percentage goes down . In a quarter, things move up and down, it's hard to predict. So please look at it from a year-on-year basis.

Moderator: Take your next question from the line of Madan Gopal from Sundaram Mutual Fund. Please go ahead.

Madan Gopal: This is a question slightly away from Q4 numbers. What is recently happening in the QSR space as well as the food delivery space? How do you see this new opportunity of

ONDC as a strategy? Or do you think it's an evolving one, and we have to wait and see how that helps the restaurants?

Amit Jatia: So how we approach new areas is that we register the fact that this is something to watch out for, and we start thinking about how we could sort of apply and utilize that. So there is a lot of conversation around what its implications are from our business point of view and that is something that will evolve quarter -on-quarter. So we will share more data as it evolves.

Madan Gopal: Okay. So as of now, you are on an assessment board?

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Amit Jatia: Correct.

Madan Gopal: But definitely, as a platform, it all works well. There is one will be a difference from a margin perspective, more accretive compared to the existing channels, right?

Amit Jatia: No, I don't think so. I don't think it

s going to be more accretive. I mean, again, you have to look at my comment consistently over the last 5 years. We've always been proponents of delivery. And while I see a lot of new items around how the industry is sort of up in arms against these aggregators, our belief has been, it is collaborative. You've got to participatively work out a business model that's a win-win for both because finally, the consumer is consuming our food outside of our restaurants on the delivery platform.

So we have been able to build our business model where it's all right for us to work with the 3PO as well which is reflected in our margin growth as well, that even the delivery business growing as a percentage larger than in-store in the last 2 to 3 years, if you noticed our margin has moved up quite well. So I don't have this stage it's too early to say that it will be margin accretive or not. But I'm just trying to say that it's already a decent margin for us in the current platform itself.

Moderator: Thank you... Take your next question from the line of Amruta from Wealth Managers India Private Limited. Please go ahead.

Amruta: So my question is regarding McBreakfast and how is the acceptance around the excess menu? And like does it have a sizable revenue contribution to the top line?

Amit Jatia: I'll answer the easy one. I'll give a more difficult one to Saurabh. So the easy one is we don't share the breakup of our breakfast sales, but I'll let Saurabh explain what breakfast does for us.

Saurabh Kalra: Yes, to me, I'll give you the flavour. We are the only player in the QSR industry doing breakfast out of home breakfast consumption at an India level is small. And our job is to grow this. Obviously, we prioritize based on the levers we have and what can maximize our revenue. So breakfast is always in the consideration set. It is in a horizon. We will put money on breakfast at some point in time, but we already see great green shoots. For example, if you look at the highway restaurants, especially on Mumbai Pune, I don't think anybody can miss the McDonald's breakfast at Kalamboli and the restaurants on the highway. So we see great traction. We have to be able to be invested in breakfast as our take. And over a period of time, you will see as the breakfast market also starts to explode. McDonald's is emerging, being the leader, and continuing to maintain its share of very, very high percentage of breakfast in the QSR industry.

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Amruta: Sir, right now, like do all the McDonald's outlets serve breakfast? Or is it not proportion?

Saurabh Kalra: No, that's not the case because some of the malls open late. So we've got around 130 - odd restaurants, which do the breakfast. So mostly all the restaurants which do not have any issues in the timing do breakfast. And all of them do very decently well. And we would like to keep the breakfast running and add to its value as we see that there is a big opportunity emerging.

Moderator: Thank you. We take your next question from the line of Kapil Jagasia from Nuvama Wealth Research. Please go ahead.

Kapil Jagasia: Sir, my first question is, during your 5-year vision meet, you had indicated gross margin target of 67% by 2027. And already, you are touching much higher margins around 68% in the last 2 quarters. So is it that like any improvement in margins going forward would be driven towards this new capex initiatives for tech and probably more of EOTF just your thought process on this?

Akshay Jatia: Sure. So if you see the annualized margin, I think we are probably roughly around 67 - odd percent. And if you look at how margin works year-on-year, definitely, we strive to show some improvement, but food inflation in our country is pretty volatile. So as a result of that, we broke out 4 or 5 levers in terms of how we plan to drive operating profit moving forward. Gross margin is one of them, which we

'll continue to work on. We will

have a few years where it will marginally go up and probably stabilize. However, a lot of the growth is going to come from operating leverage, increasing sales, doubling volumes, as we've spoken about in our strategy mix. And as a result of that, we will see a lot of operating leverage increasing our operating profits.

Kapil Jagasia: Okay. And just to get my number right, you had indicated price hike of 2% in the coming year, right? So like for us, we would be taking a price of closer to inflation. So are we seeing less of inflation for us in the coming year? Or are we just taking a lesser price like because of increased competition? Just your thoughts on this?

Amit Jatia: So again, we've been very consistent with our price policy. Typically, we take between 2% to 3%, and it all depends on the situation at that time. At this point in time, no price increase has been anticipated, and that's where it is. In some very good years, we've not even taken a price increase. But typically, we prefer to stay at the 2% in great years. And when inflation is higher, we may go to the 3%, 4%. That's where it stands. So at this point, we haven't decided, but that's typically our principle how we think about it.

Moderator: Thank you. Ladies and gentlemen, we have reached the end of the question-and-answer session. And I would now like to hand the conference back over to the management for closing comments. Over to you, sir.

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Amit Jatia: Yes. No, thank you, everybody, for participating on the call today. We really appreciate it. Have a lovely evening and talk to you soon.

Moderator: Thank you very much, sir. Ladies and gentlemen, on behalf of Westlife Foodworld Limited, that concludes this conference. Thank you for joining with us. You may now disconnect your lines.

Disclaimer: Please note that this transcript has been edited to correct any inadvertent grammatical inaccuracies or language inconsistencies that may have occurred while speaking.

Call: Aug 2023

WESTLIFE FOODWORLD LTD.

[Formerly known as Westlife Development Ltd.]

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Date: 1st August, 2023

To, To,

BSE Ltd. ('the BSE) The National Stock Exchange of India Limited ('the NSE')

Phiroze Jeejeebhoy Towers Exchange Plaza

Dalal Street Bandra Kurla Complex, Bandra (East)

Mumbai 400 001 Mumbai – 400051

Sub : Compliance with Regulation s 30 of the SEBI (LODR) Regulations, 2015 , submission of transcript of earnings conference call for the quarter ended 30th June, 2023.

Re : Westlife Foodworld Ltd. (formerly known as Westlife Development Ltd.) ("the Company ") : Scrip Code -505533 and WESTLIFE (NSE)

Dear Sirs,

In compliance with Regulation s 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 , please find enclosed herewith transcript of earnings conference call for the quarter ended 30th June, 2023.

In this regard, the transcript of the said earnings conference call has also been uploaded on the Company's website and can be accessed at the weblink : <https://westlife.co.in/investors-earnings-release.php>

You are requested to take the same on record.

Thanking you,

Yours faithfully,

For Westlife Foodworld Ltd.

Dr Shatadru Sengupta
Company Secretary

Encl : as above

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Westlife Foodworld Limited
Q1 FY24 Earnings Conference Call

July 27, 2023

MANAGEMENT :

■ Mr. Amit Jatia – Chairperson

■ Ms. Smita Jatia – Vice Chairperson

■ Mr. Saurabh Kalra – Managing Director

■ Mr. Akshay Jatia – Executive Director

■ Mr. Saurabh Bhudolia – Chief Financial Officer

■ Mr. Chintan Jajal – Lead Investor Relations

Moderator: Ladies and gentlemen, good day, and welcome to the Westlife Foodworld Limited Q1 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

We would like to remind you that certain statements made by the management in today's call may be forward-looking statements. These forward-looking statements reflect the management's best judgment and analysis as of today. The actual results may differ materially from the current expectations based on a number of factors affecting the business. Please refer to the safe harbour disclosure in the earnings presentation.

I now hand the conference over to Mr. Chintan Jajal. Thank you, and over to you, sir.

Chintan Jajal: Thanks, Melissa. Welcome, everyone. Thank you for joining us on Westlife Foodworld earnings conference call for the first quarter ended 30th June 2023. I am Chintan Jajal, lead IR at Westlife. From the management team, I have with me Mr. Amit Jatia, Chairperson; Ms. Smita Jatia, Vice Chairperson; Mr. Saurabh Kalra, Managing Director; Mr. Akshay Jatia, Executive Director; and Mr. Saurabh Bhudolia, Chief Financial Officer. We will kick off today's conversation with Smita sharing her thoughts on overall business progress and outlook. This will be followed by Akshay taking us through operational, financial and strategic highlights. Post that, we can open the forum for questions and answers. We will be referring to the earnings presentation and financial releases available on the stock exchange and the Investors page of our website. With that, I now request Smita to commence this session. Thank you, and over to you, Smita.

Smita Jatia: Good afternoon, everyone, and welcome to the call. I am pleased to share with you that we have taken yet another firm step towards realizing our Vision 2027. It gives me great confidence that we not only finished last year on a robust note but have also started this year on a high. In the last 6 months alone, we opened 22 restaurants and are on track to meet our goal of opening 580 to 630 additional restaurants by 2027. We also witnessed a significant increase in our gross margin of about 300 basis points in the last 6 months, compared to the same period last year, which highlights the strength of our brand and our business strategy.

Over the last 12 months, we generated cash PAT to the tune of INR2.67 billion, which signifies a healthy cash generation ability. What gives us confidence is that we continued the momentum in our quarter 1 performance as well, wherein we once again delivered industry-leading growth backed by a strong focus on execution excellence in menu innovation, service quality and supply chain management.

We not only served our existing customers, but also welcomed many new customers to our stores and online channels. Our consistent growth confirmed our faith in our strategy, be it building a great brand through effective marketing initiatives to elevate trust and win over families or bolstering our e-commerce platform. These efforts are generating growth and strengthening our brand year after year. I take particular pride in growing the core of our business by building a robust platform for burgers, chicken and coffee.

Finally, our Ds: Digital, Delivery and Drive-through have significantly contributed to our steady growth. In fact, 64% of our customers came to us through one of our digital channels. Our dine-in and convenience channels continued to complement each other to give customers more ways to interact with us. What makes us unique is the solid foundation of our people, the scale of our supply chain, the quality of our real estate portfolio

the agility of our system and the power of the McDonald's brand and most importantly, consistency in our strategic approach.

To summarize, I would like to say that I am proud of our progress and excited about the future. Today, we have a strong management team, a clear strategy and a growing market opportunity. We will tackle the year ahead with agility and a strong focus on execution. Along with improving our operational excellence foundation, growing our digital advantages and carrying out ongoing work on creative menu offerings will remain critical.

With a prudent cost structure, increased productivity, strong average unit volumes and healthy restaurant cash flows, we are well positioned to deliver accelerated business results and create long-term value for our shareholders. I thank you for your continued support and will now request Akshay to share the operational highlights of the quarter gone by.

Akshay Jatia: Good evening, everyone. I'm glad to be here today to share our Q1 results with you. We saw a healthy broad-based growth during the quarter amidst relatively soft consumption trends witnessed by the QSR industry. Our focus on elevating our brand, accelerating digital channels and innovating in our core equities of burger, chicken and coffee helps us deliver differentiated performance and grow or sustain our traffic share in West and South India.

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Sales in Q1 FY '24 stood at INR6.14 billion, up 14% year-on-year on the back of 7% same-store sales growth. On-premise business grew 18% year-on-year, led by dine-in channel, which continued its strong momentum backed by a robust increase in guest count.

The off-premise business grew 9% year-on-year on a high base led by delivery. The overall contribution of the off-premise business to the top line was broadly stable at 40%. We remain committed to an omni-channel business model. Menu innovation being one of our key pillars of growth continued with the launch of our Piri Piri McSpicy range in April.

We also roped in the Megastar Junior NTR as our brand ambassador to promote McSpicy chicken sharers and further strengthen our chicken equity in the South. Jain-friendly menu with no onion, no garlic and no roots products was launched in the Western markets to democratize the menu. These strategic interventions saw great consumer response and benefited the brand positively.

During the quarter, we also launched the McSaver Value platform, offering meals at INR179. This platform is helping us accelerate the consumer frequency, footfalls and salience of meals in-store sales. McCafe sustained its healthy traction led by cold beverages portfolio, including frappes, shakes and coolers during the summer months of Q1. Our continued investments in consumer tech and talent are enabling us to now capture over 64% of our sales digitally.

As a case in point, sales originating from our self-ordering kiosks installed in the EOTF stores have grown 3x over last year. Given the convenience, we believe the adoption of such points of sale is likely to grow significantly in the coming years. Overall, average sales per store on a trailing 12-month basis grew to INR66.9 million as against INR57.4 million last year.

Moving on to profitability. Our gross margins improved by about 235 basis points year-on-year, led by a stable input cost basket, cost optimization and earlier pricing actions. On a sequential basis, we saw a decline on account of one-off incentives received in Q4, as highlighted in the last call. Portfolio level aggregate pricing was broadly stable on a sequential basis as inflationary headwinds abated.

Our restaurant operating margins improved by 134 basis points year-on-year with store payroll normalizing to around 9% levels. Royalty fees increased by 50 basis points as per the plan we had shared. G&A costs as a percentage of sales was higher on a year-on-year basis, but

lower sequentially and is now close to normalized sustainable levels.

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The operating EBITDA margin at 17.1% was broadly stable, while cash PAT at INR 670 million in Q1 saw a healthy 22% year-on-year growth.

Overall, we continue to work towards our target operating EBITDA margin range of 18% to 20% by 2027. During the quarter, we also saw a healthy improvement in working capital levels, thereby leading to a net cash position as of 30th June 2023.

On the network expansion, we opened 4 new restaurants during the quarter, bringing our total network to over 361 restaurants, 315 McCafes, 69 drive-through and 224 EOTF restaurants across 58 cities. We are on track to open 40 to 45 new restaurants in FY '24 and the pace of store addition will pick up in the coming quarters.

We achieved significant milestones over the past many years. We are one of the most loved and valued brands in QSR, and this is a testament to our strong business model, team and culture. FY '23 was a record year where we raised the bar. And given the strong performance, I'm elated to highlight that the Board approved an interim dividend of INR 3.45 per share, which is around 48% of FY '23 profit after tax. On that note, I conclude my remarks. Thank you for your time, and I now hand over the call to the moderator, and we are happy to answer any questions you may have.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question-and-answer session.

We have the first question from the line of Devanshu Bansal from Emkay Global.

Devanshu Bansal: Congratulations for a great set of numbers and announcement of dividend. Sir, you seem to be outperforming in terms of growth. When we see your 2027 guidance, this implies about 14% to 15% top line CAGR over FY '24 to '28, which seems to be a bit on a

conservative side. So how should we see this guidance?

Akshay Jatia: So I think that we're talking about sustainable growth over the next 4 to 5 years. For us, that means high single-digit SSSG and around 12% to 14% sales growth or total sales growth. So I think we've demonstrated that in this quarter, and we're confident that through the ups and downs because obviously, you will have some quarters that are up and some that are down, we'll continue to maintain this CAGR. So we are quite confident and optimistic that the plans we shared as Vision 2027 are the right plans, and we remain confident about that guidance.

Devanshu Bansal: Okay. Sir, PPT also mentions that SSG has been led by guest counts, in my opinion, there were 2 rounds of price hikes, which would have benefited us by about 5% to 7%. Are we sort of seeing consumers sort of down trading? Or is it because of launch of these value offers at INR179?

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Saurabh Kalra : You were not very clear, Saurabh this side. I think the pricing part, I think I picked up. We pretty much did not take any price increase post-April of last year. It's been flattish all through. So there is not too much of pricing comparative sale or same-store sales built in. So that's the part I got. Can you repeat the question if you've got any other query?

Devanshu Bansal: So we had taken about 5% price hikes towards the latter half of Q1 last year. And if I remember correctly, there was 2% price hike that was announced in October. So I was coming from that perspective that ppt mentions that it is largely led by guest counts. So is it because of down trading or this launch of a value offer at INR179 sort of led to this?

Saurabh Kalra : So down trading might not be the most appropriate word. Let me put it this way, right? There are different occasions. People come for different occasions and different occasions get opened up. For example, if you see college people coming back, you might not have the same amount of average check for that occasion. While delivery might have even a higher average check than what it was last

year. So I would not put it

in those many words. I think the broad theme is a lot of this growth comes on the back of footfall growth rather than coming on the back of pricing growth. That's the long story, which we wanted to communicate.

Devanshu Bansal: Got it. And this vegetable inflation has come as an incremental headwind. So how are we placed here in terms of margin or any potential margin here? And also, if you plan to take any price hikes going ahead?

Saurabh Kalra : So our guidance is very simple. I don't think this is anything out of normal. Apart from a couple of years during COVID where inflation was really more than which we call out of whack. But otherwise, if you look at 5% to 7% inflation is a norm in India right from 1996.

So it's very, very manageable. Food inflation is seasonal. vegetable inflation is seasonal, and we do a lot in the supply chain to make sure it doesn't impact us.

I don't think you will see any impact of inflation because in some months, for example, like you mentioned, some vegetables go up, we factor it and we ensure that we do not have any supply issues as far as those vegetables are concerned.

Devanshu Bansal: That's encouraging. Sir, last one from my end, this dividend announcement that we have done is sort of slightly on the higher side than the 15% to 25% range, that we had indicated during the Analyst Day. So just wanted to check, is this the range that is likely to continue going ahead as well?

Saurabh Kalra : So first is, we have actually released the dividend policy first, which was more than 25%. This was for the very first time, we were declaring dividend. So we declared a dividend,

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which we felt we can afford alongside being able to accrue for the growth which we have planned for.

Moderator: We have the next question from the line of Varun Singh from ICICI Securities.

Varun Singh: And congratulations for a good set of numbers. Sir, my question is on gross margin expansion, I understand that like, I mean, all the three vectors that you mentioned, cost optimization, price hike benefit in the earlier quarter, maybe no price hike during the current quarter, etcetera. But still, I mean, if you can also attribute that what would be the expansion because of the mix benefit, given the higher contribution from McCafe and beverages to our overall revenue. If you can share some insights on how the mix is changing, that will be helpful, sir.

Saurabh Kalra : See, we don't break down and give guidance on each one of them. But broadly, we've always said that our job as a business is to make sure we drive the cash PAT and profitability, overall profitability of the business. Gross margin is one of the levers in the entire line item, right? So we don't get too much worried about it. So for example, if you create a value platform, it might not give you gross margin percentage. It might give

you leverage across the other line items of the P&L with higher sales and so on and so forth.

So normally, we do not break up everything one by one in terms of when we're giving guidance. But essentially, what you will see is, like we've always done, you will see improvement in overall margins of the business. Year-on-year, you will see a delta over last year when we had said that last year is a good base number for us to track our improvement against. So that's where we stand, and that's what our guidance is.

Varun Singh: Does that mean that incremental margin benefits from superior revenue mix will be reinvested back into the business by giving better offers in the core product portfolio?

Saurabh Kalra : No. That is not what I said. You can interpret as per your needs. But broadly, what we are saying is there is a P&L to manage. There are a lot of things which work around in a P&L. There is inflation, there is new stores, there is sales and then there is cost improvement, which we make year-on-year

. At the end of it, the net-net sum is we have shown a great track record of removing costs out of the system and improving our margins year-on-year. You will see that delta happening even this year is what we are trying to say.

Varun Singh: Understood, sir. Very clear. Sir, my second question is on the delivery side of the business. So I mean if we look at your performance compared to peers, even on the delivery side, you have outperformed. So just wanted to understand that what is it that's driving strength on our this piece of the business? If you can share some objective insights with regards to what we are doing in this segment, sir?

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Akshay Jatia: So I think on delivery, we've done a very good job over the last few years, especially which is the learnings through COVID. We've had very strong partnerships with the aggregators be it Swiggy or Zomato. We've had very collaborative relationships with them where we partnered and driven growth together.

We've also recently launched our new McDelivery platform app and back end, which have also kind of been received well by our customers. So as a result, our delivery leadership continues to grow in our region. And you've seen differentiated results for our off-premise business and as a result for our entire business.

Varun Singh: I mean, if you can share insight with regards to like incrementally, how we are thinking about our own delivery compared to Swiggy or a third-party aggregator. So where do we stand right now? And how are you strategizing going forward?

Akshay Jatia: So like I said, that's why we have our McDelivery platform. We launched a new app and backend this quarter itself. And we've invested heavily into that in terms of both resources as well as manpower. So I think that we are very committed to growing our own platform, which is one big differentiator.

Second big differentiator, we have a very complementary relationship, a collaborative relationship with our aggregator partners, which allows us to drive volumes even during periods where other brands are facing stress. So I think these are our competitive advantages and these are some insights we can share in terms of how we scaled out our own delivery platform and grown our delivery business.

Varun Singh: Understood, sir. Very helpful. And one last question, if I may, regarding like our chicken brand equity that we have strengthened with the new brand ambassador in South if you want to share some color on that part of the business with regards to, I mean, of course, it is performing well, if you can give some time lines with regards to the scale-up of the chicken business?

Saurabh Kalra : So chicken is a long-term play for us. We talked about it at the Investor Day also that we have got 3 products where we would like to build our leadership. One was burger, second was chicken, third was coffee. So around chicken, what you're seeing is the start of a journey. We are very encouraged by the results, which we have seen, including with junior NTR. We've got our best numbers ever in chicken in the month of June.

So that's the broad guidance I can give you. But beyond that, this chicken game is not a short-term play for us. You will see this game playing out over a period of time. And you will see everything, whether it's menu, whether it's promotion, you will continue to see us continue to deliver on these top three strategies of creating differentiation in burger, chicken and coffee.

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Moderator: We have the next question from the line of Amnish Aggarwal from Prabhudas Lilladher.

Amnish Aggarwal: And congrats on good set of numbers. So I have 2, 3 questions. My first question is on you can say the demand scenario. If I look at other players in the industry, so they are facing some sort of, you can say, much more tepid demand scenario than what we are witnessing. So is it due to, you can say, some sort of, you c

an say, increased competition

or penetration issue in a particular category?

Or is it driven by, you can say, your pricing going up? Because when I look at your results, the pressure on demand doesn't seem to be that much. So it will be helpful if you can give us some color on what is happening in the industry.

Saurabh Kalra : As Akshay mentioned earlier, there are headwinds as far as consumption is concerned of overall category in terms of eat out and Western fast food. But to us, India gives such a big opportunity, right? So what we have to be able to do is have a right strategy and be committed to that strategy. To me, the results which you see is a part of the committed strategy where we had talked about being very, very serious meal players and continuing to maintain our need during snacking and then doing it through various channels and being a really omnichannel brand.

And we're seeing that play out. I wouldn't say that the demand situation is very rosy. But in India, the curve is never linear. There will be good quarters, bad quarters, but overall, we are all committed to India's growth and we are all committed to our strategy. So the way we look at it is it's a good situation as long as you're committed well on your strategy, and we are committed to our meal strategy.

Amnish Aggarwal: Okay. So that's pretty useful. The second question is that, for example, we have got, you can say, tie-ups with Swiggy and Zomato, we are also having our own app. But now your this ONDC is coming. I think our products are also available on that. So how are we building traction on ONDC? And any you can say initial learning, which we have over the past few months on that?

Saurabh Kalra : See, while we don't give breakups, to me, Swiggy, Zomato was our partners, ONDC is another added partnership, another channel to sell, right? But the strategy to what will we sell and who will we sell to is more critical. And we don't give breakups of what is Swiggy, Zomato, ONDC, but we have seen growth across, which is very heartening. And then we have also seen growth a little higher growth from our own channel. So it has been an overall good growth in terms of the delivery mix.

Amnish Aggarwal: Okay. But how is the pricing because usually, generally, it is perceived that when you order through ONDC, the prices as you can see on the lower side. So for us, as a realization, are we taking any hit on that?

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Saurabh Kalra : No. So from our standpoint, the realization is almost constant across all channels on digital. It depends on what the platform is charging versus what service they are providing to the consumer. So ONDC also, there are tie-ups through other channels. And then depending on what they charge, we do not have too much of a say in that, neither do we command how they run their business. But to me, ONDC is another channel where we are working through partners beyond Swiggy and Zomato to crack open that market.

Amnish Aggarwal: Okay. So that is very useful and just finally, last bit. Now we are having, say, 220 stores under the EOTF whereas our total number of stores is more than 360. So how many stores this year, we plan to say, bring it under the EOTF concept and some clarity on, say, how much of incremental capex we would be doing per store for this conversion?

Saurabh Kalra : So we don't give generally the guidance on what is the incremental capex on this number. But what I got to tell you is that we are internally or by 2027, we should be 100% stores on EOTF. However, the qualification is that Food Court stores don't have an EOTF experience. So they generally have a self-ordering kiosk being added but nothing beyond that. So there is Food Court stores which will never get converted. But beyond that, rest of all the stores should get converted in the next 2 to 3 years.

Amnish Aggarwal: Okay. Any guidance for the current year?

Saurabh Kalra : So typically,

if you look at the last 2, 3 years track record, we are converting 30 to 50 restaurants year-on-year. We should be able to do the same thing this year also.

Moderator: We have the next question from the line of Percy Panthaki from IIFL.

Percy Panthaki: So what I'm trying to ask is that the value meal strategy works out to approximately a 25% price cut versus the earlier price of the combo. So I'm comparing combo to combo, not individual meal items ordered versus the new combo price, but even the earlier combo available versus the combo price now, there's approximately 25% price cut for the dine-in SKUs 4 combos that you have. And for the delivery, you actually have more number of combos. They are not exactly comparable to any other combo you've had in the past. So I can't really judge a price cut, but similar combos were available, if not the same earlier.

And if I look at the similar combo prices versus what they are now, that is also roughly a 25% price cut. So two questions here. Firstly, what is the need for such a sharp sort of pricing cut, especially when the business is going on so well and we have people willing to sort of pay the prices that we command?

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And secondly, how do you manage this from a P&L point of view because especially for the dine-in where it's a pure price cut and there's no sort of change in the product offering, how do you manage the margins for this kind of a business? Because I'm sure that while it's only a part of your business, more and more people will gravitate towards this price point. So the salience of this business will also increase versus what it was earlier. Sorry for the long question, but I just wanted to ask this.

Saurabh Kalra : Thank you very much, Percy. I think you've done more study than what we have done on our own menu. But I don't think whatever the cut was, actually, we did not take any price increase neither we took a price reduction. We managed by increasing some prices and reducing this. As a portfolio, we've got a net zero effect on the P&L, on the gross margin, on this. Obviously, we want more and more people to come. And we believe due to the contribution margin of this product and new customers come and they come more often, we should be able to make this a very profitable proposition. And if you look at it from a marketplace standpoint, the price point is INR179 and we wanted to make sure that we have got the third lever of meal strategy, which was affordable EVM, which we have been talking about from last couple of years. We were just waiting to build the baseline through the gourmet burgers and the filling burgers and this meal is available with McVeggie and McChicken, that's where pretty much where the price reduction has happened. So we are very excited that we will be able to have a INR179 meal, which people can use us regularly for during lunch and dinner.

Percy Panthaki: Okay. So you're saying that while there has been this new meal at a lower price, you've also taken some other price increases in other SKUs. And that's why the net impact on pricing is zero, is that understanding correct?

Saurabh Kalra : Yes.

Percy Panthaki: Okay. I'll probably take this offline with Chintan because the price increases I saw were more in the mid-single-digit kind of numbers versus this is like a 20%, 25%, but I'll take that offline.

Secondly, I just wanted to understand, yes, I mean, in the original question also, one part is pending, which is what is the rationale for such a drastic kind of price cut?

Saurabh Kalra : So there is nothing drastic about it. What we do, do is we would do something on as a conjoint study to understand what's the price point, which people are comfortable eating meal because EVM would naturally be an Extra Value Meal, a strategy where they can afford a meal which provides fillingness because it's a lunch and dinner occasion. To me, it's a

about those two products of McVeggie, McChicken, where we decided to position it in a certain manner. It's a part of the strategy. It was always the third pillar of

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the meal strategy, which we are playing out with bone-in chicken, and gourmet or filling burgers. That was the third lever, which was always a part of our planning process. So that's how it happens.

Amit Jaita: And it also upgrades customers who are buying individual items or two items to the third item. And actually, it helps increase average check as well.

Percy Panthaki: Right. That makes sense. So next question is on the same-store sales growth trajectory. You've clocked a 7% this quarter and the base is now completely normal. And given how sort of the demand environment is in QSR in general, although not for you, do you think you'll be able to, for the next few quarters hold this 7% kind of a number or do you see a downside risk to this?

Saurabh Kalra : So number one, we don't give forward-looking guidances. To me, what you will see is a differentiated result in the marketplace given that we have committed to ourselves to our strategy. Like I said earlier, we are not short-term players. In fact, that's why our guidance is actually Vision 2027 because we are committed to it. There is always one good quarter, bad quarter here and there.

We don't get bothered about it because the point is to drive our strategy and execution to its natural conclusion. And for us, we are fairly confident of our strategy and what it has been giving us as a result. So what's going to happen next quarter, next to next quarter, I cannot look at anything and tell you that what will be the case. But what I can tell you is the results should be differentiated in the marketplace.

Moderator: Thank you. We have the next question from the line of Saurabh Kundan from Goldman Sachs. Please go ahead.

Saurabh Kundan: So sir, there was a thesis that burger category became more affordable versus say pizza over the inflationary period we've seen in the last few quarters. Your price hikes are also lower than pizza. Now going forward, as that difference narrows, let's say, if cheese inflation comes down, you see that as a headwind to your growth as consumers on

average shift a little bit towards other categories? And is this something that you see playing out? And are you taking any tactical pricing or menu actions to counter this?

Saurabh Kalra : To me, every organization needs to look at its consumer very, very carefully. We don't look at it as a narrative of saying, okay, this is what competition is doing. This is how they are feeling. I think there is a use case occasion. And there is generally a price point linked to that use case occasion if you've defined your target audience very, very sharply. And for us, we look at it always in that manner just because some pizza is cheaper than burger, will it create issues for us? We never look at it that way. We believe

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that there is a price point for every occasion and we've got to be able to cater to a wide spectrum of customers.

In fact, if you look at it, we launched the Jain burger. I don't think the Jain burger's price point is anywhere less than INR200 or INR250. And we saw a lot of customers in some restaurants taking those orders. So I think it's about use case occasion. It's not about what burger category, because once upon a time, everybody used to think burger cannot be delivered. Today, everybody is saying burger is better in delivery. So these are things which everybody makes up. For us, it's about staying true to the consumer and staying true to our business. As long as we do that, we should be able to get to where we want to get to.

Moderator: Thank you. We have the next question from the line of Gaurav Jogani from Axis Capital. Please go ahead.

Gaurav Jogani: Congratulations on the numbers and dividend announcement. My quest

ion with

regards to one point in your PPT, where you mentioned that the metro cities this time has grown faster than the non-metros one. But earlier, when we used to see, you had mentioned that the smaller towns are growing faster. So is there any slowdown that you see? Or is it the acceleration in the growth of the metros on the other end that you are seeing?

Saurabh Kalra : See, to us, it was very clear. We've always talked about it, saying it's been overall rounded growth. Both metros, non-metros and small towns have performed well. It was always a baseline. Last year, we talked about metro going higher. This time, we are saying non-metro growing, this time, they'll say, metro grew a little higher. But that doesn't mean there is no growth happening in other areas. It is just because we have been maintaining continuity so that people know it's a well-rounded growth, even metros did contribute to growth this time around.

Gaurav Jogani: I'm actually asking the same that the metro you mentioned is growing faster this time around versus the non-metros is what I think is mentioned in the PPT. But I think earlier, in the PPT you mentioned non-metros were growing faster. So that is where the difference is what I was trying to ask.

Saurabh Kalra : Yes, it's all marginal. It's between some basis points here and there. I wouldn't read too much into it. The point is the brand is doing well, both metro, non-metro and in small towns too.

Akshay Jatia: And I think it's about broad-based growth, right? We keep talking about whether it's geographies or channels or products. It's because we have the ability to drive broad-based growth that we offer differentiated results.

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Gaurav Jogani: Sure. And in terms of the gross margins bit, under the new pre-classified gross margin, the gross margin is now at around 70.5% for this quarter around. I just wanted to ask how much scope there is further to expand the gross margins from here on? And considering now the raw material prices are better off what was in last year. Do you see still some scope of expansion during the current year as well?

Saurabh Bhudolia: This is Saurabh. See, it's not only about the gross margin, as we just discussed a couple of minutes back, that we always focus on the real profitability at a PAT level. So between the line items, definitely, we always keep working to figure out the efficiency that how and where we can improve the margins. And as we have already given the guidance for 2027, and I believe basis those guidance, we are completely on track, and it is very much achievable.

Gaurav Jogani: Okay. Sure. And just a bit on the store opening bit, you mentioned that you'll be opening 40 stores to 45 stores. The guidance is maintained for FY '24. On that bit, is it on the gross level? Or is it on a net level that you are guiding for?

Saurabh Bhudolia: So we are saying that new stores will be opened in the range of around 40 stores to 42 stores. It doesn't matter whether if there are any stores which are getting closed or not. So at a gross level, definitely, we are on track, and we are very much sure that 40 new stores to 42 new stores will be opened by the end of this year.

Gaurav Jogani: Yes. So if I'm understanding it right, so this 40 stores to 42 stores would be on a gross level and there might be some store closures, if any, that might be there. So that will be deducting this number, right?

Saurabh Bhudolia: Yes, right. But as such, we are not expecting any kind of major store closures for the year.

Moderator: Thank you. We have the next question from the line of Avi Mehta from Macquarie. Please go ahead.

Avi Mehta: I had four questions. So you please bear with me. Just first bit was on the pace of store additions. You said 40 store to 42 store additions versus, I think, last time, it was 40 store to 45 store, is that too much to read into, or I'm just kind of.

..

Saurabh Kalra : Hi, Avi. Hope you are doing well. Yes, too much to read into, it is still 40 store to 45 store. It's a ballpark number. We are confident we should be able to do 40 -plus stores, now it's 42 stores, 43 stores, 40 stores, we can't say at this point in time.

Avi Mehta: Sure. And sir, in terms of the thought is given the way first quarter has been, is there a thought to kind of take it based on the environment? And hence, a lot of this might be

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back-ended when the environment kind of changes or no, this would be irrespective.

Just wanted to understand that part.

Saurabh Kalra : No, Avi, so typically to achieve the quarter 4, if you look at it, we almost did 18 restaurant openings in quarter 4. So the momentum goes towards that, builds up to the year end .

At the start of the year, we saw there were 4 stores. We are still sure of achieving 40 -plus stores. That's pretty much what it is. If you look at it historically also, we haven't opened too many stores in quarter 1.

Avi Mehta: Okay. Perfect. Fair enough. The other bit was on the 2027 guidance. You have indicated better profitability. Could you help us understand in terms of numbers because earlier you used to say, your mid-teens margin is what we look at from a pre-Ind AS basis. 300 points, 350 points around 18% or so, give or take. Is that something that has changed now? And is there a new number that we should look at, which is why the wording has changed?

Saurabh Bhudolia: No, we are very much sure that 18% to 20% of the guidance what we have given last time, we still stick to the same guidance. And we feel that by FY '27, we can expect for the similar kind of number.

Avi Mehta: Okay. Perfect. The last bit was on the store size. Now I wanted to kind of, we typically do about 3,000 square feet stores. Have we thought about approaching the brand owner for smaller size formats for India to essentially accelerate the pace of store additions given there is a discussion has that in thought through. Is there something that is in the pipeline because the pace that we are kind of hoping to kind of look at from a store addition perspective seems to suggest a very sharp acceleration as we go forward. I would love to hear your thoughts on that.

Saurabh Kalra : Thank you, Avi. This is a question which keeps on coming. I think you had also discussed it back in 2015, then 2020. We have evaluated this multiple times, and we have come to a place where if we want to do average unit volume, our omnichannel strategy has to come to life. In fact, if you look at it, we've also given guidance in Vision 2027 to have more drive-thrus. Drive-thrus typically means we might have almost 0.5 acre of property in which there will only be McDonalds.

So we don't look at it. We have pretty much closed that, as of now, we are not looking at any small size formats. We are committed to our base size, which we have already mentioned, 2,800 square feet to 3,200 square feet. That's something which we believe can give a core omnichannel EOTF experience to our consumers. Having said that, you would see drive-thrus. You would also see a few food courts here and there, but that's about it. So we are not actively chasing any smaller size format for now.

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Avi Mehta: So the way I should look at this is real estate availability is not a constraint. It's just capability and hence, we don't need to relook at a store size reduction. Is that the right way to kind of think about this?

Saurabh Kalra : Correct. So it's a model discussion. And we've got to be able to make sure that we get the right real estate in the right area at the right price in order to unlock. And from where we stand, we are pretty confident to be able to do the growth which we have talked about.

Amit Jaitia: Avi, this is Amit. Just because the right size of store is not available in the marketplace. It does not mean tha

t we are going to change what is the right thing to do. And in Mumbai, real estate has always been challenging, but we have 100 restaurants with 3,000 square foot in every square inch of the city. So we think it's the right way to go forward, and we are going to stay with this.

Avi Mehta: Got it, Am it. Got it. Perfectly clear. And just a clarification. You indicated that the demand environment may not be rosy, but that doesn't deter us. We would focus on growing ahead of the market. Would you kindly also share how is the input cost environment? Is it at something that we have because we hear from other players that it is kind of improving. So would love to hear your thoughts on that as well.

Saurabh Bhudolia : So we are not seeing any kind of surprises over here . As we discussed that yes definitely, there is a seasonal factor anyway, which is very much applicable in the food industry. And this any way we have already planned, and we have the sufficient budget to cover these kind of fluctuations between the seasons.

Moderator: Thank you. We have the next question from the line of Deep Paragbhai Shah from Equirus Securities. Please go ahead.

Deep Shah : Congratulations on the great set of numbers. So just one question from my side. So if you see, we have highlighted that there has been 50 basis point on kind of an increase in the royalty rates. So earlier, it was expected to be in the range of 4.5% during FY '24, and we were expecting 5% in FY '25. So is there any change in overall scheme of the royalty...

Saurabh Kalra : The only difference might be GST included and excluded. It is still 4.5% for the year. If you include GST, that's the difference you will get.

Akshay Jatia: And the plan is available on our website.

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Deep Shah : Yes. So I just checked on that part. So that was 4.5% during FY '24, but when I calculate based on the press release data, where you have highlighted INR32 crores kind of a royalty, it translates into 5.2% kind of a royalty rate?

Saurabh Kalra : Yes. So it's 4.5% plus 18% GST for which we don't get input tax credit. So it's effectively the cost on the P&L. So that's the GST difference what you're talking about.

Moderator: Thank you. We have the next question from the line of Shirish Pardeshi from Centrum Broking. Please go ahead.

Shirish Pardeshi: Just two quick follow -ups. I've joined a little late. So I'm not sure if you've covered, but just for the sake of my understanding. So I'm looking at the presentation on the Piri Piri McSpicy and Jain -friendly menu. I just wanted to understand qualitatively, if you could share, though Piri Piri was a limited intervention. What it means to our contribution to sales, if you can help me to give certain parameters on which you have evaluated? And such interventions will bring really a new customer. That's the thought, which is there, but also it adds to our mainline contribution to sales.

And second, on the Jain menu, the presentation says that we have introduced in the Western part. So is there on ground, if you can give me qualitatively, is there is a cannibalization which has happened? Or there is new customers which has been able to walk in and the footfall has improved and the sales has improved?

Saurabh Kalra : So, I will answer both of your questions. So let me answer the Piri Piri one directly.

Actually, it's a policy of LTO, which is a Limited Time Offer on creating excitement to a very big equity platform. So McSpicy for us, is a very big equity platform and done historically very, very well. So what we did do was to bring excitement to this platform, we introduced a new kind of spice, which was Piri Piri and did the festival on the back of it.

We saw strong growth in the McSpicy platform, and we saw incremental growth on the McSpicy platform. So the number, obviously, we don't give break up details. So we were very pleased with the outcome of what

we had planned for the limited time offer of Piri

Piri and what we were able to achieve.

Second question on the Jain menu, it actually came out of the brand trust. So if you look at the McDonald's brand, we always try to make sure we are there and we have something for everybody. Whether it was the Eat Equal platform where we worked for the handicap people who got the upper limb disorder or upper limb disability. So we did do a packaging innovation for them. Now these are not necessarily sales imperative because at a system level, you don't sell too much volume.

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Similarly, this time around, we felt that this community always never had anything to come into a McDonald's for. And given that we already had a product if we remove onions out, the raw onions out would be a Jain product, we felt that it was high time that we included this community. And we have seen a tremendous amount of growth from a very limited restaurant, which are in the community neighbourhood. So nothing more.

It doesn't impact business results dramatically. This is an all-inclusive platform of McDonald's, which you will see continuously see something or the other keep on happening on inclusiveness of every part of the community.

Shirish Pardeshi: No, Saurabh, thanks for that explanation. What I wanted to check with you is Jain menu innovation is also an LTO or it's going to be a permanent reset?

Saurabh Kalra : Jain menu will be a permanent reset. It's actually a Jain friendly menu. So we have given the guidance that it doesn't contain any root vegetable, but is prepared in the same kitchen, where there might be root vegetables kept alongside. So we're calling it the Jain-friendly menu with no root vegetable. This will be available.

Shirish Pardeshi: I'm again sorry I'm having. There are many friends who have really appreciated this kind of gesture from an international brand like McDonald. But what I wanted to check and you have not answered. Is this intervention has been able to bring new footfalls and whether it has been really able to add up to our SSG?

Saurabh Kalra : I did answer that. For a system level impact, I don't know whether we've got population who eats out, substantial enough to create a difference in SSG, but there are definitely community stores in Gujarat, in Indore, where it's created a substantial difference.

Shirish Pardeshi: Okay. My second question to other, Saurabh. At this time, what are the input raw material looks inflationary? I'm again repeating this point, I'm not sure whether it is covered before. But just a sense of what is the inflationary environment today, what ingredients are looking? Because largely, to my understanding, cheese and milk is now started deflationary.

Saurabh Bhudolia: Yes, definitely. So as I just clarified that we are not seeing any kind of major surprises over there. This cheese and milk, we have already factored and we were very sure that this is the inflation, which is going to hit in this quarter. Accordingly, the entire thing has been planned well in advance. And for the balance quarter, as such, also, I believe the way we have planned our ABP and the business plan, the way business plan is in place, we are not expecting any kind of major ups or downs.

Shirish Pardeshi: I agree, but I just wanted to understand, other than tomato, is there any other such surprises you have factored in?

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Saurabh Kalra : So on tomato, we did not see any inflation, which is beyond the normal. These are seasonal inflation we had actually approved for, in fact, planned in advance. We did not have any tomato outage whatsoever in our region, and we did not see any tremendous inflation coming out of tomato out of the ordinary.

Moderator: Thank you. Ladies and gentlemen, we will take one last question from the line of Chirag Lodaya from Valuequest. Please go ahead.

Chirag Lodaya: So my first question was on

average unit volume. You see the sales per store. So I'm just referring to your Vision 2027 document. So what you have said is by 2027, your top line would be in the range of INR4,000 crores to INR4,500 crores and total store units would be 580 to 630, which essentially implies sales per store of INR6.9 crores to INR7.1 crores. And today, already, at a run rate basis, we are at INR6.8 crores. On top of it, we maintained that we'll be able to do high single-digit kind of SSG over the next few years. So I'm just not able to get the maths right. Please help me understand how to look at this.

Saurabh Kalra : So these are things which are not, Chirag, done exactly as per math, right? So tomorrow, there might be opportunity coming up on highways, while it might not do the average unit volume due to not having delivery will something else plan out, not plan out? What we've done in Vision 2027 is look at the business from multiple angles, looked at our history and said, what is the number which we should be comfortable with average unit volume? That's what we've given.

Actually, the top numbers you need to assimilate is that we are doubling our sales. We are doubling our number of restaurants with solid improvement in profitability. So that's a broad outlook. But because we wanted to give more flavour because a lot of people were pushing us. So we gave flavour around other things. So they might not always pan out the way you planned, you could always go more or less here and there, but I wouldn't look at it that way.

Chirag Lodaya: So essentially, key number to look is top line, you might be able to achieve a similar top line by opening lesser stores. I mean, that is the biggest takeaway, right? That is our...

Amit Jatia: Not necessarily, it's a broad range. You see 2027 is five years away. We continue to share some trends on where we are heading, and it's not math. So that's the key point takeaway.

Chirag Lodaya: Right. And secondly, on G&A line item. So in the opening remarks, you mentioned that G&A line item has increased on a Y-o-Y basis, but this is the new normal, and now we'll see that number, which is at 5.8%. Now we have seen improvement in average unit

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volume throughput, etcetera. I mean, do you envisage any operating leverage coming through this line item maybe this year, next year? Any sense there?

Saurabh Bhudolia: See, largely G&A should remain in this kind of range. We are not expecting any kind of major fluctuations. But yes, as the business will grow, some level of the economy of scale benefit definitely should flow down to the G&A.

Saurabh Kalra : So G&A, I would look more at a fixed value with marginal increment rather than looking at a percentage. What we have said is this is probably the guidance of how new normal could look like with marginal gains coming out of sales. But otherwise, you can look at it being a INR35 crores, INR40 crores line item for the quarter -on-quarter.

Chirag Lodha: Okay. Perfect. And just lastly, on dividend policy. This dividend policy of nearing 25% payout, is it on cash profit or reported profit?

Saurabh Bhudolia: See, definitely, it is on the dividend policy always works on the reported profit because as per the statute, we have to abide with the numbers what we are being presented in the financials. But the endeavour will always be there that how the dividend payout can be maximized on a higher level.

Chirag Lodha: Right. No. So the context we're asking is almost the payout for the year or this quarter, it's like INR55 -odd crores. If I just do 25% maximum payout, you would have wished to give, then it comes to INR220 -odd crores kind of number?

Saurabh Bhudolia: No, 25% is the minimum guideline. What we have given, subject to certain exceptions, which have been carved out well, in the dividend policy. Otherwise, if there is a free cash flow which permits

the company to take care about its strategical growth and if there is a left-out amount, definitely, it should be paid back to the shareholders as part of the dividend.

Moderator: Thank you. Ladies and gentlemen, that was the last question, and I would like to hand the conference back to the management for closing comments. Please go ahead, sir.

Amit Jadia: So just thank you, everybody, for participating on the call. We appreciate it and look forward to talking to you again next quarter.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of Westlife Foodworld Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines. Thank you.

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Disclaimer: Please note that this transcript has been edited to correct any inadvertent grammatical inaccuracies or language inconsistencies that may have occurred while speaking.

Call: Nov 2023

WESTLIFE FOODWORLD LTD.

[Formerly known as Westlife Development Ltd.]

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Date: 2nd November, 2023

To, To,

BSE Ltd. ('the BSE') The National Stock Exchange of India Limited ('the NSE')

Phiroze Jeejeebhoy Towers Exchange Plaza

Dalal Street Bandra Kurla Complex, Bandra (East)

Mumbai 400 001 Mumbai – 400051

Sub : Compliance with Regulation s 30 of the SEBI (LODR) Regulations, 2015 ,
submission of transcript of earnings conference call for the quarter ended 30th
September , 2023.

Re : Westlife Foodworld Ltd. (formerly known as Westlife Development Ltd.) ("the
Company ") : Scrip Code -505533 and WESTLIFE (NSE)

Dear Sirs,

In compliance with Regulation s 30 of the Securities and Exchange Board of India (Listings
Obligations and Disclosure Requirements) Regulations, 2015 , please find enclosed herewith
transcript of earnings conference call for the quarter ended 30th September , 2023.

In this regard, the transcript of the said earnings conference call has also been uploaded on
the Company's website and can be accessed at the weblink : [https://westlife.co.in/investors -
earnings -release.php](https://westlife.co.in/investors-earnings-release.php)

You are requested to take the same on record.

Thanking you,

Yours faithfully,

For Westlife Foodworld Limited

Dr Shatadru Sengupta
Company Secretary

Encl : as above

Page 1 of 15

Westlife Foodworld Limited
Q2 FY24 Earnings Conference Call

October 26, 2023

MANAGEMENT :

■ Mr. Amit Jatia – Chairperson

■ Ms. Smita Jatia – Vice Chairperson

■ Mr. Saurabh Kalra – Managing Director

■ Mr. Akshay Jatia – Executive Director

■ Mr. Saurabh Bhudolia – Chief Financial Officer

■ Mr. Chintan Jajal – Lead Investor Relations

Moderator: Ladies and gentlemen, good day, and welcome to the Westlife Foodworld Limited Q2 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

We would like to remind you that certain statements made by the management in today's call may be forward-looking statements. These forward-looking statements reflect management's best judgment and analysis as of today. The actual results may differ materially from the current expectations based on a number of factors affecting the business. Please refer to the safe harbour disclosure in the earnings presentation.

I now hand the conference over to Mr. Chintan Jajal. Thank you, and over to you, sir.

Chintan Jajal: Thanks, Rio. Welcome, everyone, and thank you for joining us on Westlife Foodworld Earnings Conference Call for the second quarter ended 30th September 2023. I am Chintan Jajal, Lead IR at Westlife. From the management team, I have with me Mr. Amit Jatia, Chairperson; Ms. Smita Jatia, Vice Chairperson; Mr. Saurabh Kalra, Managing Director; Mr. Akshay Jatia, Executive Director; and Mr. Saurabh Bhudolia, Chief Financial Officer.

We will kick off today's conversation with Smita sharing her thoughts on overall business progress and outlook. This will be followed by Akshay taking us through operational, financial and strategic highlights. Post that, we can open the forum for questions and answers. We will be referring to earnings presentation and financial releases available on BSE, NSE and Investor's page of our website.

With that, I now request Smita to commence the session. Thank you, and over to you, Smita.

Smita Jatia: Thank you, Chintan, and good evening, everyone. It is my pleasure to be here today to share with you some thoughts on Westlife Foodworld's journey and our plans. The world has changed a lot in the past two years, and Westlife Foodworld has emerged with it delivering bigger, better and bolder McDonald's to all our stakeholders. We started with a goal to become the most admired brand in India providing consistently delicious food, superior customer experience, a positive impact on the communities we serve and offering long-term value to all our shareholders.

Charting our Vision 2027 set us in this new direction and provided us with a constant framework to make sure a go-forward strategy reflects the new operating environment. Ready to address the opportunities of the future through the institutionalization of this vision, we are thereby committed to aggressive footprint expansion, modernizing restaurants, and unlocking new growth prospects.

We have been delivering differentiated results quarter on quarter by focusing on our core strengths and executing our strategy flawlessly. We charted our navigation through customer trends and were constantly innovating to keep up with the market. Our execution excellence strategy, which focused on menu, meals, and branding, generated growth and strengthened our brand. This helped us to post an encouraging 3% Same Store Sales Growth in the first half of this financial year. We also witnessed an increase in our gross margins of about 160 basis points in the last six months compared to the same period last year, highlighting the strength of our brand and our business strategy. In the first half of the year, we generated CASH PAT to the tune of Rs. 1.28 bn which signifies our healthy cash generation ability.

Our strategy of committing to Burger, Chicken, and Coffee as growth drivers has been working seamlessly. Therefore, our meal strategy will remain focused on protecting our market leadership through menu innovation and committing to our core categories.

We are constantly innovating our burger, chicken, and coffee menu to meet the evolving needs of our customers and give them newer experiences.

We are also consolidating our leadership position in both West and South markets. While we are already leaders in the West, we are inching closer to a leadership position in the South. We are doing this by expanding our reach and doing differentiated work creating menu relevance through platforms such as McSpicy Fried Chicken and McSpicy Chicken wings, which have been scoring well in the South. We are also running multilingual campaigns that appeal to the regional audience, our campaigns featuring NTR Jr. have improved our brand affinity in the South.

The foundation of our business model is the achievement of long-term goals, and we are currently guided by our Vision 2027. We are prepared to address future opportunities by institutionalizing this vision and are confident that we have the right components in place to deliver on our Vision 2027 strategy. Our most potent business

drivers – menu innovation, omnichannel customer engagement, network expansion, operational efficiency, and a strong team – make us well-poised to deliver growth and create long-term value for our shareholders.

I thank you for your continued support and will now request Akshay to share the operational highlights of the quarter gone by.

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Akshay Jatia: Good evening, everyone. I hope you had a good Navratri celebration and a happy Vijayadashami. I'm glad to be here today to share our Q2 results with you.

Overall, our performance has remained fairly resilient with Consolidated Sales and Same Store Sales growing by 7% and 1% YoY respectively. This was despite a solid base of last year, where we had clocked 40% SSSG, as well as the persistent softness in consumption trends across informal eating-out space. Furthermore, we have seen our market share as well as brand qualitative metrics improve across geographies, which gives us the confidence that our brand equity is on a structural up move.

During the quarter, our on-premise business grew hand in hand with off-premise at 7% YoY. This demonstrates the relevance of our Omni Channel business model and our ability to serve customers through different formats and channels. Our off-premise contribution remained stable at ~41%, as customers increasingly embrace our delivery and takeaway options while continuing to visit our stores. Our Average Sales Per Store on a Trailing Twelve Months (TTM) basis improved by 7% YoY to Rs 66.5 mn.

On the menu, McSpicy Fried Chicken continued the strong momentum in the South led by sharers and brand campaigns with Jr. NTR which we started around mid-June. We launched the Shravan Special menu with no onion and garlic which saw good traction in key markets during July and August. Premiumization and innovation in the desserts and beverages portfolio continued with Mixology beverages, Oreo Softies and KitKat desserts range. We will continue elevating our brand and innovating in our core equities of burgers, chicken, and coffee.

Digital remains an engine of growth and brand experience for us. Our Digital Sales grew by nearly 30% YoY contributing 67% to the topline in Q2, driven by Self-ordering kiosks and Mobile Apps. We also have over 28 million cumulative apps downloads and have seen a ~14% YoY growth in Monthly Active Users (MAU). We will continue this journey of digital innovation and providing a unified experience to customers.

Moving on to profitability, our gross margin of 70.1% in Q2 improved by about 93 basis points year-over-year, led by a better mix and cost-saving initiatives. The input cost basket remained broadly stable, not necessitating any material pricing actions. Our restaurant operating margins were lower by 58 basis points YoY, as the higher gross margin was offset by royalty and annual store payroll hikes. General and administrative

costs,

(G&A) costs, as a percentage of sales, were higher on a YoY basis, but broadly stable on a sequential basis and are likely to track current levels and subsequently descend with a better scale. The operating EBITDA margin at 16.2% was lower with relatively lower operating leverage in the quarter. Cash profit after tax stood at Rs 614 million or 10% of sales. We are focused on improving our operational efficiency through better control

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over costs and augmenting scale. These initiatives will help us to achieve our targets of 18-20% EBITDA margin and superior return ratios.

On the network, we opened 9 new restaurants in Q2, bringing the total number of restaurants to 370 in 59 cities as of September 30 with 88% of these restaurants having McCafes, 74% being EOTF stores, and 19% being drive-thrus. Despite the near-term hiccups in the business environment, we will continue our network expansion plans by adding 40-45 new stores in FY24 with the majority of them in the south.

In closing, I would like to emphasize the fact that we have a long-term, structural opportunity in front of us considering the promising macro dynamics. We are unfazed by the near-term challenges, which are largely transient, and look forward to improving consumer sentiment during the festive season. Our strong brand, loyal customer base, talented team and unwavering focus on execution gives us a competitive advantage to deliver differentiated performance and achieve our vision. Thank you for your time, I now hand over the call to the moderator, and we are happy to answer any questions you may have.

Moderator: Thank you very much. The first question is from the line of Devanshu Bansal from Emkay Global. Please go ahead.

Devanshu Bansal: Sir, SSSG is sort of relatively lower at about 1% versus our medium-term outlook. So I wanted to check, has demand environment worsened versus our expectation? Or is it because of a shift of festive season and things should pick up in Q3?

Akshay Jatia: So thanks for that, Devanshu. I think that all around you are seeing pressure on macro spending, IEO, which is the informal eat out category as well as Western fast food are under pressure in terms of growth. However, what we have seen is our market share has improved. But because eating out frequency remains low, and we had Shravan and Shraad, you have seen pressure on Western fast food, which is the category we operate in.

But we are enthused that we've captured share. We are optimistic about the festive sentiment and Q3. And we have a lot of strategic measures in place to ensure that our customers come back to the restaurants, our Vision 2027 remains on track and we are quite optimistic about Q3.

Devanshu Bansal: Akshay, you also mentioned in your commentary that majority of the stores that are expected to be added are going to be in the Southern region. So from my understanding, the Western part of the region has always been more profitable region for us. So I wanted to check how is the profitability of the Southern regions sort of

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timing out for us, which is giving us the confidence for most of the additions happening in that space?

Akshay Jatia: I'll take that question. So Devanshu, what we have seen is that our average unit volume in the South substantially increased in the last few years, and we kind of gave out some numbers in our strategic presentation or Strategy Day that we did in December where it's almost 80% of that in the West. And as a result, in fact, profitability in the South is good because unit economics are structured even better in smaller towns in the South, in cities where you've seen growth come now versus, say, like Mumbai, where rentals have always been high, utility costs have always been high, even though average unit volume is substantially higher.

So in fact, we look at this as a better opportunity for profitability because wh

ile we

continue to dominate in the West and extend our lead, we are increasing our presence in the South where average unit volume is increasing, where the brand relevance has become very strong. And as a result, we expect profitability to only improve in the long term.

Yes, in the short term because we're adding such a large number of stores to our base, you will see some pressure in terms of drag because you have a lot of fixed costs coming on to the P&L. But average unit volume is growing. So as a result, you don't see much of an impact on profitability.

Devanshu Bansal: Got it. Last question from my end. The capex for H1 has been about INR100 -odd crores, and we have opened about 13 stores. So what is it to check if there is a change in the format in which our new stores have been opened? So any light, any color that you would like to provide on this?

Saurabh Bhudolia: This is Saurabh here. So see, there is no direct relation between the capex how much we will spend versus how many stores we have opened. There are a number of stores which are in pipeline or under groundbreak stage. So overall, if you see on an annualized basis, we have already given the guidance that around INR200 crores to INR250 crores of the capex we are planning to incur versus 40 to 45 stores we are going to open, which will have a mix of drive -thru versus stand -alone versus mall store. And that also includes 30, 35 stores which will go for the reimaging. So put together, that is the range of the capex we are planning to incur.

Moderator: The next question is from the line of Aditya Soman: from CLSA.

Aditya Soman: A couple of questions. Firstly, on consumer demand. I mean you indicated that consumer demand was weaker in the previous quarter. So have you seen any

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improvement in this in the first few weeks of 3Q given that we've had sort of the World Cup and the festive season coming on? So any sort of change in consumer sentiment?

Saurabh Kalra : So Aditya, we don't give any forward -looking statements for sure. But let me give you another perspective. I think last year, same quarter, we had grown same -store case growth by 40%. Our overall growth was around 50%. Now to me, in an environment where there is headwind, to be able to retain that base is a very good foundation for us to going towards Vision 2027. So what we're not changing is our big anchor of Vision 2027 on which we want to rally.

There are things, there is no linear graph of growth. Unfortunately or fortunately, in India, we have seen this. There are some quarters which are tight. There are some quarters which are brilliant. In some years, you throw the ball out of the park. There are some years, you have to defend, and that's part of the business.

So we don't unnecessarily see this quarter anything else happening, next quarter

anything else happening. Whatever headwinds are there, immediately, will they go away. That is not how we have seen business happen. So in short, while we don't give any forward-looking statement, we don't see the headwinds changing dramatically immediately in the next quarter.

Aditya Soman: Understood. No, that's very clear. And secondly, in terms of how -- sort of ticket has trended over the last few quarters? And just a broad guideline on sort of ticket versus volume maybe over the next -- or over the medium term as well at the time.

Saurabh Kalra : See, we have always believed and we've always said that our growth is always a number of customer led. We maintain that. Obviously, the growth relatively speaking was muted versus our growth you would have seen in the last 6, 7 quarters. But like I said, last year, the base of growth was almost 50%. We've been able to not only retain it but grow it by 7%. So if I look at it, a lot of it was majorly driven by the customers and not necessarily the average rupee value increase on the ticket price.

Aditya Soman: Unders

stood. So this would basically mean either an increase in footfall or just an increase in frequency of ordering by the same customers, right?

Saurabh Kalra : Correct. That would be an appropriate interpretation.

Aditya Soman: Understood. And any sense of -- as you move towards Vision 2027, how you want this to be? Or would this mix be the right way to look at it as far as possible you drive customer growth rather than ticket?

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Saurabh Kalra : Yes. For us, long-term generator of business is always customers coming more often to the restaurants, more new customers coming into the fold. I think that's not going to change as long as the methodology of McDonald's stays alive with us. So we believe in Vision 2027 also. The guidance s, which we had given in terms of high single-digit, same-store sales growth, new stores opening, all of them are relatively to be able to get more and more consumers more often to the restaurants.

Moderator: The next question is from the line of Gaurav Jogani: from Axis Capital.

Gaurav Jogani: Congratulations to the management on a resilient performance in challenging times.

So my question is with regards to the margins bit. Despite only 1% SSG, we have managed to grow the gross margins, and the impact relatively was lesser on the EBITDA front. So how should we look the margins going ahead in Q3 specifically when we generally see uptick on a Q-o-Q basis? And also I would like to have your thoughts on - what are your thoughts on this upcoming World Cup, is this giving you any benefits or the festive season, are you seeing any early green shoots there?

Saurabh Bhudolia: See, there are multiple factors, which has given us like leeway to have our gross margin stable and to take it forward from here. See, as compared to the last year same quarter versus this quarter, definitely promix has played a vital role to have our gross margin in the upward trend -- in the upward moment. Along with that, I believe the right amount of the negotiation and the way we have beat the inflation. So there are multiple cost projects we are running and which has given us a clear freedom to make our gross margin stable and to have our upward movement in the right direction.

And with that in the quarter 3, also, we are expecting that now the time has come when we should settle down our gross margin at this level. So sequentially, if you see, as compared to the last quarter versus this quarter, the gross margin in the similar trend. So I believe this is the right amount of the gross margin, definitely plus/minus few notches, point here and there. Otherwise, largely, we are very confident that this should be the range of the gross margin for this year -end.

Gaurav Jogani: Sir, what is the first factor that you highlighted for the gross margin expansion? I mean before the right amount of negotiations, you said something, I did miss that.

Saurabh Bhudolia: So that is the part of the promix . So we have a clear focus that how we should uplift our premium product as compared to the value. So uplifting of the premium product definitely allows us to have the larger amount of the gross margin as compared to our value menu architecture.

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Gaurav Jogani: Okay. Okay. Got it. Got it. And sir, about the upcoming festive season and the World Cup, is there any green shoots -- early green shoots that you're seeing in the last 10, 12, 15 days? Is anything that you can highlight us?

Saurabh Bhudolia: So I believe it's too early to comment. By seeing the last quarter trend, as just now we have clarified that immediately, we are not seeing any kind of immediate reversion. But yes, as we are living in a country where definitely festival adds a lot of sentiment to the consumer. With that, I believe, definitely, the perception should change, and it would allow us to have the right moment in coming few weeks.

Moderator: The next question is from t

he line of Varun Singh from ICICI Securities.

Varun Singh: So my first question is when I look at your On -Premise revenue growth. So compared to last quarter, the drop is much more pronounced compared to the Off -Premise revenue growth. So I mean, for example, in current quarter, both the number stands at around 7%. But a drop from 17%, 18% to 7% is significantly more compared to a drop from 9% growth to a 7 -odd percentage growth.

So just wanted to check if you want to share some insights on why so much significant decline in the overall growth rate, especially in the On -Premise business, given that we have already in advanced stage of EOTF stores and all other strategic initiatives that we are implementing on the ground, including premiumization menu level, etcetera?

Akshay Jatia: Yes. So Varun, I think that it's not really comparable sequentially. In the last couple of years, everyone has been talking sequentially because everyone has been kind of emerging out of COVID and seasonality hadn't really come into play. This is the first year where you're seeing a normal year on a base of last year that was a normal year. So seasonality, you are seeing it come back into play, whether it's the summer season, the monsoon season or now the festive season.

So how we look at it year -on-year, and that's how we've always looked on it -- looked at it, sorry. That's why SSSG is the most critical metric that we keep talking about. And if you look at our last year comp growth, it was 40%. And this year, we've still grown 7% of total sales through both Off -Premise and On -Premise. So I think that that's why we compare it. And even on that high base, our SSSG was still positive where industry is not kind of trending similarly.

So that's how we would answer this question. And like we said, we're very optimistic about our Vision 2027. For us, it's about the long term and bringing customers in at a high frequency to deliver those goals that we've laid out.

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Varun Singh: Right. That's a fair point. Understood. But I actually meant that, for example, our overall revenue growth in Q1 was 14%. And this quarter -- I mean, on the year -on-year number, and this quarter, it has dropped to 7%. So there is a steep decline in the Y -o-Y numbers. And when the SSG numbers, if we look at the last -- I mean Q1 and compare it with Q2 and also when we compare it with competition with regards to how their like -for-like number has panned out over the last 2 quarters, sequentially year -on-year. So in our case, the drop looks much more steep and that's where I was coming from.

Akshay Jatia: So again, Varun, it's the same answer, right? It's not comparable sequentially. Last year, again, April May, June was the first quarter where we had exited COVID. And this year, we delivered good numbers. And in fact, that should be looked at positively where you've seen both comps and sales growth be healthy. You again saw a very healthy quarter last year in July, August, September. And on top of that, we still delivered positive growth. And I don't think you can compare across peers in terms of what steep or what's not, right?

The reality is that we are positive and all the numbers are kind of not comparable across peers. And peers in terms of industry trends and even category trends, everything is negative. So again, on a year -on-year basis, we are quite happy that despite a weak macroeconomic situation, we've delivered these numbers, and we're optimistic about Q3.

And if you check the long term four to five CAGR, I think that our performance is definitely differentiated, which is what we keep talking about. And even this quarter, from what we believe our performance is differentiated.

Varun Singh: Understood. And my second question is the INR179 popular price point, so do you want to -- I mean, has there been an increase in competitive intensity at this price point? Do you want

to call out anything on that front?

Saurabh Kalra : No, we don't want to call out anything from a competition standpoint. We've always made it clear. I think because what happens is when a lot of things are getting compared as a percentage . We don't believe in that because if you look at after last year our SSG was double than most competition. So 1% out there might be 2% for somebody else. So we don't look at it necessarily percentage , competition. We follow our consumers. At that point in time when we launched INR179, that was a good value price point.

We keep on evaluating it month -on-month, quarter -on-quarter of where the trends are. Is consumption tight? Absolutely, it's tight. And that's something which -- it's not that we are not acknowledging. We're acknowledging, but we are not going to do knee j erk

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reaction and get into something. So we're going to think through. We're going to tweak and marginally modulate our strategy. But our long -term strategies remain constant,

and that's what's given us the differentiated results, and we believe that's going to continue giving us the differentiated results.

Moderator: The next question is from the line of Shirish Pardeshi from Centrum Broking.

Shirish Pardeshi: I have a few questions. If I look back last 2 to 3 quarters, the whole snacking piece has been very, very bearish. Bearish in the sense, the consumption had its own challenges and that's repetitively he has been said. And most of the players in the segment has started using the value layer, and this is visible from our strategy also.

I just wanted to understand, is this consumer trend which is down trading or downsizing is now stable? Or you think it still is not visible?

Saurabh Kalra : So Shirish, first, from a category standpoint, I think QSRs across the world is built on value for money, also affordable price points, right? So I don't think any QSR can say, I'm not going to play in affordability and affordable price point. So that's part and part of our lines. I think we've got a brilliant cycle of premiumization. We were just on trend, and we were able to get a great cycle of a couple of years of premiumization. That we're keeping the consumers intact.

Now we're saying how do we grow the market further with a little bit of headwinds coming our way. And value, obviously, will play a role. Affordability will play a role. That's something which we keep on evaluating, and we do a lot of consumer research to be able to find what is the right entry-level price point for what category is. And we are very selective in choosing what do we want to go after because eventually, all growth has to be profitable growth.

Shirish Pardeshi: That's helpful, Saurabh. The reason why I was asking this question that there is a dichotomy that we, on one side, expanding the premiumization story, and we are trying to up-trade on the other side, the consumer is also moving towards the value for money. So what is the optimal mix for any industry player to look at the premium versus the value? Is the value is, say, 2/3 and premium is 1/3? Or value is maybe 80%, 90%? So -- but how we should look at it?

Management: Shirish, I'll give you an example. I hope it will resonate with you. Typically, if you go alone from office for a lunch spending out of your own pocket, you're as miser as a college student. But when you go with your family, you're ready to spend much more. So there is a play of value. There is a play of depending on the occasion of spending. Now because we do a lot of work around the construct of this, the lunch occasion, even for

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office growers, might still remain a value affordable led occasion. It could be you might want a coffee instead of a Coke and so on and so forth.

So we do a lot of work around this to be able to say what are the consumer trends and demand because eventually if consumption is tight, your fa

mily visit is not getting

compromised. What's getting compromised at the other visits, in which one would like to save as much as they can. So that's how things goes, and that's how we look at it. So our planning is saying, okay, are we ready for this consumption environment on a few occasions? Not necessarily everything because that's not how things are.

Shirish Pardeshi: Okay. That's helpful. My second question is on Slide 11, you have mentioned that you had 71 drive-thrus, which is about 19% of our store count and you have added two. I am more curious where this number will settle over the next 2, 3 years? Because I was expecting drive-thru will have the highest throughput and you will focus more on drive-thrus.

Akshay Jatia: Yes. So great question and drive-thru is one of our key levers in terms of network expansion because of the we can drive better throughput. It's a destination store. It gives us competitive advantage because McDonald's is known for drive-thru and it's an occasion that's building in our country, as you are seeing. Even infrastructure play out very beautifully.

So I think that drive-thru is very important for us as a business model. As you've seen globally also, McDonald has been a leader in this business model. And secondly, I think in terms of numbers, we're looking to add a significant amount of drive-thrus moving forward because by the time we reach 2027 where we look to add approximately around 600 stores, we expect around 25% to 30% of our stores being drive-thrus.

So we have more information laid out in our Vision 2027 document. But we've given examples as to how drive-thru drive better throughput for us as well and how it increases our brand penetration, our brand relevance. And the airport store actually that we recently opened at the T2 departure level is a very good example. In our deck, you can see the picture of how a gold standard drive-thru looks like. And we've seen better results there than expected. We've also have gotten a lot of compliments in terms of how the store has come out and the way it just shines in our concrete city.

Shirish Pardeshi: Indeed, Akshay, it was very helpful. And in fact, I was wanted to complement. I'm just

more curious the one you have opened in T2 in Mumbai, how many such formats are existent in -- across West and South? Or going forward, that will be the planogram which you will be following?

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Akshay Jatia: So like you said, we have 71 drive -thrus. They have different kind of layouts because of how dense some cities are, how available real estate is in other cities or smaller towns. So for example, there are many examples where we have similar types of design in smaller towns like on highways. In Ahmednagar recently, we opened a gold standard drive thru. In Sangli also, district of Maharashtra, we've opened a similar type of design because we have the availability of real estate as well as the appetite for the brand, and it's doing very well.

And this is the type of layout that you'll see more commonly in the future as the brand has also evolve and become more familiar. And even globally, this is the kind of work that McDonald's is doing.

Shirish Pardeshi: That's wonderful. Just last question on the drive thru. I just wanted to be more curious. In a stand -alone store versus drive -thru, what kind of differentials we will have average daily sales? Will it be higher significantly or will it be lower significantly?

Akshay Jatia: So again, we've given out this data in our Vision 2027 deck. Why I was referring to that because that is what's publicly available. There is an example of a drive -thru in a small town called Bharuch where you see that average sales are almost 1.5x of system. And you won't see this across every single drive -thru, but that's the range that we've given. And yes, like I said earlier, drive -thrus have the capability of driving better throughp

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just because of the occasion, it's a destination store. The drive -thru model is a competitive advantage, which is why McDonald's has been the leader in driving both drive -thru as well as volumes.

Moderator: The next question is from the line of Dhiraj Mistry from Antique.

Dhiraj Mistry: Sir, can you divide current quarter growth between average ticket size and the number of transactions?

Saurabh Kalra : We've already said that we do not divide. Normally, most of this growth is led by the consumers in terms of either frequency increase on new customers. That's what we have given as a guidance pretty much in the earlier question. So we don't give exact division of what is the difference. But in McDonald's, as I said, we only believe in growth coming out of a number of people visiting the restaurants. And if you look at the last five, six quarters and you look at the commentary we've given, pretty much all of that is led by the footfalls.

Dhiraj Mistry: Okay, okay. Just that question was related that we have seen in some of the other categories like pizza segment where consumers are down trading. I wanted to get sense whether we are witnessing same trend now because of inflation or general slowdown?

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Saurabh Kalra : So obviously, like I said, we don't give this data. But if I look at it, there are 2 contradictory things which is happening in India as far as common knowledge is concerned. One is premium segment. The super premium segment is also growing very dramatically, and the entry level is having issues. So very counterintuitively what you just said. To be in food, the role of QSR lies in affordability. And yet there is an opportunity to premiumize on occasions.

I think whatever we have done is worked well for us. We've seen one full cycle of premiumization. I'm pretty happy with the results we got. I think we will need to now deliberately focus towards recruiting more customers on the back of affordability.

Dhiraj Mistry: Okay. Okay. Sir, second question is where are we placed in terms of introducing chicken menu -- fried chicken menu in the West regions?

Saurabh Kalra : Like I said earlier also, we would like to follow the consumer, right? So depending on the demands coming out of West and us being able to what is the incrementality, when the business case will make sense to us, when the consumers will be ready for it, you won't have to ask this question. But right now, the short question is it will remain in South for the near term for sure.

Dhiraj Mistry: Okay. And last question from my side. Is there any price hike taken during the quarter?

Saurabh Kalra : No.

Moderator: The next question is from the line of Gaurav Jogani: from Axis Capital.

Gaurav Jogani: Yes. So sir, my question again is with regards to the performance. Given that the demand was so challenging and you had multiple initiatives there as well in terms of the Shravan menu that you have launched. And if I remember it right, you earlier also launched the Jain menu, etcetera. So how did you know these initiatives not been there,

what kind of an impact would you have seen? Just trying to gauge the intensity of the demand slowdown through this?

Management: Gaurav, unfortunately for us, too difficult if you start going into micro initiatives. To me, a lot of it is brand initiatives that there is a place in McDonald's for everybody. But businesses cannot be evaluated with micro segments being targeted and seeing growth in that. I think Shravan -- whether it was Shravan, it's not that we have done it this year. We'll do it almost every year. Maybe it was highlighted to you this year. But whether it's Eid, whether it's Shravan, whether it's Gudi Padwa, there is always something on the other happening in the calendar so that we are a part of the

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community we are operating in. But overall, if I was to give you a brief gist, it's not because of us doing

g Jain menu or this that there is x growth, which has come.

Moderator: Well, as there are no further questions, I'd like to now hand the conference over to the management team for closing comments.

Amit Jatia: This is Amit Jatia. I want to thank everybody for taking the time to come on the call. We really appreciate it. Also, I would like to take this opportunity to wish everybody a very happy Diwali and festive season ahead. Thank you.

Moderator: Thank you very much. On behalf of Westlife Foodworld Limited, that concludes the conference. Thank you for joining us, and you may now disconnect your lines.

Disclaimer: Please note that this transcript has been edited to correct any inadvertent grammatical inaccuracies or language inconsistencies that may have occurred while speaking.

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Call: May 2024

WESTLIFE FOODWORLD LTD.

[Formerly known as Westlife Development Ltd.]

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Date: 15th May, 2024

To, To,

BSE Ltd. ('the BSE') The National Stock Exchange of India Limited ('the NSE')

Phiroze Jeejeebhoy Towers Exchange Plaza

Dalal Street Bandra Kurla Complex, Bandra (East)

Mumbai 400 001 Mumbai – 400051

Sub : Compliance with Regulation s 30 of the SEBI (LODR) Regulations, 2015 ,
submission of transcript of earnings conference call for the quarter ended 31st
March, 2024.

Re : Westlife Foodworld Ltd. (formerly known as Westlife Development Ltd.) ("the
Company ") : Scrip Code -505533 and WESTLIFE (NSE)

Dear Sirs,

In compliance with Regulation s 30 of the Securities and Exchange Board of India (Lis ting
Obligations and Disclosure Requirements) Regulations, 2015 , please find enclosed herewith
transcript of earnings conference call for the quarter ended 31st March, 2024.

In this regard, the transcript of the said earnings conference call has also been uploaded on
the Company's website and can be accessed at the weblink : [https://westlife.co.in/investors -
earnings -release.php](https://westlife.co.in/investors-earnings-release.php)

You are requested to take the same on record.

Thanking you,

Yours faithfully,

For Westlife Foodworld Limited

Dr Shatadru Sengupta
Company Secretary

Encl : as above

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Westlife Foodworld Limited
Q4FY24 Earnings Conference Call

May 08 , 202 4

MANAGEMENT :

■ Mr. Amit Jatia – Chairperson

■ Ms. Smita Jatia – Vice Chairperson

■ Mr. Saurabh Kalra – Managing Director

■ Mr. Akshay Jatia – Executive Director

■ Mr. Hrushit Shah – Chief Financial Officer

■ Mr. Chintan Jajal – Lead Investor Relations

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Moderator: Ladies and gentlemen, good day, and welcome to the Westlife Foodworld Limited Q4

FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

We would like to remind you that certain statements made by the management in today's call may be forward-looking statements. These forward-looking statements reflect management's best judgment and analysis as of today. The actual results may differ materially from current expectations based on a number of factors affecting the business. Please refer to the safe harbour disclosure in the earnings presentation.

I now hand the conference over to Mr. Chintan Jajal. Thank you, and over to you, sir.

Chintan Jajal: Thanks, Sagar. Welcome, everyone, and thank you for joining us on Westlife Foodworld Earnings Conference Call for the fourth quarter and full year ended 31st March 2024. I am Chintan Jajal, Lead IR at Westlife. From the management team, I have with me Mr. Amit Jatia, Chairperson; Ms. Smita Jatia, Vice Chairperson; Mr. Saurabh Kalra, Managing Director; Mr. Akshay Jatia, Executive Director and Mr. Hrushit Shah, Chief Financial Officer.

We will kick off today's conversation with Akshay sharing his thoughts on overall business progress and outlook. This will be followed by Saurabh taking us through operational, financial and strategic highlights. Post that, we can open the forum for questions and answers. We will be referring to the earnings presentation and financial releases available on the BSE, NSE and Investors page of our website.

With that, I now request Akshay to commence this session. Thank you, and over to you, Akshay.

Akshay Jatia: Thank you. Good evening, everyone. I extend a warm welcome to all of you and thank you for joining us today as we review the annual performance of Westlife Foodworld for the fiscal year 2024. Despite a backdrop of significant macroeconomic challenges, including inflation and subdued consumer spending, our company has shown remarkable resilience and adaptability. The past fiscal year was challenging. But it also highlighted the strength and strategic acumen of our team.

While the last quarter was softer due to external pressures, we continued to push forward. We remain steadfast in our mission and successfully opened 41 new stores.

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This expansion not only underscores our commitment to growth, but also enhances our market presence, ensuring that we are well positioned for the future.

Our effective consumer engagement strategies and our ability to align with changing consumer preferences are reflected in the increase of guest counts. The surge in our off-premises business segments particularly delivery and Drive-Thru services stood out propelled by our relentless focus on digital innovation and operational excellence. These efforts have ensured that we not only meet but exceed our customers' expectations regarding service and convenience.

As we adapt to the changing landscape, we are not merely reacting to challenges but proactively shaping our future. Our long-term vision 2027 remains firmly intact. We are refining our operational efficiency and continuously focusing on improving our financial performance to address operating leverage.

Turning to our leadership team. I would like to take a moment to acknowledge the contribution of our CFO, Mr. Saurabh Bhudolia who is moving on to pursue new opportunities. We thank him for his contributions, and we wish him the very best in his future endeavours. Stepping into this role, we welcome Mr. Hrushit Shah who brings extensive experience from his previous roles.

I'm certain that his expertise in strategic planning

and financial analysis will be

invaluable as we continue to grow and innovate. Looking ahead to FY '25, we plan to further accelerate our expansion with even more store openings than this year. This commitment reflects our confidence in the strength of our industry and the opportunities that lie ahead.

In conclusion, as we move forward, Westlife Foodworld's focus will remain on delivering long-term value through continuous innovation, strategic growth and steadfast commitment to excellence. Thank you once again for your trust and commitment to our journey. I will now pass it on to Saurabh to share the operational and financial specifics of the past quarter.

Saurabh Kalra: Thank you, Akshay. Ladies and gentlemen, good evening. Thank you for joining us to discuss our Q4 and full year results. Allow me to begin by reflecting on the business environment. After several consecutive quarters of decline, on out-of-home consumption trends in Q4 remains relatively stable on a sequential basis. However, on a year-to-year basis, eating out frequency continues to be lower.

Having said that, I believe that easing pressures on consumer wallet due to improving macros and moderating retail inflation will positively impact discretionary consumption, and we anticipate progressive improvement in coming quarters.

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Furthermore, I'm pleased to highlight that our comparable guest count growth for the full year FY '24 was positive, indicating an increase in market share across all our geographies.

Now turning to our performance in quarter 4. Our top line grew by 1% Y-o-Y. Same-store sales at negative 5% progress sequentially despite multiple external challenges in our key markets. Strategic communication and tactical menu interventions are helping us tackle external issues. I take immense pride in the way our entire organization proactively addressed and dispelled misinformation limiting any further impact to the business or the brand.

Personally, I would also like to thank you all for standing by us in the wake of multiple external challenges, which were beyond our control. Basis the faith you have reposed on us, we are taking active steps to augment our trust building efforts, both in the communities and on the ingredient side.

While our value platform continues to drive incremental footfall and setting us up for the vision 2027 objectives. During the quarter, we also collaborated with Lotus Biscoff for a limited time desserts and frappe offering which has been very well received by our customers.

Over the last 2 years, we have harnessed the power of digital technology to enhance customer engagement and frequency. Our aggressive investment in user interface and back-end improvement across platforms like McDelivery app, self-ordering kiosk or the MyMcDonald's Rewards app have started to deliver great results and exceptional customer experiences.

As a result, digital sales contribution grew by a massive 15 percentage points to 70% in the last 2 years. Surpassing our Vision 2027 target of 65% to 70%. As we are able to identify a majority of our customers, we are in the bargain building a solid platform to deliver personalized and consistent experiences to our customers.

Moving on to business channels. Our off-premises business grew by 8% Y-o-Y, contributing 43% to overall sales, on-premise business declined by 2%. Our average sales per store on a trailing 12-month basis was at INR 63 million. For the full year ended March 2024, sales grew by 5% Y-o-Y. Same-store sales decline was limited to negative 1.5% on a base of 36% of growth last year despite external challenges. Off Premise contribution was broadly stable at 41% compared to FY '23.

Profitability during the quarter was muted largely on account of unfavourable operating leverage arising from the sales deleverage and the nascency of new stores. Gross margin in Q4 was broadly stable

on a sequential basis. Restaurant operating margins

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and operating EBITDA margins were lower by 510 bps Y-o-Y and 280 bps Y-o-Y, respectively. Other operating expenses were higher on account of increased marketing spend and utilities.

Depreciation was higher due to the new stores, but it's likely to normalize at a 7.5% to 8% of sales in the coming quarters. Over the past year, we have really pushed the pedal across cost optimization project, unlocking over INR 40 crores worth of incremental cost savings across various P&L line items like food, distribution, utilities, crew, et c. For example, gross margin for the year improved by around 40 bps despite us doing the value platform play. Similarly, cost lines like maintenance, operating supplies, et cetera, have seen Y-o-Y decline. All this work resulted in improved like-for-like contribution margin and lower sales breakeven points, which will support our accelerated pace of network expansion.

On the network expansion bit, we added 17 new restaurants in quarter 4. We closed the year with a record-breaking store addition of 41 restaurants taking the total to 397 restaurants across 64 cities as of March 2024, 91% of these restaurants are McCafés, 84% of these restaurants are modern and experience of the future enabled stores and 20% are Drive-Thrus.

Despite the challenging operating environment, our network expansion plan remains unchanged. We will add 45 to 50 restaurants in FY '25 as we remain highly optimistic about the long-term structural opportunity.

To conclude, I think it's quite evident that it has been a challenging year for the entire industry as well as larger discretionary consumption space. We also had multiple external challenges to prioritize and address in the last 6 months. Despite that, we have

strengthened our market positioning by investing in growth and putting the customer at the center of decisions we make.

We set up strong governance forums to manage risk and maximize profits. We fortified our teams with the best people, talent and processes. We created and deployed new technologies, which created efficiencies and enhanced digital experience.

We augmented our value platform leading to much higher affordability scores. We innovated our core menu to make it relevant for ever-evolving consumer use cases.

And finally, we emphasize on brand trust through a remarkable campaign like Real Food, Real Good, Eat Equal and Truly Indian.

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With all of this groundwork our foundation has only become stronger. We are confident that as macro consumption picks up, we will deliver differentiated performance. We remain committed to 2027 targets and thank you very much for your time.

I now hand over the call to the moderator and open the forum for all your questions.

Moderator: Our first question is from the line of Devanshu Bansal from Emkay Global. Please go ahead.

Devanshu Bansal: Congratulations on opening 40 stores in FY '24. Sir, what is the SSG in the cohort of stores, excluding the 30% network that has been impacted due to the negative Israel sentiment. Last time, last quarter, this number was minus 3%. It would be helpful if you can call out this number for Q4.

Saurabh Kalra: So I would give you a ballpark number that we were trending a little positively on the stores which were impacted by community. However, we had additional impact of another challenge which we faced around cheese, in which we were slightly more impacted in the Western region.

So I can't really give you the breakup at this point in time. What I can tell you is the impact hasn't gone away completely. We have had marginal improvement on stores which were impacted by issues beyond our control.

Devanshu Bansal: So, Saurabh, I was checking on stores, which were not impacted. So last time around, it was minus 3% decline in those stores. Any qualitative comment on the cohort of

stores

that were not impacted will be helpful? Is it more than minus 3% or less than minus 3% even that will be helpful.

Saurabh Kalra: There are a couple of markets which have not been impacted by anything. And out there we see flat comps to marginal positive comps. But that's limited to a couple of markets because there were two challenges back to back on us, and that's why it's extensively difficult for us to remove like last time we had given you a guidance that we might be impacted close to 400 to 500 basis points negative on the comp side of it in which what you are telling is negative 3% was the number, the negative 4%, 5% has come down marginally, but that impact still remains.

Devanshu Bansal: And Saurabh, second question, I wanted to check on Drive-Thru stores. The proportion for this cohort of stores has been increasing in our new store addition mix. I wanted to check if you could help us explain the differential between payback for our Drive-Thru stores versus a normal store, or maybe the difference in value generated by Drive-Thru store over its lifetime compared to other store formats. So any qualitative thing here will be helpful.

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Saurabh Kalra: Let me answer you this question in 2 different ways. One is if you look at our stores, which are really very well matured, all of you know the example of Kalamkoli, which has been a Drive-Thru from the longest time we have had -- that was our first Drive-Thru. So you see there is always a Drive-Thru queue.

For us, it was also about an opportunity, which is right there in the market, which has not been capitalized on, and McDonalds globally does a fantastic job on Drive-Thrus. So right now, what we are focusing on is to be able to build Drive-Thrus. What we have seen is Drive-Thrus after 4 years to 5 years, really, really unlock a tremendous amount of returns in comparison to any other cohort of store. So we are committed to Drive-Thrus and we believe that when the use case emerges and we are able to go to 300, 400 cars a day, it would be a real, real differentiator in the marketplace as you see years to come. There is no immediate guidance as far as Drive-Thrus for today is concerned.

We believe that first of all, our task to be done like in any business, is to be able to democratize more and more Drive-Thrus. What you will see in the next couple of years is the number of stores we added Drive-Thru will increase substantially as a percentage and then we will start talking about Drive-Thru numbers et c. But now it's about a strategy which we are fully committed to that 30% to 35% store over a period of next 5 years to 6 years will be Drive-Thru restaurants.

Devanshu Bansal: And last question from my end. Among channels, dine-in channel decline was higher at about 8% versus 3% last quarter. Anything to read here in terms of lower footfall in the market versus the previous quarter? Anything you can help us understand?

Saurabh Kalra: No, I would not read too much into anything right now because, like I said, there were markets which were earlier -- there was a cohort of restaurants. We have talked about it, around 70 to 80 restaurants which were impacted beyond our control in the last quarter, that has continued. Beyond that, there was a little bit of impact in the Western region due to the challenges we faced because of cheese, et cetera. So I wouldn't read too much into it.

I feel these are transient things which keep happening. Trust is always a long-term game as far as we, as a brand are concerned. And we are committed to spending more on our brand trust, resourcing it more, spending more time, energy on building the brand trust back.

Moderator: The next question is from the line of Avi Mehta from Macquarie. Please go ahead.

Avi Mehta: Just wanted to clarify one point. You said that the impact from the external issues is something that is still continuing.

Would you be -- and you also had the cheese kind of

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concern. Could you help us understand, a, where we are as of now? And by when do you see these headwinds kind of normalizing or going out of scene?

Akshay Jatia: So Avi, like Saurabh just said, we see marginal improvement. Building trust back is a long-term game. Obviously, the impact we had was beyond our control, and it escalated quite fast. What we have done, like he said, even in his commentary is that we've done a very good job in spreading the right information within the communities representing our brand in the way it truly stands, which is a truly Indian company and its truly Indian brand.

And as a result, we are seeing headway over there. We've seen a marginal improvement, but because obviously, the issue was larger than expected. We do anticipate a quarter or 2 more in terms of getting back to the growth trajectory that we've been talking about.

Saurabh Kalra: Avi, I would look at it as we've got to be able to see, one, obviously, we know it's a transient impact. Second is whatever inputs which we are ready and committing. So if you look at it the first campaign, which we did was yes hain India ka McDonald's and Truly Indian to dispel some of the myths which were going around for us as Westlife. And then when the cheese challenge came through we have come out very, very strongly with Real Food, Real Good.

In fact, we have collaborated now with Sanjeev Kapoor and you guys would have already seen videos that we are doing in terms of yes hain mera McDonald in which we're talking about Real Good, Real Food, real ingredients, et c. So that all these issues and sometimes, these issues are also opportunities for us to strengthen our brand image, et cetera.

And we are fully committed. We are spending more on brand building right now than we ever have in order to make sure we come out of it stronger. And that's why the confidence around being able to bounce back for vision 2027. Now what will happen this quarter, next quarter, honestly, we are putting all our efforts. The inputs are all in there. What it will be? It's all conjecture at this point in time.

We would like it to go away ASAP, but we do see at least the next quarter or 2 will be softer in regards to these 2 issues as far as these 2 issues are concerned.

Avi Mehta: Got it. Very clear on this. The second question I had was on margins. Now it was heartening to see, you have reiterated the focus on getting to that 18% to 20% kind of level. Could you give us a sense of is this likely to be a little back-ended because near term could have some pressures and or maybe even in the near term, is it likely to go second half?

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Just something on how do you see this number? How are you internally feeling it, in your thought process will be useful to understand.

Akshay Jatia: So Avi, like you know our target is 15% to 18% pre-IndAS margin which means an 18% to 20% post-IndAS margin in terms of profitability. Obviously, this quarter, we've seen an impact, one, due to some operating deleverage that set in because of the decrease in volumes. And number two, despite this tough macro environment, we've continued to invest into, number one, building a brand like Saurabh said.

The inputs are extremely strong and number two, opening new stores. We've opened a record number of stores in this financial year despite the second half being challenging. So the endeavor is to get back to this margin profile that I spoke about in the beginning,

we even spoke about a cost improvement program that we ran internally that has removed significant cost from the system.

So our main focus is bringing volumes back. That's what where you're for in the long term as well. And as we see that coming back, the margin profile we shared is exactly what our target is. and we don't see a challenge over there. In fact, this is an opportunity

for us to remove costs from the system to double down on our strengths by building brand trust. And we feel that we can come out even stronger as we tie through this time.

Avi Mehta: Okay, Akshay. So just to clarify, the reason why I asked is your immediate period is clocking in -- this year is probably, and I look at it more from an annual basis. We've probably done about 15%, 15.5% in this year. And that's on a reported basis and that the trajectory is 300 to 500 basis points expansion, so which is why, I was just trying to understand how the -- you think, given there are too many things happening, and it's not something which we can be anticipated, obviously.

Akshay Jatia: So Avi, what I was trying to say, right, if you saw the first half of last year and the year before that, when volumes were where they needed to be, our margin was, in fact, almost 18%, right? So our entire focus is on bringing volumes back as you see that coming in, profitability just follows. That's the beauty of our business model. And that's why that's our main focus, and we're talking more about that because we're already doing what's required from a profitability point of view.

So as we see it come back, we may even emerge stronger than we anticipate, which is why I don't want to give any set timelines or tell you exactly when that will come in. I think you should monitor the volumes and look at our SSG trajectory to kind of build that out.

Saurabh Kalra: Avi, in my commentary also, I just mentioned that we've improved our breakeven points. So that should give you a lot of comfort that because of the work, which we have

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done around cost we've improved the breakeven point. That's first and foremost. Now on a temporary basis, like I said, there might be higher marketing costs, et cetera, et cetera, to build the brand back, but we are in a better space than what we were 1 year back, if the volume is exactly same as 1 year back, our profitability will be more than what it was 1 year back.

So it is about now getting back to our volumes, and you will see there won't be any issue as far as the profitability is concerned because at the unit level, the breakeven has improved, if I were to remove all exceptions.

Moderator: The next question is from the line of Dhiraj Mistry from Antique. Please go ahead.

Dhiraj Mistry: So my first question on SSG guidance like looking at the external event which has been getting prolong beyond our expectation, what kind of SSG guidance you would like to give for, in near term for FY '25 and over the medium to long -term basis?

Akshay Jatia: So Dhiraj, like we've maintained in our vision 2027 document, we gave SSG guidance for the vision that we've set, which is high single digits, taking us to INR4,000 crores to INR 4,500 crores of sales. And that's what we will maintain. Like Saurabh said, these are transient cyclical kind of events that impact the retail environment, and you're seeing that play out right now.

We will get back to where we were right before this, which was allowing us to move towards this vision that we have set. So rather than giving any guidance for the coming year, we're sticking to the guidance that we've given for Vision 2027, and that will require us, obviously, in the coming years to deliver a higher SSSG than where we're at right now.

Dhiraj Mistry: Second question on store addition, you have mentioned that you would be looking for more addition in the South market and in the smaller cities. What is stopping us from expanding -- why there is a skew towards South of India versus rest of India?

Akshay Jatia: So Dhiraj, I'll ask Saurabh also to add on. But as we mentioned in our Vision 2027 document, right, we have a huge opportunity in front of us in terms of adding stores, and that's why we bumped up our guidance next year to 45 to 50 stores. The South is a market that's a little more underpenetrated and

a market that we're starting to kind of

win in terms of market leadership, whether it's through our meal proposition, our chicken proposition or our store format proposition.

So South is an area where we can penetrate fast and with the business model that we have -- position that we have, we're confident that we can bring in both the volumes as well as the returns. Secondly, with Drive -Thrus, right? That's another area of focus for

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our development strategy. It's what Saurabh also mentioned earlier on the call, a business model that allows us to bring in large amounts of volume and hence, large returns moving forward. So that's another area that we are committed to in terms of our development journey.

So taking both of them together, I think the south is an area of focus, number one, because it's underpenetrated, we have a stronger value proposition than we did earlier. And thirdly, even from a real estate point of view, even the Drive-Thru landscape over there is more feasible. So this is our approach moving forward.

Saurabh Kalra: So Dhiraj, if you look at it, we have just now started giving a guidance of 45 to 50 restaurants. By no means are we saying we are going to reduce our store opening in West. What we're saying is the additional augmentation which we are doing will come out of large unpenetrated markets of South. However, we will continue to open in West as we have always done in the last 10 years.

Dhiraj Mistry: Okay. Got it. And just to continue on that, what would be the capex guidance for this coming year?

Akshay Jatia: So it would be similar. It would be to the range of around INR200 crores to INR 250 crores.

Dhiraj Mistry: Okay. And sir, last question, if I may. How do you see raw material price trending? And is there any -- what margin we have been building over medium - to long-term basis, what kind of price increase we can expect on an annualized basis going forward?

Saurabh Kalra: Yes. So again, I will answer in two parts. One is, if you look at it historically, we've always believe 3% to 5% is a price increase we take every year. This year, we did take price increases but got negated by the value proposition, which we were -- which we had taken. Right now, the market is soft.

So we are not taking any price increase as of now. But our guidance will always remain that we would like to take annual price increases, which is as low as possible in order to cover up for the inflation, which we get after all the work which we have done, so that we pass the maximum value to the consumer.

Dhiraj Mistry: And current raw material trends remain stable?

Akshay Jatia: Yes. So as you saw, even in Saurabh's commentary, we've done a great job in terms of removing cost from the system, so despite whatever may be happening from an inflation point of view, through strategic sourcing as well as strong vendor

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partnerships. We've been able to shed costs from the system over there. So our food, paper line up is sequentially trending even better than before.

Moderator: The next question is from the line of Palash Kawale from Nuvama Wealth. Please go ahead.

Palash Kawale: Congratulations on the 41 store openings for the whole year. Sir, as you mentioned in your remarks that whole industry has been facing demand headwinds since last 4 quarters, 5 quarters. So when do you see those normalized SSSG levels? And in terms of store openings would be going slower in H1 in terms of store openings?

Akshay Jatia: So I think in terms of SSSG guidance, we've covered it multiple times already, we're focused on the inputs like Saurabh said and the volumes will follow. These are times where, in fact, we can strengthen our brand further. So we're not too concerned and the ultimate goal is Vision 2027 which is high single-digit SSSG over this 4-year period. And secondly, in terms of new stores, we plan to evenly distribut

e our openings, that's

our endeavor. You will see some movement here and there from a quarter-on-quarter point of view, but there's no -- what do you call it, direct initiative to backload the new store openings.

Palash Kawale: Okay, sir. Sir, my next question is off-premise growth, which is like the growth has been 8% in the quarter. So do you see this trend continuing going forward that off-premise is growing better than the on-premise?

Saurabh Kalra: So let me answer it in 2 different parts. As you know, most of the digital growth is more predictable. So off-line channels are all around digital and hence, more predictable, things sometimes in -- so digital-led sale is already 70%. So we have got far more predictability on the 70% of the sales.

Now unfortunately, the remaining 30 happens to be dine-in. I wouldn't break it up as on-premise and off-premise because there is a lot of work that we have done even on - even on loyalty points, et c. And we are seeing frequency gains coming from there. However, we are still not 100% on digital, and hence, we have got 30% unidentified. Now where this cohort is coming, our hypothesis is very clear that a lot of it is coming out of the fall in trust for the brand as far as a couple of challenges, which we have faced. And we see sequentially over a period of time, this has to come back and like your last question, I don't think we've ever grown in India in a straight line year-on-year. It's

always been every 5 years, we face some challenge or the other, and then we cover it up in the subsequent year.

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So these are all part of life. Immediate guidance for this quarter and next quarter, this year, I have no idea. But what's most important is I think we are very committed to the inputs required at this point in time. And we have calibrated and we feel quite confident about the inputs, which we are giving and hence, a very strong belief in, coming back on track for the vision 2027.

Palash Kawale: Sir, last question, if I may. Sir, you mentioned that there's a focus on value meal, going forward if the raw material prices remain stable, how do you see gross margins panning out? So could there be any pressure or do you see any room for expansion there also?

Saurabh Kalra: No. As far as we are concerned, we have always maintained and we've always -- you would have seen our track record. We've always improved gross margin. We do see continued work happening on gross margin, at least on a percentage side, you won't see a deterioration for sure.

Moderator: The next question is from the line of Saurabh Kundan from Goldman Sachs. Please go ahead.

Saurabh Kundan: My question is that in the two, three markets that you mentioned were unimpacted by either of the external issues. What was the SS SG trend like month over month or maybe if you could also share how it was coming into April?

Akshay Jatia: So Saurabh, we don't break out these numbers. I think Saurabh Kalra was just trying to share some flavor to the question that was asked in terms of how the brand is trending generally. And these were kind of green shoots that we were seeing even before the second challenge hit us. The whole idea is around the inputs, which is what we're focusing on, which is ensuring that we strengthen our brand trust.

We continue to press down on our digital levers and grow our off premise business, and we continue to open new stores. So I think the idea is that by doing these 3 will continue to increase penetration, build back the volumes, and you'll see SSSG come back to the levels that we need them to be at to deliver our vision 2027.

Saurabh Kundan: Sure. And my last question is on the cost side. Just wanted to understand there's been an absolute reduction in corporate overheads, if I'm seeing the numbers right, quarter - over - quarter. What's the nature of that? Are these like variable salaries? And also, the

e -

- I think the royalty as a percentage of sales is tracking lower than what you shared on the strategy day also. There are probably some benefits there. Will those continue in the next year? And what are these benefits in that, if at all?

Saurabh Kalra: As far as our royalty is concerned, if you look at it, for the Q4 is 5.1%. We've already given a guidance, which is there and uploaded in our investor website. However, we, last time

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mentioned that we had gotten some one -time benefit, which we had closed in the month of December. And last quarter, we had also given why this onetime had happen. So beyond that as far as the other line items are concerned like I've said earlier I think we are space at all. A lot of it is due to average unit volume and excess spend on marketing and brand, which we are doing right now. If I remove all the exceptions out, our breakevens are better. And as you will see the volumes coming back, you will see that flow through also happening.

Moderator: The next question is from the line of Harit Kapoor from Investec. Please go ahead.

Harit Kapoor: I just had two questions. One was on the value segment. I mean FY '24 has been a year share of the value meal ramp up for everybody, competitive intensity is higher. I was just wondering as you have exited quarter 4 into quarter 1 of '25. How do you see that share moving for the industry as a whole and for you as well. My question, obviously, is in the context of in average check on gross margins.

Saurabh Kalra: Okay. Let me answer it in two parts. Value share increasing is a good thing because you have to provide value even at the highest possible burger level. As far as affordable menu is concerned, I think there are two, three parts to it. If you look at it we are not going with a McAloo Tikki strategy of INR 20.

Right now, we're talking about a meal strategy of INR 149 which we feel is a good price point for a single person's meal and it's in line with what we used to have as spending on an average single person. So we don't see an average check drag coming through it. GM through our costs we have been able to manage. We'll continue to -- you will continue to see that there is no percentage drag on the gross margin coming ahead in the quarter also.

Harit Kapoor: Got it. And the second part was on product innovation. I mean, over the last 4, 5 years, format product innovation has been kind of bedrock of the strategy. I was just

wondering in the context of the next two quarters, demand also being a bit. It is recovering now as well as some of the externalities just in a market fully recovered whether some of these product innovation factors also get pushed into the second half of the year. I just wanted your sense on how that pipeline will go.

Saurabh Kalra: Yes, we keep on recalibrating. See, at the end of the day, there is always an annual plan with us. We recalibrating the plan quarter-on-quarter depending on where the demand of the market and the consumers are, for example, last year, in the third quarter onward, we decided that it was always long overdue that in the meal at some point in time.

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We will have to go with affordable meal strategy. We felt Q3 was the right time when we launched the meal proposition at that point in time. And since then we are sticking to that. If you look at product innovation on the meal itself this quarter in April, May, June we are coming with exciting different -- limited time offer on the McVeggie and McChicken, which is the fiesta -- McVeggie Fiesta and McChicken Fiesta.

So we keep adding excitement on the things which are a strategic priority. Right now, the affordable INR 149 meal is a part of our strategic priority. So you will see the work happening on that. And you will not find us lacking behind as far as the innovation is concerned even in the coming quarters.

Moderator: The next question

is from the line of Krishnan Sambamoorthy from Nirmal Bang Institutional Equities. Please go ahead.

Krishnan Sambamoorthy: Congrats on a good set of numbers in the challenging environment. Two questions, One on the Drive-Thru. Did I hear, Saurabh say correctly that by 2027, the number of Drive-Thrus will be 30% to 35% or did -- or is it to mean that 30%, 35% of incremental store openings will be Drive-Thrus?

Akshay Jatia: Yes. So that's what Saurabh was saying that 30% to 35% of our new store openings now will be Drive-Thrus.

Krishnan Sambamoorthy: Okay. And that seems to be substantially larger than what was earlier. So what was the guidance earlier, which was about 20% 25%, I understand your global expertise as well as your execution strength here in India as well. But is it also to do with, say escalating high street cost in places like Western India, which is also something that an earlier participant and us?

Saurabh Kalra: So if you look at it, the Drive-Thrus premise is far bigger premise, then a high street premise required to operate the business. And if you look at it in the last quarter also, we haven't opened outside the city and highways only. We have opened in Nasik. In the middle of the city. So we are talking about Drive-Thrus not only as highway use cases, but a use case for you to pick up in relatively suburban stores and be able to use the Drive-Thru use case there.

So for us, I don't think these are compromised to not do high street, not do Drive-Thru.

To me, if we are able to get a Drive-Thru anywhere we would first try to do a Drive-Thru.

If we don't get it Drive-Thru, then we would go and say, can we open a street store there? That's how at least we are thinking about the next phase of growth of stores.

Akshay Jatia: Yes. So just adding on to that, as we even mentioned in our vision 2027 session as well as document Drive-Thrus have the ability to generate large volumes and hence, even

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better returns and McDonald's as a brand has a strategic advantage because we know how to do Drive-Thru and no one does it better than us. So like Saurabh said, if we can put up a Drive-Thru in the center of Mumbai also, we would. So the whole objective behind Drive-Thrus is to drive volumes as well as increase, strengthen the brand as well as increased penetration. So because of the competitive advantage, it is a business model that we prefer. And like he said, it's a bigger premise. So it's not about rentals.

Krishnan Sambamoorthy: Understood. Just for clarification, just also wanted to comment on the rental inflation in high street. Is it still significant currently?

Saurabh Kalra: So rental inflation as a world, obviously, there is always rental inflation. But we've got to do the deal with the landlord, which works as a win-win for both. So for us, we work through each deal separately. Some deals might be high, some deals might be low. Some deal might even be a low percentage of sales. So as a basket of it, we manage. I don't think there is huge rental inflation, which is hitting us. In the new store, we have to make a decision of, what will the store yield for the next 20, 25 years. And that's the decision we go by. And then over a period, we know it's a huge competitive advantage when you do a 25-year old deal.

After 10 years, the rentals looks fantastic, even on a fixed deal, which might look high today. So we're taking a long-term view of looking at the property, what can we do in the next 25 years with the rental, which we are starting with.

Krishnan Sambamoorthy: Understood. My final question is on the loyalty program. What have been the key learnings here and what have been the areas where you've been proud of in your initiatives on the front so far?

Saurabh Kalra: I'm quite impressed with the amount of people are already using the app converting into loyalty members. Now what loyalty gave you

is the way it's designed for the first

one year is after every 4 visits, you will be able to get something complementary from McDonald's or you can burn it through your points which you get out of your 4 visits, which is exciting because it's value on top of high value, which already McDonald's drives.

We are very excited about the behaviours which we are seeing in the restaurant right now. But very clearly, we are working with the guidance from the global team because loyalty is a global program. For the first 1 year, we are accumulating data. This will become more and more exciting as more and more data starts to flow in and more and more customers enrol into loyalty. So our immediate goal is to have more and more people enrolled into loyalty program.

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Moderator: The next question is from the line of Manish Poddar from Invesco Asset Management. Please go ahead.

Manish Poddar: So just one question probably can you highlight, let's say, for the full year, how would our market shares be index with these -- in the aggregator channel, I'm just trying to see the emergence of, is there a lot of regional or local players emerging. Is that really having any dent on the entire revenue delivery.

Saurabh Kalra: See, we do not get the entire breakup. What we do get is I can tell you that we are one of the best retention brands available in the platform with a very, very high organic reach, which means we don't have to spend the amount of money which others have to in order to get the consumers on an aggregated channel. So we feel good about our relationship with aggregator channels.

We work with them to formalize a win-win situation where both Swiggy and Zomato, we work on our quarterly plan and then we do a quarterly review also with them to be able to do what else can we do. But I think our market share from a QSR standpoint, we've pretty much been stable to growing as far as the last year is concerned.

Manish Poddar: Would it be a right inference, let's say, if the entire -- if I look at the entire year, whatever revenue delivery which you've seen is largely because of, let's say, broader macro in this country issue, which increased and not really led the market share. Would that be right understanding?

Saurabh Kalra: Sorry, your voice was breaking. We couldn't get what you said.

Manish Poddar: I'm just trying to understand, let's say, when I look at the full year '24, the revenue delivery, it's largely led by external environment, which is macros and, let's say, the inter-country issue, which is going across, not really led by any market share as per your internal data, which you're generating across.

Akshay Jatia: Yes. Yes. Sorry, we got it now. So like Saurabh mentioned, right, from an input point of view, we don't see any structural issues or challenges. We've doubled down on areas where we saw opportunities like value and brand trust. And we think that with all the inputs that we have in place, we're in a pretty strong position, whether it's on the growth side or the cost side.

In fact, our breakevens have only gone down, so yes, as the environment starts improving on the macro side as these 1 or 2 challenges that we saw specifically start moving behind us as we believe the transient events, we will start benefiting substantially and we're pretty optimistic that the Vision 2027 growth trajectory will be back on.

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Manish Poddar: Just one that I missed it. Did you call out raw material inflation, how is the raw material broader environment?

Saurabh Kalra: Raw material inflation, we should be able to manage this year. We don't see a big problem on that side.

Moderator: The next question is from the line of Jay Doshi from Kotak. Please go ahead.

Jay Doshi: I have one question which is not related to this quarter, but on January, when you look at your delivery business, what percentage of your delivery

sales today in a city like

Mumbai is fulfilled by your own staff and what percent goes through aggregators channels?

Saurabh Kalra: We don't give breakup, but we have mentioned, for example, in a city like Mumbai, we

will be very strong, almost equal to the 3PO players, in a city like Mumbai, but we do not give breakups like I've always maintained, it's about McDelivery. McDelivery happens through our channel through Swiggy, through Zomato and hope fully tomorrow onwards through Magicpin and ONDC. So hopefully, we'll continue to keep adding partners and growing the business.

Jay Doshi: Understood, saurabh . Would you be able to then give us at least some color where from a profitability perspective, is it significantly better when an order is fulfilled by you, service by you versus aggregators?

Saurabh Kalra: Yes. So I think this question has come last quarter also where we had maintained, see both of them, both delivery and dine -in are complementary business. One is higher fixed cost, lower contribution margin, lower fixed cost, higher contribution margin and vice versa, right? So if I look at it, both dine -in -- dine -in has got high fixed cost -- sorry, low fixed cost and high contribution margin and vice versa. So we do not see the difference between delivery margins and dine -in margins on the absolute bottom line. right?

So our job is to add a penny irrespective whether it comes from dine -in or delivery. And we would continue to talk about that. That's why there is an advantage of being an omnichannel brand. We would like to add more Drive -Thrus, more pickup and such use case occasions so that we are able to add new channels and then continue to add sales, which will in turn get profitability.

Akshay Jatia: So Jay, as Saurabh said, right, it's all about volumes for us. And the beauty of our business model is not only from the real estate. From the same real estate, can we do dine -in, we can do delivery, we can do Drive -Thru. And these are the stores that generate large volumes. So any incremental sales beyond your traditional dine -in

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model is looked at as seller wouldn't have been there otherwise. And hence profitable. So that's our endeavor, which is to increase volumes and on the larger P&L, it only starts adding to our profitability.

Jay Doshi: My question was related to profitability, where the delivery order is serviced through an aggregator channel versus when it is service to your own pursued by your team. Is there a big difference between the 2, in that case, are you conscious...

Saurabh Kalra: No, there is not much difference between the 2.

Akshay Jatia: And again, Jay, we'll go back to the point that all delivery sales are incremental for us whether it's through our own channels or aggregators, and that's how we view it because aggregators are also partners and our own delivery channel is also a channel that we're building very aggressively. So we look at both as incremental sales and have thereby -- sorry, increase in volume of the restaurant and in creasing profitability.

Moderator: The next question is from the line of Pritesh Chheda from Lucky Investments. Please go ahead.

Pritesh Chheda: Sir, your vision '27 with plus 4.5 -- plus INR4,300 crores sales ?

Saurabh Kalra: Yes.

Pritesh Chheda: So on the other hand, when you put the store addition number or the -- and the SSG number which you are giving out, the INR4,300 crores or INR 4,500 crores number, when -- if you look at separately doesn't correlate if you put the math one way or the other. So what is the inherent assumption in this INR 4,300 crores in terms of store addition in 3 years and the SSG?

Akshay Jatia: So we've laid it down pretty simply in our Vision 2027 document. I would advise you to look at that. Otherwise, we can take this conversation offline if you want to go through the exact metrics because when we did that exercise, w

e had done this exact math , which was high single -digit SSSG, 600 -odd stores, 580 to 630 -odd stores by 2027 which will deliver us this INR4,000 crores to INR 4500 crores top line. If you have any additional questions in terms of understanding it, you can reach out to our Investor Relations, who will help clarify.

Pritesh Chheda: And my second question is, between the 2 years, let's say, '23 and '24 when it comes to the restaurant operating margin, is it fair to assume that '23 would have a much higher SSG number influencing the 23% ROM margin?

Saurabh Kalra: Yes.

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Pritesh Chheda: And typically, that -- what could be a normalized ROM margin because there's a lot of variations in the last 3 years. So what can be a more normalized restaurant operating margin?

Saurabh Kalra: So we will not go today, maybe there is a call which you can do with our Investor Relations also later. But essentially, it's about breakeven and then it's about the

operating leverage. I think as far as breakeven and operating leverage is concerned, we are very proud of the fact that we have been able to maintain or reduce in the last 1 year. And before that, there was less than inflationary increases on a breakeven point. Now when that happens, the moment you get higher AUV, your leverage comes down, and that's why you see percentage. Unfortunately, we are a contribution margin business with a high fixed cost. So you will see these kind of variability happening, part of life as far as running a restaurant business is concerned. So maybe with the Investor Relations, you can speak directly and we can talk a little bit more in details about how the P&L pans out.

Moderator: The next question is from the line of Vishal Punmiya from Yes Securities. Please go ahead.

Vishal Punmiya: Just one question. So the question is actually on the consumption at the value level. So we have done a decent job at the value portfolio. And I've seen that the other burger peer has also kind of introduced, a couple of offers in the dine-in channel, they will introduce 2 for INR 79 and delivery channel, they've introduced INR 139 combos. If you could share your feedback or your on-ground view on consumers, how they have responded and is there any market share movement that you might have seen at that portfolio level.

Saurabh Kalra: So like we have always maintained at Westlife, we always follow the customers and not necessarily competition because then it loses our ability to be the leader in the market.

What we believe is, right now, as you look at the external environment, it's important to have sharp price points and entry-level price point, which are strong, but strong for what use cases.

For us, the use case was a lunch and a dinner occasion, for which we have crafted our proposition, where a McVeggie and McChicken, which is relatively a big burger with a French fries and a coke at INR 149. We feel that that's a good enough work to be done.

As colleges open in July August September, June end you will see a price point which will be attracted towards college goers. So it's not always -- we are not here trying to decimate what competition is doing on a day-to-day basis.

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We follow our consumers, and we are comfortable with what we have done till now.

That's why when Akshay also mentioned that we are happy with the inputs. We have tried to look at it from all aspects. And we feel confident that as far as the meal strategy is concerned, we are at a good price point.

We will continue to see activity around our price point, which is more attractive to the customer after the research, etc we do with them and won't be determined because somebody has done something. If it gives good results for them, good for them.

Vishal Punmiya: Understood. Just lastly on innovations. So you have highlighted a couple of innovations in terms of McSpicy and the desserts, Lotus B

iscoff. I could see a couple of more

innovations on ground in terms of Mexican, they have the Korean menu and as mentioned last time, there was an introduction of croissant which I think, has been taken back from the stores. So any feedback from that portfolio? Are we reworking that product? Are we talking to vendors in terms of making any changes or was it kind of testing grounds and maybe at a later stage, when the market is mature, we will reintroduce some of those products back?

Saurabh Kalra: First of all, I would like to give you absolute compliments for following us in so much detail because we do, we keep on doing these trials. And last time also it was picked up, that a 5 store trial on croissant was being picked up as a new product launch. So we keep on doing these trials. For IPL, we felt that wrap could be a good occasion because it was evening time.

It was only done as a part with the existing ingredients, as a part of our limited time offering, so thank you very much for calling us in so much detail. But overall, if I look at it, we are -- like I said, we always are following consumers and trying to create hypotheses and do trials in a manner, which can be scaled tomorrow for tomorrow's growth.

So in that spirit, the trials are done, and we then try to either improve the product or dump the idea. As far as McCafe food is concerned, the trial is still continuing, we've extended it to a few more stores, some products which had some improvement required have been replaced, etc, etc.

So we are working through with the consumer feedback. We will continue seeing excitement both on McCafe side and on the other use case occasion, for example, like I said, the wraps were specifically for markets like Mumbai during IPL matches. So that's how targeted trial it was. Thank you for capturing it.

Moderator: That was the last question for today, ladies and gentlemen. I would like to turn the

conference over back to the management for closing comments.

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Akshay Jatia: Okay. Thank you. Thank you, everyone, for attending the call. I hope we were able to answer all the questions well and see you on the next one. Thank you.

Moderator: Thank you. On behalf of Westlife Foodworld Limited, that concludes the conference call. Thank you for joining us, and you may now disconnect your lines.

Disclaimer: Please note that this transcript has been edited to correct any inadvertent grammatical inaccuracies or language inconsistencies that may have occurred while speaking. The audio of this call is available here .

Call: Jul 2024

WESTLIFE FOODWORLD LTD.

[Formerly known as Westlife Development Ltd.]

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Date: 30th July, 2024

To, To,

BSE Ltd. ('the BSE') The National Stock Exchange of India Limited ('the NSE')

Phiroze Jeejeebhoy Towers Exchange Plaza

Dalal Street Bandra Kurla Complex, Bandra (East)

Mumbai 400 001 Mumbai – 400051

Sub : Compliance with Regulation s 30 of the SEBI (LODR) Regulations, 2015 ,
Submission of transcript of earnings conference call for the quarter ended 30th June,
2024

Re : Westlife Foodworld Ltd. (formerly known as Westlife Development Ltd.) ("the
Company ") : Scrip Code -505533 and WESTLIFE (NSE)

Dear Sirs,

In compliance with Regulation s 30 of the Securities and Exchange Board of India (Listings
Obligations and Disclosure Requirements) Regulations, 2015 , please find enclosed herewith
transcript of earnings conference call for the quarter ended 30th June, 2024, held post the Board
Meeting of the Company on 25th July, 2024.

In this regard, the transcript of the said earnings conference call has also been uploaded on
the Company's website and can be accessed at the weblink : [https://westlife.co.in/investors -
earnings -release.php](https://westlife.co.in/investors-earnings-release.php)

You are requested to take the same on record.

Thanking you,

Yours faithfully,

For Westlife Foodworld Limited

Dr Shatadru Sengupta
Company Secretary

Encl : as above

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Westlife Foodworld Limited
Q1FY25 Earnings Conference Call

July 25, 2024

MANAGEMENT :

■ Mr. Amit Jatia – Chairperson

■ Ms. Smita Jatia – Vice Chairperson

■ Mr. Saurabh Kalra – Managing Director

■ Mr. Akshay Jatia – Executive Director

■ Mr. Hrushit Shah – Chief Financial Officer

■ Mr. Chintan Jajal – Lead Investor Relations

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Moderator: Ladies and gentlemen, good day and welcome to the Westlife Foodworld Limited Q1 FY25 Earnings Conference Call. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Mr. Chintan Jajal. Thank you and over to you, sir.

Chintan Jajal: Welcome everyone and thank you for joining us on Westlife Foodworld Earnings Conference call for the first quarter ended 30th June 2024. I am Chintan Jajal, Lead IR at Westlife. From the management team, I have with me Mr. Amit Jatia, Chairperson, Ms. Smita Jatia, Vice Chairperson, Mr. Saurabh Kalra, Managing Director, Mr. Akshay Jatia, Executive Director and Mr. Hrushit Shah, Chief Financial Officer. We will kick off today's conversation with Akshay sharing his thoughts on overall business progress and outlook. This will be followed by Saurabh taking us through operational, financial, and strategic highlights. For that we can open the forum for questions and answers. We will be referring to earnings presentation and financial releases available on the BSE, NSE and investors page of our website. I also request you to please go through the safe harbour disclosure in our earnings presentation. With that, I now request Akshay to commence this session. Thank you and over to you, Akshay.

Akshay Jatia : Hello and good afternoon, everyone. I extend a warm welcome to all of you today to review the performance of Westlife Foodworld for the first quarter of FY25. I am very pleased to announce that your company has crossed a significant milestone of opening 400 McDonald's restaurants this quarter. We now proudly serve customers across 66 cities and to further expand our market presence, we successfully opened six new restaurants this quarter. Aligned to our vision 2027, we are targeting to open 45 to 50 new stores in FY25 with a focus on South, smaller towns and drive-thrus. In response to the challenging current environment a sustained focus on driving guest counts by leveraging the meals platform and value remain the cornerstone of our strategy, ensuring that our customers continue to see McDonald's as their go-to choice. By continuously refreshing our menu and introducing new offerings we kept our customers engaged and excited about our brand. For instance, we launched a McFiesta range which spiced up our iconic core burgers McVeggie and McChicken for the quarter.

We also launched mango-flavoured desserts which received good customer response. McCafe food items like cookies and brownies which were piloted over the past few

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quarters are now being extended across our entire network. We aim to achieve a 15% to 18% contribution of McCafe to store AUV by 2027.

Additionally, to connect with our Gen Z customers we brought the anime world to life at McDonald's. The initiative embodies our dedication to integrating our brands with popular culture offering unique experiences that resonate with the relevant audiences. Consistent efforts towards strengthening our brand have yielded positive results. A real food, real good platform which was further bolstered with the launch of the Yeh Hai Mera McDonald's campaign where we collaborated with the celebrity Chef Sanjeev Kapoor. In this initiative, Chef Kapoor championed our commitment to maintaining impeccable food quality, hygiene, and safety standards in our restaurants. Our digital strategy continues to gain traction driven by the increasing preference for our convenience amongst our customers.

As a steadfast organization, we are continuously refining our operational efficiency and focusing on improving our financial performance to further improve operating leverage. As we navigate,

we are not merely reacting, but proactively shaping our future by being committed to the strategic focus we laid down in Vision 2027 which remains firmly intact. Thank you once again for your trust and commitment to our journey.

I will now pass it on to Saurabh to share the operational and financial specifics of the past quarter. Thank you.

Saurabh Kalra: Thank you, Akshay. Good evening, everyone. Thank you for joining us to discuss our Q1 results. Last quarter, we highlighted that after several consecutive quarters of declining out-of-home consumption the March quarter was relatively stable on a sequential basis, but lower compared to the same period last year. I am pleased to share that we are seeing further improvements in the underlying demand trends.

Eating out frequency was higher sequentially and close to last year's level. As retail level inflation continues to moderate coupled with higher incomes and savings, we believe discretionary consumption will improve gradually. Having said that, we will continue to monitor the market trends and drive marketing and execution initiatives accordingly.

Now turning to our performance in Q1 our topline at INR6.16 billion was a tad higher on

a year -on-year basis. Same store sales stood at negative 6.7% on a base of plus 7.4% of last year. If we dissect the comps, the off -premises business and same store sales have been stable which is a good sign of momentum.

But that also suggests that there has been some pressure on on -premises business. If we further dissect on -premises business, we observe that the cohort of stores that are

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impacted by external community -related issues continues to drag the overall momentum. These external issues are slightly prolonged compared to our initial expectations and estimates.

However, we are still confident that these are transitory. If we shift our perspective the quarter saw continuing improvement with exit month being better. On a sequential basis, sales were about 10% higher versus Q4 in line with seasonality and some contribution from new stores.

During the quarter, we continue to build on our value platform to drive incremental footfalls. Product innovation continued with the launch of new entry -level Chicken Surprise burger which we believe is an open area for us. We believe that this will help us accelerate and differentiate the value platform and our value offering in the coming quarters.

Moving on to business channels, our off -premises business grew by 6% year -on-year, contributing 42% of the overall sales. On -premises business, however, declined by 3%. Our average sales per store on a trailing 12 -month basis was at 61.3 million. Digital sales stood at 69% with over 3 million monthly active users on our mobile app. My McDonald reward continues to gain traction and we expect this program to further accelerate our consumer value and our consumer frequency. Profitability during the quarter was subdued largely on the account of unfavourable operating leverage and higher royalty. Having said that gross margin in quarter 1 at 70.8% continued its upward trajectory. This is despite our value platform play. This underscores the robustness of our business models in driving various value segments as well as our supply chain excellence. Restaurant operating margins and operating EBITDA were lowered by around 400 bps Y-o-Y. Other operating expenses were higher on account of elevated marketing spend which will continue for the next one or two more quarters.

Depreciation normalized to 7.9% is likely to go down further with better volumes. Cash PAT stood at 463 million or 7.5% of sales. On network expansion, we added 6 new restaurants in Q1. As of June 2024, the total restaurant count stood at 403 restaurants across 66 cities. 92% of these restaurants have McCafes, 86% are EOTF restaurants and 20% have drive -thrus. Our network expansion plan remains unc

hanged. We will

add 45 to 50 restaurants in FY25 reflecting our confidence in the structural growth and opportunities which lie ahead.

Finally, while the business environment remains tough, demand green shoots are emerging. With a robust value platform strategy and a pipeline of innovative products

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we are optimistic of higher average unit volume in the second half of the year. We remain committed to our Vision 2027 targets.

Thank you for your time. I will now hand over the call to the moderator and open the forum for your questions.

Moderator: Thank you very much. We will now begin the question -and -answer session. The first question is from the line of Shirish Pardeshi from Centrum Broken. Please go ahead.

Shirish Pardeshi: Yes, hi team. Good evening. Thanks for the opportunity. I have three sets of questions. Starting from the negative SSG and now we have launched the entry -level burger. Do you think this is enough for us to arrest the decline in SSG or we need to do more activities in terms of the localized promotions and there is a need for further improvement in new products?

Management: Thank you, Shirish. To me the first point is as you would know and as you would look at our industry, we always believe that we want platforms to work. And I think we had launched our value EVM platform last year in June and further strengthened it in October of last year. Post that, when we looked at our situation, we saw that there was an opportunity for us our value platform to be strong enough for snacking. And McSavers Plus platform INR69 for 1+1 is an endeavour in that direction.

And we believe that these platforms along with our existing platforms are good enough to drive not only short -term, but long -term sales. That's how we've been looking at it. And then we believe that it's a part of the play which we've already committed to in Vision 2027 which includes being a leader in meals, snacking through coffee, burgers, and chicken.

Shirish Pardeshi: So that's helpful Saurabh. A follow-up to that I think our margins have been at the lowest. Now, if the value layer picks up, for example, you will be positive say LFL or your same -store sales growth will improve. But does that mean that the margin, there are very limited levers at this point of time to improve from here?

Akshay Jatia : So, Shirish this is Akshay here. So from our point of view as you've seen we've consistently delivered an increase in both gross margin and EBITDA margin over the years. And the current drag in margin has typically come from operating deleverage, obviously because of negative same -store sales. From our point of view as we see average unit volumes picking up you will not only see margin grow, you will see grow exponentially because of the operating leverage that will come in. And as we demonstrated even if we deploy value platform, we continue to increase margin by doing a few change. One of them being removing cost from the system, the

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second one being using in product mix effectively. For example, McCafe will only accelerate the momentum further as the coffee market is growing in our country and we are very well positioned both from a quality as well as a value point of view. And number three in terms of taking pricing w here required strategically. So I think that we are more concerned with driving average unit volumes which will increase operating leverage and margins will only follow.

Shirish Pardeshi: Thank you, Akshay. My last question on 403 stores what we have now and there are two parts. One is that out of the six how many drive -thru we have open and out of 403 what percentage of stores are now drive -thru ?

Saurabh Kalra: Around 20% are drive -thru . So around 403 is around 82 drive -thru in total and we've opened one drive -thru in the last quarter.

Shirish Pardeshi: Now, the reason why I'm asking if the overall SSG has d

eclined I'm sure you would be tracking the SSG in the drive -thru . Is the out -of-home consumption, which was challenged, is drive -thru is also seeing that similar trend?

Saurabh Kalra: For now drive -thru actually is a very small portion while 20% drive -thru are there. The ticket window sales is not a substantial part and therefore we've never reported it separately. However, to just let you know we haven't seen any negative growth on drive -thru .

Shirish Pardeshi: Thank you, sir and all the best, to you.

Moderator: Thank you. The next question is from the line of Percy from IIFL. Please go ahead.

Percy: Hi, everyone. I'm just trying to understand the operating leverage in your business. So since this is Q1 I'm looking for another normal Q1 where you were operating. So basically FY '24 Q1 we saw things going up, but now things have sort of moderated either because there was some amount of revenue spending which has come down or there is a general demand slackness , etc. So I'm just dialling back to your Q1 FY '20. Now on a per -store basis, your sales is 20% higher than Q1 FY '20. But your margin is still the same exactly the same as Q1 FY '20 currently. So why is it that we are not getting any operating leverage in this business. The other way I can look at it is if you want to look at something more recent then we can look at Q3 FY '22 where the sales per store is actually a tad lower than what we have done this quarter.

But we had a margin of 16.6% and now we have a margin of about 13%. So why is it I can understand that negative same -store sales growth, etc, but ultimately, the sales per store should correlate to what kind of margins you are able to deliver?

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Saurabh Kalra: Thank you, Percy. Essentially, when we talk about operating leverage or deleverage , obviously bench mark get created every year. From that standpoint because inflation always keeps up. Once in five years rental will increase, every year there will be 2% to 3% inflation on utilities. So that keeps on changing. So to me 2021 -2022 won't be the best representation. However, if you look at it, we've got 40 extra restaurants with 40 extra fixed costs.

So if you were to remove that fixed cost you will see that our unit economics is relatively being stable from last two to three years if not more. So that's why you get the operating leverage or deleverage. If this average unit volume goes up further, you will see it coming down, it coming up dramatically our profitability and vice versa.

Percy: Yes, so I understand that point that there will be some inflation on a per store basis. But also you have many cost -saving programs being run, you have seen gross margins also go up in that period. So all these should more or less if not completely offset the inflation in the per store costs.

Because see versus Q1 FY '20 it's 20% higher. So that's a 4% CAGR on a five -year basis in your sales per store. So your costs including your margin expansion on gross plus

your cost -saving initiatives have also grown at a 4% on a CAGR basis over the last five years. That is what it means?

Saurabh Kalra: So I think I am not privy to the numbers which you are looking at right now. Maybe we can look at it and come back to you. Because from our standpoint, except the COVID year, a couple of years where we had cut down on costs dramatically, we went back to our normal operating standard which was there pre -2019 in 2022 and sales obviously commensurate along with it. We haven't changed our unit economics at all. So the numbers which we can double click on it and come back to you.

Percy: Sure. So if I just forget about the past and look ahead, let's say you are at 61 million right now. In the past you have done 66, 67 million also. Let us say by FY '27, you go to a 65 million to 67 million kind of number, but you also have another 50 basis points increase in your royalty in FY '27. So

this 8% margin on a pre -IndAS basis which you have done, how much can it go up to. So let us say it is 7.5 with that 50% deducted from FY '27 to make it comparable. So this 7.5 can go up by how much 200 , 300 basis points if the sales goes up by, let us say, 10% on a sales per store?

Saurabh Kalra: So Percy I will answer this in a very simple format. Obviously, we used to have this number at 15%, 16% of EBITDA margin. And then our goal is to go towards 20s -- 19s, 20s is what we have spoken about in Vision 2027. I do not think structurally anything has changed for us where we are not committed to that number. We are committed to that

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number. We see a very clear roadmap to it also. So maybe it has been long since we have connected. Maybe Chintan will help you a little bit more if you want to have a deep dive on this one.

Percy: Okay. So basically, you are saying you can see about 6 percentage to 7 percentage points margin expansion on account of leverage from the top line. I will just connect offline on this because in the past we have not seen that leverage coming through to this extent. So anyways I will take this offline. Thank you very much. That is all from me.

Moderator: Thank you. The next question is from the line of Devanshu Bansal from Emkay Global. Please go ahead.

Devanshu Bansal: Yes, sir. Hi. Thanks for the opportunity. My question was we have seen a sequential moderation in our SSG. So wanted to check if this quarter per se there was incremental impact of heatwaves, etc and going into Q2 we should see a relatively better sequential improvement?

Akshay J atia : Yes, so thanks for the question. What we maintain is that we expect H2 to be better and SSG to progressively get better as the year goes by. Like Saurabh mentioned at the beginning of the call we've further strengthened our value platform. We're continuing to grow our off premise business. And we're very confident that with this strategy and business model, H2 should be progressively better.

Devanshu Bansal: Got it. But are you sort of satisfied with the footfall at your stores in Q1 or there was some impact due to extra heatwave this time around?

Saurabh Kalra: So obviously we are absolutely not satisfied. We wouldn't call this our best performance for sure. There was significant amount of pressures on dining. While there was pressure in terms of consumption, climate or whatever you want to call it, I can't quantify it. But we have spoken about that there is also a cohort of stores which was impacted and hasn't shown progress which we expected to show progress by now. So that's how I would summarize it.

And then we are yet to see big momentum coming back on that cohort of stores. While we put value platform in as Akshay said and we believe we are setting ourselves up for the H2 of this year to come back strong.

Devanshu Bansal: Got it. Saurabh, you also made a comment that you're eating out frequency is now back to last year levels. How should we read this comment as in does this in any way suggest that at least in volume terms we should see a sort of flattish kind of SSG? Is this the right way to read this statement?

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Saurabh Kalra: If you look at last year, last year we were hit by crisis and our October, November, December average unit volume was actually quite low . Normally October, November, December is the best month in QSR. So what we have been able to get is we are far better than October, November, December even now. So we believe that we're setting ourselves up to recover quite strongly in the H2 and you will see sequential improvement for sure.

So what does it mean in SSG that I can't comment right now because the last week, one week has also been raining quite heavily in most of the parts of our operations. So cannot comment on the SSG, but what I can tell you is we believe that we are putting in

a very strong foundation for a strong H

2.

Devanshu Bansal: Got it. Last question from my end, gross margins have improved sequentially. So we wanted to understand what are the drivers for this improvement as we also launched a value chicken burger during the quarter. So it will be helpful if you could sort of call out the drivers of this improvement?

Saurabh Kalra: I will pass on the question to Hrushit who is our CFO.

Hrushit Shah: Yes. So gross margin predominantly there is a strong governance framework that we have been able to establish in maintaining the margin. So that is driving what we have been able to establish is in terms of mitigating the entire inflation. What it also does is it gives us bandwidth in terms of supporting the initiatives like the guest count driver initiatives, like Rs 69 initiative, that we are launching. So all I can say is there's a strong governance mechanism which has been put in place. The supply chain, it's a well-oiled supply chain which is running, and it is contributing to the P&L.

Devanshu Bansal: Okay. Just a follow up as in if you can call out the date of this launch during Q1, when was this product specifically launched?

Akshay Jatia: We launched our value platform at the end of June, beginning of July. It's called the McSavers 1 plus 1. And like we mentioned in the commentary we launched our entry-level chicken burger in June.

Devanshu Bansal: Okay. So this happened towards the quarter end you're saying?

Akshay Jatia: Correct.

Devanshu Bansal: Got it. Thank you for taking my questions.

Moderator: The next question is from the line of Avi Mehta from Macquarie. Please go ahead.

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Avi Mehta: I just had two questions. Firstly SSS growth. If you could just give us a sense on what was the SSS if you were to remove this...

Saurabh Kalra: Your speech is very muffled. We can't hear you.

Avi Mehta: Sorry, is this better? Am I audible? Is this better now, Saurabh?

Saurabh Kalra: Yes, far better.

Avi Mehta: Yes, I just wanted to check if you were to remove the impact of these external issues, is there any sense on what is the SSS growth momentum like?

Saurabh Kalra: While I will not break it for you Avi. What all I can tell you is if I remove that, there is definitely green shoots both in terms of sequential and in terms of same store sales growth.

Avi Mehta: Okay. Let me rephrase it. Is there a way for us to get some sense on June because you alluded towards the pickup? So what the SSS would be like in June? I'm just trying to get a better appreciation of what makes us optimistic about the green shoot and quantify it to some extent?

Saurabh Kalra: We can't do the breakup in the call. Maybe we can meet, and you can speak to Chintan...

Avi Mehta: Okay. Just the second bit then on the margin side Saurabh would you believe now this weakness has been slightly longer than what we had estimated? And while we have our FY'27 or Vision 2027 targets, FY'25 could see flattish margins? Is that how I should see given the first quarter commentary and given the weakness on the pickup being more second half driven? How do you look at it? How do you believe we should look at this from a margin perspective?

Saurabh Kalra: So it will be around similar is what my guess is, but Avi what is most important for us is I remember similar times it was COVID, and we had given the Vision 2022. We bounced back and then we delivered the Vision 2022. To me there is foundational stuff which is already in place and the platforms are already there. I felt we had to add a snacking value platform which we have just added. So I don't see a big problem as far as the sales and profit from a long-term view, as far as a long-term view is concerned. This year we will have to manage as it comes and H2 should be strong. That's how we see it.

Moderator: Thank you. The next question is from the line of Priyank Chheda from Vallum Capital. Please go ahead.

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Priyank Chheda: Yes, hi. Sir, sorry to harp again. There were two remarks that were made in the opening comments. One is the sequential recovery. What we can sense is there is a negative SSG, and the decline has further worsened. The sales per unit per store has also declined. So if you can just help us what was the sequential recovery terminology related to when you alluded to? That is question number one.

And two is the external issues which you alluded to which is hurting your on-premises

demand. While it is not hurting off-premises demand? While the product remains same, how would you -- I mean how do we understand the two different behaviours on two different channels for the same product? It will be great if you can help us?

Akshay Jatia: So I'll take the first question. I'll ask Saurabh to take the second one. On the first one, what we clearly mentioned was that we saw the exit of the quarter being better in the first two months. And as Saurabh also mentioned in terms of the steep decline, we saw last October onwards we're already doing better from a week-on-week perspective. And that's what we mean by sequential improvement.

Saurabh Kalra: The second way to look at it also is while we report the trailing 12 months, the trailing 12 months is not actually a reflection of sequential growth because when you are in crisis your average unit volume on weekday and weekend fall to a certain level. Jan, Feb, March was worse than Q4. And then we have recovered in April, May, June this is what we are calling sequential growth in that sense.

Now typically when I look at it there is always trends of recovery. In post-COVID, it was dine-in which grew first. Before COVID, it was delivery which used to do more than dine-in. I think this is a sign. This is the first sign of recovery as far as we are concerned because we have seen a healthy pickup in terms of the units sold in the restaurant, right now which is driven by delivery, we foresee that the dine-in will follow.

Moderator: The next question is from the line of Krishnan Sambamoorthy from Nirmal Bang Institutional Equities. Please go ahead.

Krishnan Sambamoorthy: Yes hi. While there's been some stability in material costs, there's also been a sharp increase in vegetable costs particularly onion and tomato in the last few months. Is this likely to hit your material cost line over the next couple of quarters and if so, then is there a possibility of price increases going ahead?

Akshay Jatia: So just a quick comment on material costs. I think there is seasonality on some of the vegetables which is every year. I don't think anything out of normal has happened this year. There was a little bit of crisis in terms of lettuce which we managed quite well. We do not see any pressure as far as inflation is concerned. It was more around availability in the last quarter, but we scraped through. I think our supply chain stood up quite

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strongly to it and we do not foresee any major changes on account of vegetable cost hitting the P&L beyond what we have already done.

Krishnan Sambamoorthy: Okay. On AOV growth you mentioned price growth as the third lever that you would like to use. Under what sort of scenario would you be looking at a possibility for price increase in the current year?

Akshay Jatia: So on that one what we've always maintained is we do scientific price increases. We're required to ensure that we sustain the cost of doing business without impacting customer inflow into our restaurants. So currently as we always maintain we take around 3% to 5% price increase and usually we stay at the lower end. So that is what we anticipate in the coming year as well.

Moderator: Thank you. The next question is on the line of Harit Kapoor from Investec. Please go ahead.

Harit Kapoor: Yes, good evening. My first question is just a clarification. When you mentioned June has been

better, are you also talking about that cohort which was impacted by externality or is it only on the other cohort which is largely demand-led?

Akshay Jatia: That cohort which we expected that it will become better, we haven't seen any much movement on that cohort of stores. However, on the back of like what you said value and snacking we did see some green shoots emerging in the other cohort.

Harit Kapoor: Got it. Understood. And the second part was on the value offering side. Do we assume that this is the first of a few things that you're going to do in this space, you obviously did the chicken burger, you have the 69 value offer as well. Is it the first of few or is it this is probably what it's going to be for the near term. The reason I asked is there is obviously a twofold impact one on gross margins as well as on probably on marketing spend as you push these offers forward, so just wanted to get your sense of how you're thinking about it from a slightly medium-term perspective?

Akshay Jatia: Yes, so to answer the question as we maintain as Saurabh mentioned earlier in the call, we have always been a leader in value and what we wanted to do currently was further strengthen our value platform. So we started with the extra value meals which we launched last year, we further strengthened it at the end of last year with a stronger proposition and we most recently like Saurabh said wanted to strengthen our proposition in snacking as leaders in the category.

So we launched the entry level chicken burger as well as our one plus one McSaver Meals – McSaver snacking combo which is not new for us. In fact, we're kind of reheating a similar concept that we've done in the past. And this will also strengthen

our platform. So in that sense we feel the platform for value is already very strong and we offer value across multiple categories whether it's coffee, whether it's chicken, whether it's this combination and as we also maintain we do a lot to ensure that our gross margin allows us to improve operating margins through operating leverage as well as through removing costs as well as playing the product mix. So that's how we look at the current situation.

Harit Kapoor: Got it. Those are my two questions. Thank you.

Moderator: Thank you. The next question is from the line of Gaurav Jogani from Axis Capital. Please go ahead.

Gaurav Jogani: Thank you for the opportunity. My question is with regards to if you dissect the growth between the ticket size or the consumer footfall which one you think has faltered more? And in terms of the average ticket size if you can give us a sense whether it's flat, it's grown or how things have moved over the past quarter?

Management: So Gaurav as we've maintained we don't break out these numbers. But as you know you can see from our results there's obviously been pressure in terms of customers entering our restaurants for the multiple reasons that we've spoken about already. And we continue to work on both bringing in customers as well as trading them up to improve our average order value and that's how we look at driving same-store sales growth.

Gaurav Jogani: Just to follow up to this the question was in context if you look at the pizza category as such that has kind of seen a sequential improvement on a Q-o-Q basis. So is it because of these externalities that is impacting you more or is there some loss to the competition made up of the category? What would be your sense on this?

Management: So if I look at our tracks, I don't think we've lost market share among Western fast-food players. In fact if anything we've been strong and we've been marginally gaining share within the category. Obviously, the results everybody has seen and some of the pizza players have done well, but we do not look at it from that standpoint. Now we would like to look at it is that from our standpoint our AUV has to improve. Our AUV in any which

ways almost double than any other competitor. We need to continue moving the momentum on what our game is to play.

Gaurav Jogani: And the second question is with regards to the margins again. I do appreciate the fact that the negative leverage is kind of eaten up the margins for you. Otherwise, on the gross front you have done a really good job. If you can also break out what is the elevated market spend impact during the quarter because you have been very frugal in terms of the cost in the other line items?

Akshay Jatia : And as we've always maintained is roughly around 5% for the year and we don't break it up quarter-on-quarter, but that is where we usually guide the world, but in this quarter, there was an incremental marketing spend roughly close to around 1%.

Gaurav Jogani: Okay. Thank you and best of luck.

Moderator: Thank you. The next question is from the line of Prathamesh Dahake from Motilal Oswal. Please go ahead.

Prathamesh Dahake: Hi, sir. I'm audible.

Management: Yes, Prathamesh you are audible. Please go ahead.

Prathamesh Dahake: So my question is regarding our top line. So since our SSSG is negative our sales growth seems to be buoyed by new stores which have been opened in last 12 months as a result of which revenue per store of the new stores in the last 12 months exceeds the revenue per store of stores opened which have a vintage more than a year. This has happened for the first time in the last two years. Can you tell us the reasons for the same and are these stores in the same cluster or just the on-premises stores that is contributing to our growth?

Management: If I understand your question right, you're asking whether our average unit volume of the new store is better than existing stores?

Prathamesh Dahake: Yes.

Saurabh Kalra : No, it is similar to little lower which is always been the case. So there is no difference. But obviously you have opened 40 restaurants that's caused a little bit of growth which has happened with same-store sales growth being negative. So at the growth level some of the new stores are partly covered for that, but are they at system average? No, that's not the right assumption.

Prathamesh Dahake: Okay understood. That's all from my side.

Moderator: Thank you. The next question is from the line of Nihal Mahesh Jham from Ambit. Please go ahead.

Nihal Mahesh Jham: Hi, good evening. Am I audible?

Management: Yes.

Nihal Mahesh Jham: Sir two questions from my side. The first was on a chicken offering. Is it that we've taken the product the bone in chicken now beyond South or it still remains mainly towards the Southern region and what are the plans ahead on that?

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Management: So it remains in the South like we always said the reason for the launch was that in the South customers and the customer proposition of fried chicken was essential to win the meal day part. And we've done it very successfully. And as a result we've continued to keep it in the South and we're kind of further strengthening the proposition. And we have it in select stores in the West where we felt it was relevant, but the proposition is primarily for the South. You will shortly also see like I said a strengthening of the platform. We have the McSpicy fried chicken. We'll be over the next quarter or two launching a new platform called the McCrispy chicken as well and that's going to make the platform of chicken in the South even better.

Nihal Mahesh Jham: Understood. So the plan is just to keep it to South and come select West stores not to take it to the entire 400 store rule out at this point in time?

Management: Correct.

Nihal Mahesh Jham: The second question was if I look at the last three years the effort on the gourmet launches two years back plus the EOTF. I thought was in a way an effort to premiumize the brand as such. Now when I look at these value

launches is this an effort just to

stimulate current demand given how the situation is or are these permanent launches and you are going to see more value offerings coming ahead?

Akshay Jatia : So Nihal how we look at it is as a brand that's a leader in this space we need to lead across the pricing ladder as well as the category ladder, which is why we've done burger chicken, coffee. We've done premium stuff like EOTF, McCafe and also value is what we stand for. So it's actually all about value for money which is not only about price. It's about the price that you get. It's about the product quality that you deliver as well as the experience. So all of them come together and they offer the customer the best value for money.

So how we looked at our premium launches whether it be the McSpicy in the past or the gourmet launch or EOTF as a platform is to ensure that we're giving the best quality product and experience to the customer at the right price. And similarly we look at the value platform as giving the customer the right value for the right product at the right price and that value, obviously from a price point of view is lower but it still means value for money.

Nihal Mahesh Jham: That's clear Akshay. That was it from my side. Thank you so much.

Moderator: Thank you. The next question is from the line of Nilay Bansal from Kredent Infoedge. Please go ahead. The next question is from the line of Saurabh Kundan from Goldman Sachs. Please go ahead.

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Saurabh Kundan: Thank you for the opportunity. I just wanted to ask you if internally you track your affordability of your menu versus QSR in general or like -to-like competition? And where are you now versus, let's say, a year back when you started launching value and yes so that's the first question?

Saurabh Kalra: Yes, Saurabh. This is Saurabh, this side again. So from us as far as we are concerned you would have seen that our real competition is actually us because our average unit volume is almost double of the competitors. So what we have to look at is are our platforms good enough to attract consumers to our restaurant and good enough to retain them for a long time?

So when we look at that mix, we felt that we had to do a job as far as the value proposition was concerned in which we launched the extra value meal everyday platform which was a 149 platform. And now we believe that snacking was a price point we needed to have to get more consumers in for a snacking occasion. And therefore McSavers Plus is our platform as far as the snacking part is concerned. So really not bothered about what competition does, what it doesn't. We would really look at saying what is really value from a consumer standpoint and can we sustain.

Because I don't think we've ever played a game in which if somebody does X price, I undercut, and they undercut, and I undercut. I think it's about long-term sustainability. One of the considerations which goes into a platform is, is it long-term sustainable. And for us both McSavers Plus and EVM are platforms which we are committed to in order to make sure it drives value to our consumers.

Saurabh Kundan: Right, thank you. And your second question is actually around some announcements

you made in the budget. I just wanted to check with you if the announcements around the employment linked incentive is something that the government will help companies with on the PF side. Does it impact I mean does it positively impact you at all or it's not relevant?

Hrushit Shah : So we are in the process of analysing in detail, but preliminary our assessment is we don't see a major impact flowing in from this budget into the financials.

Saurabh Kundan: Okay, thank you. Thanks a lot.

Moderator: Thank you. The next question is from the line of Abhishek Kumar from Sanctum Wealth. Please go ahead.

Abhishek Kumar: Hi, good evening. So I have a question related to the general demand scenario.

Management: Abhishek sorry you are not clearly audible.

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Abhishek Kumar: Am I audible now?

Management: Yes better.

Moderator: The participant seems to be disconnected. Ladies and gentlemen, that was the last question for the day. I now hand the conference over to the management for closing comments.

Management: Thank you everyone for joining and we look forward to seeing you next quarter.

Moderator: On behalf of Westlife Foodworld Limited that concludes the conference call. Thank you for joining us and you may now disconnect your lines .

Disclaimer: Please note that this transcript has been edited to correct any inadvertent grammatical inaccuracies or language inconsistencies that may have occurred while speaking. The audio of this call is available here .

Call: Oct 2024

WESTLIFE FOODWORLD LTD.

[Formerly known as Westlife Development Ltd.]

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Date: 30th October, 2024

To, To,

BSE Ltd. ('the BSE') The National Stock Exchange of India Limited ('the NSE')

Phiroze Jeejeebhoy Towers Exchange Plaza

Dalal Street Bandra Kurla Complex, Bandra (East)

Mumbai 400 001 Mumbai – 400051

Sub : Compliance with Regulation s 30 of the SEBI (LODR) Regulations, 2015 ,
Submission of transcript of earnings conference call for the quarter ended 30th
September, 2024

Re : Westlife Foodworld Ltd. (formerly known as Westlife Development Ltd.) ("the
Company ") : Scrip Code -505533 and WESTLIFE (NSE)

Dear Sirs,

In compliance with Regulation s 30 of the Securities and Exchange Board of India (Lis ting
Obligations and Disclosure Requirements) Regulations, 2015 , please find enclosed herewith
transcript of earnings conference call for the quarter ended 30th September, 2024 , held post the
Board Meeting of the Company on 24th October, 2024 .

In this regard, the transcript of the said earnings conference call has also been uploaded on
the Company's website and can be accessed at the weblink :
<https://www.westlife.co.in/investors/financial-news-and-information/>

You are requested to take the same on record.

Thanking you,

Yours faithfully,

For Westlife Foodworld Limited

Dr Shatadru Sengupta
Company Secretary

Encl : as above

SHATADRU

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SHATADRU SENGUPTA Date: 2024.10.30 15:20:22 +05'30'

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Westlife Foodworld Limited
Q2FY25 Earnings Conference Call

Octo ber 24, 202 4

MANAGEMENT :

■ Mr. Amit Jatia – Chairperson

■ Ms. Smita Jatia – Vice Chairperson

■ Mr. Saurabh Kalra – Managing Director

■ Mr. Akshay Jatia – Executive Director

■ Mr. Hrushit Shah – Chief Financial Officer
■ Mr. Chintan Jajal – Lead Investor Relations

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Moderator: Ladies and gentlemen, good day and welcome to Westlife Foodworld Limited Q2 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

We would like to remind you that certain statements made by the management in today's call may be forward-looking statements. These forward-looking statements reflect management's best judgment and analysis as of today. The actual results may differ materially from the current expectations based on a number of factors affecting the business. Please refer to the safe harbour disclosure in the earnings presentation.

I now hand the conference over to Mr. Chintan Jajal. Thank you, and over to you, sir.

Chintan Jajal: Thanks, Sagar. Welcome, everyone and thank you for joining us on Westlife Foodworld Earnings Conference Call for the second quarter ended 30th September 2024. I'm Chintan Jajal, Lead IR at Westlife. From the management team, I have with me Mr. Amit Jatia, Chairperson; Ms. Smita Jatia, Vice Chairperson; Mr. Saurabh Kalra, Managing Director; Mr. Akshay Jatia, Executive Director and Mr. Hrushit Shah, Chief Financial Officer.

We will kick off today's conversation with Akshay sharing his thoughts on overall business progress and outlook. This will be followed by Saurabh taking us through operational, financial and strategic highlights. Post that, we can open the forum for questions and answers. We will be referring to earnings presentation and financial releases available on the BSE, NSE and Investors page of our website.

With that, I now request Akshay to commence this session. Thank you, and over to you, Akshay.

Akshay Jatia: Hello and good evening, everyone. I'm happy to have you on call today. I'll begin with a brief overview of the operating environment. As you know the demand environment remains challenging across retail and mass consumption categories. Community-related external issues have been prolonged, particularly impacting dining traffic. Furthermore, erratic weather patterns are not just impacting business operations, but also leading to heightened volatility of input costs.

Consequently, our same-store sales growth remained subdued at negative 6.5% for the quarter, while overall sales growth stood at 1% year-on-year. Given the high levels of fixed costs in our business, unfavourable operating leverage has limited margins.

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Having said that, we believe these headwinds are largely abated. Our primary research indicates that eating out frequency has remained stable with a slight uptick in certain segments.

The share of roadside eatery has been at the lowest level in the past 2 years, suggesting a rising preference for hygienic, safe and convenient options as well as increasing penetration of large brand branded players. Furthermore, positive macroeconomic indicators such as consistent growth in private consumption support our expectation of a gradual consumption uptick. While the macro environment continues to play its part, we have stepped up our execution on value, innovation and governance.

These initiatives have started delivering positive results as seen from higher guest count in the month of September compared to last year. Our market share numbers are inching up in the West, where we are bolstering our market leadership as well as in the South where we are nearing a strong position. This quarter is also marked by two significant milestones.

The first one is the launch of the globally successful McCrispy platform as a part of our core menu. And the second is the introduction of the multi-millet bun developed in collaboration with Central Food Technological Research

h Institute or CFTRI in line with our Real Food Real Good initiative. We are super excited about these launches as we enter the festive season.

Our network expansion remains on track with 8 new stores, taking our total to 408 across 68 cities. As we move forward, we are confident that the foundation we've built will continue to propel us towards our Vision 2027 goals. Thank you for your continued trust and support. I will now hand over to Saurabh to take you through the financial and operational details of the quarter.

Saurabh Kalra: Thank you, Akshay. Ladies and gentlemen, good evening and thank you for joining us to

discuss our Q2 results. Revenue like Akshay has already mentioned for the quarter stood at INR 6.18 billion about a percentage increase over the previous year. Same -store sales were at a negative 6.5%. While overall consumption trends remain subdued compared to last year, they were stable sequentially. In fact, this is one of the quarters where we did equal to our Q1 numbers which is generally the holiday season despite all the rain issues and other climate issues we had.

Our on-premise business declined by 2% Y-o-Y primarily due to softer dine-in trends, community-related external issues and heavy rains that significantly impacted July in our key markets. However, momentum in August and September was relatively better.

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The off-premise business grew by 5% Y-o-Y with flattish same-store sales growth. Our average sales per store on a trailing 12-month basis was at INR60 million.

On the digital journey, with increased traction in our flagship loyalty program, My McDonald's Rewards and the adoption of self-ordering kiosks, digital sales now accounts for nearly three-fourth of our total sales. We continue to engage over 3 million monthly active users through our mobile apps.

Moving on to profitability. Margins during this quarter were muted, largely due to unfavourable operating leverage and higher royalty fees. Our gross margin for Q2 stands at 69.7% was affected by temporary spikes in fresh produce prices particularly lettuce where availability did become an issue. That said we expect the gross margin to rebound to 70% plus levels in the second half which is a healthy benchmark that allows for reinvestment and strategic growth initiatives.

Restaurant operating margin and operating EBITDA margin were down by 352 bps and 343 bps Y-o-Y respectively. Consequently, staff cost as a percentage of sales increased due to annual wage increase while the other operating expenses decreased due to cost optimization initiatives despite continued new store addition. Depreciation stood at 8.1% and we expect this to decline further with higher volume.

Cash profit after tax stood at INR 453 million or 7.3% of sales. On network expansion, we added 8 new restaurants and closed 3, bringing the total count to 408 stores across 66 cities as of September. Approximately 94% of these feature McCafe. Pretty much all stores which are applicable for McCafe now have McCafe. 90% of the stores are EOTF restaurants and 21% offer Drive-Thru services. We remain on track to achieve our FY '25 target of 45 to 50 new stores reinforcing our confidence in the long-term growth potential of both market and our business.

As we navigate the current challenging business environment we are focusing on three key levers to drive profitable growth in the near and medium term. First, our value platform. Building our everyday McSaver Meal, we launched a McSaver-plus campaign in July aimed at the snacking daypart. This is helping us build momentum in our dine-in business. As a matter of fact, guest counts in September were already at the last year's level.

The second lever is product innovation. We are stepping up with the launch of globally successful McCrispy platform. As the name suggests, these products offer a high crunch and an indulgent experience to our customers and our premium McDonald's

range globally. McCrispy Chicken Burger features a whole muscle chicken fillet patty paired with a unique water-glazed bun, while the Crispy Veggie Burger offers a patty

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made of exotic vegetables like zucchini, aubergine and bell peppers. We've also introduced McCrispy Fried Chicken to our bone and chicken portfolio now available across the South market.

We officially launched the McCrispy campaign at the start of October and are planning to amplify it further during the upcoming festive season. Please do try McCrispy we are very, very proud of the product, if you haven't already and please give us feedback, good, bad or if you don't like it, please do let us know.

The third lever is robust cost governance. It is critical for maintaining the fiscal and financial discipline and achieving our strategic goals. While these productivity programs are helping us navigate current challenges, fostering a culture of cost consciousness and shared responsibility will position us strongly when the market conditions improve and helping us achieve our Vision 2027 targets.

In conclusion, with these initiatives in place, along with the belief of gradually improving consumer spending, we are well positioned to gain momentum in the second half of the year. Our market share continues to strengthen month-on-month, highlighting our focus on execution and brand building. We remain committed to our Vision 2027 targets. Thank you for your time. I now hand over the call to the moderator and open

the floor for your questions.

Moderator: We will now begin the question -and -answer session. Our first question comes from Devanshu Bansal from Emkay Global.

Devanshu Bansal : Thanks for taking my question . Akshay, first question is , there is this big growth divergence between growth in off -premise channel for McDonald's and the growth that the aggregators are reporting, right? So Zomato, for example, has reported 20% plus growth, while for us, the delivery channel is in single digit. So, I just wanted to check what's your view on this growth divergence versus the aggregator? That's the question...

Akshay Jatia: So from our point of view, basis constant and consistent discussions with them, we are growing at a very healthy rate on their platform versus or relative to the platform and competitors. So from that point of view, they believe that we are in a market -leading position even on their platforms. Basis our initial calculation, a lot of the growth that you are seeing in the food delivery segment is inorganic. On the organic level, we are seeing that the platforms are experiencing pressure. And from the consistent conversation during our reviews and partnership discussions, we are quite satisfied with the growth rate that our brand is able to achieve.

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Devanshu Bansal : Understood, Akshay. That's very clear. Second, Akshay, in some of your interviews, you sort of indicated about collaborating more with the other franchisee that operates McDonald's in India. Plus there was some mention of oil alliance Drive -Thru as well. So just if you could throw some light on these 2 things as well.

Akshay Jatia : Sorry, could you just repeat the second half of the question? I couldn't hear you clearly.

Devanshu Bansal : Oil alliance Drive -Thrus, are you sort of building some alliance with the fuel pumps or something maybe?

Akshay Jatia : So sorry, the first one was around collaboration with North and East. Is that what you said?

Devanshu Bansal : Right. Yes .

Akshay Jatia So like we've always maintained, we are separate companies, but we do operate one brand. And as the business in the North and East is coming back to shape after the long disputes that went on over there and there's a lot of investment going into the business, I think that there are opportunities where we do collaborate with them.

For example, the McCrispy campaign that we've just launched in the festive quarter, it's also being launched in the North and East. And we are collaborating in terms of product build, offering, pricing as well as advertising. So these are opportunities where we see sense in collaborating, and we take advantage wherever we can. In terms of the second question, I'll just pass it on to Saurabh, and he'll give you an answer.

Saurabh Kalra : So oil alliance is not new for us. We already have 10 to 12 restaurants operating as oil alliance Drive -Thrus. We expect it to continue working with the three big oil companies, which is Indian Oil, BPCL and HPCL and see opportunities where it emerges both on the highways and in cities where there is an opportunity to put a McDonald's together.

Devanshu Bansal : Yes, sir. You were sort of mentioning that you have been in partnership with a few fuel retailers. So I could hear you till that point.

Saurabh Kalra : So I was saying that we already have 12 operational stores. Around 12 operational stores with the oil line partners , primarily the public sector companies of Indian Oil, HPCL, BPCL. We are looking forward to partnering with them more, especially on access control highways and the city areas wherever they can provide and wherever we can partner together. We already have master agreements with BPCL and HPCL. We're trying to do the same with Indian Oil and see how can we expand that base, especially for highways.

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Devanshu Bansal : Understood. Last question from my end. Saurabh sir, from an SSG perspective, Q3, the base itself is very favourable where we sort of saw a significant decline due to community -specific challenges. So is expecting a mid -single digit kind of a positive SSG in Q3 would be a reasonable expectation because we are comping on a low base? Is that a right assumption?

Saurabh Kalra : I think we are a momentum business, and what we have learnt is one of the reasons why we did value was , we wanted to make sure that the GC momentum comes back first, which is the guest count momentum comes back first. Like I said when I was speaking also that in September, we saw almost pretty much the same level as last year.

Now having said that, it is a momentum business, and you don't see overnight turns and changes. And so we expect to be market competitive, and you will see our results differentiated in the marketplace for sure. What will that number be? I'll not be in a

position to comment right now.

Devanshu Bansal : Thank you for taking my questions, I will get back in the queue.

Moderator: The next question is from Jay Doshi from Kotak. Please go ahead.

Jay Doshi : So we have seen a significant deterioration in margins over the past few quarters, partly due to the headwinds that overall the industry faces, and it's been slightly more. My question is now we are 3 years away from your 2027 vision. And when you articulated that vision, the underlying assumptions were about 600 -odd stores with INR7.5 crores per store average revenue per annum and ballpark 15% to 17% Pre-Ind AS EBITDA margin.

A lot has changed in terms of ADS trends in the past 2 years. If you're not able to get to that ADS that you had articulated at that point of time by 2027, is it still possible to get to the lower end of EBITDA margin? Do you think this business has enough operating leverage or cost efficiencies? Or to put the other way, what is the minimum ADS you would need to get to 15% pre -Ind AS EBITDA margin at company level?

Akshay Jatia So Jay, I want to answer it differently. Like Saurabh said, we're a momentum -based business and a lot of the efforts, like I also said in my commentary, in around value for money, innovation and governance are all aimed towards increasing average unit volume as well as profitability. And as you saw even with our Vision 2022, the moment the momentum came in the direction and t

he way we wanted it to, you saw average

unit volume grow significantly as well as margins.

And that's exactly what our endeavour is even for H2 of this year. So as the average unit volume keeps growing basis all our initiatives and there's a strong focus on both the

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strategic initiatives as well as the execution of the same, we are quite confident that these numbers can be achieved and that's where all the effort is towards. And like I said, we saw this with Vision 2022, and we maintain that same optimism about Vision 2027, which is why we gave out a 5 -year vision.

In fact, when we gave out the vision, everyone was telling us that it is conservative, right? And from our point of view, we've seen a lot of cycles over the last 30 years. And the retail QSR space is one that has its headwinds as well as its tailwind. But this sort of situation as we call it, we've taken it as an opportunity to double down on these strategic initiatives and we're very confident that once we turn the corner, we shall only be seeing positive momentum.

Jay Doshi : Understood. Second question is just a follow -up that was partly asked by the earlier participant. Last year, you had called out in December quarter a quantum of headwind you had because of geopolitical reasons.

Now during the course of the year, has it more or less eased out or there is still some headwind in some stores in some markets? And that gets anniversarized starting November, should there be a big jump in SSSG trends ? By big I mean at least 200, 300 basis points. Should that be the base case assumption that December quarter SSSG should be at least 300 basis points better than September quarter, everything else being same?

Saurabh Kalra: It's a great question. I think we all talk about it on an everyday basis. I don't think a lot of stores which got impacted last year have come up to the level of what they were pre the crisis. Having said that, what you have said is absolutely right. We have built a lot of good momentum and when we believe the negative cycle should be behind us and we should be able to do a better job in the H2, that is pretty much what Akshay had mentioned .

And I also mentioned that we believe we are poised if the consumption trends come back, we are poised to be able to create the results which normally you would expect from us. But what I can tell you is no matter how the environment is, you will definitely see differentiated results in the marketplace.

Moderator: The next question is from Naman Jain from Pioneer Investcorp.

Naman Jain: So primarily, I wanted to know what's your average per customer invoice value ?

Saurabh Kalra: Sorry, can you repeat? We didn't get the question.

Naman Jain: Per customer invoice value on an average ?

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Saurabh Kalra: We generally don't share the details of average value. That's why we would not -- there's a range which we talk about. It's pretty as much as the market average around INR300 to INR 350, but we can't give you the specifics for the quarter.

Naman Jain: Okay. And secondly, we are seeing a trend of people trying to focus on a healthier lifestyle. So they try to switch to healthier alternatives to what we offer as our products.

So how are we hoping to tackle that?

Saurabh Kalra: So life is very relative. I think McDonald's -- if this is an environment in which everybody was becoming reasonable and was looking at a lot of data before making a decision, I think the McAloo Tikki Burger will become a fan favourite and an everyday meal for everybody in the country. However, there is more about the perception than reality. But having said that, I think we have done a lot of work on our platform of Real Food Real Good.

If you look at it, like I said, McAloo Tikki became a burger, which was balanced in the calories coming out of fat, protein and carbohydrates 3, 4 years back. This quarter, being committed to th

e steps we need to take in the direction of making our food more nutritious, we have launched a millet bun, which you can add to any of your burgers with INR10 extra. We continue working on both quality standards and nutritional standards of all our products.

Needless to say, there are indulgent burgers, which we would like people to use it when they are having an indulgent occasion or an occasional visit to McDonald's. So I think what we are seeing is that our consumers are really appreciating the efforts which we have made. In fact, millet bun was very, very appreciated in this field.

Moderator: The next question is from Gaurav Jogani from JM Financial. Please go ahead.

Gaurav Jogani: My first question is with regards to a clarification. Did you say that the stores that were impacted due to the geopolitical thing the last year around, are they back to those earlier levels now?

Saurabh Kalra: No. Like I said, some stores have recovered. There was a part of stores which were impacted. We had given the number last year. If I look at it from that standpoint where they were and they are impacted, they are better off, but we are marginally better off. They still largely remain impacted. And I can quote a few examples of store in Mumbai Central, Mazgaon, where what we used to do, we are not even doing half of what we used to do. So it remains tough in some of those belts.

Gaurav Jogani: Sure. Sir, just a related question. I mean so assuming that because they would be in the base now in Q3 and assuming these customers, they don't come back, how do you look

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-- not now but 2, 3 years hence, your ADS spending? Can we add new set of customers or new occasions or something of that sort that take us ahead from this thing?

Saurabh Kalra: So exactly what you said. We try to go back to our strategy and focus on our inputs. And if you look at it, what we did was a McSaver platform, which was we wanted to reignite the momentum on snacking so that the dine-in GCs increase. And we have seen good results coming out of it. In fact, like I had mentioned that in September, as a matter of fact, we are almost at the similar guest count levels what we were last year.

So it's about solving the problem structurally and then rather than reacting to the situation, how can we add occasions? So can we strengthen stacking further? Can we do value more? So a lot of work which has happened in the past 6 months has been around the value platform. And we are quite pleased with the kind of momentum we have gained out of it.

Akshay Jatia: Yes. So to add to that, we've gained great momentum from our value platform. On top of that, we recently launched the McCrispy burger also, which is a great example of innovation as well as affordable luxury as we call it in the food space, where it's a premium burger at a great price point with very high-quality ingredients. So at the same time, it connotes value, but at the same time, it's aspirational and high quality for our customers.

So we continue to toggle between both entry level, mid-level as well as premium level price points to ensure that our customers get all aspects of value, whether it's price, whether it's quality, whether it's willingness, whether it's new sensibilities with ingredients like what we've done in the Veggie McCrispy Burger.

So that's how we're adding new occasions, and we're very confident that like we said in our commentary that we feel the headwinds are abating and we're on a very strong wicket as the growth or growth in consumption starts coming back.

Gaurav Jogani: So can I suggest this that if you can give this data point that X of these stores, which are impacted due to these geopolitical or community recent issues, the rest of the stores, would they be having a positive SSG? Would that be a fair understanding or assumption?

Saurabh Kalra: So they have grown sequentially, like I mentioned

d. So that would mean they would have marginally positive SSG sequentially.

Gaurav Jogani: Okay, sure. And my next question is with regards to the margins again, given that you have done great work on the costing side, which is clearly reflecting in the G&A

expenses as well. So assuming once the demand comes back and you start doing that

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mid -single digit kind of SSG also, can we expect better than earlier expected margin profile for you because then we'll be a double lever of cost savings plus the operating leverage kicking in?

Akshay Jatia: So Gaurav, we maintain our margin guidance as we've given out in Vision 2027. As we see ADS coming back in through our initiatives of value innovation, we're going to have a strong focus on cost governance. And by doing so, I think we were at very healthy margins last year, which was kind of numbers that would have kept us completely on track. So we're anticipating that as the growth in consumption comes back, we'll continue to rebuild our momentum. And I think Vision 2027 is where we maintain our profitability guidance.

Gaurav Jogani: Okay, sure. And the last question from my end is in terms of the gross margins. I understand that there is an impact because of this latest thing that you mentioned. But is there also an additional impact of the value platform or rather the McSaver platform that was done, which would have kind of impacted the gross margin? And in that light, what could be the possible gross margin levels expected ahead?

Saurabh Kalra: I think I mentioned in my initial commentary also that we expect to go back to the 70 -plus levels for sure. Like we said, there were a few headwinds on fresh produce. There was no lettuce available and part of it has to be imported from outside the country to make sure that we continue to serve our products. That's why it's a one -off. We will get back to our 70 -plus levels of gross margin in the second half , we are very confident about that.

Moderator: Thank you. The next question is from Krishna Shah from Ashika Stock Broking. Please go ahead.

Krishna Shah: My first question is on the new store target front. So , we've mentioned that we'll be opening around 45 to 50 stores this year -- in this financial year. And so far, we've added only 11 stores. So , do we expect to meet the target of like another 30, 35 stores in the next 2 quarters and expect a higher outflow of capex?

Akshay Jatia: So, we maintain our guidance on store additions, and we maintain our guidance on capex also, which is roughly around INR 220 crores to INR 250 crores for the year.

Krishna Shah: Okay. Got it. And secondly, on the ramp -up front, I just wanted to understand what is the ramp -up period in terms of months that we are expecting like we've already had for the new stores?

Akshay Jatia: So, if I understand correctly, you're saying how quickly do new stores ramp up to system AUV?

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Krishna Shah: Yes, yes, correct.

Akshay Jatia: So again, it varies. There are some stores that ramp up quite fast in the first couple of years. A couple of examples of stores that take a little longer are more futuristic stores where we put freestanding Drive -Thrus on highways that are developing or suburban highways or suburban centres that are also developing, where you have a slower build, but obviously, the unit economics are still quite favourable .

So, there is a basket of stores in, say, Mumbai, which we opened. And on day one , you start seeing them within the first couple of months moving up to system average. So again, this is a flavour of a combination of examples and that's how we kind of give out our guidance where it's roughly over a period of 2 to 3 years where you will see them exceeding system average.

Krishna Shah: Okay. Got it. This is helpful. And my last question is on the off -premise point that you are mentioning that we've grown 5%. So

o , the 5% year -on-year growth is coming through our Drive -Thru approach that we are planning to expand through or more through deliveries?

Saurabh Kalra: Like I mentioned in my commentary also that while the same -store sales growth remains flat, 5% is the total growth. Obviously, needless to say, it came out of both the Delivery and Drive -Thrus.

Krishna Shah: Okay. Got it. And what would be our split in terms of delivery through our app versus the third party?

Akshay Jatia: So, we don't break out that data.

Moderator: The next question comes from Saurabh Kundan from Goldman Sachs. Please go ahead.

Saurabh Kundan: My question is on McCrispy. It's been around, I guess, for about a month now. What's been your observation on whether it is helping get -- is it helping get new walk -ins or new customers rather? Or is it increasing the frequency of existing customers? Or is it some other observation like maybe existing customers upgrading to it? So, what's been

your -- what has the data been saying till now?

Saurabh Kalra: Too early to answer this question. I think I'll keep this for the next quarter. But all I can tell you is when I've been in the restaurant, a lot of customers are talking and giving us great feedback about both the products, which is the Crispy Veggie and the McCrispy Chicken.

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Saurabh Kundan: All right. I wanted -- my second question is, sorry, if I missed this earlier. You made a comment about September footfall already back -- September month footfall, was it, already back to where last year's footfall was. Is that what you meant?

Saurabh Kalra: Yes.

Akshay Jatia: Yes.

Saurabh Kundan: Okay. And are you talking like -for-like footfall?

Akshay Jatia: Same -store footfall.

Saurabh Kundan: Same -store footfall. Okay, same -store footfall is that. Okay.

Moderator: The next question is from Sabyasachi Mukerji from Bajaj Finserv Asset Management Company. Please go ahead.

Sabyasachi Mukerji: Just a clarification from one of the comments made earlier. So, when we compare our performance with the food aggregator Zomato, the gross order value Y -o-Y increase for this quarter, they have reported around 21%. I believe you mentioned that when we talk with the food aggregator, they say that it is because of inorganic growth and organic growth is not very strong. I'm sorry, what is inorganic growth here for the food aggregator?

Saurabh Kalra: What we understand is one is the Western fast -food growth. That's what we are calling organic. There are other channels which they focus on, like, for example, feeds, they open new cities, all that drives their growth. There are multiple channels they have to work on and multiple cities they can work on. But it is not like -to-like, for example, the Western fast -food is not like -to-like. The categories in the platform are not always like -to-like. What we mean is that we are doing quite well when we speak to them as far as the Western fast -food business is concerned.

Sabyasachi Mukerji: Okay. And when we say that we are doing better than our peers in the Western fast - food category, could you, I mean, shed some light on what could be the Western fast - food category is doing? I mean is it declining Y -o-Y? I mean what's your sense?

Saurabh Kalra: Sir, I will not elaborate further. But all I can say is there is obviously growth, and we are also a part of that growth, including the total growth which we have seen in the dine - out or takeout occasions, which is out of restaurant consumption, which we have mentioned that we grew by 5%.

Sabyasachi Mukerji: So basically, what -- where am I coming from is that are you seeing some trends where in your conversations with your probably partners and, I mean, with the food aggregator

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and all that probably there is some down trading that is happening across the Board, people preferring to lower ticket

size or maybe going to the unorganized chains, which are listed in the food aggregator app always. So, I mean are you having that sense i n conversation with them?

Saurabh Kalra: We would not be commenting on that one, sir. It is their business. It is what they have to comment about. We do have conversation in closed rooms. We discuss things on what is prudent for our business. We are really not too worried about what happens on their channel and other businesses. But when they give us a relative context, we know that we are competitively very well placed. That's the point we wanted to make and that's what it is.

Moderator: Next question is from Ashish Agarwal, who is an Individual Investor. Please go ahead.

Ashish Agarwal : Yes, so my question is regarding the royalty that you have written one of the reasons is the royalty increase. So how much is the royalty that we are paying this year? Is it 5% or more than that?

Saurabh Kalra : It is actually 5.5% with GST -- GST, sorry.

Ashish Agarwal : Because your website says 5% this year, so I was just looking at royalty. I mean how much is it really creating that much as you called it out is what I wanted to understand you ?

Saurabh Kalra: I said 5.5% with GST, which is around 5% without GST. It is -- whatever has been uploaded is correct information on the site.

Ashish Agarwal : Okay. And given the macroeconomic condition and given the QSR base, are we in a position to negotiate with the parent company about the royalty or that's not in the cards?

Saurabh Kalra: Sir, we do not look at McDonald's relationship on a day -to-day basis. Obviously, we want

a long -term, more stable royalty plan. I mean we have got a royalty plan 3 years back, which we have uploaded. When it comes for renegotiation, again, we are going to renegotiate.

Short -term temporary conversations which happens, we don't usually update it in a natural course . We would like to call them as operational things. There might be an off incentive, etcetera, which might come here and there. But largely, our royalty plan, whatever we have committed to, we remain on track on that one.

Moderator: The next question comes from Vishal Punmiya from Yes Securities. Please go ahead.

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Vishal Punmiya: My question is actually on store additions, not for us, but for the industry. If you can give some insights in terms of how the industry is looking at store additions because a few quarters back, everyone called out aggressive expansion. Even the burger pl ayers in the Western and Southern region who were earlier regional players, they called out aggressive expansion of stores. Based on the current environment, how are they looking at store expansion, if you could help with some insights?

Akshay Jatia: So Vishal, I think we maintain that we will continue to open 45 to 50 stores this year as we're committed to investing in growth, and we're very confident in terms of our strategy, and we believe the opportunity ahead of us is large in terms of -- and we've been very consistent in our guidance around store additions. And we always maintain that we will do what the market can handle.

In terms of the industry, I can't really comment much because there's been inconsistency in terms of how stores have been opened. And you will probably hear whatever their views are when you hear their commentary or speak to them individually. But overall, yes, obviously, we've always maintained we need to do what's right for the business and right for the market. And we've continued to perform and open in that manner. So we stick to that, and industry will continue to evolve.

Vishal Punmiya: Yes. I totally appreciate that you have been consistent with your store additions. The reason that I asked for the industry, how they are acting is basically to get some sense on the competitive environment and whether that would benefit us in the next cou ple of years. And

if the market recovers, then whether we would be a bigger beneficiary of that recovery. So that is where I'm coming from ?

Akshay Jatia: That's what I said, right? So, we are investing in growth. We are very confident of our strategy, which is why, like I said, we do what the market can handle. And when we took this decision to increase our store openings, it was with a long -term view, and it was not just to capitalize on any short -term gains that we were seeing. And what I was trying to also imply is that we will be there to take advantage of the growth however the industry evolves.

In terms of the competitive landscape, there's been inconsistency in terms of what you hear. And that's what I've always maintained even in my individual conversations that you will continue to see that evolve as the consumer environment evolves. And for u s, we have a very long -term opportunity and a long -term view. And even post these 600 stores, we'll come up with a guidance that's right for the market.

Vishal Punmiya: Okay, that's all my side. And best of luck for the second half and also wishing the team a happy Diwali.

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Saurabh Kalra: Happy Diwali. Thank you.

Akshay Jatia: Thank you. Happy Diwali.

Moderator: As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Akshay Jatia: Thank you so much. Have a great week and wishing everyone a very happy Diwali and looking forward to speaking to you all next quarter. Thank you.

Moderator: Thank you. On behalf of Westlife Foodworld Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Disclaimer: Please note that t his transcript has been edited to correct any inadvertent grammatical inaccuracies or language inconsistencies that may have occurred while speaking. The audio of this call is available here .

Call: Feb 2025

WESTLIFE FOODWORLD LTD.

[Formerly known as Westlife Development Ltd.]

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Senapati Bapat Marg ■ Prabhadevi ■ Mumbai 400 013

Tel : 022 -4913 5000 Fax : 022 -4913 5001

CIN No. : L65990MH1982PLC028593

Website: www.westlife.co.in | E -mail id :shatadru@westlife.co.in

Date: 5th February, 2025

To, To,

BSE Ltd. ('the BSE') The National Stock Exchange of India Limited ('the NSE')

Phiroze Jeejeebhoy Towers Exchange Plaza

Dalal Street Bandra Kurla Complex, Bandra (East)

Mumbai 400 001 Mumbai – 400051

Sub : Compliance with Regulation s 30 of the SEBI (LODR) Regulations, 2015 ,
Submission of transcript of earnings conference call for the quarter ended
31st December, 2024

Re : Westlife Foodworld Ltd. (formerly known as Westlife Development Ltd.) ("the
Company ") : Scrip Code -505533 and WESTLIFE (NSE)

Dear Sirs,

In compliance with Regulation s 30 of the Securities and Exchange Board of India (Listing
Obligations and Disclosure Requirements) Regulations, 2015 , please find enclosed herewith
transcript of earnings conference call for the quarter ended 31st December, 2024 , held post the
Board Meeting of the Company on 29th January, 2025 .

In this regard, the transcript of the said earnings conference call has also been uploaded on
the Company's website and can be accessed at the weblink :
<https://www.westlife.co.in/investors/financial-news-and-information/>

You are requested to take the same on record.

Thanking you,

Yours faithfully,

For Westlife Foodworld Limited

Dr Shatadru Sengupta
Company Secretary

Encl : as above

SHATADRU

SENGUPTADigitally signed by

SHATADRU SENGUPTA Date: 2025.02.05 10:29:02 +05'30'

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Westlife Foodworld Limited
Q3FY25 Earnings Conference Call

January 29, 2025

MANAGEMENT :

■ Mr. Akshay Jatia – Executive Director

■ Mr. Saurabh Kalra – Managing Director

■ Mr. Hrushit Shah – Chief Financial Officer

■ Mr. Chintan Jajal – Lead Investor Relations

Moderator: Ladies and gentlemen, good day and welcome to the Westlife Foodworld Limited Q3 FY '25 Earnings Conference Call.

As a reminder, all participants' lines will be in listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing "*" and then "0" on your touch tone phone. Please note that this conference is being recorded.

We would like to remind you that certain statements made by the management in today's call may be forward-looking statements. These forward-looking statements reflect management's best judgment and analysis as of today. The actual results may differ materially from the current expectations based on a number of factors affecting the business. Please refer to the Safe Harbor disclosure in the earnings presentation. I now hand the conference over to Mr. Chintan Jajal. Thank you. And over to you, sir. Chintan Jajal : Thanks. Welcome, everyone. And thank you for joining us on Westlife Foodworld's earnings conference call for the 3rd Quarter ended 31st December 2024. I am Chintan, Lead IR at Westlife.

From the management team I have with me, Mr. Saurabh Kalra – Managing Director ; Mr. Akshay Jatia – Executive Director ; Mr. Hrushit Shah – Chief Financial Officer.

We will kick off today's conversation with Akshay sharing his thoughts on overall progress in outlook. This will be followed by Saurabh taking us through operational, financial and strategic highlights. Post that we can open the forum for questions and answers. We will be referring to the Earnings Presentation and Financial Releases available on the BSE, NSE and Investors Page of our Website.

With that, I now request Akshay to commence this session. Thank you and over to you, Akshay.

Akshay Jatia: Thank you, Chintan. Hello and good evening, everyone. I am happy to have you on the call today. I trust you have seen the numbers, Saurabh will take you through the details. But in summary, growth is gradually coming back, and we are encouraged by signs of progress. Same store sales were up by 3% year-on-year moving back in the positive territory. A key highlight here is that it is a guest count-led same store sales growth, while average check remains stable. I think this reflects our well-rounded strategy

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focused on enhancing value, our value proposition, while driving customer excitement through product innovation.

We have been pioneers of value in the QSR industry with initiatives like the Happy Price menu launched nearly 20 years ago, democratizing the burger category in India. In fact, the QSR industry globally is built on two core pillars of value and convenience. I am pleased to report that our sustained efforts with Everyday McSaver Meals and the McSaver Combo programs have significantly improved our affordability perceptions scores, and increased customer footfall in our restaurants.

Our customers continue to see us as value leaders, which is crucial in a challenging consumption environment where every rupee counts. We remain committed to delivering exceptional food experiences at all price points. During the quarter, we launched the McCrispy platform, with Shordaar Crunch tag line. The product has been very well received by customers and is becoming a favorite for many. McCrispy along with McCafe, has enabled us to drive the premium segment of our portfolio.

Our customers are increasingly looking for experiences that offer both affordability and premium options, deepening their needs and occasions. Our ability to cater to these diverse preferences is a testament to our robust strategy and deep understanding of consumer behavior.

Lastly, the operating environment remains challenging. We are yet to see a significant increase in dine-in trends. We anticipate that

stability in retail inflation and any

budgetary measures to boost disposable income and purchasing power could provide the necessary stimulus in the near term to consumption. Despite these challenges, we continue to execute our strategy and expand our network prudently, in line with our Vision 2027 plan with a long-term growth mindset.

We opened a record 46 new restaurants in the Calendar Year of 2024. Our ambition is to fortify our market leadership and deliver differentiated performance in the years to come, supported by a strong foundation and multiple growth levers.

Thank you for your continued confidence in us. I will now hand over to Saurabh to take you through the operational and financial details of the quarter.

Saurabh Kalra : Thank you, Akshay. Ladies and gentlemen, good evening. Thank you for joining us for this Q3 result. I am pleased to report to you that our revenue for the last quarter reached Rs. 6.54 billion, reflecting our 9% year-on-year growth. Our same store sales momentum

has improved to a positive 3% Y-o-Y from a negative 6.5 % in the last quarter . Our

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positive shift is given by increased footfalls and transactions , while our average check remains stable, as Akshay just pointed out .

Our dual strategy of focusing on product innovations like McCrispy and offering value through McSaver has generated encouraging momentum despite current challenging consumer spending trends.

From a channel perspective , our growth has been pretty broad based , with both on premise and off premise growing about 9% Y-o-Y . Our omni -channel strategy is designed to deliver an exceptional customer experience at every touch point. To this end, we continue to invest and enhance our capabilities across dine -in, delivery , and drive -thru . While growth may vary across channels, we believe that a broad -based growth approach is far more resilient and value accretive over medium to long -term , given the evolving customer preferences on channels.

Off-premise contribution stood at 42% , consistent with the two -year average. Our average sales per store on a trailing 12 month s basis was around Rs. 60 million. We are committed to further enhancing consumer experience through digital technology. Our digital journey is actually progressing quite well with increased enrollments in our flagship loyalty program , MyMcDonald's Rewards , and the adoption of the self -ordering kiosk across all our restaurants. We engage with over 3 million monthly active users on our mobile approximately, and digital sales that now account for almost 70% of our top line.

Turning to profitability, our gross margin improved by almost 40 bps sequentially to 70.1% , despite heightened inflation in key commodities such as oil, coffee, cocoa, etc. We mitigated these inflationary pressures through supply chain and cost initiatives and a 50-bps portfolio level price increase. We expect the gross margin to remain stable at around 70% in the near term, providing a healthy benchmark for reinvestment in strategic growth initiatives.

Restaurant operating margin and operating EBITDA were lower by approximately 200 bps Y -o-Y due to operating leverage and higher A&P spends for new product launch. However, on a sequential basis, we saw an improvement in profitability due to a better scale and cost management. We anticipate that this trend to continue as the average unit volume improves. The cash profit after tax stood at Rs. 520 million or 8 % of sales. Despite near -term challenges, we are forging ahead with our network expansion plan. We added 15 new restaurants in the quarter and close to bringing our total store count to 421 across 67 cities as of December 31st. Approximately , 95% of these restaurants feature McCafe , 92% EOTF, and 22% offer drive -thru services. We are on track to

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achieving our FY '25 target of 45 to 50 new rest

aurants , reinforcing our confidence on the long term potential of both the industry and our business.

In summary :

As I highlighted last quarter, our three key pillars to drive profitable growth in the near to medium term are ; first , accelerating on the value platform. Second, augmenting our menu through product innovation and giving excitement to our customers. And third, robust cost governance . We are seeing promising signs and green shoots of these initiatives taking effect. Guest count momentum is improving, particularly in dine -in, leading to a broad -based growth . Our breakeven sales have improved by 2% to 2.5% in the past quarter due to systematic cost governance, thereby enhancing like-for-like profitability , sequentially.

Thank you for your time. I now hand over the call to the moderator and open the floor for your questions.

Moderator: Thank you very much. We will now begin the question -and -answer. We have the first question from the line of Devanshu Bansal from Emkay Global Financial Services.

Please go ahead.

Devanshu Bansal : Hi, thanks for taking my questions . And congrats on the growth revival in the business.

So, the first question is that, there are a few important changes that have happened in our business over the last couple of years. One such change is the digital -led sales, which is now about 70% for us versus 50% earlier. These changes specifically are currently being underappreciated due to the weak demand environment . But I wanted to check on the positive impact of these changes in terms of top line margin once we return to normal cy.

Akshay Jatia: So, Devanshu, the way we look at it actually is that we are acquiring a very loyal customer because we view digital touch points as a touch point where we understand

the customer a lot better because we get their information, we get their buying trends in a digitized format . And as a result, we are able to reach out to customers regularly and personalize their experience in terms of offerings that we display to them, as well as personalize their experience in the restaurants through our self -ordering kiosks , etc. So, in the long run, the way we look at it is that it will increase frequency. It allows us to cross sell to our customers, which can eventually have an impact on average ticket size positively . But most importantly , it gives us predictability in our business where we are able to , firstly, have multiple cohorts whose frequency we know, and multiple cohorts who se buying habits we know . So, as a result , it helps with predictability , it helps with loyal customer base , and eventually sales growth.

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Saurabh Kalra : So, just adding on to what Akshay said, j ust one point . I think in my commentary also I talked about it being a journey. I think the question you asked is also around what will happen when it all culminates . I think Akshay gave you a flavor of we can bring predictability , we can control frequency, we w ill have our loyal customer base with us all the time. So, those are all advantages we all know. But to me, we are also approaching it very structurally because there is restaurant and network involved. Because our digital strategy is also really phygital , right, so there is self -ordering kiosks which are there in the restaurant . So, we foresee this journey completing and giving us all the dividends which digital sales gives to the business.

Devanshu Bansal : Understood , Saurabh, Akshay. A ny margin benefits also that should accrue, apart from operating leverage because of better throughput ? So, any cost savings that can be there with these digital initiatives?

Akshay Jatia: So, we do not look at it like that today. I think we would rather focus on throughput advantages we can get . And I think, as we get more control in terms of the buying journey, we can definitely obviously tactically intervene with upselling,

but most importantly, giving the customers what they want . So, I think t hroughput is what I would focus on.

Devanshu Bansal : Understood. Akshay. The second strateg ic question is , we are sticking to our five -year vision of delivering Rs. 40 billion to Rs. 45 billion of sales by FY '28, right? So, '24 and '25 in between are two years that have been impacted because of weak environment as well as some g lobal actions. So, is it fair to assume that now the lower end of the guidance seems more likely versus the upper end of the guidance that may not be achieved?

Saurabh Kalra : So, the guidance, obviously , there is a reason why th at guidance is a range . I do not know what we will achieve , because honestly, we are putting our best foot forward. We went through a certain crisis where our new base got established. We have finally got momentum of starting to beat that base. We would like to do far more than what we have done already . But I would not say we should change, not change, because when COVID came in, our current guidance looked highly unlikely for us to achieve V ision 2022 , too . But we did it. So, I would rather say, there are demand challenges , there is a volatile world out there , the consumer demand is not as what it should have been. But that could change , right, t hat could change in the next one year and you could see, okay , all of a sudden you got a high single digit growth.

So, things happen i n business . I think there are times when you protect your base , there are times you improve your profitability , there are times you accelerate on sales . The good news for us is , we know our business is linked to a lot of momentum. Finally, we

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have broken the negative momentum . Last time when this had happened, it had taken us 2.5 years to get out of the negative momentum. This year we have been able to do this in four quarters . So, we are taking a little bit of heart out of our history and saying , what is the art of possible rather than saying what could be the barriers , is where we are. Now t here is a range , we are still fairly committed to achieve that range.

Devanshu Bansal : Understood. Last question from my end. We are likely going to be anywhere around 13.5% post -IndAS EBITDA margin in FY '25 . So , in the PPT we have indicated that we are making higher investments in terms of marketing otherwise to come over the community -based challenges as well as we ak demand environment. So, I just wanted to check what are the one -off kind of investments that we have made in FY '25, which may not be repeated in FY '26 .

Saurabh Kalra : So, while I will not give you the answer directly as FY '25 versus F Y '26, obviously we have to reach what we have committed in the Vision 2027 over the next two years. Now, the good news is , if you look at it sequentially, we did see a significant improvement o ver the previous quarter. And o ur intent is to maintain this quarterly improvement and show

it to us and through results that we will be able to make the EBI DTA improvement , sequentially, going closer to what we have laid down into our Vision 2027 . And you will see improvement over the next one year because there are multiple paths to it, right. So, the multiple paths include what is the product mix, what is the pricing strategy. Then there is what are the cost governance initiative , what are you doing on the bottom store , stop store . So, there is multiple work which is happening right now. I think we are fairly confident that we will be able to grow EBITDA percentage consistently , sequentially.

Devanshu Bansal : Fair enough . Thanks for taking my questions.

Moderator: Thank you . We have the next question from the line of Saurabh Kundan from Goldman Sachs. Please go ahead.

Saurabh Kundan : Hi. Thank you. It's actually very similar to the previous participant, but I was looking at your AUV currently, you

are at Rs. 60 million . And to reach the lower end, I think rough cut calculation shows that you have to increase the AU V by 15% over the next three years. And correct me if I am wrong, but that should translate to a high single digit SS SG on average, over the next three years. So, if you could just help us how you expect to get a high single digit SSSG, t hat will really help. If you could just break it down into maybe transactions , foot fall or new product introduction , that will really help get some confidence.

Saurabh Kalra : Okay . So, I will give you a little bit of flavor on it. So, obviously when you look at the average unit volume , and you compare it to the comparative store sales, which actually

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means that all our restaurant s which were present last year have done 3% better , so their AUV is higher. The AUV on a totality basis is lower because of some of the new store additions and for some stores which might have shut down , one or two stores which we would have shut down . So , if you look at in totality, the momentum of growing has come back . I know some of the new stores might not have been at the system level, which is causing some kind of , to me a transitional blip because we open ed the number of stores we did. And w e also e xpect them to reach system level in the next couple of years. So, there will be some momentum which will come from that side. And like I said, we are a momentum business. Finally, we have reached positive . It does not always change in one quarter . I remember still time when we had launched the Happy Price Menu campaign in 2004 , it almost took us three quarters of launching it to become positive, and then one year to really have the next five years rung of good positive numbers. So , we are true to our strategy, I think whatever we had laid down in Vision 2027, we have fairly committed to it. In fact, what we did do was , because of all this crisis we had augmented it and said accelerating value platforms is now one of the key agendas we have. We are comfortable with what we are providing as input and then we believe this is just a matter of time when you will start seeing the momentum shift to even better numbers.

Saurabh Kundan : Sure. Thank you, Saurabh. So, safe to assume that it will be largely transaction s driven? I am talking about the SS SG because you are focusing on value, so you are trying to get more and m ore footfall .

Saurabh Kalra : Yes , we would. We would largely want it transaction driven without having any impact on the average customer bill value. That's pretty much how we have always thought about things , and that should continue.

Saurabh Kundan : Okay . And I think you mentioned in your remarks that you feel that dine -in is still not fully back , can you just dig a little deeper into that? Do you say that because some of your earlier , the impact of restaurants, are they still down in footfall? Are you expecting them to come back or is it something else?

Saurabh Kalra : No, no, I do not think , I mentioned that in my comments b ut, however, I think there was a new baseline got established last year . And we have to improve from there . And we believe the growth will be broad based across channels and across types of stores. We did see even in the last quarter some of the regions are not performing as well and some of the regions really doing q uite well. So, we have to work on those regions and that's how things w ill pan out.

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Saurabh Kundan : Okay. And did you exit this quarter , since you mentioned momentum , did you exit this quarter better than this overall 3% ? And was the last few weeks better than 3% ?

Saurabh Kalra : So, overall if I w ere to say, it was a quarter which was pretty much at par. If I was to look at it very, very in detail, I would say the last 10 days in December weren't as we would have expected it to be in t

he conventional sense. However, since January we see coming back. So, that's how it is.

Saurabh Kundan : Okay . Thank you for that . One last question. If I am reading the numbers right, the royalty as a percentage of sales seems to be quite low , so what explains that?

Saurabh Kalra : Last year December also we had told that that on an annual basis we reconcile all the incentives , etc. , which comes from the McDonald's Corporation on store opening etc. So, all the numbers have been reconciled . They are not materially big impact on the annual basis , on one quarter it sometimes look s a little better.

Saurabh Kundan : The next quarter you revert to what you r normal royalty is as a percentage of sales.

Saurabh Kalra : Our normal royalty is what given in our website on an annual basis . Beyond that, if there are any incentives, etc. , pass -through , we do it once in a year in December. So, last year also you would see it was similar.

Saurabh Kundan : Sure, sure. Thank you.

Moderator: Thank you . We have the next question from the line of Avi from Macquarie. Please go ahead.

Avi: Yes . Hi. Thanks a lot. I just wanted to check on the impact of geopolitical factors. How has that behaved in 3Q? And whether that is changing , given the recent agreements, etc. that have com e.

Saurabh Kalra : Hi, Avi. How are you doing? Hope you are well.

Avi: Yes .

Saurabh Kalra : So, actually , Avi, I look at it a little differently. There w as a new base that got established last year . We not necessarily looking at it. A nd for us its history , it happened. We are not doing anything extraordinary for any type of cohort , specifically for any geopolitical , etc., ratios. We have taken it as a part of our base, and we are saying how do we grow from there . And the good news is , some momentum got built last quarter .

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Akshay Jatia: Correct. And largely , we are seeing a lot of appreciation of our efforts. There are some stores that still have some of this overhang . But largely , like Saurabh said , its history for us and we are focusing on building momentum through the value leavers or the levers in general that we have spoken about.

Avi: Got it. So, I mean, where I was coming from is, you pointed towards gradual improvement in demand, y our initiatives are on track, on value, doing very well over there. I just wanted to get some comfort on whether the macro , is it giving us any sense of expecting a sequential improvement in same store sales growth trends as we go forward . And the only thing that I was trying to kind of balance the equation was this, which is the base of the question. So, w ould it be fair to say that it looks all in place for a potential –

Saurabh Kalra : Avi, I will give you this answer in a little bit other way. When people leave a brand for a certain reason, new habits get created. It is not a switch on or a switch off. I think that's why I said we created a new base . The IEO growth remains pretty much muted for the entire year, which is the informal eatin g out sector . Luckily, western fast food is doing quite okay, which is also reflected in our 9% growth overall. But the eating -out occasions have not grown or have remained muted . In fact, OND , with whatever we see , is almost flattish as much as July, August, September , if not a little lesser . So, that's what we see. So, how I would read it is , there are new habits got created and we need to improve from where we are . And we are no longer talking about any factors impacting directly or indirectly.

Avi: Got it. Got. Just a follow -up on that, given this weak demand environment across this industry that you are witnessing , has there been any change in competition or competitive intensity whether it is from peers or aggregators?

Saurabh Kalra : Whenever there will be pressure , everybody wants to give the best value to the consumer. Eventually, wh

en I look at it for us, right, we have put our best value offering on everyday affordable pricing there of what is good for the business and what is good for the consumer and what is good for us, being able to have a sustainable business result. That's why we look at it this way, saying, we have to do what w e have started out for ourselves. So, I do not see anything from a competitive standpoint because we discuss what do the consumers want . In this environment value w ill work , and therefore our number one goal right now is to accelerate the value platform.

Avi: And I think there is closure or something?

Akshay Jatia: Sorry Avi. I think we do also talk about value in its entirety, which is our value for money proposition. So, it's not only an entry level price point, it's the right price point across

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our entire pricing ladder. So, whether it's at the entry level , at the core level , or at the premium level, we feel that it's the best quality product at the best price possible for the

customers that makes a difference . And we supplement it or complement it with our experience as well as the quality hygiene standards that we offer at a McDonald's, whether it's at the restaurant or through delivery drive -thru or omnichannel experience. So, I do not want you all to get caught up in the thought that value is just price. That's what I just wanted to clarify. And like Saurabh said, we want to maintain this that a new base has been created, and we are gradually improving from there. We are quite pleased with how our initiatives are being appreciated by customers and we feel like we have the right product portfolio as well as the use case occasions are drawn out . And we are quite excited about our FY '26 plans as well.

Avi: Got it. Fairly clear, Akshay and Saurabh. Thanks a lot for this. I will come back in the queue. Thank you.

Moderator: Thank you. The next question is from the line of Jay Doshi from Kotak. Please go ahead.

Jay Doshi : Yes . Hi. Thanks for the opportunity. First is, could you give us some update on how your chicken venture has progressed over the last two years since you launched, in how many restaurants you have fried chicken available today of your overall network ? And what would the ballpark salience be that you would have reached in those restaurants?

Akshay Jatia: Sure. So, I think we have it in all our restaurants in the South , as we have always maintained . And select restaurants in other geographies where we feel the chicken eating occasion is relevant. I think you know we have made good progress in terms of our platform. We now have a holistic platform where we have a mixed McSpicy range , a McCrispy range , as well as wings in the McSpicy format . So, we feel like now we have the right bone in offering . In addition to that, we have our burger chicken as well as our chicken sides , which include Chicken Nuggets , etc. So, I think we have done a lot of good work in establishing this portfolio . And additionally , we further improved the product with our most recent roll out in this quarter ensuring that customers are viewing this as a differentiated product .

So, we have done a lot of process product improvement . And long story short, this quarter is when we are launching our final version of the back -end product. And moving forward, we are very bullish as we bring customers back to our restaurants in using this as an added lever to add an occasion as well as build credibility as well as leadership in the chicken category , or further build credibility and establish leadership in the chicken market. And I think that's why we are so bullish on the South as well. And it's one of the growth levers that still has to play out for the years to come.

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Jay Doshi : Understood. Akshay , would it be possible to give us a count in terms of how many restaurant

s you have these products available ? And whether it is high single digit salience as a percentage of ADS or double digit ? I believe you had called it out early on , the initial year that you launched . And we know is whether it is improved in terms of salience, or it has tapered off or it's – where it is?

Akshay Jatia: Yes , sure. So, we have 160 restaurants, I can share that . In terms of ads, it's remained largely stable. It has not grown exponentially. But we have seen a stable base over the last six months . We have not broken -out the number , this is the first time . But at the right time we will share some more flavor . Because like I said, we have been constantly working on getting the foundation right because it's required a holistic approach, which includes the product, the training, the mindset , the mindset that we want to establish for chicken leadership in the South.

And on top of that, we have launched this McCrispy platform which includes bone and chicken , as well as McCrispy Chicken Burger, which is again targeted towards our Southern customers as well as customers in the West who enjoy eating chicken burgers. So, I think you will only see ADS go up moving forward . And at the right time , we will give some flavor in terms of how it's contributing to growth. As of now, like I maintain , the growth levers still needs to play out.

Jay Doshi : Understood, thank you. Second is on value , you did partly answer the question in response to the previous question. Again, is it possible to sort of give us some quantitative data points which kind of help us better understand how your strategy or your focus on value earlier this year or doubling down on value has helped either in terms of driving transactions or has the mix changed in favor of value ?

The reason of asking this question is , when we look at one of your peers, the post -delivery fee waiver and slightly more sharper pricing , they have seen massive pick up in same store sales growth . So, are you seeing any such signs or do you anticipate similar trends in your business also maybe a quarter or two down the line ?

Akshay Jatia: So, Jay, I mean, sorry to interrupt , I got the gist of your question. I think like we maintain in our commentary as well, we have already seen a gradual improvement where we are at 3% year -on-year same store sales growth . And it's come on the back of guest count -

led growth, which means that our value proposition is working . But I want to maintain that value for us means value across the board. Obviously, sharp communication around entry level price points does help customers enter the restaurant, but we do a very good job in terms of creating them up as well , because we want to maintain profitability as we keep adding average unit volume. That's when operating leverage truly plays out. We do not want to cannibalize and downgrade our customers. So , I think

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the quantitative indication is already there in our current quarter same store sales growth which has been primarily guest count led. And we have managed ensuring that value has been across the board because our average check has remained largely stable. So , I think that's how I would look at it.

Jay Doshi : Sure. Thank you so much.

Moderator: Thank you. The next question is from the line of Krishnan Sambamoorthy with Nirmal Bang Institutional Equities. Please go ahead.

Krishnan Sambamoorthy : Hi, Akshay and Saurabh. Over the last couple of years, a lot of your peers have ranked up their value offerings. Both of you also mentioned at the beginning that you have retained your value leadership . But has there been any perceptible loss in your value market share over the last couple of years , so the state of launches by peers?

Akshay Jaitia: So, I mean, as we mentioned again in our commentary, in fact our value scores and affordability perception scores

have increased significantly . And as a result, we have also seen a quantitative output or outcome , which is our increased customer footfall. So, I mean, we answered that already. But again, to reiterate, we definitely are the leader in terms of value for money , in terms of brand scores , as well as affordability perceptions scores which are increasingly important for brand trust.

Saurabh Kalra : And I think for us, quality of the consumer is as important as the value platform, which is sustainable to us , so that balances out the needs of the three stakeholders , right , you guys shareholders, the second part of the consumer, whether that proposition is good enough . And the third part is for company profitability because we want to grow through internal accruals . So, when you think about value platform, we think quite strategically about it. So, whatever value platform you see, we believe they are good enough to be able to maintain high quality consumer intake to the brand and this is something which we can sustain. We have got internal norms around what do we do for entry level , what do we do from mid -tier, what do we do from the premium side of it . But , I mean , we like to be within those ratios because back to us is broad based growth which also signifies good quality growth. So , that's how we think about it.

Krishnan Sambamoorthy : That's clear . Thank s a lot . The next question is from the pricing. The 50-basis point that has been initiated in Q3 , in what month was this done ? Was it there for the whole quarter ? And has it been more in the premium end of the portfolio and McCafe , given what has happened to the coffee prices ?

Saurabh Kalra : Good news is , you were not able to observe it , so I think our pricing was pretty good. It's a small portion; it was done on a few levers on a few products where we were

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actually cheaper than most people in the marketplace. So, we keep doing this activity , 50 bps, yes, it's not substantial, we did it in November.

Krishnan Sambamoorthy : Okay . Thanks a lot.

Moderator: Thank you. The next question is from the line of Gaurav Jogani from JM Financial. Please go ahead.

Gaurav Jogani : Hi, thank you for taking my question. So, just one question on the margin side. Effectively what I read is that it is largely because of the suppressed AUV that the margins are getting impacted .

Saurabh Kalra : Gaurav, sorry, your voice is pretty – Gaurav, sorry, you will have to repeat it , your voice is completely broken.

Gaurav Jogani : Yes . Is it better now? Are you able to hear me now?

Saurabh Kalra : Yes, it's slightly better.

Gaurav Jogani : Yes . So, the question is , I understand that the margin impact is largely because of the negative leverage. But at what level of the AUV do you think that you can possibly achieve the 2027 guidance in terms of the margins?

Saurabh Kalra : Let me answer it differently like what I had answered earlier. I think we had to invest in a few areas, which we did at that point in time. Now we will see sequentially we improving our profitability literally for a few quarters to be able to retain our baseline. I would not go with AUV guidance. There is work which we can do now to be able to bring back our base number on profitability. So, that's the endeavor and that's how we are thinking about it.

Gaurav Jogani : Sorry , if you can be more clear , it did not help me answer my question . I mean, see, the thing was that earlier, even a 6.5 kind of AUV and even 7 kind of AUV we are clocking around 1 2%, kind of pre -IndAS numbers . So, given the entire condition , that I am sure that you would have given the cost line items more better, the understanding would be that even at a lower maybe AUV probably you can still achieve the margin guidance that you have given . That is what I actually wanted to understand.

Akshay Jatia: So, Ga

urav , we cannot understand , the call is very broken so we cannot understand what you are saying. So, we will take this offline , we can answer your question. Chintan can get back to you.

Gaurav Jogani : Okay , sure. Thank you.

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Moderator: Thank you. The next question is from the line of Jignanshu Gor from Bernstein. Please go ahead.

Jignanshu Gor : Hi. Thank you so much for taking my question. I hope I am audible.

Saurabh Kalra : Yes, loud and clear.

Jignanshu Gor : Okay , great. So, congratulations on improving performance . I think it sounds that the dine -in especially is coming back. So, the context for my question is your 2027 Vision statement. And I know you touched upon this earlier , specifically from achieving the AUV perspective. My question was, of course , we are behind on our straight -line trajectory from where we would want to be from. '22 to '27 given the market conditions . In your view, what would be the key levers that you think will come in handy to transition from the current AUV number that we have at around Rs. 60 million to let's say around Rs. 70 million which we need at the mid -range of our '27 Vision numbers? So, is it guest counts? Is it a better mix with more premium products, more A UV per customer , dine -in versus this, so what are your like top one or two ideas that you think should have the highest impact in that growth?

Akshay Jatia: I think , Jignanshu , we had laid down Vision 2027 with clear priorities on the deck saying what is it that we intend to do in order to get AUV . However, there was a part on making sure that we continue to lead family and meal occasions, the second one was around menu. Third one , the rest of the two were more around growth in terms of the new stores etc. But to me, while augmenting menu and product innovations continue, our menu continues to be an important lever which you are going to see us play out. I think the guest count coming into value is an important lever for us in the short and medium term to be able to ensure that we are continuously building some momentum in the business.

Jignanshu Gor : Okay . That's very helpful . And in fact , offers me a segue into my second and final question. You said one of the reasons SSSG was positive was driven by guest count, which in turn was driven by value products . Now, from my understanding, majority of the menu additional launches that we did were slightly premium than their existing counterparts. Value focus was largely on combos.

Akshay Jatia: So, I am sorry, I am just going to interrupt there, Jignanshu . I covered it in my questions – sorry , my answers preceding this where I mentioned that value for us means broad based value , value across price points. We followed multiple strategies and tactics through our retail network in the last quarter where we were communicating value across our entry level price point , our core , as well as the affordable premium price point. So, we made sure that we were bringing in customers by activating our

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restaurants on the ground through entry level price points. We were trading them up and we were also communicating on media about our affordable premium price points, as well as our entry level. So, it was broad based value for money, and I have always maintained that , so just wanted to clarify that.

Jignanshu Gor : That's very helpful , Akshay . Thank you. That the final part of that question which I wanted to complete was , we are comfortable with the value of products and hence the mix that we are getting post trading up etc. as being both gross and EBITDA margin accretive . And that's not a challenge that we see going forward.

Akshay Jatia: Yes,

Jignanshu Gor : Okay . Sure. Thank you so much. And all the best for Q4, yes.

Akshay Jatia: Thank you.

Moderator: Thank you. The next question is from the line of Latika Chopra fr

om JP Morgan. Please

go ahead.

Latika Chopra: Hi. Thank you for the opportunity. I have a few questions or clarification; one was on your

new store addition. I know we are close to ending at FY ' 25, but when you are looking at the broad demand environment , and you touched upon how new store AUVs are lower than the mature stores and probably they are not trending as performance y our initial expectations, would there be any change in the thought process on locations which you will want to open new stores in? Would you target more of smaller towns or you would want to again target deepening presence in the big cities which ensure a certain level of throughput for you?

Akshay Jatia: Hi, Latika . No, I mean, there's going to be no change in our development process because we do not target cities basis only one factor. We use multiple factors in terms of evaluating our sites or the site pipeline that we put together . And this is actually built out over many years , not just one year because our real -estate process spans over nine months in terms of identification to opening . So, nothing changes overnight . And again, like we have always maintained, we are invested for the long term . And all of the locations that we are opening are projected over a 25 to 30 year s' timeline. So, in the long run, I mean , all of them will be cash cows.

Latika Chopra: And this current pace of store addition is fairly comfortable for you?

Akshay Jatia: Sorry, could you repeat that?

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Latika Chopra: The current pace of stored additions , the 45 to 50 stores --

Akshay Jatia: Yes, long term profitable for us.

Latika Chopra: All right. The second bit was , you answer ed a similar question for chicken, and I was just trying to check with you on the coffee piece in terms of salience , any incremental flavor on how is that trending for you? I s that salience very varied across different geographies? What more can you do on beverages? If you can elaborate a bit more on that.

Akshay Jatia: Sure. So, like we have always maintained, this is just the beginning of the coffee journey. It's a lever that again is going to play out, because our consumption story still has to play out even as a country as well as a category . Cafes are definitely helping along with players like us who have set up the proposition in terms of creating the market and educating customers in terms of what good coffee is. And I think we are very well poised to take advantage of that in the coming years. We h ave a great proposition , we have 400 -plus McCafe s. A nd I think the strategy is across cities , specifically our key cities where we see McCafe as a ver y established part of our brand now . And it's about increasing trials as well as frequency. So, I think we have done a great job . And the growth has to still play out.

Latika Chopra: Sir, the salience of coffee in your overall ADS is stable over the last --

Akshay Jatia: It's growing. It is g rowing.

Latika Chopra: It's growing.

Akshay Jatia: Yes .

Latika Chopra: Okay . And the third bit I wanted to check was on price, how do you think about price increased ? I know there's been a lot of focus on value and there's a focus on guest count improvement . But in the past, historically , you have taken a low single digit kind of pricing on an annualized basis, because there is some inflation in the system always. So, how are you thinking about that for the coming fiscal ?

Saurabh Kalra : Exactly how we have always thought about pricing . that you cannot fall way below inflation for multiple years for sure. So, every year we take small , small price , do not be shy of taking small price increases . And taking at least 50% of what the inflation is running as price increase would remain a norm. So, typically 2% to 4% of price increase is what we have conventionally taken , not more than 1% or 2% at one go . For

the year, it

might be 2% to 3% or 2% to 4%. So, we will continue doing what we have always done.

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Latika Chopra: Understood. And absolutely last bit, MAU numbers that you have shared that they are up low double digit. I just wanted to check whether this is the kind of growth that's also translating in terms of the absolute value sales that you are doing through your own approximately o rdering ? Basically , is the own app delivery orders increasing at a pace similar to MAU growth , how s hould we think about it? Thank you .

Saurabh Kalra : The MAU actually both are of our own channels, which is our delivery app and also on the app which we do dine -in. So, it's the cumulative number , we do not break out. But having said that, I think the delivery growth is coming out of all three, right , the third - party operators like Swiggy and Zomato , and our own app. The g ood news is , our own app is not lagging behind for sure as far as the percentage of growth is concerned .

Latika Chopra: Alright, thank you.

Saurabh Kalra : Thank you.

Moderator: Thank you. The next question is from the line of Prathamesh Dahake from Motilal Oswal. Please go ahead.

Prathamesh Dahake : Hi. Am I audible?

Moderator: Yes , you are audible sir.

Akshay Jatia: Yes , yes, loud and clear .

Prathamesh Dahake : Yes . Sir just wanted to check , if I were to break down the growth as well as SSSG in this quarter, how much impact of festivals versus transactions do you see being factored into this quarter ? And will the impact of the festivals, if there is any , go off in the coming quarters ?

Akshay Jatia: See, we have never looked at it this way. Luckily, all festivals are cyclical . They are all built in the base exactly like that, so we do not believe there are good times , there are bad times. For me there was no positive or negative impact of festivals , they were like to like what it was last year . So, I would not attribute positively or negatively around any of this .

Prathamesh Dahake : I asked because last year the 3rd Quarter was negative 9% SSSG. So, I mean, did we get any benefit of that lower base something like that ?

Akshay Jatia: Again , as we have mentioned, we believe that the growth that we have seen is coming on the back of the new baseline that was achieved and primarily linked to all our efforts in terms of value for money and hence it's been primarily guest count led , and we do not attribute it to any specific days or any specific events. That's why we report SSSG

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quarter -- year-on-year . And that gives you a sense in terms of how growth is playing out.

Saurabh Kalra : I also gave a flavor of when there is a negative trajectory in a retail environment, it generally you would not come out of it immediately . I think this would be the shortest run of negatives where we have been able to come out of it in four quarters. Normally , you will not see that in a retail environment if you look it from that standpoint, because a lot of it is behavior linked , a lot of it is consumer habit linked. Things do not change, switch on and switch off . And it's not that since last quarter you were negative nine so now your base should come back because unfortunately that's not how consumers work as humans .

Prathamesh Dahake : Okay . My next question was with respect to numbers. Sir, our store level payroll expenses have fallen sequentially. So , should we consider this as the new base for the coming quarter and the coming quarters , if I were to say?

Hrushit Shah : Yes . So, as you rightly pointed out, sequentially we have seen improvement in our margins , right . And Saurabh has also rightly pointed out in terms of the effort is in terms of maintaining the margins as we go ahead. So, your hypothesis is in the right direction.

Prathamesh Dahake : Okay , fine. That's all from my side.

Moderator: Thank you. The ne

xt question is from the line of Harshad Gadekar from Elara Capital.

Please go ahead.

Harshad Gadekar: Yes , hi. Am I audible?

Moderator: Yes, you are audible, sir.

Harshad Gadekar: Yes. So , congratulations on a good set of numbers. Sir my question is on the , recently a lot of food delivery platforms have started 10 , 15 minutes of delivery , and burgers are their one of the prime menu s, so how it has been fared for us? That's question number one . Question number two is on , how much of our overall exposure as regards the online food delivery platform has shifted to this kind of 10 , 15 minutes delivery form at?

Saurabh Kalra : Luckily on the food side of it, that has not actually been a significant portion yet. In the last quarter we had tried out a few restaurants, we are now expanding the number of store based on 15-minute delivery , etc. But if you look at it , burgers any which ways mostly are majority of orders get delivered in 20 to 25 minutes even with the third -party operating p artner s. So, I do not foresee too much change coming on that side. It could be a n interesting marketing proposition for the consumers. And if it does that , it augurs

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well for us in the future. But right now , I have no evidence to say if the offering of 15 minutes is doing anything for the system yet.

Harshad Gadekar: Okay . Thank you.

Moderator: Thank you. The next question is from the line of Krishna Shah from Ashika Stock Broking. Please go ahead.

Krishna Shah : Good evening , sir . I have only one question regarding the store account. So, we are hoping to open close to 45 to 50 stores as guided at the start of the year , and we have so far had a net addition of 24 stores. So , are we in line of meeting our guidance for the near term?

Akshay Jatia : So, our guidance remains the same . And yes, we are on track

Krishna Shah : Okay. Thank you , sir.

Moderator: Thank you. We have no further questions , ladies and gentlemen. I would now like to hand the conference over to the management for closing comments. Over to you , gentlemen.

Akshay Jatia: Thank you so much everyone , everyone . And see you next quarter.

Saurabh Kalra : Thank you.

Moderator: Thank you. On behalf of Westlife Foodworld Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Disclaimer: Please note that this transcript has been edited to correct any inadvertent grammatical inaccuracies or language inconsistencies that may have occurred while speaking. The audio of this call is available [here](#) .

Call: Feb 2025

WESTLIFE FOODWORLD LTD.

[Formerly known as Westlife Development Ltd.]

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Date: 5th February, 2025

To, To,

BSE Ltd. ('the BSE') The National Stock Exchange of India Limited ('the NSE')

Phiroze Jeejeebhoy Towers Exchange Plaza

Dalal Street Bandra Kurla Complex, Bandra (East)

Mumbai 400 001 Mumbai – 400051

Sub : Compliance with Regulation s 30 of the SEBI (LODR) Regulations, 2015 ,
Submission of transcript of earnings conference call for the quarter ended
31st December, 2024

Re : Westlife Foodworld Ltd. (formerly known as Westlife Development Ltd.) ("the
Company ") : Scrip Code -505533 and WESTLIFE (NSE)

Dear Sirs,

In compliance with Regulation s 30 of the Securities and Exchange Board of India (Listing
Obligations and Disclosure Requirements) Regulations, 2015 , please find enclosed herewith
transcript of earnings conference call for the quarter ended 31st December, 2024 , held post the
Board Meeting of the Company on 29th January, 2025 .

In this regard, the transcript of the said earnings conference call has also been uploaded on
the Company's website and can be accessed at the weblink :
<https://www.westlife.co.in/investors/financial-news-and-information/>

You are requested to take the same on record.

Thanking you,

Yours faithfully,

For Westlife Foodworld Limited

Dr Shatadru Sengupta
Company Secretary

Encl : as above

SHATADRU

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SHATADRU SENGUPTA Date: 2025.02.05 10:29:02 +05'30'

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Westlife Foodworld Limited
Q3FY25 Earnings Conference Call

January 29, 2025

MANAGEMENT :

■ Mr. Akshay Jatia – Executive Director

■ Mr. Saurabh Kalra – Managing Director

■ Mr. Hrushit Shah – Chief Financial Officer

■ Mr. Chintan Jajal – Lead Investor Relations

Moderator: Ladies and gentlemen, good day and welcome to the Westlife Foodworld Limited Q3 FY '25 Earnings Conference Call.

As a reminder, all participants' lines will be in listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing "*" and then "0" on your touch tone phone. Please note that this conference is being recorded.

We would like to remind you that certain statements made by the management in today's call may be forward-looking statements. These forward-looking statements reflect management's best judgment and analysis as of today. The actual results may differ materially from the current expectations based on a number of factors affecting the business. Please refer to the Safe Harbor disclosure in the earnings presentation. I now hand the conference over to Mr. Chintan Jajal. Thank you. And over to you, sir. Chintan Jajal : Thanks. Welcome, everyone. And thank you for joining us on Westlife Foodworld's earnings conference call for the 3rd Quarter ended 31st December 2024. I am Chintan, Lead IR at Westlife.

From the management team I have with me, Mr. Saurabh Kalra – Managing Director ; Mr. Akshay Jatia – Executive Director ; Mr. Hrushit Shah – Chief Financial Officer.

We will kick off today's conversation with Akshay sharing his thoughts on overall progress in outlook. This will be followed by Saurabh taking us through operational, financial and strategic highlights. Post that we can open the forum for questions and answers. We will be referring to the Earnings Presentation and Financial Releases available on the BSE, NSE and Investors Page of our Website.

With that, I now request Akshay to commence this session. Thank you and over to you, Akshay.

Akshay Jatia: Thank you, Chintan. Hello and good evening, everyone. I am happy to have you on the call today. I trust you have seen the numbers, Saurabh will take you through the details. But in summary, growth is gradually coming back, and we are encouraged by signs of progress. Same store sales were up by 3% year-on-year moving back in the positive territory. A key highlight here is that it is a guest count-led same store sales growth, while average check remains stable. I think this reflects our well-rounded strategy

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focused on enhancing value, our value proposition, while driving customer excitement through product innovation.

We have been pioneers of value in the QSR industry with initiatives like the Happy Price menu launched nearly 20 years ago, democratizing the burger category in India. In fact, the QSR industry globally is built on two core pillars of value and convenience. I am pleased to report that our sustained efforts with Everyday McSaver Meals and the McSaver Combo programs have significantly improved our affordability perceptions scores, and increased customer footfall in our restaurants.

Our customers continue to see us as value leaders, which is crucial in a challenging consumption environment where every rupee counts. We remain committed to delivering exceptional food experiences at all price points. During the quarter, we launched the McCrispy platform, with Shordaar Crunch tag line. The product has been very well received by customers and is becoming a favorite for many. McCrispy along with McCafe, has enabled us to drive the premium segment of our portfolio.

Our customers are increasingly looking for experiences that offer both affordability and premium options, deepening their needs and occasions. Our ability to cater to these diverse preferences is a testament to our robust strategy and deep understanding of consumer behavior.

Lastly, the operating environment remains challenging. We are yet to see a significant increase in dine-in trends. We anticipate that

stability in retail inflation and any

budgetary measures to boost disposable income and purchasing power could provide the necessary stimulus in the near term to consumption. Despite these challenges, we continue to execute our strategy and expand our network prudently, in line with our Vision 2027 plan with a long-term growth mindset.

We opened a record 46 new restaurants in the Calendar Year of 2024. Our ambition is to fortify our market leadership and deliver differentiated performance in the years to come, supported by a strong foundation and multiple growth levers.

Thank you for your continued confidence in us. I will now hand over to Saurabh to take you through the operational and financial details of the quarter.

Saurabh Kalra : Thank you, Akshay. Ladies and gentlemen, good evening. Thank you for joining us for this Q3 result. I am pleased to report to you that our revenue for the last quarter reached Rs. 6.54 billion, reflecting our 9% year-on-year growth. Our same store sales momentum

has improved to a positive 3% Y-o-Y from a negative 6.5 % in the last quarter . Our

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positive shift is given by increased footfalls and transactions , while our average check remains stable, as Akshay just pointed out .

Our dual strategy of focusing on product innovations like McCrispy and offering value through McSaver has generated encouraging momentum despite current challenging consumer spending trends.

From a channel perspective , our growth has been pretty broad based , with both on premise and off premise growing about 9% Y-o-Y . Our omni -channel strategy is designed to deliver an exceptional customer experience at every touch point. To this end, we continue to invest and enhance our capabilities across dine -in, delivery , and drive -thru . While growth may vary across channels, we believe that a broad -based growth approach is far more resilient and value accretive over medium to long -term , given the evolving customer preferences on channels.

Off-premise contribution stood at 42% , consistent with the two -year average. Our average sales per store on a trailing 12 month s basis was around Rs. 60 million. We are committed to further enhancing consumer experience through digital technology. Our digital journey is actually progressing quite well with increased enrollments in our flagship loyalty program , MyMcDonald's Rewards , and the adoption of the self -ordering kiosk across all our restaurants. We engage with over 3 million monthly active users on our mobile approximately, and digital sales that now account for almost 70% of our top line.

Turning to profitability, our gross margin improved by almost 40 bps sequentially to 70.1% , despite heightened inflation in key commodities such as oil, coffee, cocoa, etc. We mitigated these inflationary pressures through supply chain and cost initiatives and a 50-bps portfolio level price increase. We expect the gross margin to remain stable at around 70% in the near term, providing a healthy benchmark for reinvestment in strategic growth initiatives.

Restaurant operating margin and operating EBITDA were lower by approximately 200 bps Y -o-Y due to operating leverage and higher A&P spends for new product launch. However, on a sequential basis, we saw an improvement in profitability due to a better scale and cost management. We anticipate that this trend to continue as the average unit volume improves. The cash profit after tax stood at Rs. 520 million or 8 % of sales. Despite near -term challenges, we are forging ahead with our network expansion plan. We added 15 new restaurants in the quarter and close to bringing our total store count to 421 across 67 cities as of December 31st. Approximately , 95% of these restaurants feature McCafe , 92% EOTF, and 22% offer drive -thru services. We are on track to

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achieving our FY '25 target of 45 to 50 new rest

aurants , reinforcing our confidence on

the long term potential of both the industry and our business.

In summary :

As I highlighted last quarter, our three key pillars to drive profitable growth in the near to medium term are ; first , accelerating on the value platform. Second, augmenting our menu through product innovation and giving excitement to our customers. And third, robust cost governance . We are seeing promising signs and green shoots of these initiatives taking effect. Guest count momentum is improving, particularly in dine -in, leading to a broad -based growth . Our breakeven sales have improved by 2% to 2.5% in the past quarter due to systematic cost governance, thereby enhancing like-for-like profitability , sequentially.

Thank you for your time. I now hand over the call to the moderator and open the floor for your questions.

Moderator: Thank you very much. We will now begin the question -and -answer. We have the first question from the line of Devanshu Bansal from Emkay Global Financial Services.

Please go ahead.

Devanshu Bansal : Hi, thanks for taking my questions . And congrats on the growth revival in the business.

So, the first question is that, there are a few important changes that have happened in our business over the last couple of years. One such change is the digital -led sales, which is now about 70% for us versus 50% earlier. These changes specifically are currently being underappreciated due to the weak demand environment . But I wanted to check on the positive impact of these changes in terms of top line margin once we return to normal cy.

Akshay Jatia: So, Devanshu, the way we look at it actually is that we are acquiring a very loyal customer because we view digital touch points as a touch point where we understand

the customer a lot better because we get their information, we get their buying trends in a digitized format . And as a result, we are able to reach out to customers regularly and personalize their experience in terms of offerings that we display to them, as well as personalize their experience in the restaurants through our self -ordering kiosks , etc. So, in the long run, the way we look at it is that it will increase frequency. It allows us to cross sell to our customers, which can eventually have an impact on average ticket size positively . But most importantly , it gives us predictability in our business where we are able to , firstly, have multiple cohorts whose frequency we know, and multiple cohorts who se buying habits we know . So, as a result , it helps with predictability , it helps with loyal customer base , and eventually sales growth.

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Saurabh Kalra : So, just adding on to what Akshay said, j ust one point . I think in my commentary also I talked about it being a journey. I think the question you asked is also around what will happen when it all culminates . I think Akshay gave you a flavor of we can bring predictability , we can control frequency, we w ill have our loyal customer base with us all the time. So, those are all advantages we all know. But to me, we are also approaching it very structurally because there is restaurant and network involved. Because our digital strategy is also really phygital , right, so there is self -ordering kiosks which are there in the restaurant . So, we foresee this journey completing and giving us all the dividends which digital sales gives to the business.

Devanshu Bansal : Understood , Saurabh, Akshay. A ny margin benefits also that should accrue, apart from operating leverage because of better throughput ? So, any cost savings that can be there with these digital initiatives?

Akshay Jatia: So, we do not look at it like that today. I think we would rather focus on throughput advantages we can get . And I think, as we get more control in terms of the buying journey, we can definitely obviously tactically intervene with upselling,

but most importantly, giving the customers what they want . So, I think t hroughput is what I would focus on.

Devanshu Bansal : Understood. Akshay. The second strateg ic question is , we are sticking to our five -year vision of delivering Rs. 40 billion to Rs. 45 billion of sales by FY '28, right? So, '24 and '25 in between are two years that have been impacted because of weak environment as well as some g lobal actions. So, is it fair to assume that now the lower end of the guidance seems more likely versus the upper end of the guidance that may not be achieved?

Saurabh Kalra : So, the guidance, obviously , there is a reason why th at guidance is a range . I do not know what we will achieve , because honestly, we are putting our best foot forward. We went through a certain crisis where our new base got established. We have finally got momentum of starting to beat that base. We would like to do far more than what we have done already . But I would not say we should change, not change, because when COVID came in, our current guidance looked highly unlikely for us to achieve V ision 2022 , too . But we did it. So, I would rather say, there are demand challenges , there is a volatile world out there , the consumer demand is not as what it should have been. But that could change , right, t hat could change in the next one year and you could see, okay , all of a sudden you got a high single digit growth.

So, things happen i n business . I think there are times when you protect your base , there are times you improve your profitability , there are times you accelerate on sales . The good news for us is , we know our business is linked to a lot of momentum. Finally, we

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have broken the negative momentum . Last time when this had happened, it had taken us 2.5 years to get out of the negative momentum. This year we have been able to do this in four quarters . So, we are taking a little bit of heart out of our history and saying , what is the art of possible rather than saying what could be the barriers , is where we are. Now t here is a range , we are still fairly committed to achieve that range.

Devanshu Bansal : Understood. Last question from my end. We are likely going to be anywhere around 13.5% post -IndAS EBITDA margin in FY '25 . So , in the PPT we have indicated that we are making higher investments in terms of marketing otherwise to come over the community -based challenges as well as we ak demand environment. So, I just wanted to check what are the one -off kind of investments that we have made in FY '25, which may not be repeated in FY '26 .

Saurabh Kalra : So, while I will not give you the answer directly as FY '25 versus F Y '26, obviously we have to reach what we have committed in the Vision 2027 over the next two years. Now, the good news is , if you look at it sequentially, we did see a significant improvement o ver the previous quarter. And o ur intent is to maintain this quarterly improvement and show

it to us and through results that we will be able to make the EBI DTA improvement , sequentially, going closer to what we have laid down into our Vision 2027 . And you will see improvement over the next one year because there are multiple paths to it, right. So, the multiple paths include what is the product mix, what is the pricing strategy. Then there is what are the cost governance initiative , what are you doing on the bottom store , stop store . So, there is multiple work which is happening right now. I think we are fairly confident that we will be able to grow EBITDA percentage consistently , sequentially.

Devanshu Bansal : Fair enough . Thanks for taking my questions.

Moderator: Thank you . We have the next question from the line of Saurabh Kundan from Goldman Sachs. Please go ahead.

Saurabh Kundan : Hi. Thank you. It's actually very similar to the previous participant, but I was looking at your AUV currently, you

are at Rs. 60 million . And to reach the lower end, I think rough cut calculation shows that you have to increase the AU V by 15% over the next three years. And correct me if I am wrong, but that should translate to a high single digit SS SG on average, over the next three years. So, if you could just help us how you expect to get a high single digit SSSG, t hat will really help. If you could just break it down into maybe transactions , foot fall or new product introduction , that will really help get some confidence.

Saurabh Kalra : Okay . So, I will give you a little bit of flavor on it. So, obviously when you look at the average unit volume , and you compare it to the comparative store sales, which actually

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means that all our restaurant s which were present last year have done 3% better , so their AUV is higher. The AUV on a totality basis is lower because of some of the new store additions and for some stores which might have shut down , one or two stores which we would have shut down . So , if you look at in totality, the momentum of growing has come back . I know some of the new stores might not have been at the system level, which is causing some kind of , to me a transitional blip because we open ed the number of stores we did. And w e also e xpect them to reach system level in the next couple of years. So, there will be some momentum which will come from that side. And like I said, we are a momentum business. Finally, we have reached positive . It does not always change in one quarter . I remember still time when we had launched the Happy Price Menu campaign in 2004 , it almost took us three quarters of launching it to become positive, and then one year to really have the next five years rung of good positive numbers. So , we are true to our strategy, I think whatever we had laid down in Vision 2027, we have fairly committed to it. In fact, what we did do was , because of all this crisis we had augmented it and said accelerating value platforms is now one of the key agendas we have. We are comfortable with what we are providing as input and then we believe this is just a matter of time when you will start seeing the momentum shift to even better numbers.

Saurabh Kundan : Sure. Thank you, Saurabh. So, safe to assume that it will be largely transaction s driven? I am talking about the SS SG because you are focusing on value, so you are trying to get more and m ore footfall .

Saurabh Kalra : Yes , we would. We would largely want it transaction driven without having any impact on the average customer bill value. That's pretty much how we have always thought about things , and that should continue.

Saurabh Kundan : Okay . And I think you mentioned in your remarks that you feel that dine -in is still not fully back , can you just dig a little deeper into that? Do you say that because some of your earlier , the impact of restaurants, are they still down in footfall? Are you expecting them to come back or is it something else?

Saurabh Kalra : No, no, I do not think , I mentioned that in my comments b ut, however, I think there was a new baseline got established last year . And we have to improve from there . And we believe the growth will be broad based across channels and across types of stores. We did see even in the last quarter some of the regions are not performing as well and some of the regions really doing q uite well. So, we have to work on those regions and that's how things w ill pan out.

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Saurabh Kundan : Okay. And did you exit this quarter , since you mentioned momentum , did you exit this quarter better than this overall 3% ? And was the last few weeks better than 3% ?

Saurabh Kalra : So, overall if I w ere to say, it was a quarter which was pretty much at par. If I was to look at it very, very in detail, I would say the last 10 days in December weren't as we would have expected it to be in t

he conventional sense. However, since January we see coming back. So, that's how it is.

Saurabh Kundan : Okay . Thank you for that . One last question. If I am reading the numbers right, the royalty as a percentage of sales seems to be quite low , so what explains that?

Saurabh Kalra : Last year December also we had told that that on an annual basis we reconcile all the incentives , etc. , which comes from the McDonald's Corporation on store opening etc. So, all the numbers have been reconciled . They are not materially big impact on the annual basis , on one quarter it sometimes look s a little better.

Saurabh Kundan : The next quarter you revert to what you r normal royalty is as a percentage of sales.

Saurabh Kalra : Our normal royalty is what given in our website on an annual basis . Beyond that, if there are any incentives, etc. , pass -through , we do it once in a year in December. So, last year also you would see it was similar.

Saurabh Kundan : Sure, sure. Thank you.

Moderator: Thank you . We have the next question from the line of Avi from Macquarie. Please go ahead.

Avi: Yes . Hi. Thanks a lot. I just wanted to check on the impact of geopolitical factors. How has that behaved in 3Q? And whether that is changing , given the recent agreements, etc. that have com e.

Saurabh Kalra : Hi, Avi. How are you doing? Hope you are well.

Avi: Yes .

Saurabh Kalra : So, actually , Avi, I look at it a little differently. There w as a new base that got established last year . We not necessarily looking at it. A nd for us its history , it happened. We are not doing anything extraordinary for any type of cohort , specifically for any geopolitical , etc., ratios. We have taken it as a part of our base, and we are saying how do we grow from there . And the good news is , some momentum got built last quarter .

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Akshay Jatia: Correct. And largely , we are seeing a lot of appreciation of our efforts. There are some stores that still have some of this overhang . But largely , like Saurabh said , its history for us and we are focusing on building momentum through the value leavers or the levers in general that we have spoken about.

Avi: Got it. So, I mean, where I was coming from is, you pointed towards gradual improvement in demand, y our initiatives are on track, on value, doing very well over there. I just wanted to get some comfort on whether the macro , is it giving us any sense of expecting a sequential improvement in same store sales growth trends as we go forward . And the only thing that I was trying to kind of balance the equation was this, which is the base of the question. So, w ould it be fair to say that it looks all in place for a potential –

Saurabh Kalra : Avi, I will give you this answer in a little bit other way. When people leave a brand for a certain reason, new habits get created. It is not a switch on or a switch off. I think that's why I said we created a new base . The IEO growth remains pretty much muted for the entire year, which is the informal eatin g out sector . Luckily, western fast food is doing quite okay, which is also reflected in our 9% growth overall. But the eating -out occasions have not grown or have remained muted . In fact, OND , with whatever we see , is almost flattish as much as July, August, September , if not a little lesser . So, that's what we see. So, how I would read it is , there are new habits got created and we need to improve from where we are . And we are no longer talking about any factors impacting directly or indirectly.

Avi: Got it. Got. Just a follow -up on that, given this weak demand environment across this industry that you are witnessing , has there been any change in competition or competitive intensity whether it is from peers or aggregators?

Saurabh Kalra : Whenever there will be pressure , everybody wants to give the best value to the consumer. Eventually, wh

en I look at it for us, right, we have put our best value offering on everyday affordable pricing there of what is good for the business and what is good for the consumer and what is good for us, being able to have a sustainable business result. That's why we look at it this way, saying, we have to do what w e have started out for ourselves. So, I do not see anything from a competitive standpoint because we discuss what do the consumers want . In this environment value w ill work , and therefore our number one goal right now is to accelerate the value platform.

Avi: And I think there is closure or something?

Akshay Jatia: Sorry Avi. I think we do also talk about value in its entirety, which is our value for money proposition. So, it's not only an entry level price point, it's the right price point across

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our entire pricing ladder. So, whether it's at the entry level , at the core level , or at the premium level, we feel that it's the best quality product at the best price possible for the

customers that makes a difference . And we supplement it or complement it with our experience as well as the quality hygiene standards that we offer at a McDonald's, whether it's at the restaurant or through delivery drive -thru or omnichannel experience. So, I do not want you all to get caught up in the thought that value is just price. That's what I just wanted to clarify. And like Saurabh said, we want to maintain this that a new base has been created, and we are gradually improving from there. We are quite pleased with how our initiatives are being appreciated by customers and we feel like we have the right product portfolio as well as the use case occasions are drawn out . And we are quite excited about our FY '26 plans as well.

Avi: Got it. Fairly clear, Akshay and Saurabh. Thanks a lot for this. I will come back in the queue. Thank you.

Moderator: Thank you. The next question is from the line of Jay Doshi from Kotak. Please go ahead.

Jay Doshi : Yes . Hi. Thanks for the opportunity. First is, could you give us some update on how your chicken venture has progressed over the last two years since you launched, in how many restaurants you have fried chicken available today of your overall network ? And what would the ballpark salience be that you would have reached in those restaurants?

Akshay Jatia: Sure. So, I think we have it in all our restaurants in the South , as we have always maintained . And select restaurants in other geographies where we feel the chicken eating occasion is relevant. I think you know we have made good progress in terms of our platform. We now have a holistic platform where we have a mixed McSpicy range , a McCrispy range , as well as wings in the McSpicy format . So, we feel like now we have the right bone in offering . In addition to that, we have our burger chicken as well as our chicken sides , which include Chicken Nuggets , etc. So, I think we have done a lot of good work in establishing this portfolio . And additionally , we further improved the product with our most recent roll out in this quarter ensuring that customers are viewing this as a differentiated product .

So, we have done a lot of process product improvement . And long story short, this quarter is when we are launching our final version of the back -end product. And moving forward, we are very bullish as we bring customers back to our restaurants in using this as an added lever to add an occasion as well as build credibility as well as leadership in the chicken category , or further build credibility and establish leadership in the chicken market. And I think that's why we are so bullish on the South as well. And it's one of the growth levers that still has to play out for the years to come.

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Jay Doshi : Understood. Akshay , would it be possible to give us a count in terms of how many restaurant

s you have these products available ? And whether it is high single digit salience as a percentage of ADS or double digit ? I believe you had called it out early on , the initial year that you launched . And we know is whether it is improved in terms of salience, or it has tapered off or it's – where it is?

Akshay Jatia: Yes , sure. So, we have 160 restaurants, I can share that . In terms of ads, it's remained largely stable. It has not grown exponentially. But we have seen a stable base over the last six months . We have not broken -out the number , this is the first time . But at the right time we will share some more flavor . Because like I said, we have been constantly working on getting the foundation right because it's required a holistic approach, which includes the product, the training, the mindset , the mindset that we want to establish for chicken leadership in the South.

And on top of that, we have launched this McCrispy platform which includes bone and chicken , as well as McCrispy Chicken Burger, which is again targeted towards our Southern customers as well as customers in the West who enjoy eating chicken burgers. So, I think you will only see ADS go up moving forward . And at the right time , we will give some flavor in terms of how it's contributing to growth. As of now, like I maintain , the growth levers still needs to play out.

Jay Doshi : Understood, thank you. Second is on value , you did partly answer the question in response to the previous question. Again, is it possible to sort of give us some quantitative data points which kind of help us better understand how your strategy or your focus on value earlier this year or doubling down on value has helped either in terms of driving transactions or has the mix changed in favor of value ?

The reason of asking this question is , when we look at one of your peers, the post -delivery fee waiver and slightly more sharper pricing , they have seen massive pick up in same store sales growth . So, are you seeing any such signs or do you anticipate similar trends in your business also maybe a quarter or two down the line ?

Akshay Jatia: So, Jay, I mean, sorry to interrupt , I got the gist of your question. I think like we maintain in our commentary as well, we have already seen a gradual improvement where we are at 3% year -on-year same store sales growth . And it's come on the back of guest count -

led growth, which means that our value proposition is working . But I want to maintain that value for us means value across the board. Obviously, sharp communication around entry level price points does help customers enter the restaurant, but we do a very good job in terms of creating them up as well , because we want to maintain profitability as we keep adding average unit volume. That's when operating leverage truly plays out. We do not want to cannibalize and downgrade our customers. So , I think

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the quantitative indication is already there in our current quarter same store sales growth which has been primarily guest count led. And we have managed ensuring that value has been across the board because our average check has remained largely stable. So , I think that's how I would look at it.

Jay Doshi : Sure. Thank you so much.

Moderator: Thank you. The next question is from the line of Krishnan Sambamoorthy with Nirmal Bang Institutional Equities. Please go ahead.

Krishnan Sambamoorthy : Hi, Akshay and Saurabh. Over the last couple of years, a lot of your peers have ranked up their value offerings. Both of you also mentioned at the beginning that you have retained your value leadership . But has there been any perceptible loss in your value market share over the last couple of years , so the state of launches by peers?

Akshay Jaitia: So, I mean, as we mentioned again in our commentary, in fact our value scores and affordability perception scores

have increased significantly . And as a result, we have also seen a quantitative output or outcome , which is our increased customer footfall. So, I mean, we answered that already. But again, to reiterate, we definitely are the leader in terms of value for money , in terms of brand scores , as well as affordability perceptions scores which are increasingly important for brand trust.

Saurabh Kalra : And I think for us, quality of the consumer is as important as the value platform, which is sustainable to us , so that balances out the needs of the three stakeholders , right , you guys shareholders, the second part of the consumer, whether that proposition is good enough . And the third part is for company profitability because we want to grow through internal accruals . So, when you think about value platform, we think quite strategically about it. So, whatever value platform you see, we believe they are good enough to be able to maintain high quality consumer intake to the brand and this is something which we can sustain. We have got internal norms around what do we do for entry level , what do we do from mid -tier, what do we do from the premium side of it . But , I mean , we like to be within those ratios because back to us is broad based growth which also signifies good quality growth. So , that's how we think about it.

Krishnan Sambamoorthy : That's clear . Thank s a lot . The next question is from the pricing. The 50-basis point that has been initiated in Q3 , in what month was this done ? Was it there for the whole quarter ? And has it been more in the premium end of the portfolio and McCafe , given what has happened to the coffee prices ?

Saurabh Kalra : Good news is , you were not able to observe it , so I think our pricing was pretty good. It's a small portion; it was done on a few levers on a few products where we were

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actually cheaper than most people in the marketplace. So, we keep doing this activity , 50 bps, yes, it's not substantial, we did it in November.

Krishnan Sambamoorthy : Okay . Thanks a lot.

Moderator: Thank you. The next question is from the line of Gaurav Jogani from JM Financial. Please go ahead.

Gaurav Jogani : Hi, thank you for taking my question. So, just one question on the margin side. Effectively what I read is that it is largely because of the suppressed AUV that the margins are getting impacted .

Saurabh Kalra : Gaurav, sorry, your voice is pretty – Gaurav, sorry, you will have to repeat it , your voice is completely broken.

Gaurav Jogani : Yes . Is it better now? Are you able to hear me now?

Saurabh Kalra : Yes, it's slightly better.

Gaurav Jogani : Yes . So, the question is , I understand that the margin impact is largely because of the negative leverage. But at what level of the AUV do you think that you can possibly achieve the 2027 guidance in terms of the margins?

Saurabh Kalra : Let me answer it differently like what I had answered earlier. I think we had to invest in a few areas, which we did at that point in time. Now we will see sequentially we improving our profitability literally for a few quarters to be able to retain our baseline. I would not go with AUV guidance. There is work which we can do now to be able to bring back our base number on profitability. So, that's the endeavor and that's how we are thinking about it.

Gaurav Jogani : Sorry , if you can be more clear , it did not help me answer my question . I mean, see, the thing was that earlier, even a 6.5 kind of AUV and even 7 kind of AUV we are clocking around 1 2%, kind of pre -IndAS numbers . So, given the entire condition , that I am sure that you would have given the cost line items more better, the understanding would be that even at a lower maybe AUV probably you can still achieve the margin guidance that you have given . That is what I actually wanted to understand.

Akshay Jatia: So, Ga

urav , we cannot understand , the call is very broken so we cannot understand what you are saying. So, we will take this offline , we can answer your question. Chintan can get back to you.

Gaurav Jogani : Okay , sure. Thank you.

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Moderator: Thank you. The next question is from the line of Jignanshu Gor from Bernstein. Please go ahead.

Jignanshu Gor : Hi. Thank you so much for taking my question. I hope I am audible.

Saurabh Kalra : Yes, loud and clear.

Jignanshu Gor : Okay , great. So, congratulations on improving performance . I think it sounds that the dine -in especially is coming back. So, the context for my question is your 2027 Vision statement. And I know you touched upon this earlier , specifically from achieving the AUV perspective. My question was, of course , we are behind on our straight -line trajectory from where we would want to be from. '22 to '27 given the market conditions . In your view, what would be the key levers that you think will come in handy to transition from the current AUV number that we have at around Rs. 60 million to let 's say around Rs. 70 million which we need at the mid -range of our '27 Vision numbers? So, is it guest counts? Is it a better mix with more premium products, more A UV per customer , dine -in versus this, so what are your like top one or two ideas that you think should have the highest impact in that growth?

Akshay Jatia: I think , Jignanshu , we had laid down Vision 2027 with clear priorities on the deck saying what is it that we intend to do in order to get AUV . However, there was a part on making sure that we continue to lead family and meal o ccasions, the second one was around menu. Third one , the rest of the two were more around growth in terms of the new stores etc. But to me, while augmenting menu and product innovation s continue, our menu continue s to be an important lea ver which you are going to see us play out. I think the guest count coming into value is an important lever for us in the short and medium term to be able to ensure that we are continuously building some momentum in the business.

Jignanshu Gor : Okay . That's very helpful . And in fact , offers me a segue into my second and final question. You said one of the reasons SSSG was positive was driven by guest count, which in turn was driven by value products . Now, from my understanding, majority of the menu additional launches that we did w ere slightly premium than their existing counterparts. Value focus was largely on combos.

Akshay Jatia: So, I am sorry, I am just going to interrupt there, Jignanshu . I covered it in my questions – sorry , my answers preceding this where I mentioned that value for us means broad based value , value across price points. We followed multiple strategies and tactics through our retail network in the last quarter where we were communicating value across our entry level price point , our core , as well as t he affordable premium price point. So, we made sure that we were bringing in customers by activating our

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restaurants on the ground through entry level price points. We w ere trading them up and we were also communicating on media about our affordable premium price point s, as well as our entry level. So, it was broad based value for money, and I have always maintained that , so just wanted to clarify that.

Jignanshu Gor : That's very helpful , Akshay . Thank you. That the final part of that question which I wanted to complete was , we are comfortable with the value of products and hence the mix that we are getting post trading up etc. as being both gross and EBITDA margin accretive . And that's not a challenge that we see going forward.

Akshay Jatia: Yes,

Jignanshu Gor : Okay . Sure. Thank you so much. And all the best for Q4, yes.

Akshay Jatia: Thank you.

Moderator: Thank you. The next question is from the line of Latika Chopra fr

om JP Morgan. Please

go ahead.

Latika Chopra: Hi. Thank you for the opportunity. I have a few questions or clarification; one was on your

new store addition. I know we are close to ending at FY ' 25, but when you are looking at the broad demand environment , and you touched upon how new store AUVs are lower than the mature stores and probably they are not trending as performance y our initial expectations, would there be any change in the thought process on locations which you will want to open new stores in? Would you target more of smaller towns or you would want to again target deepening presence in the big cities which ensure a certain level of throughput for you?

Akshay Jatia: Hi, Latika . No, I mean, there's going to be no change in our development process because we do not target cities basis only one factor. We use multiple factors in terms of evaluating our sites or the site pipeline that we put together . And this is actually built out over many years , not just one year because our real -estate process spans over nine months in terms of identification to opening . So, nothing changes overnight . And again, like we have always maintained, we are invested for the long term . And all of the locations that we are opening are projected over a 25 to 30 year s' timeline. So, in the long run, I mean , all of them will be cash cows.

Latika Chopra: And this current pace of store addition is fairly comfortable for you?

Akshay Jatia: Sorry, could you repeat that?

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Latika Chopra: The current pace of stored additions , the 45 to 50 stores --

Akshay Jatia: Yes, long term profitable for us.

Latika Chopra: All right. The second bit was , you answer ed a similar question for chicken, and I was just trying to check with you on the coffee piece in terms of salience , any incremental flavor on how is that trending for you? I s that salience very varied across different geographies? What more can you do on beverages? If you can elaborate a bit more on that.

Akshay Jatia: Sure. So, like we have always maintained, this is just the beginning of the coffee journey. It's a lever that again is going to play out, because our consumption story still has to play out even as a country as well as a category . Cafes are definitely helping along with players like us who have set up the proposition in terms of creating the market and educating customers in terms of what good coffee is. And I think we are very well poised to take advantage of that in the coming years. We h ave a great proposition , we have 400 -plus McCafe s. A nd I think the strategy is across cities , specifically our key cities where we see McCafe as a ver y established part of our brand now . And it's about increasing trials as well as frequency. So, I think we have done a great job . And the growth has to still play out.

Latika Chopra: Sir, the salience of coffee in your overall ADS is stable over the last --

Akshay Jatia: It's growing. It is g rowing.

Latika Chopra: It's growing.

Akshay Jatia: Yes .

Latika Chopra: Okay . And the third bit I wanted to check was on price, how do you think about price increased ? I know there's been a lot of focus on value and there's a focus on guest count improvement . But in the past, historically , you have taken a low single digit kind of pricing on an annualized basis, because there is some inflation in the system always. So, how are you thinking about that for the coming fiscal ?

Saurabh Kalra : Exactly how we have always thought about pricing . that you cannot fall way below inflation for multiple years for sure. So, every year we take small , small price , do not be shy of taking small price increases . And taking at least 50% of what the inflation is running as price increase would remain a norm. So, typically 2% to 4% of price increase is what we have conventionally taken , not more than 1% or 2% at one go . For

the year, it

might be 2% to 3% or 2% to 4%. So, we will continue doing what we have always done.

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Latika Chopra: Understood. And absolutely last bit, MAU numbers that you have shared that they are up low double digit. I just wanted to check whether this is the kind of growth that's also translating in terms of the absolute value sales that you are doing through your own approximately o rdering ? Basically , is the own app delivery orders increasing at a pace similar to MAU growth , how s hould we think about it? Thank you .

Saurabh Kalra : The MAU actually both are of our own channels, which is our delivery app and also on the app which we do dine -in. So, it's the cumulative number , we do not break out. But having said that, I think the delivery growth is coming out of all three, right , the third - party operators like Swiggy and Zomato , and our own app. The g ood news is , our own app is not lagging behind for sure as far as the percentage of growth is concerned .

Latika Chopra: Alright, thank you.

Saurabh Kalra : Thank you.

Moderator: Thank you. The next question is from the line of Prathamesh Dahake from Motilal Oswal. Please go ahead.

Prathamesh Dahake : Hi. Am I audible?

Moderator: Yes , you are audible sir.

Akshay Jatia: Yes , yes, loud and clear .

Prathamesh Dahake : Yes . Sir just wanted to check , if I were to break down the growth as well as SSSG in this quarter, how much impact of festivals versus transactions do you see being factored into this quarter ? And will the impact of the festivals, if there is any , go off in the coming quarters ?

Akshay Jatia: See, we have never looked at it this way. Luckily, all festivals are cyclical . They are all built in the base exactly like that, so we do not believe there are good times , there are bad times. For me there was no positive or negative impact of festivals , they were like to like what it was last year . So, I would not attribute positively or negatively around any of this .

Prathamesh Dahake : I asked because last year the 3rd Quarter was negative 9% SSSG. So, I mean, did we get any benefit of that lower base something like that ?

Akshay Jatia: Again , as we have mentioned, we believe that the growth that we have seen is coming on the back of the new baseline that was achieved and primarily linked to all our efforts in terms of value for money and hence it's been primarily guest count led , and we do not attribute it to any specific days or any specific events. That's why we report SSSG

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quarter -- year-on-year . And that gives you a sense in terms of how growth is playing out.

Saurabh Kalra : I also gave a flavor of when there is a negative trajectory in a retail environment, it generally you would not come out of it immediately . I think this would be the shortest run of negatives where we have been able to come out of it in four quarters. Normally , you will not see that in a retail environment if you look it from that standpoint, because a lot of it is behavior linked , a lot of it is consumer habit linked. Things do not change, switch on and switch off . And it's not that since last quarter you were negative nine so now your base should come back because unfortunately that's not how consumers work as humans .

Prathamesh Dahake : Okay . My next question was with respect to numbers. Sir, our store level payroll expenses have fallen sequentially. So , should we consider this as the new base for the coming quarter and the coming quarters , if I were to say?

Hrushit Shah : Yes . So, as you rightly pointed out, sequentially we have seen improvement in our margins , right . And Saurabh has also rightly pointed out in terms of the effort is in terms of maintaining the margins as we go ahead. So, your hypothesis is in the right direction.

Prathamesh Dahake : Okay , fine. That's all from my side.

Moderator: Thank you. The ne

xt question is from the line of Harshad Gadekar from Elara Capital.

Please go ahead.

Harshad Gadekar: Yes , hi. Am I audible?

Moderator: Yes, you are audible, sir.

Harshad Gadekar: Yes. So , congratulations on a good set of numbers. Sir my question is on the , recently a lot of food delivery platforms have started 10 , 15 minutes of delivery , and burgers are their one of the prime menu s, so how it has been fared for us? That's question number one . Question number two is on , how much of our overall exposure as regards the online food delivery platform has shifted to this kind of 10 , 15 minutes delivery form at?

Saurabh Kalra : Luckily on the food side of it, that has not actually been a significant portion yet. In the last quarter we had tried out a few restaurants, we are now expanding the number of store based on 15-minute delivery , etc. But if you look at it , burgers any which ways mostly are majority of orders get delivered in 20 to 25 minutes even with the third -party operating p artner s. So, I do not foresee too much change coming on that side. It could be a n interesting marketing proposition for the consumers. And if it does that , it augurs

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well for us in the future. But right now , I have no evidence to say if the offering of 15 minutes is doing anything for the system yet.

Harshad Gadekar: Okay . Thank you.

Moderator: Thank you. The next question is from the line of Krishna Shah from Ashika Stock Broking. Please go ahead.

Krishna Shah : Good evening , sir . I have only one question regarding the store account. So, we are hoping to open close to 45 to 50 stores as guided at the start of the year , and we have so far had a net addition of 24 stores. So , are we in line of meeting our guidance for the near term?

Akshay Jatia : So, our guidance remains the same . And yes, we are on track

Krishna Shah : Okay. Thank you , sir.

Moderator: Thank you. We have no further questions , ladies and gentlemen. I would now like to hand the conference over to the management for closing comments. Over to you , gentlemen.

Akshay Jatia: Thank you so much everyone , everyone . And see you next quarter.

Saurabh Kalra : Thank you.

Moderator: Thank you. On behalf of Westlife Foodworld Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Disclaimer: Please note that this transcript has been edited to correct any inadvertent grammatical inaccuracies or language inconsistencies that may have occurred while speaking. The audio of this call is available [here](#) .

Call: May 2025

WESTLIFE FOODWORLD LTD.

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Website: www.westlife.co.in | E -mail id :shatadru@westlife.co.in

Date: 20th May, 2025

To, To,

BSE Ltd. ('the BSE) The National Stock Exchange of India Limited ('the NSE')

Phiroze Jeejeebhoy Towers Exchange Plaza

Dalal Street Bandra Kurla Complex, Bandra (East)

Mumbai 400 001 Mumbai – 400051

Sub : Compliance with Regulation s 30 of the SEBI (LODR) Regulations, 2015 ,
Submis sion of transcript of earnings conference call for the quarter ended
31st March, 2025 .

Re : Westlife Foodworld Limited ("the Company ") : Scrip Code -505533 and
WESTLIFE (NSE)

Dear Sirs,

In compliance with Regulation s 30 of the Securities and Exchange Board of India (Lis ting
Obligations and Disclosure Requirements) Regulations, 2015 , please find e nclosed herewith
transcript of earnings conference call for the quarter ended 31st March, 2025 , held post the
Board M eeting of the Company on 14th May, 2025.

In this regard, the transcript of the said earnings conference call has been uploaded on the
Company's website and can be accessed at the weblink:
<https://www.westlife.co.in/investors/financial-news-and-information/>

You are requested to take the same on record.

Thanking you,

Yours faithfully,

For Westlife Foodworld Ltd.

Dr. Shatadru Sengupta
Company Secretary

Encl: as above
Page 1 of 15

Westlife Foodworld Limited
Q4 FY25 Earnings Conference Cal l
May 14, 2025

MANAGEMENT :

■ Mr. Amit Jatia – Chairperson

■ Mr. Akshay Jatia – President & Chief Executive O fficer

■ Mr. Saurabh Kalra – Managing Director

■ Mr. Hrushit Shah – Chief Financial Officer

Moderator: Ladies and gentlemen, good day and welcome to the Westlife Foodworld Limited Q4 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Chintan Jajal, Head of Investor Relations. Please go ahead.

Chintan Jajal: Thanks, Ryan. Welcome, everyone, and thank you for joining us on Westlife Foodworld Earnings Conference Call for the fourth quarter ended 31 March, 2025. I'm Chintan, Head IR at Westlife. From the management team, I have with me Mr. Akshay Jatia, President and CEO; Mr. Saurabh Kalra, Managing Director; Mr. Hrushit Shah, CFO; and Mr. Amit Jatia, Chairperson.

We will kick off today's conversation with Akshay sharing his thoughts on overall business progress and outlook. This will be followed by Saurabh taking us through operational, financial and strategic highlights. Post that, we can open the forum for questions -and -answers. We will be referring to earnings presentation and financial releases already available on BSE, NSE and Investors page of our website.

With that, I now request Akshay to commence this session. Thank you. And over to you, Akshay.

Akshay Jatia: Thank you, Chintan. Good afternoon, everyone. It's great to have you on the call today. I hope you've had the opportunity to review our Q4 results and presentation. Our same-store sales growth stood at 0.7%, and adjusted SSSG, excluding the leap year impact, was 1.7% in Q4. This marks our second consecutive quarter of positive comparable sales, reinforcing our confidence in sustaining this momentum into the new financial year.

Throughout the quarter, we focused on our strategic priorities, that is the value proposition and product innovation. The McSaver Meals and the McSavers+ Combos has strengthened our value proposition, while new offerings such as the Korean Range and Mango Burst range are generating significant consumer excitement.

This balanced approach has driven guest count growth, while maintaining average check size. That said, FY '25 presented notable challenges for the food retail sector, with soft demand and stagnant consumption trends across most of our markets.

Eating out frequency during the March quarter remained largely unchanged from the previous year. Drawing on our extensive experience navigating past market cycles, we are well positioned to address these conditions more effectively than most of our competitors.

The food retail industry in India is characterized by low barriers to entry, yet achieving scale with profitability is rare due to complex operations and changing consumer preferences. Tough times often lead to consolidation, but they also allow companies with strong brand equity, robust business models and superior operational execution to solidify their foundations for future growth.

Accordingly, we've used this period to sharpen our strategy and streamline cost structures. Our network expansion remains on track, with 47 new restaurants opened in FY '25, in line with our guidance. A key milestone this quarter was the opening of our 100th drive-thru restaurant, enhancing our ability to deliver a best-in-class customer experience and reinforcing our competitive edge.

With nearly all our stores now in the Experience of the Future format, I'm proud to say we operate one of the most modern restaurant networks in the industry. We believe India's eating-out market is at a pivotal moment. The organized sector, particularly the Western fast-food category is projected to grow in double digits over the next 5 years. This presents an incredible opportunity

for our company, given our versatile business model, spanning dayparts, product categories and channels. To capitalize on this, we will continue with our network expansion plan. While we acknowledge the current challenging business environment, we remain committed to prudent expansion funded through internal accruals, ensuring sustainable and profitable growth. Lastly, I'm delighted to announce that Westlife Foodworld has achieved the top ranking in India and 5th place globally in the restaurant sector in S&P Global's Corporate

Sustainability Assessment. This distinguished recognition underscores our unwavering commitment to integrating sustainable practices into our business operations. Thank you for your support and confidence in us.

I now hand over to Saurabh, our Managing Director, to discuss the operational and financial highlights for the quarter.

Saurabh Kalra: Thank you, Akshay. Ladies and gentlemen, good afternoon. Thank you for joining us to discuss our Q4 results. We continue to demonstrate a resilient performance with consolidated sales of INR6 billion, which was up by 7% year -on-year on the back of same -store sales growth of 0.7%. Excluding the leap year impact, the adjusted same -store sales growth, as Akshay pointed out, is around 1.7% year -on-year.

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As Akshay highlighted, our core priorities in the last few quarters have been to strengthen our value proposition and drive product innovation. This strategy actually has enabled us to achieve a good balance of guest count and average bill value. While some pressure on outside home food consumption continues, we remain focused on gaining market share across our markets.

Our brand perception parameters, especially the value -for-money metric remains very strong. In Q4, our on -premise business grew by 8% Y -o-Y, outpacing the off -premise business, which increased 5% Y -o-Y.

Although quarterly growth trends vary due to multiple factors, as an Omnichannel brand, we strive to deliver exceptional consumer experience across all touch points, driving simultaneous growth across all channels. Off -premise sales accounted for 43% of total sales, aligning with our 2 -year average. For the full -year FY '25, our sales, EBITDA and cash PAT stood at INR24.9 billion, INR3.3 billion and INR1.9 billion, respectively, growing by 16%, 17% and 14% on a 3 -year CAGR basis.

Moving on to product innovation. Drawing inspiration from the young Indian consumer, commonly passionate about Korean things, be it music, food or fashion, we launched our limited -time Korean range of burgers, sides and drinks, even at an entry level price point of INR69.

This brings a unique global experience for our consumers. We also introduced Mango Burst range, including Mango Burst McFlurry with OREO, and Mango Burst McSwirl and Mango Burst smoothie to beat the hot summers in the mango season.

Digital remains a cornerstone of our growth and consumer engagement strategy. In Q4, digital sales sustained a strong growth, accounting to almost 75% of our total sales, driven by self -ordering kiosks and our mobile apps. Our digital platforms are robust with 41 million cumulative app downloads and 3 million monthly active users or MAUs. We are committed to digital innovation, delivering seamless customer experience across all touch points.

Turning to profitability. Our Q4 margin remained broadly in line with our guidance, that is around 70% gross margin. Input costs were stable. Restaurant operating margin and operating EBITDA margin dipped by around 30 basis points and 50 basis points Y -o-Y, respectively, due to operating deleverage, partly offsetting targeted -- by our targeted cost efficiencies and normalization of marketing spends.

Cash profit after tax reached INR469 million or 7.8% of sales. We're actively pursuing operational efficiencies to enhance our return ratios. On expansion front, I'm happy and

pleased that we added 18 new restaurants in Q4, bringing our total number of

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restaurants at 438 across 69 cities as of March 31. Of these, 95% of the restaurants feature McCafe and almost all our stores are now experience of the future. And with every 1 out of the 4 restaurants offer a drive -thru service.

For the full -year, we added 47 stores, in line with our guidance of 45 to 50 for FY '25. Furthermore, I would like to highlight that despite a challenging year, we were able to fund our expansion largely through our internal accruals as seen in our net debt position, which remains stable versus last year at INR90 crores.

Our net debt to equity stands at a comfortable 0.15x as of March 31. We continue to move towards achieving our Vision 2027, targeting 580 to 630 restaurants. We see a lot of potential in South, where we are under -indexed and hence, cities like Hyderabad, Chennai, Bangalore, as well as smaller towns will see a healthy addition. We also feel that infrastructure development like highways, metros, airports are unlocking a lot of white spaces, and we'll be tapping into these opportunities as well.

In conclusion, we are excited about the long -term potential we see in our markets. With

a vibrant economy, robust infrastructure development and large young population eager for convenience and new global experiences, we are well positioned for growth. The current challenges are just temporary bumps on the road.

We have been through these cycles like this before, and we always end up achieving a higher baseline. Our strength lies in our execution and our foundations of trusted brand, loyal customer and a team, which passionately serves and running great restaurants, creating memorable experience for our consumers.

We are laser -focused on fortifying our market leadership and driving healthy profitable growth through execution prowess. We remain committed to our 2027 goals. I will now turn the call over to the moderator, and we are happy to take questions. Over to the moderator.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question and answer session.

The first question comes from the line of Percy Panthaki from IIFL Securities.

Percy Panthaki: Can you give some idea about the demand through the quarter? Did you see it sort of accelerating and do you see that trajectory continuing? Or do you think that -- I mean, it's too early to call out any major recovery? What I'm trying to understand is in the near term over the next, let's say, 2 months to 4 months, can we see the SSSG go to a mid - to high single -digit number? Or that is still uncertain?

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Akshay Jatia: So just to answer your question, Percy, we have definitely been seeing sequential improvement as you've even seen in our quarter results, where month -on-month, we feel all our efforts are resulting in a traction and the green shoots we want to see. I can't talk about this quarter specifically, but we did have a good outcome in terms of the last couple of months of last quarter as well.

And we are quite confident that with our plans, we remain committed towards Vision 2027, which implies that we plan to get back to that mid - to high single -digit SSSG over the next couple of years. So, I think that to summarize, we are seeing green shoots. We are working on sequential improvement. And we do feel that the demand environment is picking up, not in a very accelerated way, but in a slow and gradual manner.

Percy Panthaki: Got it. Next, I just wanted to get some sense on margins in light of a comment by one of the other QSR companies this quarter, where they said that basically a 3% to 4% kind of SSSG is required just to maintain the current level of margins and expansion will be seen only if the SSSG goes above that level. So, what are your thoughts on this topic? Would you largely agree with this statement? Or would it be different for

or your company?

Saurabh Kalra: I'll answer it differently. Obviously, needless to say, there is always inflation every year, and there is a certain amount of sales required to cover up for that inflation. It's a reality of a business in an inflationary environment. However, that's not how we have always approached it. I think there are multiple levers to handle inflation, including pro mix, including pricing, including other cost efficiency program, which the company does on its own.

What I would say is there are certain areas, certain commodities inflation, actually increased substantially in the last half of the year, likes of coffee, likes of oil, likes of cocoa, etc., have gone through the roof. So, I think it remains challenging, but we feel confident that we should be able to maneuver and manage these challenges.

Percy Panthaki: Got it. And last question from my side. This quarter, how has the SSSG been broken into number of transactions and average value per transaction? I mean, out of the adjusted 1.7% SSSG, what is the bigger driver? And also, if you can give some comments on how the mix is shifting between the value part of the menu and the premium part of the menu?

I mean, in the last few quarters, we have concentrated quite a lot on the value part and also the market has moved that side. So, do you see any kind of shift where premium is sort of now coming back and growing faster, or that is not yet to happen?

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Saurabh Kalra: So largely, almost all our growth is coming on the volume -- on the back of volume, not necessarily value, primarily because of the value offering, which we have given. They're all based on the volume growth, which we expected and similar things have panned out. So while we don't give any breakups in terms of what pro mix has gone where, but largely, it's not the value growth, it's the volume growth which has given these numbers which you are seeing.

Moderator: The next question comes from the line of Devanshu Bansal from Emkay Global.

Devanshu Bansal: Akshay, interestingly, you mentioned that in between there was this small size competition that has crept in, which is eventually bound to consolidate because of weaker unit metrics, right? So are you seeing some amount of competition emerging specifically in the burger QSR space? That is number one. And secondly, are there any initial signs of consolidation happening for some of this competition?

Akshay Jatia: So in terms of competition, there's always been competition, right? And that's what's grown this entire Western fast-food market. So, I don't think it's anything new for us.

And from our point of view, competitive intensity, in fact, grows the market and allows players like us or Westlife to stand out in terms of the offerings that we have.

In terms of consolidation, I mean, you will see what you normally see in the news. I don't see anything different in terms of how it's been operating. But I think what I'll leave it at is that Westlife and brands like us that stand out in terms of the offerings and performance are the ones that are going to continue to lead the market.

Devanshu Bansal: Understood. Secondly, I also wanted to understand the divergence in SSSG trends across regions for us, right? So earlier, there were some differences between the growth trends in South and West. So, how it is trending now? And if there is a gap, what are the steps that we are taking to correct that?

Akshay Jatia: So, we don't break it out in terms of numbers, but obviously, the West has been a very strong market for us from day 1. We've built the brand brick-by-brick. And I think in terms of our communication today, the West customer resonates and relates to us quite easily, and we've seen very good traction in the West over the last few months.

In terms of South, I think that we've made a lot of traction, whether it's in terms of launching the right o

fferings or increasing our footprint in terms of number of stores.

The work to be done continues to remain the same, where we're continuing to increase the strength of our brand relevance and our connect with the customers.

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We've seen, again, good traction over there in terms of lead and lag indicators. And we're very confident that it will give us the return metrics that we aspire for, very similar to the West in a matter of time.

Moderator: The next question comes from the line of Gaurav Jogani from JM Financial.

Gaurav Jogani: Sir, my first question is with regards to -- if you look at the last year, the last year base is now very favorable, especially the first half. In this context, how should one look at the performance going ahead? Or should we reconsider, I mean, those bases? I mean, how should we look at the growth for FY '26 because there's a lot of noise in the data in FY '25?

Saurabh Kalra: So how I would recommend you to look at the data is, unfortunately, most -- like most consumer-led businesses, we are a habit-led business. And therefore, the moment there is a tough year, the baseline gets re-established. So, we can't look at what happened last year, favorable, non-favorable. That's not how we look at it.

I think we've started growing. Like Akshay said, we've started gaining traction. Last quarter, we've grown. This quarter, we've grown. We would like to foresee and we would plan to make sure this momentum continues and then we see better and better results. That's how we would look at it.

Gaurav Jogani: Sure. I mean, see, the context of asking this question was if you look at the average unit volume of stores also, I mean, that has also seen a sharp dip. Now, given that there is traction in your overall growth rates in terms of the check size, also the guest count, should a low base shouldn't help at least to achieve a mid-single-digit kind of an SSSG in that context?

Saurabh Kalra: So let me give you another breakup. I don't think our comp restaurants have de-grown dramatically. In fact, if anything, they've grown, and that's where you see the comp growth. While a lot of chunk of restaurants have been added in the last 2 years, which is pulling down the average unit volume and though some of them are conscious calls. To give you an example, we opened a restaurant in Delhi-Mumbai Expressway in a only small area, which is between Baroda and Surat, which has been opened. Now obviously, we knew that its volume will be far lower. And restaurants like those sometimes drag your average unit volume down, but I would not look at it that way.

I would look at it saying, you have to invest to grow for the future. And some of it is that arbitrage, which keeps on playing. But on the average unit volume, on the stores, like to-like stores, I don't see us de-growing. I see us, again, like I said, gaining momentum from where we were last year.

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Moderator: The next question comes from the line of Pranay Roop Chatterjee from Burman Capital Management.

Pranay Chatterjee: Great. Sir, this question -- my question is on demand, first question. So, this question has already been asked. So, I'll ask it in a different way. So, a couple of your peers have released results already. So when I'm looking at the pizza category, who is your main peer in the pizza category, they've been doing double -digit SSSG for a couple of quarters now.

But when I look at your other peer who is running a pizza chain and a fried chicken chain, they are flat, very similar numbers. And your numbers are also on the low positive side. So is it possible to then break down the demand traction by food category? Is that the right thing to do? Or would you say some of the higher double -digit numbers could be an aberration or driven by something else?

Saurabh Kalra: While I cannot comment on anyone else's business, what I can say is, in reality, like I

said, our business is a momentum business. And even the category is a momentum category and habit category. There are times when a brand loses traction. There are times when the brand gains traction.

What we see in our business, like I said, we have now started to grow back after almost a period of 1 year where we were having really strong headwinds. And then we have tried to fix some of the basics. And you will see the momentum continue is how I would like to believe.

Pranay Chatterjee: Got it. Sir, my second and final question is on your gross margin. So, what I was trying to do is trying to gauge your unit economics versus peers. When I look at your gross margin, there was a change in definition, where a part of your outsourced input expenses was -- which is processing fees was put into your other expenses.

So if I just add it back to COGS, your gross margins would be around 66% to 67% mark. When I look at your other listed burger chain peers, they are also at a similar margin level and -- which is 66% to 67% like -for-like.

And they are actually guiding a 70% GM in a couple of years. So, my question is, is -- in your case, in case of your gross margins, is such an expansion of 200 bps, 300 bps, 400 bps on current levels possible? Does that even make sense? And what can drive such expansion?

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Saurabh Kalra: See, I will not speak about anybody else. For us, our long -term vision, we have given that Vision 2027 is where we stay committed to. And there are multiple levers, including gross margin to be able to expand. But on why somebody else has given what guidance, I have no idea, and I would not like to comment on it.

Akshay Jatia: Yes. I think profitability guidance has been clearly laid out there, and that's what's more important to us in terms of giving clarity.

Moderator: The next question comes from the line of Jasdeep from Clockvine Capital.

Jasdeep: Sir, what kind of inflation are you seeing on the store staff level in terms of their salaries?

Saurabh Kalra: So every year, there is minimum wages inflation, there is inflation. Otherwise, when you increase salaries. So, they remain stable. They're all part of the things, which we baked in our P&L and our projection. It's typically wage rate anywhere between 5% to 10% is what the increase happens year -on-year, and that continues to be our plan even this year.

Jasdeep: Got it, sir. So on account of high demand of human resource on the delivery side, everybody is increasing their delivery fees. Aren't you seeing the impact of that on salaries of your store staff? Aren't they going by higher than -- going up by higher than usual?

Akshay Jatia: No, I think that, that entire phenomenon has kind of stabilized. And I think that, again, we managed labor very intelligently in terms of the value proposition we also bring for our employees where they don't just look at it as a job, they look at it as a career.

So, I think that, obviously, year -to-year, you will obviously see minimum wage increase, but we keep it at the minimum and we keep optimizing our productivity levels as well.

So, taking all of this into account, I think that we've managed our labor line item very well.

Moderator: The next question comes from the line of Jignanshu Gor from Bernstein.

Jignanshu Gor: Congratulations for a steady set of numbers. I had two questions. One was on the broader store guidance for '27. If we take the current starting position and sort of draw a run rate, we will need to increase our run rate, right, of around net additions of 41, which we, for example, did this year to at least 50 plus over the next 11 -odd quarters to

meet the guidance, the lower end of the guidance. So, I think the question is, are we holding on to that number? Or do we expect an acceleration coming in store adds? That's the first question.

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Akshay Jatia: So, we've

continued to hold on to our guidance in terms of Vision 2027, which is 580 to 630 restaurants by 2027.

Jignanshu Gor: Okay. All right. Second question was the inventory levels for this year have increased on a per -restaurant basis also compared to last year materially. Should we read anything into it? Or it is more of a seasonality effect, etc.?

Saurabh Kalra: No, it's more of a seasonality effect, and there could be some strategic buying, etc., that would have happened. There is nothing out of normal in that. It is as per trend, and it would average out over as we move ahead into the year.

Moderator: The next question comes from the line of Rishi Mody from Marcellus Investment Managers.

Rishi Mody: So, my first question was on the stores that you mentioned, right, the stores like the Baroda, Surat Highway, which are kind of dragging down your average unit value. Just trying to understand how much productivity are they coming at versus, say, your older stores? And how much time do they take to come to a similar sales per store as your current average cohort? And how much of your sales is coming from such kind of stores? If you could just give me this kind of data?

Saurabh Kalra: Rishi, I was wanting to give a flavor. That's why I gave the example of those 2 stores. Normally, we don't give any breakups. Obviously, we've stated in the past also that sometimes it takes 2 years to 3 years typically for a store to become at a system level. Some takes more. Some takes less. But on an average, 2 years to 3 years would be a way to look at it.

Rishi Mody: And versus, say, 2 years, 3 years back, would the proportion of these stores have increased in your mix?

Saurabh Kalra: It is. It's been largely similar. I don't think we have given this as a typical guidance in the last 2 years, 3 years. 2 years, 3 years back, we had talked about 2 years, 3 years. I don't think that has changed dramatically. It's about the number of stores. I think we have opened significant amount of stores, and we see them maturing quite well.

Moderator: The next question comes from the line of Shivam Chomal, an Investor.

Shivam Chomal: So basically, our TTM revenues per restaurant are around INR6 crores. Now, I just wanted to understand how much percent of this revenue comes from our cafe business and how much of it comes from the restaurant business?

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Saurabh Kalra: So, we don't give the cafe breakup in general. We have given the guidance in the past that around 12% to 15% of the sales comes from cafe, but I would not look at it that way. I think there is a restaurant business, and then there is a delivery business, which is off -premise and on -premise for which we always give a breakup.

I think that's a better way to talk about because there are occasions of off -premise, which are very different to occasions which are on -premise. So, I would encourage you to more look at it from that split.

Moderator: The next question comes from the line of Gaurav Jogani from JM Financial.

Gaurav Jogani: Sir, just one question from my end. The other income this quarter around has moved up sharply. So, anything to call out there?

Hrushit Shah: Gaurav, these are part of the annual reconciliations that you do. So even if you see in the base year also, there was -- there have been the other income. There is nothing out of that. This is part of the annual -- as you close the books, there could be some reconciliations, etc., which would come as part of the book close. It is business as usual.

Moderator: The next question comes from the line of Devanshu Bansal from Emkay Global.

Devanshu Bansal: Sir, off -premise growth has been relatively muted, even this is now growing slower than the on -premise...

Saurabh Kalra: Sorry, your voice is fumbling.

Akshay Jatia: Devanshu, you might have to repeat your question, please?

Devanshu Bansal: Yes. Off -premise growth has been re

latively muted vis -a-vis on -premise sales also

now. So, however, for other QSRs, this channel is specifically growing much faster, right? So, what are the steps that we are taking to improve growth in this channel

specifically?

Akshay Jatia: So again, I can't comment on other competitors, but I think delivery has been growing along with off-premise quite well in the past few years. Current year and quarter has been marginally down, but we remain leaders in this category, whether it's through our partnerships with the platforms or even our own channel in which we continue to invest. So definitely, we plan to accelerate growth over here. And we do feel that while it's dropped, it's still growing and will continue to grow.

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Devanshu Bansal: Understood. And sir, specifically wanted to understand the operational cost, right? So, you have covered it in earlier questions. But specific to Q3 and Q4, despite opening around 30 -odd stores, the employee cost has been decreasing sequentially, right? So, is there any significant change that we have affected from an employee cost perspective? That's all what I wanted to understand.

Akshay Jatia: So, I think that a lot of the gains we're seeing is through productivity initiatives. Obviously, as we've been adding to the base in terms of number of stores, on a percentage basis, we expect it to remain similar. But because of productivity gains in terms of optimizing our labor, making our labor more efficient per guest count that we serve, we've made a lot of good progress through multiple initiatives that we've deployed.

Moderator: We take the next question from the line of Rishi Mody from Marcellus Investment Managers.

Rishi Mody: So, just following up on the delivery piece, right? Just trying to understand what's the challenge here because you heard Zomato also call out their delivery slowdown. So, just trying to understand what's the reason for you because they might get impacted due to other reasons, which could be favorable to you? So, I'm just trying to understand your reasoning for a relative slowdown in delivery?

Saurabh Kalra: I think our business at a significant level was also dependent on 3PO, while we had our own channel. Our business was relatively over-indexed towards both the operators of Swiggy and Zomato. And we've seen some amount of -- the growth trajectory has reduced for sure in both the channels. So, we are also working now to see how do we also expand our channel to be able to compensate for it and continue to be a growth business.

Rishi Mody: But in the 3PO, would you have gained market share like despite the slowdown or you would have more or less similar share?

Saurabh Kalra: That's what we hear from both the 3PO partners that we have gained market share. Needless to say, market share includes the number of new stores also which we include.

Moderator: The next question comes from the line of Jegadees Sharma, an Investor.

Jegadees Sharma: Sir, when compared to other fast-food chains and everything, there is a slowdown in the burger areas, right? And we are seeing this for quite some time. Why do you think that, sir?

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Saurabh Kalra: I would not look at it that way. I would look at it in a different manner. I think the informal eat-out has been under a lot of pressure, which once upon a time used to have a significant amount of growth. We've been flattish to negative in the last 1 to 2 years. Now in that, a lot of things, which we see happening is row-side vendor and dining places and informal -- Indian fast-food also having a lot of pressure. While Western fast-food is growing on the back of a lot of new store addition, that's what we see. Now, Western fast-food includes a lot of -- a lot of us includes McDonald's and other brands like that. So, a lot of growth has come out of new store addition and some brands do well, some brands don't do

well. It's part of the game. That's how the life is.

But I would not get into pizza growing or burger growing, I do think there is a more structural issue, which is the informal eat-out has been under pressure. So that's the headline. And then obviously, like I said, we are a habit and an acceleration-led business. So momentum -- when the momentum comes, you will see the brand which has got momentum building faster.

Jegadees Sharma: The question -- I'm continuing on the same question. Will we be able to see 3% to 4% SSSG by this year? Like will we be able to be on that track or path by this year itself because we are seeing some green shoots over, right? We have seen.

Akshay Jatia: Yes. So just to answer, as we did earlier, we can't give forward -looking guidance, but we are very confident that we will maintain the trajectory required to deliver Vision 2027.

Moderator: We take the next question from the line of Amruta from Wealth Managers India Private Limited.

Amruta: So, I just got 2 questions. One is you just mentioned about the SSSG that has been -- like the adjustment is for the leap year impact. Am I right? If you could just explain about how big -- what impact does it have?

And my second question was regarding the Korean menu. So if you could share more color on what kind of -- like how was the response that we received for the Korean range? And do we intend to kind of make it a permanent addition to the menu?

Hrushit Shah : Amruta, the leap year essentially is -- last year was a leap year. There were 29 days in February. Current year is a regular 28 -day week, right? So, that's 1 day short in a quarter. One out of 90 days is about rounding it up by -- rounding it up 1% that we are looking at as an impact on the growth numbers, both overall as well as SSSG.

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So that answers your question on leap year impact. And Korean is an LTO. At this point in time, it continues to be an LTO, which is limited time offering in our menu. There is no plan per se to make it as a permanent offering in our menu.

Moderator: As there are no further questions, I now hand the conference over to the management for their closing comments.

Akshay Jatia: Thank you so much, everyone, and we'll see you again next quarter. Have a great day.

Saurabh Kalra: Thank you. Have a great day.

Hrushit Shah: Thank you.

Moderator: Thank you. On behalf of Westlife Foodworld Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Disclaimer: Please note that this transcript has been edited to correct any inadvertent grammatical inaccuracies or language inconsistencies that may have occurred while speaking. The audio of this call is available here .

Call: Jul 2025

WESTLIFE FOODWORLD LTD.

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Website: www.westlife.co.in | E -mail id :shatadru@westlife.co.in

Date: 29th July 2025

To, To,

BSE Ltd. ('the BSE) The National Stock Exchange of India Limited ('the NSE')

Phiroze Jeejeebhoy Towers Exchange Plaza

Dalal Street Bandra Kurla Complex, Bandra (East)

Mumbai 400 001 Mumbai – 400051

Sub : Compliance with Regulation s 30 of the SEBI (LODR) Regulations, 2015 ,
Submission of transcript of earnings conference call for the quarter ended
30th June , 2025 .

Re : Westlife Foodworld Limited ("the Company "): Scrip Code -505533 and
WESTLIFE (NSE)

Dear Sirs,

In compliance with Regulation s 30 of the Securities and Exchange Board of India (Listing
Obligations and Disclosure Requirements) Regulations, 2015 , please find enclosed herewith
transcript of earnings conference call for the quarter ended 30th June, 2025 , held post the Board
Meeting of the Company on 23rd July, 2025.

In this regard, the transcript of the said earnings conference call has been uploaded on the
Company's website and can be accessed at the weblink:
<https://www.westlife.co.in/investors/financial-news-and-information/>

You are requested to take the same on record.

Thanking you,

Yours faithfully,

For Westlife Foodworld Ltd.

Dr. Shatadru Sengupta
Company Secretary

Encl: as above

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Westlife Foodworld Limited
Q1 FY26 Earnings Conference Call
July 23, 2025

MANAGEMENT :

■ Mr. Akshay Jatia – President & Chief Executive Officer

■ Mr. Saurabh Kalra – Managing Director

■ Mr. Hrushit Shah – Chief Financial Officer

■ Mr. Chintan Jajal – Lead Investor Relations

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Moderator: Ladies and gentlemen, good day and welcome to the Westlife Foodworld Limited Q1 FY '26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touch -tone phone. Please note that this conference is being recorded.

We would like to remind you that certain statements made by the management in today's call may be forward -looking statements. These forward -looking statements reflect management's best judgment and analysis as of today. The actual results may differ materially from the current expectations based on a number of factors affecting the business. Please refer to the safe harbor disclosure in the Earnings Presentation .

I now hand the conference over to Mr. Chintan Jajal. Thank you, and over to you, sir Chintan Jajal : Thanks, Jeet. Welcome, everyone and thank you for joining us on Westlife Foodworld Earnings Conference Call for the 1st Quarter of FY '26 ended 30th June 2025.

I am Chintan Jajal , Head IR at Westlife. From the Management Team , I have with me Mr. Akshay Jatia – President and CEO , Mr. Saurabh Kalra – Managing Director , Mr. Hrushit Shah – Chief Financial Officer .

We will kick off today 's conversation with Akshay sharing his thoughts on overall business progress and outlook. This will be followed by Saurabh taking us through operational, financial and strategic highlights. Post that, we can open the forum for questions and answers. We will be referring to earnings presentation and financial releases available on the BSE, NSE and Investors page of our website.

With that, I now request Akshay to commence this session. Thank you, and over to you, Akshay.

Akshay Jatia : Thank you, Chintan. Hello and good evening, everyone. Thank you for joining us today.

We started this financial year on a steady note, navigating a persistent soft business environment. However, we remain optimistic that eating out frequency will gradually improve supported by lower consumer level inflation. That being said, this marks our third consecutive quarter of positive comparable sales reinforcing our confidence in

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the strategic path we have chosen and our ability to build momentum on this through the year.

We continue to stay focused on what truly matters, driving guest counts, enhancing our value propositions, building customer excitement through product innovation, and making strategic investments that set us up for long -term growth. We have consistently highlighted the immense potential we see in the south market. There is definitely a lot of work ahead of us to build our leadership across categories and to improve our accessibility in the south.

To that end, we have decided to strengthen our regional leadership team. Our expanded south India business team structure will help us understand customer preferences better, accelerate decision -making, improve operational efficiency and enable us to achieve our regional growth aspirations. To foster sustained growth in the long -term, we have established a new vertical focused solely on long -term initiatives often termed as Horizon 2 projects internally , with a strategic outlook extending beyond 2027.

These represent the portfolio of highly promising endeavors that will ensure our continued market leadership in the foreseeable future. I am working in close collaboration with our Chief Strategy and Growth Officer to drive this growth. Another highlight of the quarter is how we have improved the gross margin by over 160 basis points sequentially achieving a historic high of 71.6% gross profit despite all the commodity price and demand volatility. This has come on the back of structural changes to unlock supply chain efficiencies.

I am very proud of the work done by the team to achieve this.

I am also proud to share that Westlife recently ranked 33rd among India 's best companies to work for, a powerful reflection of our people first culture and the passionate teams that we have built over the past many years. In line with our commitment to shareholder value creation, I am pleased to share that the Board of Directors has approved an interim dividend of Rs. 0.75 per equity share. Looking ahead, we remain optimistic on progressively improving the momentum during the

year. Thank you for your continued support and trust in Westlife.
I now hand over to Saurabh to take you through the "Operational and Financial" details of the quarter. Thank you.

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Saurabh Kalra : Thank you, Akshay . Ladies and gentlemen, good evening.
As Akshay mentioned, the operating environment during the quarter broadly is consistent with recent trends, stable, but remains soft. Despite the muted macro trend, I am quite happy that we have continued to build on our execution excellence and have delivered resilient performance across our core metrics. Consolidated revenue stood at Rs. 6.6 billion, reflecting 7% Y -o-Y growth. Same -store sales growth stood at 0.5%, with stable guest count and average check despite continued pressure on discretionary spending.
From channel performance perspective , our on-premise business grew by 8% Y -o-Y, as we captured more dine -in occasion across key cities. This momentum reinforces the effectiveness of our value proposition and execution -first strategy. Off -premise channel contributing to 41% of our total sales remain in line with our three year average. This balanced mix validates our thinking and our strength and relevance of our omni -channel model in serving evolving customers ' need and balancing basis the consumer outlook.
Gross margin increased by 160 bps sequentially to 71.6%, supported by significant enhancement in supply chain efficiencies. Restaurant operating margin increased by around 80 bps, led by strong focus on operational excellence. Operating EBITDA at Rs. 855 million was higher by 7% over last year. Cash profit after tax stood at Rs. 474 million, contributing to 7.2% of sales. We remain focused on enhancing store productivity, strengthening cost governance, and improving unit level economics to mitigate the impact of short -term volatility and strengthen our long -term brand equity and top -line growth.
Our digital business continues to contribute around 75% of our total sales, continues to be a significant driver of growth and consumer engagement. We maintain strong traction across self -ordering kiosk, McDelivery app, and My McDonald 's reward program with over 44 million cumulative downloads and more than 3 million monthly active users now as we call it. I can proudly say that we have one of the most digitally advanced omni -channel store network across the country, enabling us to personalize experience and drive repeat engagement experience.
From our network expansion perspective , we opened nine new restaurants this quarter , taking our total store count to 444 restaurants across 71 cities. Nearly all our restaurants now feature McCafé and experience of the future format . With 24% of them offering drive -thru services. Our store development pipeline for the year

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remains robust and aligned with our Vision 2027 target of 580 to 630 restaurants. Our team has sharply focused on execution excellence and we continue to invest behind long -term growth opportunity with prudence and precision.
To summarize , our growth factors are intact. We are fundamentally re -evaluating what truly matters to the customers. While the business environment remains soft and the market is largely drawn towards affordability, we are instead focusing on consumers and redefining what value truly means to them. Accordingly, you will see a lot more excitement around holistic value in the coming two quarters, which will accelerate our momentum.

Thank you for your time. I will now hand over to the moderator and open the floor for your questions.

Moderator: Thank you very much , sir. We will now begin with the question -and-answer session. The first question is from the line of Devanshu Bansal from Emkay Global . Please go ahead.

Devanshu Bansal : Hi, Akshay, Saurabh . Thanks for taking my question. So, there is some level of regional nuance to your growth performance as well, right? So, where south region has sort of seen relatively slower traction. In your initial remarks, you did attribute some leadership investments specific to that particular region. So, I was checking, if you can talk a little bit more on this and how do you see growth shaping up in the region for the remainder of the year?

Akshay Jatia : So, thanks for the question , Devanshu . As we have highlighted, consistently now in the last few calls, there is a very clear strategic path that we are taking. And the west is obviously a region that is responding very well and we have seen good traction. It is also due to our strong presence in the west and brand strength that this is playing

out quite well.

In regards to the south, we have been in the south for 20 -plus years now , so we have kind of entrenched ourselves well. We are a well -known brand, but there are nuances in the south across the key cities itself, be it Bangalore, be it Hyderabad, be it Chennai. We have a very good understanding.

However, we did feel that for enhanced decision -making, operational efficiency, sharper focus, we wanted to augment our business unit to have a focused view in the south, which is why we have augmented our leadership team in the south. It involves

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a business officer structure working directly with Saurabh and myself to drive growth and that structure involves obviously support across functions, be it HR, operations, marketing at the regional level.

So, this is not something new , we have done this in the past, but we did feel that , stage the organization is at and the focus we want to deliver in the south, this was something that was the need of the hour and we are quite confident in terms of our execution of the same.

Devanshu Bansal : Understood, sir. And Akshay, just to follow -up on this, is this the particular reason why our HO cost is slightly on a higher side this quarter. So, is this specifically the reason for that?

Akshay Jatia : Sorry, could you repeat? We could not hear the first part. So, I will just ask Hrushit to answer the question.

Hrushit Shah : Yes. So, Devanshu , so the majority of the cost is on account of certain strategic projects that we have kicked off. It is on account of upfront cost that we have incurred for those strategic projects, the benefit of which you will see in couple of quarters down the line th at has led to slightly higher G&A cost . And part of it is also on account of people, but majority comes essentially on account of the strategic project -led cost in the current quarter.

Devanshu Bansal : Understood. Sir, last question from my end. So, I was just seeing your optimized and on-premise growth, which it is that footfalls in markets are definitely reducing, consumers are preferring convenience versus moving out in markets. Are we also sort of di recting our expansion towards, say, travel, be it more through drive -thru stores or stores in metro stations, airports versus, say, freestanding stores in markets now?

Saurabh Kalra : So, as per our stated strategy itself in Vision 2027, we wanted to open more drive -thru stores because that is an integral part of our omni -channel strategy. So, needless to say, we do want to do more drive -thrus. We are experimenting on metro stations, stores, etc. I do not think that is strategy yet . But our goal is very simple, we have got to

be where consumers are spending. And whether it is long -distance transit in some of the areas like all the access -controlled highways.

We would like to be a part of all access -controlled highways, we would like to be a part of all airports. We would definitely look at short -term transit like metro as opportunities for the future, but that does not mean that we are compromising on

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other areas like high street or a mall opportunity. So, I would not say we have changed anything dramatically. We would like to do as many freestanding drive -thrus as possible . Because what it does give us is another channel to serve our consumers, which we feel at some point in time will become a big growth opportunity.

Devanshu Bansal : Understood. Saurabh , can you just lastly help us understand as in what is the typical throughput difference between a drive -thru store versus the other freestanding stores? And any difference in terms of CapEx that we sort of incur for drive -thru stores versus, say, other st ores?

Saurabh Kalra : So, the way we structure, what I can tell you is there is not too much of a difference. Obviously, food court is lower capital . But the rest of it we are able to manage within our resourcing. We do not give clear breakout. Obviously, needless to say, earlier we have given this indication drive -thru does cost Rs. 15 lakh - Rs. 20 lakh extra, but that is about it. So, we are able to manage. The way we look at it is you are feeding something for the future and as many as we can get so that over a period of time it becomes a long -term opportunity. And we have seen almost all drive -thrus do exceptionally well after five - six years of their growth and they go far higher than our system average.

Devanshu Bansal : Fair enough. Thanks for taking my questions.

Saurabh Kalra : Thank you.

Moderator: Thank you. The next question is from the line of Aditya Soman from CLSA . Please go ahead.

Aditya Soman : Yes. Hi. Good evening. Sir, two questions for me. Firstly, yes, can you just explain the gap, I know you talked about strategic projects that led to higher cost . But I still do not get why the restaurant operating margin grew 11.4% and then the pre -IndAS EBITDA grew only 0.5%. So, I am assuming there is an increase in the rent because there is a gap in sort of the post -IndAS and pre -IndAS EBITDA growth as well. And the second question was just on growth overall. I think this was partly asked in the previous question . But the on -premise growth basically over two years now is about 2.5% , if I just do a simple average . And off -premise growth is around 5%. So, this is significantly lower than what we are seeing, let us say, the aggregators deliver in a single year or even over two years. So, any sort of perspective on that? The on -

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premise, I understand last year was impacted by whatever geopolitical events, but this year, you should not have had that impact as much.

Akshay Jatia : So, Aditya, just answering your first question, I think you spoke about the difference between ROM and operating EBITDA, right? And we did call out that our G&A expenses have been a little higher this quarter due to investments in strategic projects and people -related costs. So, that is probably the difference . And I will ask you to take this offline with Chintan if required. But apart from that, we have actually seen an improvement in ROM as well as gross margins. So, we have delivered good operating efficiencies despite pressure on the top -line.

Second is our business model and the aggregators business model are very different. So, I do not think our on -premise growth can be compared to theirs , because we have number one delivery, we have takeaway, we have drive -thru and our business model is more organic. Theirs is led by a variety of levers. So, I think despite the pressure on the delivery business all around, which we have

seen even aggregators report, we have continued to navigate that environment quite well without it impacting margins , as we'll as drive more growth on our on -premise business, which is actually where our competitive advantage lies. And it is our omni -channel model that is going to drive the same -store sales growth that we have given guidance towards.

Aditya Soman : Yes. Thanks. No, just to press on actually on both. Actually my question was more on the EBITDA growth is 6.9% post -IndAS and pre -IndAS is 0.5%. So, I am assuming the gap between those numbers has to be rental, right, because the other costs will all come in both before post and pre -IndAS . So, I am just trying to figure out the difference.

Akshay Jatia : I mean, like I said, Aditya, if it is an accounting discussion, we can take this offline. Like I maintain, our ROM has expanded, our gross margin has expanded. So, please, pre-IndAS , post -IndAS can be discussed offline.

Saurabh Kalra : Yes.

Aditya Soman : Fair enough. And the second question was more actually on the off -premise growth itself, right? I mean, so you talked about, I mean 4% last year, 6% this year. So, over two years, it is on average 5%, which was the one I was comparing with aggregators . But anyway, I get your response. Thanks.

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Saurabh Kalra : So, from an aggregator standpoint, I think last time also we made this call, from our understanding, we are pretty much the leaders as far as aggregator business is concerned. We are being competitive in the market, which we play in. Beyond that, we would not have any comments on what are the drivers of their growth.

Aditya Soman : Understand. Thank you.

Moderator: Thank you. Our next question is from the line of Gaurav Jogani from JM Financial . Please go ahead.

Gaurav Jogani : Thank you for taking my question. So, my first question is with regards to the gross margin. I mean, we have seen a handsome gross margin expansion this quarter, how much of this is really sustainable? And what kind of gross margins can be targeted on a two -year, three -year, medium -term perspective?

Saurabh Kalra : So, I think the guidance on the total number has been given in our Vision 2027, we are still maintaining that guidance of how will we scale. I think gross margin was always a part of it. We believe that the number, which we have just posted is a sustainable number we should be able to sustain and with average volume going up, we should even be able to improve on this.

Gaurav Jogani : Okay. So, because this is like 150 bps, 160 bps, I mean, would it be fair to assume more like a 71 on a sustainable basis or even this number is sustainable what will be the larger portion?

Saurabh Kalra : I think the bigger point like we have always maintained, right? So, it is about

restaurant operating margin, it is about operating EBITDA. There are line items, sometimes some goes up, sometimes some other thing goes up. If tomorrow there is an inflationary pressure on some, I will not increase my price overnight. But that does not mean as an organization, we are not going to focus on improving ROMs. To sum it up, right now, we see this as a stable base from where we will start working on.

Gaurav Jogani : Sure. That is helpful. And my second and last question is regarding the average unit volume of the first store. I mean, this has also declined on a Q-o-Q basis. So, given that it still continues to remain in that Rs. 6.2 crore kind of a range. How are you looking to drive that up given that the guest count is now stable and the check size because you are offering the value offer is also being stable? So, what will be the key levers to take this ahead to achieve the Vision '27 numbers?

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Akshay Jatia : So, Gaurav, I think we have given flavor of that in our Vision 2027 document. Even in my commentary, we discussed about certain opportunities for the long-term that we are s

coping out. But more importantly, there is a strong focus on our business in the South, which we believe, is poised for growth. And by delivering that itself, we should start moving in the right trajectory and we should be on a good trajectory. Additionally, we have always spoken about the levers being centered around our core categories of burger, chicken, coffee, our digital and omni-channel model. And I think with this comprehensive focus, our Vision 2027 growth is quite clearly laid out.

Gaurav Jogani : No, so I do understand, because at that time, the demand conditions were also very different when the Vision '27 guideline was laid out. And now, given that we are seeing the prolonged slowdown in the overall demand environment, so any other steps that you are taking versus what you had decided then, that should help you to grow at least side of the market?

Akshay Jatia : Yes. Gaurav, strategy do not change just basis the macro environment conditions, because we have taken that into account when we thought through our strategy. Yes, I think one immediate response to your question is our entire focus on value for money and that is not only about price, but it is more about being relatable as a brand, having the right offerings across occasions for our customers. That is our number one priority, but that again is relevant for both west and south.

There may be some more work required in the south, which is why we have spoken about the South as well separately. And I think again, that falls within our menu and brand lever and the categories that we play with remain the same, burger, chicken, coffee. So, that is why the strategy does not change comprehensively. There are some tactical interventions that will be required and I think we have covered most of that.

Gaurav Jogani : Sure. Thanks. That is all from me.

Moderator: Thank you. The next question is from the line of Avi from Macquarie. Please go ahead.

Avi: Hi. So, hi, Akshay, wanted to kind of just pick on this gradual pickup that you are talking you are expecting in the coming year. Are we witnessing any early signs of this, which gives us some confidence or is this more linked to our south initiatives? If you could just spend some time to help us appreciate this. And the reason is, if I look at the same-store sales growth, it is broadly similar to 4Q levels. So, I wanted to kind of just understand, is this more a macro-led comment or you are more bullish, what gives you confidence over here? Thank you.

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Saurabh Kalra : So, Avi, this is Saurabh this side. Hello, it is nice to see you. Every quarter, we see you only during call, we need to meet up soon. But having said that, actually what gives us a lot of confidence is a lot of things, which we put in motion, we have seen it work quite well in west and started to give us results, which we expected. So, that gives us a lot of confidence is that from a strategy and execution side, we are in the right direction.

As Akshay spoke about, we need to be sharper with a nuanced execution for south. We are we put across a team and we believe if we are able to fall for south, we will be at the path, which we have spoken about. And that is a work ahead of us, we are fairly confident about it and that is what gives us some amount of confidence that we should be able to challenge this path.

Avi: Any early signs, Saurabh, that we are witnessing, which you can share? Or yet to?

Saurabh Kalra : I am not able to on this call, yes, but there are some experiments, which we were doing in south, which seem to be leading some green shoots.

Avi: Got it. Just a second bit is that on EBITDA margins. Now, I mean, if I were to read between your comments, you sound, your performance as well as your comments makes it sound a lot more confidence in EBITDA margins. Would it be fair to argue

that, if SSS growth does not decline, EBITDA margins are probably botto

med out and

we should not see a margin decline from here on?

Saurabh Kalra : I would imagine unless and until there is something, which is beyond our control . But I would imagine that, that should happen that EBITDA margins are pretty much at the level where we should be able to sustain and improve from where it stands today.

Avi: So, Saurabh, basically our initiatives have ensured that we can manage costs a lot more better now, even if same -store sales growth remains stable the way it has been.

That is what I was trying to get to.

Saurabh Kalra : That is what the indication is .

Avi: Perfect.

Saurabh Kalra : But I do not want to be pompous , because we never know in an environment like India, something goes up, tomorrow something goes down. But right now, it looks like it is relatively stable. And at this number, we should be able to show some amount of sustainable improvement or maintain, for sure.

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Avi: Got it, Saurabh. Thanks a lot. That is all from my side. Thank you very much.

Moderator: Thank you. The next question is from the line of Tejash Shah from Avendus S park. Please go ahead.

Tejash Shah : Hi. Thanks for the opportunity. A couple of broader questions on two dimensions of demand, one on IT and other on competition. The first, see, IT and appraisal cycle , hiring and both appraisal cycle has been weak this season. So, just wanted to understand, are you seeing any incremental weakness in your cohort, which caters to that part of the demand, IT parks or if you monitor it that way?

Saurabh Kalra : Yes, we generally do not give this break up, but I would say ...

Akshay Jatia : So, again, just to add to Saurabh 's point, we do not break it out by cohorts , because like he said, right, sometimes, one cohort will go up, one cohort will go down, things will stabilize. That is the beast of the business that we are in, right, a retail business, a hyper -competitive business in a country like India. And these cycle s will keep going up and down.

So, our endeavor is to ensure that we have sustainable business across all occasions and all types of cohorts , where if there is one that is not performing, there are others that will make up for it. So, that is how we look at the business. And the break up that we are talking about now is more regional , because we feel that is more relevant , where if we are able to kind of tackle the regional nuances that come with our business, we will be able to deliver on the guidance that we have given the market.

Tejash Shah : Perfect. No, I was just trying to understand because versus other QSR, you are more over indexed because of Pune and then south being there. So , I was just trying to understand if there is any read -through there.

Second question is , how intense is competition currently? And what form is it taking? Is it more aggressive pricing at value and increasing share for voice share or increasing spend for voice share or competitors are crowding out prime real estate because that is what we are also picking up that the rental costs are going up. So, just wanted to understand that part from you.

Saurabh Kalra : I think it is from a mental model standpoint. We have always looked at ourselves saying how do we differentiate and look at the consumers. Like you rightly said, when going gets tough, everybody talks about affordability and value. What we want to be able to do is not only think about affordability and value, but what truly matters to

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the consumer. And what I can assure you is we are trying to do a lot more things looking at the consumer in mind and be differentiated in the marketplace.

Some of the launches are planned in the next two quarters. You will see we are focusing on our core, yet trying to do things, which are little away from what everybody else is doing right now. But is value important? Absolutely important. Is affordability important in the current co

ntext? Absolutely important. The first

question you asked, is there pressure in some of the IT guys? Yes. But the way to look at it is if you are truly a value brand, we should be able to gain share during these times.

So, that is how our mental model is and that is how we are trying to look at it. Now, how it plays out, we are quite gung -ho that hat we should be able to find an answer to it because some of the places we do see some answers emerging. So , that is how I would leave it.

Tejash Shah : Right. Just one follow-up on that. So, considering the impetus that industry is giving at value end of the offerings, including us, our gross margin expansion has been very, very robust and you attributed a large part of it to supply chain efficiency. But just wanted to understand, is there any category mix dynamics also playing there that chicken indexation actually gives you more room to play on margins versus let us say non-chicken part?

Akshay Jatia : I do not think it is exactly like that. Like we have said, it's supply chain efficiencies that we have unlocked. Product mix, we have almost 70% of categories available through our menu in western fast food as we have calculated. So, product mix will always go up and down, but our endeavor is obviously to keep improving operating margin.

Tejash Shah : Got it. That is all from my side. And all the best for coming quarter.

Saurabh Kalra : Thank you.

Moderator: Thank you. The next question is from the line of Jignanshu Gor from Bernstein. Please go ahead.

Jignanshu Gor : Hi. I wanted to understand two specific things. One, on our reporting of AUV, we have changed the definition. Do we intend to continue with this change? And second, how do we think about its relation with the earlier definition for our time series understanding?

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Saurabh Kalra : So, I think the earlier definition was pretty much all the operating stores. We have just made it comp. I think that is rich data for you guys to be able to calculate. So, comp means stores, which have been operational for more than 12 months, what is their average. Needless to say, you can yourself calculate what total AUV looks like.

Jignanshu Gor : Okay. And the base for this and the same -store sales growth number would be the same, right?

Akshay Jatia : Yes.

Saurabh Kalra : Yes and no, because what happens is some of the times restaurants close down. So, they get removed from the comp AUV base. So, all those are modulation around it.

Like, for example, our comp base might have a store like Phoenix, which got shut down etc., etc. So, it is not exactly like -to-like, but the idea is to be able to make it as close to like -to-like as possible.

Jignanshu Gor : Okay. Great. Sure. Thank you. And second question was on gross margin. Would you be able to share what part of the gross margin increase is a factor of supply chain efficiencies? And have you taken any price increases in the quarter, also the year on a Y-o-Y basis?

Saurabh Kalra : There was a marginal price increase taken in March, but it was a very marginal price increase. Like Akshay talked about, a lot of them are supply chain efficiencies, commodity efficiencies, which have come in and we believe that they are structural in nature and we should be able to sustain them.

Jignanshu Gor : All right. Great. Thank you.

Moderator: Thank you. The next question is from the line of Jay Doshi from Kotak. Please go ahead.

Jay Doshi : Yes. Hi. Thanks for the opportunity. Hi, Akshay. Hi, Saurabh. My question is, your confidence on further improvement in south. So, at this point of time, are your SSSG growth rate numbers very different between the two regions? And do you think that south, is south dragging your SSSG or you think south will accelerate and that should help your growth number? Is South underperforming or?

Saurabh Kalra : The simple answer to that, I would not say, I do not know, what

the word

underperforming because that includes a lot of things. Is it dragging down the SSSG? Absolutely. So, while we are doing quite well in west, we are not doing as well in

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south. We did put a few experiments in. Some of them are being green shoots and we need to develop our execution excellence in south specifically, which is what Akshay talked about, when he said that we are putting up a team, including a Business Officer who will directly work with us to ensure that this execution excellence happens in south. And our belief is that if we are able to do it, we should be able to get the traction in south, therefore, uplifting our overall growth.

Jay Doshi : And is this an operational aspect of execution or is it something to do with product portfolio or competitive?

Akshay Jatia : Yes, So, Jay, that is why we mentioned it is a business structure. It is a business problem to be solved, it is not only operational. And the main thing is you have to put the customer in the center and understand, why the stores are not performing as well as we want them to. And that is something that is already a work in progress since

the last few months, we have already intervened with some experiments and like Saurabh said, we are seeing green shoots.

And we are working quite closely with the team involved to ensure that we bridge the gap, and that is the endeavor. The confidence is high because we have done it in the west. And we believe that once we are able to solve this business problem, we should be on a very good trajectory, which should then continue to get better as we keep implementing all the opportunities in front of us.

Jay Doshi : Understood. Thank you. My next question is, at the time of articulating 2027 ambitions, I mean, demand environment was very different. Now, in context of the current macro, which is not kind for the overall industry, if we continue to see muted SSSG, right? I mean, back then the expectation was that SSSG growth will continue to be 7% - 8%. But if it ends up at 2% - 3%, then what is realistically, what is the margin band that one should think about, right? With 7% - 8%, if you were targeting 15% - 17%, if it sort of is 2% - 3% what would it be?

Akshay Jatia : So, Jay, I think we can discuss this when we do come back if we need to. As of now, we continue to maintain that those are the targets that we are driving towards. We are still in the middle of 2025. We have till the end of calendar 2027 to drive towards those targets. As an internal team, those are the targets that we set ourselves in all our discussions. And if there is a need to revise them, we will be the first ones to call them out and call out that need, sorry. And we will then come back with a discussion that or, sorry, we will come back with a discussion that will be populated to everyone.

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Jay Doshi : Sure. Thank you so much.

Akshay Jatia : Thanks.

Moderator : Thank you. The next question is from the line of Resha Mehta from Green Edge Wealth. Please go ahead.

Resha Mehta : Yes. Good evening. So, my question is also kind of related to the previous participant's question on margin. So, in our Vision statement, we have outlined our aspiration to reach 18% to 20% margin. So, if we look at the current margins of 13% and let us take the lower band of 18% aspiration margins, it is still a 500 basis points gap. So, how much of this improvement do we expect by 2027? Let us say, from gross margin expansion, from cost efficiencies and from improving footfall? And what is the assumption here for a baseline SSSG to achieve, let us say, an 18% kind of margin? If you are not able to quantify this, I would appreciate if you could kind of give some flavor on the margins aspiration.

Saurabh Kalra : Yes. So, I think very clearly, we have talked about saying how do we go to, say, high single-digit beyond the median of 5% - 6%. If we are a

ble to do this, we believe we have done a good job in terms of being able to keep our break evens and cost in control. So, if you are able to get at least a year, year and a half of high single-digit comp growth around 7% also, we should be able to achieve what we have set out to achieve. And that is what we are planning to, that is why we are saying we are not given up on it.

We are very clear that in this kind of environment, we got to look at the consumer and be able to say what do we need to do in order to get where we want to be. So, that is how we are looking at it. Like I said, these are broad based numbers. A lot of it, the moment you were to do a math on our 6% - 7%, 7% of same-store sales growth, you will see whether it is EBITDA or whether it is Vision 2027. At the lower end, it will be achieved without too much of an hustle. So, the big task to be done for us is how do we accelerate to be able to reach at that number. And that is where the endeavor is, that is where we are working towards.

Resha Mehta : So, would it be correct to conclude from your comments that largely this margin gap would be bridged by SSSG expansion, which is to the tune of expectation of 6% - 7% SSSG to achieve an 18% kind of a margin? Broadly, I mean, this is what would be fair to conclude?

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Saurabh Kalra : Yes, broadly.

Resha Mehta : So, what would be the sensitivity in terms of, let us say, if there is a 100 bps or a 1 percentage point improvement in SSSG, then what kind of operating leverage, that leads to?

Saurabh Kalra : While it was all broad comments, I would not go here. You all can calculate the operating leverage or deleverage, which comes out of SSSG being negative, positive. So, I would not comment this here. At an organization level, when you are creating a plan, you are creating the plan to be able to, say, how do we grow revenue, how do

we bring profitability in. That is the endeavor, that is how we look at it. Now, can situation go wrong? Absolutely. It can, something like COVID happened, all the profitability went down. We do not know what we do not know. But what we are saying is if everything remains stable, we do believe that there is a task of accelerating growth and then we are working towards it to make sure that, that happens sooner than later.

Resha Mehta : Right. And just the last one. So, our royalty is around 5.6% currently, how does that move over the next two years to three years? Like, what are the thresholds for it to increase, if any?

Akshay Jatia : That table is available on our website, so please take a look at that and if you have any other questions around that, you can contact Chintan and his team, they will be able to answer that. But we have given all the guidance available for royalty on our website.

Resha Mehta : Sure. Thank you.

Moderator: Thank you. The next question is from the line of Amruta from Wealth Managers India Private Limited. Please go ahead.

Amruta : Yes. Thank you for this opportunity. Sir, my question is regarding there was this new McDonald's deal, which was announced like where a new thing meal was launched by the McDonald's north and east. So, is this offer available pan India? Like, Yum! Brand has this uniform rollout nationwide. So, does McDonald's have such a strategy too or does it have a regional specific where, both the franchises can have different product development, like the dishes development and also the new offers and everything?

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Saurabh Kalra : So, the first answer is, no. Ranveer Singh Meal is not available with us. We strategically aligned it a year in advance of where do we want to partner, like we are already talking about next year. So, wherever we want to partner, we will partner. The two businesses are at very different stages and it is up to the licensee to be able to say whether we will partner or not. So, right now, we decided last year itself that

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we are not going to be a partner.

So, there is freedom within the McDonald's framework in which we got to get to do what is right for our business and our customers. And they get to do what is right for their business and their customers. So, we did not participate in any of this.

Amruta : All right. Thank you.

Moderator: Thank you. The next question is from the line of Jagdish Sharma, an Individual Investor. Please go ahead.

Jagdish Sharma : Hi, sir. Thank you, sir. Thanks for giving me this opportunity. I just have one broad question, while in the QSR sector, if we have to see the gross margins of our Pizza competitors, both are in the same level similar level 70% - 72%. I know in our Vision document, we want to take our EBITDA margin to 18% to 20% and all these things. But why is the EBITDA margin different even now? Because they were talking about 23% - 25%, so we are talking about 18% to 20%. So, what is the difference between us and our Pizza competitors and other business players?

Akshay Jatia : See, we have different business models. We are here to talk about our business model. So, I cannot really comment on their business model in terms of their gross margins. But what we can say is we have clearly given our guidelines in terms of our EBITDA margin aspirations and we stick to that.

Jagdish Sharma : Okay. Okay, sir. My last question is like what is the guidance for this year, SS SG and the revenue growth?

Akshay Jatia : So, again, we do not break it out into yearly guidance, you have our Vision 2027 guidance. And we hope to get to a point where we can do that so that there is more predictability. There is improving momentum expected through the year. We have been at this flat level for the last couple of quarters. Like we have discussed through the entire call, there are multiple growth initiatives in the pipeline and we definitely do not see things worsening. We feel the bottom has already passed us and the improvement should be apparent in our results as we move forward.

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Jagdish Sharma : Great. Great. Great, sir. Thanks, sir. Your Korean burgers are really awesome. I am a fan of your this thing. I have one session or one recommendation is, like if possible give the shareholders some discount in terms of coupon or something like that. Yes.

Thank you, sir.

Akshay Jatia : Thank you.

Moderator: Thank you. As there are no further questions from the participants, I would now like

to hand the conference over to the management for closing comments.

Akshay Jatia : Thank you so much for attending our call and we look forward to seeing you again next quarter.

Saurabh Kalra : Thank you. Have a good day.

Moderator: Thank you. On behalf of Westlife Foodworld Limited , that concludes this conference.

Thank you for joining us and you may now disconnect your lines. Thank you.

Disclaimer : Please note that this transcript has been edited to correct any inadvertent grammatical inaccuracies or language inconsistencies that may have occurred while speaking. The audio of this call is available [here](#) .

Call: Nov 2025

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Date: 7th November, 2025

To, To,

BSE Ltd. ('the BSE') The National Stock Exchange of India Limited ('the NSE')

Phiroze Jeejeebhoy Towers Exchange Plaza

Dalal Street Bandra Kurla Complex, Bandra (East)

Mumbai 400 001 Mumbai – 400051

Sub : Compliance with Regulation s 30 of the SEBI (LODR) Regulations, 2015 ,
Submission of transcript of earnings conference call for the quarter ended
30th September , 2025 .

Re : Westlife Foodworld Limited ("the Company "): Scrip Code -505533 and
WESTLIFE (NSE)

Dear Sirs,

In compliance with Regulation s 30 of the Securities and Exchange Board of India (Listing
Obligations and Disclosure Requirements) Regulations, 2015 , please find enclosed herewith
transcript of earnings conference call for the quarter ended 30th September , 2025 , held post the
Board Meeting of the Company on 3rd November , 2025.

In this regard, the transcript of the said earnings conference call has been uploaded on the
Company's website and can be accessed at the weblink: <https://www.westlife.co.in/wp-content/uploads/2025/11/Q2FY26-WFL-Earnings-Call-Transcript-.pdf>

You are requested to take the same on record.

Thanking you,

Yours faithfully,

For Westlife Foodworld Ltd.

Dr. Shatadru Sengupta
Company Secretary

Encl: as above

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Westlife Foodworld Limited
Q2 FY26 Earnings Conference Call
November 03, 2025

MANAGEMENT :

■ Mr. Akshay Jatia – President & Chief Executive Officer

■ Mr. Saurabh Kalra – Managing Director

■ Mr. Hrushit Shah – Chief Financial Officer

■ Mr. Chintan Jajal – Lead Investor Relations

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Moderator: Ladies and gentlemen, good day, and welcome to the Westlife Foodworld Limited Q2 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touchtone phone.

We would like to remind you that certain statements made by the management in today's call may be forward-looking statements. These forward-looking statements reflect management's best judgment and analysis as of today. The actual results may differ materially from the current expectations based on a number of factors affecting the business. Please refer to the Safe Harbor disclosure in the earnings presentation. I now hand the conference over to Mr. Chintan Jajal. Thank you and over to you sir.

Chintan Jajal: Thanks, Rayo. Welcome, everyone, and thank you for joining us on Westlife Foodworld earnings conference call for the second quarter ended 30 September, 2025. I'm Chintan Jajal, Head IR at Westlife. From the management team, I have with me Mr. Akshay Jatia, President and CEO; Mr. Saurabh Kalra, Managing Director; Mr. Hrushit Shah, Chief Financial Officer.

We will kick off today's conversation with Saurabh taking us through operational and financial highlights. This will be followed by Akshay sharing his thoughts on overall business strategy progress and outlook. Post that, we can open the forum for questions and answers. We will be referring to earnings presentation and financial releases available on the NSE, BSE and Investors page of our website.

With that, I now request Saurabh to commence this session. Thank you and over to you, Saurabh.

Saurabh Kalra: Thank you, Chintan. Good afternoon, ladies and gentlemen. Q2 was marked actually by continued softness in discretionary spend and eating out frequency. While we started July quite decently, the industry saw nearly 4% to 6% decline in outside home food consumption frequency in the month of August and September in our region. As against this decline, as a brand we have grown around 4%, implying that some market share gains have happened. Our consolidated revenue for the quarter stood at Rs. 6.42 billion, reflecting 3.8% Y-o-Y growth. On-premise channel delivered 5% year-on-year growth, while off-premise remained stable. We are particularly proud of our cost discipline.

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Gross margin expanded 72.4%, driven by sustained supply chain efficiencies, marking an all-time high. Our restaurant operating margin grew 60 bps Y-o-Y to 19.2%, demonstrating our operational excellence and enabling us to preserve cash flow through the cycle.

Cash PAT stood at Rs. 807 million or 12.6% of sales. During the quarter, we had an exceptional gain of Rs. 581 million and a loss of Rs. 121 million. The gain is related to a redevelopment transaction involving one of our ownership stores, property located in Mumbai. The loss is largely related to impairment of an investment and one-time write-off. Adjustment of these exceptional items, cash PAT was Rs. 421 million or 6.6% of sales.

Moving on. Our digital ecosystem continues to be a key growth driver. Digital sales contributed around 75% of the revenue, growing over 300 bps Y-o-Y, supported by loyalty program, mobile app engagement and self-order kiosks.

Cumulatively, our apps have crossed 47 million downloads with around 3 million monthly active users, reflecting a strong consumer engagement and convenience-led adoption. We continue to innovate, engage our customers through new offerings and value campaigns.

As you would have seen and heard about, in line with all these evolving consumer preferences for nutritional offering, we launched Protein Plus Slice developed in collaboration with CFTRI, which received phenomenal demand

, selling out in 1 day.

We also reinforced our value proposition of McSaver's Combo at Rs. 69 and ran various campaigns, including Independence Day, International French Fries Day, which helped improve guest engagement. During the quarter, we also opened 8 new restaurants, taking the total to 450 restaurants across 72 cities. Almost all our restaurants feature a McCafe and in a model experience for future format.

And nearly one in four offers a drive-thru service, strengthening our leadership across all convenience formats. We continue to target serving every drive-thru order within 120 seconds, creating a fast habitual experience for our customer. Lastly, you would

have noticed the sad news of Hrushit Shah stepping down as CFO to be with his family abroad. We value his personal commitment and appreciate his contribution to the company over the past 2 years.

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On behalf of everyone in Westlife, we extend our best wishes for his future endeavour. Hrushit, would you like to add anything?

Hrushit Shah: Sure, Saurabh. Thank you, Saurabh. It has been a privilege to be part of Westlife's journey over the last 2 years. I've thoroughly enjoyed my time here, and I'm grateful to have contributed to several structural initiatives such as our cost governance program, enterprise risk management initiatives, network expansion, value platform and many more. I will be moving overseas to be with my family, and hence, it has been a very difficult decision for me.

Having said that, McDonald's and Westlife Foodworld will always remain close to my heart. I leave with a great pride in whatever we have achieved together and with full confidence in company's continued success. Thank you, Saurabh.

Saurabh Kalra: Thank you, Hrushit. Looking ahead, we expect the operating environment to gradually improve over the next few quarters. We are well positioned to leverage this recovery backed by disciplined execution and consumer forward innovation. Thank you, all. I'll now hand over to Akshay to take us through business progress and outlook.

Akshay Jatia: Hello, and good afternoon, everyone. It's great to have you on the call today. As Saurabh mentioned, Q2 was a challenging yet disciplined quarter amid a still recovering consumption landscape across the broader QSR and consumer sectors. The latter part of the quarter witnessed some softness in overall out-of-home food consumption. However, we have started to see encouraging signs of recovery in October.

Throughout this period, our focus has remained clear, sharpening our strategies to build long-term brand strength while maintaining strict discipline on cost and profitability. We have always stayed at the forefront of innovation, creating excitement and engagement for our customers, whether through the Happy Price Menu, McSpicy, McCrispy, Gourmet Burgers or McCafe.

For over 30 years, we have defined industry trends by listening to what our consumers want. Accordingly, I'm proud to share that during the last quarter, we launched our Protein Plus Slice. It took nearly 18 months of trial and iterations to perfect a slice that adds 5 grams of protein to our burgers while enhancing the overall experience.

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We developed this product in collaboration with scientists at the Central Food Technological Research Institute, reinforcing our commitment to nutrition forward and science-backed innovation. Please do try this product, I'm confident it will become a permanent addition to your meals.

Furthermore, as we listen to our customers, we heard many suggestions like :
'can this burger be more filling? '

'We need more sauce. '

'Where is the indulgence? '

These weren't just suggestions, they were opportunities and we took them seriously. Accordingly, we recently launched the Big Yummy Burgers for the ongoing quarter. Initial consumer feedback has been very positive, and we will discuss more of this next

quarter. As we move forward, we will continue to build on this momentum with an exciting innovation pipeline.

Moving on, during the quarter, our on-premise business grew by 5%, while off-premise sales held steady. Off-premise includes delivery, which is an important channel for us, contributing close to 40% of our business.

We expect this channel to continue growing at strong double-digit rates over the next few years. However, the performance of third-party aggregators has been unpredictable in recent months. As a result, one of our key priorities is to strengthen our own platform, the McDelivery platform.

Moreover, while third-party aggregators offer variety, our research shows that today's young customers prioritize brand trust, reliability, convenience and personalization, values that McDelivery is uniquely positioned to deliver.

To capitalize on this, we've launched a major initiative to scale our McDelivery platform in partnership with a Marquee Global Consultant. We are looking at every aspect of the business, be it operations, our app technology, data architecture or performance marketing with an aim to scale this platform significantly.

In the coming months, you will see significant upgrades to the UI/UX of our McDelivery app designed to deliver a seamless and intuitive user experience. We have piloted 20 -minute delivery of hot freshly cooked food across select stores. These

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results have been promising with a noticeable uptick in guest counts and repeat visits at these stores. We are now rolling this out across our markets.

We have also made several changes to back -end operations by removing friction points and ensuring that orders are ready to go out in 3 to 5 minutes. We have deployed AI -powered video analytics in kitchens to ensure product quality as well as packaging accuracy. This has led to a sharp decrease in complaint percentage.

To sum it up, we are setting an ambitious target to double McDelivery sales in the next 2 years. This project has the potential to unlock an incremental 3% to 5% contribution to system -wide same -store -sales growth over the next 2 years.

Now moving on to profitability. Over the past 2 years, we faced headwinds with negative same -store -sales growth, reflecting broader macroeconomic challenges as well as muted real income growth and subdued discretionary spending. These pressures have impacted several P&L line items given the high operating leverage in our business model.

However, I'm proud to highlight that despite challenging conditions, we delivered significantly better historic gross margins and improving restaurant level profitability. This reflects outstanding cross -functional efforts by our teams to optimize breakeven sales and contribution margins without compromising on our commitment towards operational excellence.

Looking ahead, we have a robust pipeline of high -impact initiatives rolling out later this year and into 2026, which we expect to generate about Rs. 40 to 50 crores in incremental cash flow over the next year. This will support our growth and profitability agenda over the next few years.

Aligning with the government's efforts to stimulate consumer spending, we have also passed on the benefit of the GST rate cut to our customers through a price reduction of around 80 to 100 basis points.

While it is still early days, we are optimistic that this historic government initiative will augur well for consumer sentiment and spending in the mid to long term. On network expansion, I am proud to say that we touched the 450 stores mark this quarter.

We continue to remain aggressive in capturing market share, yet we stay disciplined when it comes to the unit economics. We remain steadfast in our optimism about McDonald's' brand strength and India's long -term consumption growth story.

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India's rising middle class and increasing urbanization con

tinue to fuel a robust QSR

market, and we are well positioned to capture this opportunity.

While our vision is 580 to 630 restaurants by December 2027, and we remain on track to deliver this, I have said many times that we could comfortably have over 1,000 restaurants in the mid to long term. To support this, we significantly enhanced our real estate development process by deploying a state -of-the-art location intelligence platform powered by AI and machine learning algorithms.

This technology enables us to predict new store performance with greater accuracy and identify high potential white spaces across geographies almost in real time. I'm pleased to share that the majority of the stores opened in the last 6 months are exceeding expectations, delivering strong initial performance. This gives us confidence that our future expansion towards our vision and beyond will be fine - tuned to deliver incremental growth and absolute profits.

I would also like to emphasize or reemphasize that we plan to fund this expansion primarily through internal accruals, ensuring financial discipline as we scale. Our philosophy has always been profitable growth and not growth at any cost.

Our people are at the heart of our success. I am proud to share that we were ranked among Asia's top 100 Best Large Workplaces by Great Place to Work, reflecting our commitment to building a great workplace at scale. Furthermore, we were recognized among the top 50 large companies to work for millennials and women in India, a strong validation of our empowering and inclusive culture.

With the team strength of over 11,000 people, we continue to foster an environment that enables our employees to learn, grow and make an impact every day. Finally, looking ahead to 2026, we have exciting plans to deepen our connections with India's younger consumers who are shaping the future of out -of-home food consumption through their dynamic lifestyles and evolving preferences.

We have always placed consumers at the centre of our strategy and remain relevant to younger generations. I'm excited to share that we also have a robust pipeline in place to reinforce McDonald's as a trusted brand and strengthen our market leadership position.

Thank you once again for your continued trust. I'll now hand it over to the moderator to commence the question -and-answer session. Thank you.

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Moderator: Thank you very much. We will now begin the question -and-answer session. Anyone who wishes to ask questions may press star and one on their touchtone telephone.

An operator will take your name and announce a turn in the question queue.

Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

The first question is from Avi Mehta from Macquarie Capital. Please go ahead.

Avi Mehta: Hi, team. Hi, Saurabh. Hi, Akshay. Thanks a lot for this. Akshay, I wanted to kind of just touch base first on the demand environment. We have heard other peers citing that there's some impact because of the Navratri season that they had, but underlying demand trends were flattish.

Did we also witness a similar situation because I'm just trying to look beyond the headline numbers? A, and B, if you could also give us some colour if there was divergence between the South and West of India or has that changed because you were doing initiatives to drive growth in South India?

Akshay Jatia: So, I'll take the first part and I'll ask Saurabh to add, right? So, in terms of the demand environment, like we said, we even spoke about our brand track numbers for the first time, we've seen both the informal eating out as well as the QSR market actually contract in terms of growth. So there continues to be pressure in terms of the sentiment in terms of demand. There has also been a lot of expansion in the QSR and eating out market over the last y

ear. So that could be further impacting drag in terms of growth.

So I think in respect to us, we saw a pretty decent July and most of August, but there was a downtrend in the last month of the quarter, which negatively impacted our quarter. That being said, we've briefly touched upon October, and I can't share too much, but we have seen growth in October over September, substantial growth. But overall, the demand environment does remain challenging and we want to see how this quarter pans out before sharing more. A lot of it depends also on the festive season in December, which is usually a very big month for our company as well as the category. So that's in terms of the demand environment. And in terms of West and South, I'll just ask Saurabh to add.

Saurabh Kalra: Yes. So Avi, as we have been speaking earlier also, South has been a little bit of a dampener or softer results have been there in South, especially Bangalore, where we

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operate the second highest number of stores in terms of cities. So Mumbai being the highest, we almost have 65 to 70 restaurants in Bangalore. That's been the biggest drag on the system.

And we have seen this not only for us, like Akshay mentioned about brand track, we looked at brand track for Bangalore, both delivery and dine-in was under tremendous amount of pressure and large part of this negative growth came from Bangalore. So that's how we are looking at it.

Avi Mehta: And Saurabh, any update on -- you had launched some initiatives to drive growth in South India in the first quarter, and you were witnessing good green shoots. Any update on that? How has that kind of helped us in particular? I understand the demand environment, but if you could give your thoughts.

Saurabh Kalra: So had it been -- so we obviously did a lot of work around chicken and it started showing some positive traction for sure in terms of the number of chicken we sell a day and the number of people we sell to. But the number of people walking in the restaurant has been soft. We are right now doing a lot of trials.

We did some amount of research in the last 2 months with SEC B, SEC A and young adults 18 to 24, which we believe are missing as far as our strong portfolio in South is concerned. And we have got some ideas in place.

We are doing small trials in one -one restaurants to be able to say what best fits it. And then it will play out in the next couple of quarters is what our guess is. But we are very sure of what are the problems which we need to solve essentially is around SEC B value with Gen Z in Bangalore, which we need to sought. So that's the detail I'm happy to provide right now.

Avi Mehta: Very clear. And sorry, Akshay, just on the October bit. Just to get some sense, are we in positive territory or it's just a lower decline on a Y-o-Y basis? Because sequential, I mean, from whatever -- and please correct me if I'm wrong, sequential may not be the right way to look at in this space. So I'm just trying to understand from a same-store sales growth, is that what you're suggesting what is...

Saurabh Kalra: Let me answer it differently, Avi. To me, October, November, December, the crux of it is always December. We remain optimistic about December. If December does well, QND will do well. Like Akshay already mentioned, over September, there was a huge improvement.

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Now if this trend continues, we would see at least the positive numbers coming in, in this quarter, but largely a lot depends on how November, December pans out.

Avi Mehta: Perfect. I'll come back in the queue. I have some more questions on margins, but I'll come back later.

Saurabh Kalra: Thank you very much.

Moderator: Next question is from Devanshu Bansal from Emkay Global. Please go ahead.

Devanshu Bansal: Hi, Akshay. Thanks for the opportunity. So, I wanted to better understand the strategic direction that you provided in your

opening remarks. So, number one, you indicated some investments in your delivery app. Second, you mentioned some high-impact initiatives, which should enable Rs. 40 - 50 crores of incremental cash flow. And thirdly, a tech-based software, which should enable better store locations, right? So, from that perspective, as in currently, what is the level of maturity in our system on these three counts? And how we sort of expect to improve with these investments going ahead?

Akshay Jaitia: So, the first one is a project that we're running, like I said, and we're kind of halfway through it. And it is showing promising results, like I shared in terms of some of the pilots, and it's being done in partnership with a strong execution-based consultant with good digital capabilities. So our team is complementing well.

And we're quite optimistic that over the next 6 months, we should start seeing a lot of the growth coming in. Our ambition is to double the sales we get from the platform over the next 1 to 1.5 years. And I think that like we highlighted in our commentary, it should add incrementally to same-store-sales growth. So that's one. And like I said, it will take 1 - 1.5 years to play out.

Number two, in terms of the cost initiatives, those are well matured. We've run a pretty significant cost optimization project. And we've always said that it's part of our DNA to remove costs from the system.

So, we've already banked some good savings over the year, which has allowed us to continue to expand our profitability. And I will say that, that's the most that we've been able to do in this demand environment, which still deliver margins despite a significant pressure on operating leverage.

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And additionally, we are quite confident that this incremental cash flow is going to be banked through the other initiatives that we've secured through this project. So again, the time horizon has been shared over there.

And number three, in terms of location intelligence, obviously, the model takes some time. We've just about secured the model and we're in the process of implementing it. But like I said, a lot of the stores, almost 70% - 80% of the stores we've opened this year have already started performing well, which was not the case in the last year. So, I think our reason for sharing and giving this flavour is to highlight the work that's going on within the organization to deliver on our plans. And we're very optimistic that because we started them ahead of the curve, we will be able to see the gains come in soon.

Devanshu Bansal: Very clear. Sir, just two small follow-ups. So, this incremental addition to SSG delivery capabilities should build on that Rs. 40 - 45 billion target or because a couple of years have been slow because of weak demand environment, these initiatives should help us meet that Rs. 40 - 45 billion sort of guideline that you gave?

Akshay Jaitia: As you've seen, right, it doesn't play out in a linear fashion. And Vision 2027 was an all-encompassing vision, right? And even when we kind of laid it out, there were a lot of questions on is this conservative? Is this optimistic? But this is the environment that we operate in.

I think you need to keep discovering growth levers and doubling down on what you already have. So I think this is part of that. Could it give more? Yes. I mean, I think that, obviously, our internal targets are quite aggressive. But right now, in terms of

visibility that we've given external stakeholders, I think Vision 2027 is what we remain accountable towards.

Devanshu Bansal: And just small one last follow-up. So do you anticipate any additional investments in these initiatives going ahead or we'll maintain our Rs. 200 - 250 crores of CapEx investment annually?

Akshay Jatia: So there is incremental investment. This is not fully covered in our capex. And over a course of time, we will share some

more information in terms of how we've kind of invested into these growth initiatives.

I think the idea this year was to -- or this quarter was to give you all a flavour, but I think that's a valid point. These investments are not your typical capex. And in the

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past, we haven't broken it out, but we will work on sharing more flavour in terms of how we're looking at both investment as well as the return on investment.

Devanshu Bansal: That's very clear. Thanks for taking the question.

Moderator: The next question is from Saurabh Kundan from Goldman Sachs. Please go ahead.

Saurabh Kundan: Thank you very much for the opportunity. I think you mentioned that performance...

Moderator: Saurabh, your voice isn't very clear. I'm sorry to interrupt. Could you maybe come a little closer to the mic if you're on a handset?

Saurabh Kundan: Is it better now?

Saurabh Kundan: Okay. So, you mentioned the performance of the aggregators has not -- has been a bit unpredictable and you are transitioning towards doing more delivery business from your own app.

Having said that, this quarter, I mean, the aggregators have grown in the mid-teens and some of your peers also who I assume will be using the aggregators have also grown their delivery business in the mid-teens and you are flat. Are we to assume that while this transition happens, your off-premise business will remain a little weak for the 1.5 - 2 years transition period that you're talking about?

Saurabh Kalra: I think that was the flavour you wanted to give of what's the reality as far as we are concerned. And what we hear is in market like Bangalore, everybody is facing a tough environment and that high number, which might be a reported number for pan-India might not be always applicable to our region.

Therefore, we are sticking to West and South. And what we see is we have not seen a market share drop as far as delivery is concerned in Western fast food amongst the aggregators, while we do see yo-yo between the 2 aggregators. So sometimes Swiggy does extremely well, sometimes Zomato does extremely well.

And what we have decided is rather than being able to only put money in more and more offers and more and more discounting, we would rather play a structural game where we are strategic about being a player in one of the platforms, in both the platforms being a significant player and yet being able to craft out our own niche through our own channel, and that's the endeavour of the project.

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Saurabh Kundan: Okay. Could you give us a number as to what percentage of your off-premise business you want from your own platform eventually?

Saurabh Kalra: So we have given this flavour 3, 4 years back when we had the investor call -- when we had the investor meeting. Typically, in some markets, we are as high as 1/3. And in some markets, we are low-single-digit. So aggregate, we are -- we have got some portion in double-digit as our own app, which we expect to improve or double in the next 1 to 2 years, 2 years like Akshay said.

Saurabh Kundan: Okay, okay. I just want to press on the first question again one more time just for clarity. So this -- I understand I'm talking about the pan-India number, you were talking about your own markets, but still it seems that the gap is quite large.

Is it safe to assume that since you have taken a strategic call that you will choose to let go of some sales which you feel are not at a great margin and hence, maybe at least for some time, the offline could be -- the delivery business could be weak for you compared to the market?

Saurabh Kalra: I would actually look at the data and say the monthly active users hasn't improved on any other platforms. Like I said, our information is in our market. Our market share is intact on both the platforms.

Marginal up and down happens between both of them. That's our story. I don't know what

the details would be and what it would be for the aggregators, maybe that's a question for them. But I give you what outlook I have from our standpoint.

Akshay Jatia: Yes. And just to add to what Saurabh said and maybe also answering your question, we maintain our market leadership position on their platforms, but we don't participate in any unsustainable discounting, which may be the case across the marketplace. And from what we do understand, a lot of the organic business is under severe pressure.

The food delivery growth of aggregator platforms, a lot of it comes from new additions, at least that's our information because despite being market leaders, our performance on their platform remains under pressure.

Saurabh Kundan: Thank you.

Moderator: Thank you. Next question is from Gaurav Jogani from JM Financial. Please go ahead.

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Gaurav Jogani: Thank you for taking my question. So, my first question is with regards to the gross margins. We have continued to see handsome gross margin expansion. And this is despite the fact that we have taken kind of 80 to 100 bps that we have passed on to the consumers as well, the GST benefit.

So how sustainable these gross margins is? And a related question to this is you have also been driving multiple cost initiatives that has helped you to still maintain margins at a respectable level despite the negative leverage we have seen. So, in this slide, do you still continue to maintain your guidance for that Vision '27 margins that you have?

Saurabh Kalra: For now, yes, that's the endeavour. I think we've always maintained -- in business, there are times when you go after sales, there are times when you go after important projects and costs so that your business is not any -- you are always ready and prepared whenever the opportunity comes to match on the opportunity.

So we are fairly -- we feel these are sustainable numbers for sure, right from breakeven to be able to get the operating leverage when sales come back. We feel quite confident about it. I think Hrushit can add more flavour given that he's the one who's running all these cost projects.

Hrushit Shah: Yes. So, Gaurav, in terms of the numbers that we have seen, right, we have structural changes that we have been able to bring into the system. The robust cost program that we have, the governance program that we have, we have been able to knock off a lot of cost over a period of time. Saurabh rightly pointed out, about 70% range is something that we are comfortable with, and that's a long-term sustainable gross margin number that we should be looking at.

Gaurav Jogani: So that is the question actually. The sustenance is for the Vision 2027 guidance or the gross margin that we have clocked right now in this current quarter wasn't that?

Akshay Jatia: So sorry, just to clarify, number one, what we are saying is that the gross margins are healthy and we wouldn't guide any further improvement. Our entire focus remains on operating margin. And obviously, in order to drive operating leverage, there is some gross margin on the table left to give.

That's number one. And number two, we definitely maintain our commitments around the margin for Vision 2027. We do anticipate margin and operating margin improvement to the tune of closer to the guidance that we've given.

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Gaurav Jogani: Okay. And then the second and the last question is with regards to the SSG number that you had sailed out during your introduction regarding this McDelivery platform that you will be introduced. Sorry, I missed that number. What is the SSG number you said that you can achieve additionally because of this?

Akshay Jatia: Yes, this is our estimation. And obviously, it's a flavour of how we look at growth, and we're sharing it so that obviously, the stakeholders understand how we look at growth. But the number is 3% to 5% incremental contribution towards SS

SG over a period of time.

Gaurav Jogani: Yes. And that time would be 3 to 5 years?

Saurabh Kalra: No, between 1 to 2 years.

Gaurav Jogani: Okay. Thank you.

Moderator: Thank you. The next question is from Amnish Aggarwal from PL Capital. Please go ahead.

Amnish Aggarwal: Hi Akshay. Just a couple of questions. First being that was there some element of one-time in the payroll cost and other expenses in the quarter?

Saurabh Kalra: Sorry, can you repeat the question, Amnish, please?

Amnish Aggarwal: Yes. You see the payroll expenses; they have actually seen quite a sharp increase even on a Q-o-Q basis from Rs. 93 crores to Rs. 102 crores. And similarly, the other expense here also quite -- they have seen on a Y-o-Y basis, they are quite a bit up by around 12%. So, any particular one-off or anything to call out for in these two expenses?

Hrushit Shah: So Amnish, if you recollect, even last quarter, we had called out, there are certain upfront payments on account of the cost initiatives that we have initiated, right? So that should normalize as we go through the year. So that is one. Also, there is increment, et cetera, which have got baked in, which is impacting the payroll costs for the current quarter.

Amnish Aggarwal: Okay. So Rs. 1,027 crores is the payroll cost. So that would be the base if we have to say, look forward. So incrementally, it is going to be, you can say, based on this number?

Hrushit Shah: Yes, that's correct.

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Amnish Aggarwal: Okay. And my second question is on the demand. And as you said that October month has gone down well so far. So based on your October, first of all, have we turned SSG positive in October? And if yes, so what sort of you can say number we should expect in Q3? Although I understand that there is no guidance which is given usually.

Akshay Jatia: Yes, correct. So, it would be incorrect for us to touch upon what that number was for October. But like we mentioned, there's been a substantial improvement over September. See, we look at baseline and projections basis the last few weeks in terms of our momentum or to calculate our momentum. So like Saurabh also mentioned, we are encouraged by what we've seen in October.

The environment still remains tough, but a lot depends on how November and December go. Obviously, our commitment and our intention is to drive towards positive SSSG. And we definitely do feel that all our work will add up towards that. But that being said, the macroeconomic situation is also proving to be quite hard. So that's how we're looking at Q3, but we are optimistic.

Amnish Aggarwal: But just one thing, not looking at a specific number, is October showing your positive SSSG?

Saurabh Kalra: Like I said, Amnish, it would be incorrect for us to break out how October is doing in terms of any numbers. But like I said, there's been a substantial improvement over September. And we're quite optimistic basis how October has gone in terms of our momentum for the rest of the quarter.

Amnish Aggarwal: Okay. And if we look at, say, September, like you said, July had gone down well, August was good and then September went down. But for the full quarter, we are - 2.8%. It means September would have been substantially on the negative side?

Akshay Jatia: So Amnish, September was quite a bad month in terms of performance. Again, we don't break out month-to-month SSSG. That's why we report it on a quarterly basis. But you can assume that September was a pretty bad month in terms of SSSG.

Moderator: Next question is from Harit Kapoor from Investec. Please go ahead.

Harit Kapoor: Hi good evening. So just on McDelivery initiatives first. I just had a question on the cost side. So, I understand that you accrue the benefits of these initiatives over a 1 to 2 year period. And -- but as far as the upfront on cost, do we expect this to largely be seen by -- over the next 2 quarters

or so because typically, the benefits accrue at a later date?

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And the second question on that is, apart from the discovery, which will happen on McDelivery, is there an investment in execution as well, feet on street, et cetera, own delivery, et cetera? Is there an element of that also that you are considering? Those are my 2 questions on McDelivery.

Hrushit Shah: So Harit, so again, it's a good question and we will try and share more flavour over a period of time. Our intention this time was to just share our perspective in terms of how we look at growth and how we're thinking about future growth also through our digital channels. The upfront costs and any impacts have already been reflected in our current P&L.

We will try and share how they looked at in light of the incremental sales also that we see. But the costs have already been absorbed or are being absorbed over this quarter and the next few quarters in terms of the investments we're making towards that growth.

Saurabh Kalra: And if it leads to -- after the project, if it leads to additional investment, we are more than happy to make them. That's how the outlook remains. But largely, like Hrushit has said, for this set as we stand today, largely all the investments have been made for the project. And now we will take the next step on the project finishes.

Harit Kapoor: Got it. And the second question is on South India. So I understand Bangalore has been a bit of a drag, but your assessment of the changes you've made in the chicken menu, flavour, et cetera, with it being now there for a short period of time, what is your

assessment of consumer review or consumer reaction, consumer preference to the changes that you've made there? Just it would be very helpful to get a sense of that.

Saurabh Kalra: So actually, because it's food, I would encourage all of you who eat non -vegetarian to go and try our bone -in chicken platform. I think we were there in South, both in Hyderabad and Bangalore. I think we have now finally been able to crack a process, which gives us a distinct advantage and a great quality product.

All the employees are very excited and very proud of serving a uniquely McDonald's bone -in chicken, which we are very proud of serving that it will be a bone -in chicken, which will be best -in-class.

I think the idea is how do we make more and more customers try and what are these avenues to be able to create a marketing brand of chicken around McDonald's so that

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we are able to make people try this and get an extra occasion of fried chicken into our restaurants.

Harit Kapoor: Thank you very much, I'll come back soon. Thank you.

Moderator: The next question is from Madhav from SKP.

Madhav: Thanks for the opportunity. So my question was with respect to the newly opened stores, the stores that were opened in the last 6 months. So, you mentioned in your opening remarks about these stores performing better.

So can you give some numbers in terms of like how are these stores performing compared to your existing stores? That is one. And the other question is that whatever your plans are with respect to new store opening, so what is your strategy? Like where exactly do you plan to open these stores? Is it like mostly inside malls or like standalone outlets or -- so on these 2 fronts, if you can share some colour .

Saurabh Kalra: Okay. So first of all, like Akshay already mentioned, we've opened -- the 8 stores which we opened, we have seen quite a decent performance. We have almost opened at the system average as a basket. Some of the restaurants have done really well for us, including a freestanding Drive -Thru in Boisar, Davangere which have opened at far higher number than even the system average is concerned.

As far as opening strategy is concerned, I think Akshay mentioned that we have just worked on an automation in terms of an AI tool so tha

t we make it much more data

enriched and data backed or where do we need to open spaces.

I think earlier, we were -- we did call out that we want to open more store in South, less store in West and then we said we are going to open balance 50 -50. Today, we are saying we are going to open where the maximum bang for the buck comes. And because we are enabled through data, we can make those decisions easy. Now having said that, real estate is not an overnight shift to turn. We have just deployed the tool. We are actually working on top 150 locations where we can open the next 50, 60 restaurants. Needless to say, we already have 30 - 40 stores in the pipeline, which we will definitely open because the lease have been signed. So that's the strategy. We are quite optimistic about being able to achieve our Vision 2027 store opening of 580 to 630 in the next 2 years.

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Moderator: The next question is from Yash Bajaj from Lucky Investment Managers. Please go ahead.

Yash Bajaj: Yes, my questions have been answered. Thank you.

Moderator: We'll move to the next question. The next question is from Saurabh Kundan from Goldman Sachs. Please go ahead.

Saurabh Kundan: Thank you. So, the recent changes to the royalty arrangement are well noted. I just wanted to check, do these changes also come along with some other additional commitments you might have made to the brand like in terms of some more investments you might do -- might have been asked to do or maybe a higher store addition or anything that has changed in the overall arrangement because you have negotiated a lower royalty now?

Saurabh Kalra: Yes, we have negotiated with the comp, but everything is in line with the Vision 2027. We haven't changed anything around that.

Saurabh Kundan: Okay. Thank you.

Moderator: Thank you. Before we take the next question, a reminder to participants, press star and one to join the question queue. The next question is from Harit Kapoor from Investec. Please go ahead.

Harit Kapoor: Yes. I just had a follow -up on these investments in creating your own tech for better understanding of opening stores. So, if I got this right, this is going to be your own proprietary tech because there are also -- there's also tech applications in the market

which you can use for this. So I just wanted to get -- this is your own proprietary tech that you're using for new store openings?

Akshay Jatia: It's a location intelligence software developed by a vendor, and we formed a partnership with the vendor to now use this technology in order to improve our location accuracy using their data. We still have our own proprietary processes and knowledge in terms of how we've done real estate over the last 30 years, but this is just adding more science to the art.

Harit Kapoor: Got it. Thank you.

Moderator: The next question is from Anuj D. from Antique Stock Broking.

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Anuj D.: Hi, team. Just a follow-up on the royalty, which was mentioned earlier. So, during Q1 and Q2, we had seen roughly a 5.6% of sales in royalty. So, for the full year, where would this number sit at? I mean I understand that FY '27 and '28 will be at 5%. But for this year, will that get adjusted in Q3, Q4 or will we be slightly higher than 5%?

Saurabh Kalra: So I think all the royalty rates which are published are without GST. GST is over and above that. So it would be around that number. There's no reduction in royalty. It continues with the existing royalty.

Hrushit Shah: And we have got those reconciliations which happened at the end of Q3 for us and annual reconciliation which is end of year with the global corporation. So whatever annual reconciliations happen, we don't expect any change in the royalty rate.

Royalty rate will be in line with what we had last year.

Saurabh Kalra: And our new royalty rates are duly updated in our website. You can have a look at it.

Moderator: Par

ticipants who wish to ask questions, please press star and one. The next question is from Jignanshu from Bernstein. Please go ahead.

Jignanshu Gor: Hi, thank you for the opportunity, team. I have one question related to the gross margin expansion. Would you say any part of this gross margin expansion that we have seen is also related to a change of mix of products that we have sold, either more sort of beverages or more desserts, etcetera, which are higher-margin products or is it entirely due to our cost initiatives?

Saurabh Kalra: Majority of it, which is a vast majority of it has not got to do anything with the product mix yet. There were initiatives which we were working on, and we operated under Hrushit as a CFO, and entire cost project in which we brought down line item by line item what are the areas which we needed to optimize on.

And this is a result of that. So that's why we were able to say these are structural in nature, be it distribution partnerships, be it looking at each and every BOM sourcing, commodity. So that's how it has come to us. So we believe it's structural and will stay.

Jignanshu Gor: Okay, great. Alright, that was it. Thank you so much team and all the best

Saurabh Kalra: Thank you.

Moderator: That was the last question in queue. I would now like to hand the conference back to the management team for closing comments.

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Akshay Jatia: Thank you so much, everyone, for your questions, and we look forward to seeing you next quarter. Thank you.

Saurabh Kalra: Thank you.

Moderator: Thank you very much. On behalf of Westlife Foodworld Limited, that concludes this conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

Disclaimer : Please note that this transcript has been edited to correct any inadvertent grammatical inaccuracies or language inconsistencies that may have occurred while speaking. The audio of this call is available here .

Call: Feb 2026

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Date: 9th February, 2026

To, To,
BSE Ltd. ('the BSE') The National Stock Exchange of India Limited ('the NSE')
Phiroze Jeejeebhoy Towers Exchange Plaza
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Mumbai 400 001 Mumbai – 400051

Sub : Compliance with Regulation s 30 of the SEBI (LODR) Regulations, 2015 ,
Submission of transcript of earnings conference call for the quarter ended
31st December , 2025 .

Re : Westlife Foodworld Limited ("the Company "): Scrip Code -505533 and
WESTLIFE (NSE)

Dear Sirs,

In compliance with Regulation s 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 , please find enclosed herewith transcript of earnings conference call for the quarter ended 31st December , 202 6, held post the Board Meeting of the Company on 4th February , 202 6.

In this regard, the transcript of the said earnings conference call has been uploaded on the Company's website and can be accessed at the weblink: <https://www.westlife.co.in/wp-content/uploads/2025/11/Q2FY26-WFL-Earnings-Call-Transcript-.pdf>

You are requested to take the same on record.

Thanking you,

Yours faithfully,
For Westlife Foodworld Ltd.

Dr. Shatadru Sengupta
Company Secretary

Encl: as above

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Westlife Foodworld Limited
Q3 FY26 Earnings Conference Call
February 04, 202 6

MANAGEMENT :
■ Mr. Akshay Jatia – President & Chief Executive Officer
■ Mr. Saurabh Kalra – Managing Director
■ Mr. Shardul Doshi – Chief Financial Officer

■ Mr. Chintan Jajal – Lead Investor Relations

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Moderator: Ladies and gentlemen, good day, and welcome to the Westlife Foodworld Limited Q3 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touchtone phone.

We would like to remind you that certain statements made by the management in today's call may be forward-looking statements. These forward-looking statements reflect management's best judgment and analysis as of today. The actual results may differ materially from the current expectations based on a number of factors affecting the business. Please refer to the Safe Harbor disclosure in the earnings presentation. I now hand the conference over to Mr. Chintan Jajal. Thank you, and over to you, sir.

Chintan Jajal: Thanks, Rayo. Welcome, everyone, and thank you for joining us on Westlife Foodworld Earnings Conference Call for the third quarter ended 31st December, 2025. I am Chintan Jajal, Head IR at Westlife. From the management team, I have with me: Mr. Akshay Jati a, President and CEO; Mr. Saurabh Kalra, Managing Director; and Mr. Shardul Doshi, Chief Financial Officer.

We will commence today's discussion with Akshay presenting his perspectives on the company's overall business strategy, progress and outlook. Subsequently, Saurabh will provide an overview of operational and financial highlights. Then we will open the floor for questions and answers. Throughout the session, we will refer to earnings presentation and financial releases, which are available on NSE, BSE and Investors page of our website.

With that, I now request Akshay to commence this session. Thank you, and over to you, Akshay.

Akshay Jati a: Hello, and good evening, everyone. Thank you for joining us today. I hope you had the opportunity to review our Q3 results. This quarter, our efforts were firmly anchored in strengthening guest count momentum by sharpening our consumer proposition and consistently delivering a high-quality customer experience despite a challenging operating environment. Same-store sales growth in the quarter was negative at 3%. However, what is reassuring is that the underlying guest counts remain broadly stable on a year-on-year basis.

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We began to see encouraging traction in guest counts from November. As a result, both November and December delivered flat to positive comparable guest count growth at the system level with the West continuing to outperform the Southern markets. This positive momentum extended into January, where we reported positive same-store sales growth supported by healthy mid-single-digit guest count growth. That said, these are still early days, and we would refrain from calling a sustained revival until we see a few more months of consistent momentum.

Before getting into the detailed performance of the quarter, I would like to draw your attention to Slide 9. One of the most pivotal shifts in our approach this year has been a sharper and more deliberate focus in driving guest counts through a winning consumer value proposition. We are now beginning to see early evidence of this strategy playing out. At the centre of our approach, there is a clear and unwavering promise: accessible everyday value combined with the iconic McDonald's experience delivered with absolute consistency and supported by strong economic discipline. The balance between value experience and scale is what gives McDonald's its enduring competitive advantage. This framework is built on five core pillars:

First is value. McDonald's wins when value is predictable and trusted, not through sporadic discounting, but through everyday value that builds habits and reinforces our position as the default choice for consumers.

Second is experience.

Guests come to us for the food they know and love, delivered quickly and seamlessly. Speed, accuracy and those familiar feel-good moments are critical in reducing friction and driving visit frequency.

Third is relevance. We must remain culturally relevant and unmistakably modern while staying true to what makes McDonald's, McDonald's. This means being an everyday choice across occasions, generations and platforms without compromising on our brand codes.

Fourth is profitability. Guest count growth needs to be volume-led while remaining margin protected. Growth must be sustainable, driven by initiatives that scale across

our system and leverage our operational strengths rather than unsustainable and aggressive discounting.

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And finally, it's all about consistency. This is non-negotiable. The same McDonald's experience in every restaurant, every day. Consistency is what converts trials into trust and trust into repeat visits at scale.

When these five elements work together, they compound, the outcome is not just short-term traffic uplift, but sustained market leadership, powered by a consumer value proposition that is truly differentiated and uniquely McDonald's. We're also pleased to have Shardul Doshi join us as our new CFO, bringing in strong financial leadership and discipline to our next phase of growth.

With this now, I will now hand it over to Saurabh to take you through the other highlights for this quarter.

Saurabh Kalra: Thank you, Akshay. Good evening, everyone. During the quarter, our focus remained firmly on driving our guest count momentum, as Akshay spoke about, through consumer value proposition while consistently delivering exceptional customer experiences across both the dine-in and delivery channels.

This focus will continue as we move forward. I'm particularly pleased that we strengthened our value proposition without even diluting margins. I think we had talked about it even in the last call that we were trialling out our value platform, and that seems to be giving us good results without diluting any margins.

Our consolidated revenue for the quarter stood at INR6.7 billion, reflecting our year-on-year growth of 2.6%. For the 9-month period, revenue grew 4.4% Y-o-Y. While the operating environment remains challenging, we are witnessing some early sign of improving guest counts, as Akshay highlighted earlier. The everyday value meal price at INR99 was launched in West in December and is seeing very healthy momentum in dine-in footfalls.

A key highlight of the quarter was the exceptional performance of our digital campaigns, which helped us achieve a record single-day guest count milestone on the McDonald's app. The Merry Meal introduced during Christmas period generated significant amount of brand buzz across all major social platforms and also in our restaurant, with merchandising selling out just in 6 days. Congratulations to the team on these strong wins, which continue to build the brand relevance and deepen consumer connection.

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From a channel perspective, our on-premise business grew 6% Y-o-Y, supported by a strong value platform, sharper digital engagement and focus on hyperlocal marketing. Off-premises saw a slight decline, largely due to volatility in aggregators numbers. That said, our McDelivery channel continue to grow strongly and is emerging as a robust growth engine, supported by a strong customer acquisition and a promise of seamless and reliable 20-minute delivery experience.

Execution excellence continues to underpin our profitability. Like-for-like gross margin remained broadly stable on a sequential basis, driven by supply chain efficiencies, partly offset by menu price adjustment following GST rate change. There is an optical impact of approximately 400 basis points to 500 basis points in gross margin this quarter due to the regrouping of processing charge

s from other operating

expenses to cost of goods. For a like-to-like comparison, please do refer to the gross margin note slide in our earnings deck.

Restaurant operating margin improved 150 basis points year-on-year, while operating EBITDA margin improved 70 basis points year-on-year. These improvements were driven through internal cost optimization initiative despite higher advertising and promotion spends and continued growth investment.

Cash PAT for the quarter stood at INR583 million, representing 8.7% of sales. Our digital ecosystem continued to be a growth driver. Digital sales remained stable at approximately around 74% to 75%, supported by loyalty program and increased engagement through our mobile app and self-ordering kiosks. Cumulative app downloads have reached nearly 50 million with around 3.5 million monthly active users.

We remain committed and disciplined on prudent network expansion. New store performance continues to improve, supported by better site selection and use of location intelligence tools, enabling a faster path to profitability and greater accuracy in predicted sales.

We opened 10 new restaurants during this quarter, taking our total restaurant count

to 458 across 73 cities. All eligible restaurants now feature McCafé and experience of the future formats and 24% of our restaurant network offers drive -thru facility. We remain on track to reach our 580 to 630 restaurants by 2027.
In summary, Q3 marked meaningful process in strengthening our guest count momentum and enhancing brand relevance, underpinned by disciplined and

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sustained profitability. Going ahead, we remain focused on the core fundamentals that differentiate McDonald's : winning consumer proposition, consistently superior consumer experience and long -term margin discipline.

Thank you for your time, and we are now happy to take any questions you might have.

Moderator: The first question is from Devanshu Bansal from Emkay Global.

Devanshu Bansal: My first question is on this differentiated merchandise -based marketing strategy , first socks and now sipper . Also, it is creating a lot of positive noise on the social media.

What has been the intent behind such campaigns , and maybe initial lead through from a growth acceleration perspective? And is there any additional cost related to these merchandises and where is it recognized in the P&L?

Saurabh Kalra: Thank you, Devanshu. Obviously, it's a part of the larger framework, as Akshay spoke about, driving value experiences for our consumers are one of the most important part and top 2 pillars to drive our guest count momentum in the near - to mid -term. Given that was the context, then these are experiences which you would like to add, and this is something which is not only new to McDonald's, a lot of countries do this. So we have just used the McDonald's playbook to drive experiences for Gen Z kids and adults.

So, what in that format, I don't think there is cost additional attached to it because we charge it as a wholesome combo when we are providing it. And all of that is factored when we are creating a proposition for our consumers.

Devanshu Bansal: Fair enough. And Saurabh, so our gross margin has stayed flat sequentially. There are 2 things here, right? So there was this nearly 100 basis points of positive benefit that could have accrued from a GST perspective, and then for -- I guess, in December, you have launched these value promotions in the West region, and -- I could gather from your initial remarks.

So how should we see from a full quarter perspective I think from say Q4 expectation perspective there. And should we see some moderation in gross margin because the 100 bps impact that was there has been nullified by 1 month of value promotions. So any comment on that?

Saurabh Kalra: I think we had commented on that last quarter itself that we have passed on all the benefit

t which we are getting to the consumer. Because we had passed on every

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benefit, we also took this opportunity to simplify our operations business. And therefore, you see reclassification of some of the gross margins. So we did not see any additional benefit coming out of that.

However, we have not randomly launched INR99. I think there's a lot of work which went and we realized that it is not a worse or we will not take a margin hit when we do this INR99, and we have rolled it out in a certain manner so that it's accretive as far as the business is concerned. So it's been rolled out across all West , and select markets in South and some trials are going in a few cities in South too. So I don't think we have done anything which is going to have a negative impact on GP.

Devanshu Bansal: Sure. Fair enough. So the GP level should sustain, right? Yes. So got it. And lastly, sir, digital has been a key focus for us as well, right, along with value. But growth in optimized channels has been a bit soft. I understand that your own app is doing relatively better, but we are facing some challenges on the third -party aggregator side. Such challenges though are not visible for other that are reporting, right? So anything that you can sort of highlight which is impacting us more versus other players?

Akshay Jatia: So just to add over there, I think our digital sales continue to grow. We definitely have not as much growth as we would like on 3PO platforms for our brand, but we're working quite closely with them to figure out how to do this in a sustainable manner because our approach is to do it in a partnership approach, which will allow us to grow in a sustainable manner. So that's continuing.

But like you said, largely, we are very focused on our own McDelivery platform as well, which will allow us to kind of stay very close to our loyal consumer base. And that has actually seen a lot of traction with a lot of the growth investments that we've done over the last 6 months. And we've mentioned this before, but we've had

significant uptick in December and January on our own platform as we've connected better with our customers. And it's been done through a multipronged strategy. So it's not only about marketing or discounting. It's about making sure that the customer gets value for money across the experience from buying to fulfilment. So I think that's how we're looking at digital sales, and we've seen healthy growth in our overall contribution of digital sales to the business. So I think we're quite pleased with where we are today and things should only get better.

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Devanshu Bansal: Got it. This is a small bookkeeping question, Akshay. So monthly active users and overall app download is a key metric here. We used to provide the growth rates in these metrics, but somehow we have avoided providing that. So if you could comment as?

Akshay Jatia: No, I think, we still provided. Devanshu, we still provided the monthly active users as well as cumulative app downloads. And definitely, they are important metrics to track. But what I've said in terms of overall growth of the business should kind of supersede that, right, because it's eventually about business growth. And we have seen very encouraging business growth on the app and our McDelivery platform over the months of December and January as all of the work that we've been doing has come together. So I would look at it in that way, and we'll keep sharing more colour as we break down the numbers.

Saurabh Kalra: And if there is any specific query, I think you can write to Chintan and he should be able to help you out in that.

Moderator: Next question is from Gaurav Jogani from JM Financial.

Gaurav Jogani: My first question is with regards to the store opening. So if we look at the store opening during this quarter, it was a bit lower versus last year or maybe the target number for the year

ear now seems a bit higher for Q4. So is there some bunching we can expect because we have kind of maintained the guidance for CY '27?

Saurabh Kalra: Yes, we do foresee that we will open around 20 to 25 restaurants this quarter, which should be able to compensate for whatever was happening in October, November, December.

Gaurav Jogani: My next question is with regards to the growth investments that you have been doing for the own app as well as the store opening app as well. So are these expenses now done? And are these already reflecting in the Q3 and Q4, the other expenses line item?

Saurabh Kalra: So some growth investments are always on because we are always working on trying to do projects, etcetera, etcetera. Largely, the 2 which we had called out last time are largely done. Some of the variable component might kick in. And we are starting to see results from January. Maybe next time, we'll try to share a little bit more flavor on it.

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Gaurav Jogani: So I mean despite that, you have seen a decent gross margin expansion and despite the negative leverage. So it is quite commendable to see that. So is there a right inference that once the SSG starts to turn positive, we could see good expansion in the EBITDA margin from here on.

Akshay Jatia: Definitely. Definitely. That's the business model we operate.

Gaurav Jogani: Okay. Sure. And just lastly, on the growth on the delivery front. So you did highlight to Devanshu earlier that your own apps are continuing to do well. But any sense you can give because the inference that comes is that there will be definitely a decline on the 3PO apps for you in terms of the sales?

Saurabh Kalra: So very clearly, what I can tell you is we had a deep run on one of the platforms. One of the other platforms was okay. We are working with them to get the relationship right and to be able to create a plan by jointly working on sustainability. And we have been seeing gradual process -- progress on both of them. And December and January has seen significant amount of progress as far as the 3PO partnership, etcetera, is concerned.

Now obviously, there is a choice which all of us make, depending on the investment, whether it's profitable, not profitable and what is everyone's score line, we made our choices. And that's also showing in some of the things which you see in terms of results. So we are reevaluating it. We are always trying to make sure that we are not losing our competitive advantage in any of the platform. That's the endeavor.

But we keep reevaluating and we keep working with even the 3PO partners. So I think this was what happened in October, November, maybe in some bit was what happened because of lack of planning, etcetera, on our part jointly, and then some of

it will recover back.

Akshay Jatia: Yes. And I think like we said, right, the delivery platform, we feel has opportunity. And as we continue to work with our partners and grow our own app, you will see a growth in off-premise. So I think that's the way you should look at it

Gaurav Jogani: Sure. And just lastly, if I may slip in one more is in terms of the growth trajectory, you can help us out even on the offline phase during Q3, how the growth has progressed for you and the positive SSSG, how often -- the growth trajectory, how month-on-month that has progressed for you? And if this January month had positive SSSG, how much do you feel is sustainable going ahead.

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Akshay Jatia: See, we don't break down those numbers, right? And I mean, for last quarter, you have our overall numbers. So we don't really break down how every month grows.

But what we have called out is we definitely saw good recovery in guest counts in November and December. And we've also called out what the numbers are looking like in January to give you all more flavour.

Now beyond that, unfortunately, we can't give because that would be complet

ely

forward-looking. So I think that let's take this positively because we are experiencing good momentum, and we're confident that, that should play out over this quarter. So I think this is different to what we've said in the past. But again, it's too early for us to say too much. And secondly, can't really make any more forward-looking comments.

Moderator: The next question is from Rehan Saiyyed from Trinetra Asset Managers.

Rehan Saiyyed: Yes. So as you have highlighted regarding softness in South while the West showed healthy footfall growth. So is this divergence driven more by macro demand conditions or competitive intensity and discounting? Or how should we think about regional recovery timeline? This is my first question.

Saurabh Kalra: I think, we had already given a flavour and colour of it last quarter, where we said South is a little underperforming for us. And like I just mentioned, last time also, we had given a flavour that we are doing a lot of trials. I think the experimentation which we had done even in Q4, I think right now, we are very clear on the playbook we want to play with.

We have experimented with app. We've experimented with promotions, including merchandise. We have also experimented with value platform. And like I said, a couple of trials in South are still on. So when we look at this holistic bucket, we believe we have an answer to be able to grow guest counts, both in dine-in and delivery across West and South. So that's what we are seeing in January, and that's what we do believe that we have the solution -- a holistic solution, which will help us grow across our geographies.

Rehan Saiyyed: Okay. Fair enough. And my second question is around the restaurant operating margin that we have seen that it has increased by 150 basis points Y-o-Y despite higher A&P spend. So how much of this improvement is structural cost efficiency versus temporary operating leverage? And I mean, what should we assume sustainable ROM band over the medium term?

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Saurabh Kalra: See if you look at it, I think the best way of looking at a holistic restaurant operating margin is year-on-year improvement. I think you should take 9 months to 9 months view last year versus this year and be able to gauge of where are we heading where there is -- because 9 months to 9 months remove all the exceptions which might be there. We've also -- if you go to Page number 6, we've pretty much given what -- how the breakup looks like on the 9-month to 9-month margins.

Rehan Saiyyed: Okay. Fair enough. And last one bookkeeping question that we have seen one exceptional cost normalization, so in quarter 3 one-time gratuity related exceptional expenses has done so post this adjustment should we assume PAT volatility reduced meaningfully or are there any other known cost normalization that we have to think of?

Saurabh Kalra: Sorry, we couldn't hear the last question. Whatever I followed was it was a question around onetime exception, gratuity margin -- apart from that, there was nothing. It was -- gratuity was the only exception which we had on the P&L.

Moderator: The next question is from Amnish Aggarwal from Prabhudas Lilladher.

Amnish Aggarwal: I have a couple of questions. My question pertains to the Slide 13, where we have 2 heads. One is royalty and one is other operating expenses, and there is a very sharp reduction in both of them. So any explanation on that would be useful.

Saurabh Kalra: There are no -- so actually, if you look at it every year in the month of December, we do get some amount of benefits due to if there is any exception in terms of reward,

etcetera, McDonald's gives in order to open a holistic number of stores, etcetera. So we have continued to get that and we accrue it in December. So every year, you will see some amount of that. And then that would be like I said, has been mentioned as onetime exceptio

n. Otherwise, if you look at normal 9 -month to 9-month yearly P&L, it is like -for-like for the course.

Amnish Aggarwal: Okay. And what about the other operating expenses because this quarter, they have come off very sharply.

Saurabh Kalra: The other operating expenses is the regrouping, which I talked about. So we have used this opportunity to simplify our life as far as the operating life is concerned from an FP&D standpoint. So FP&D has gone down. And we did provide on another sheet on gross margin, there is a note on Slide 15, in which how processing charges have

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gotten added. So there is no difference in actual on the gross margin. Just regrouping and reclassification.

Amnish Aggarwal: Okay, sure. My second question is regarding the demand environment because you are indicating that post November, things have now started looking up. In terms of, say, overall scenario, put together the variations which are there in West and South, so how probable are we that in the current quarter, we will end up with a positive SSSG.

Akshay Jatia: So we, as I mentioned, cannot make forward -looking statements. But what we have done is definitely spoken about the momentum that we saw in December as well as extending into January.

So we've spoken about guest count going significantly positive, and we are witnessing same -store sales growth that's positive as well. So I think we can't say more than that, but that itself indicates that there's very good momentum that's building, and this is different to what we've seen in the past. So, we're going to continue to build on it.

Moderator: The next question is from Jignanshu Gor from Bernstein.

Jignanshu Gor: My question is slightly maybe looking at last 2 quarters, not necessarily this itself. For the same stores where we have -- if you keep out the new stores we've added, would you say the bill count or the footfall count that we are growing Y -o-Y to whatever extent, are we getting a lot of new customers? Or is it largely higher repeat rates from existing customers? So just wanted to understand what is the target and impact of all the marketing and product initiatives that we have done so far?

Saurabh Kalra: Sure. So I'll give you a little bit of flavour of it without actually giving you the real stuff. The reality of this is, obviously, we have started to lose the momentum of acquiring new customers at the rate which we required to deliver on our results. And that's why we went experimenting because otherwise, we might do stuff which might not be rational for business.

And we've always maintained , cost is a discipline, business is a discipline. We got to do right things all the time. And sometimes it might take time. And that's why we have talked about by the end of this year, we should be in a place where we would have experimented completely and have our playbook ready.

Now keeping that in mind, I think we did prepone some experiments like you talked about during the quarter of July, August, September and continued completing it

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towards October, November, December. Akshay has already mentioned, we are pretty much now complete in terms of the playbook we have. And that gives us confidence that this playbook will now work across geographies and will help us drive sustainably the momentum as far as the GCs is concerned.

That's why if you look at the Slide number 9, Akshay has talked about aggressive guest count growth and on value experience, relevance, profitability and consistency. I think we've looked at those pillars, and we were comfortable to give you out this guidance of saying how it is all coming together.

I don't know if I've answered it. But in December, we, for sure, saw the kind of new store -- new guest count we needed to bring in more customers. We've seen that kind of momentum stay in December and sustain and improve far more in January. So that's

where the big picture lies.

Jignanshu Gor: Understood. So new guest count is the primary sort of focus and result. That's what I was -- I was wanting to understand. So that is...

Akshay Jatia: Correct. That was very a value -led entry -level price point communication, which is a holistic value though, will obviously bring in a lot of customers. We also have a lot of

levers within the restaurant to trade them up, keep them coming back through our whole McDonald's experience that I mentioned in my commentary. So it's a holistic approach. It's not just about acquiring new customers. It's about acquiring them, retaining them and keeping them to -- keeping them coming back at a particular frequency.

Moderator: The next question is from Percy from IIFL.

Percy: Can you tell me what is the issue in South India? What is the reason why the sales growth is lower?

Akshay Jatia: So I wouldn't say there's an issue. I think, obviously, as we've been kind of focusing on the customer, right, even in the West, it's kind of taken us some time to fully understand how to deploy our strategy. And it's not very different from what we're doing -- what we've been doing in the past, but we're bringing everything together across the 5 pillars that I spoke about.

So we started that journey in the West. We've seen tremendous response in the West. We've already deployed it in certain markets in the South where we are already seeing a good response as expected. So I don't think there's anything too

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fundamentally different. I know that we have been calling it out because, obviously, traditionally, the West has done better. Our penetration in Gujarat, Mumbai, etcetera, has always been higher.

We have been correcting that over a period of time in the South, too. And I think we've reached a good stage where now with these interventions, both should come up to the levels that we require. So I don't think that there is a fundamental issue. I think with this momentum that we're seeing, we'll see a broad-based growth across our business.

Percy: But the growth in South India over the last 2, 3 quarters has dropped versus what it used to be earlier, right? So what is the reason for that?

Akshay Jatia: So that's what I was explaining, right? We've been very well penetrated in the West. I think our brand has obviously grown stronger as a result of that. As we've been correcting that in the South, opening more restaurants, focusing more on our experience in the South and execution in the South, I think we've replicated what we've been doing in the West, and that might have been a gap earlier.

So as we've been fixing that, we've also deployed this value-led communication in the South a little after the West. So it is lagging slightly, but we are seeing it now converge in terms of momentum. And you will see that gap narrow and narrow in the quarters to come as our strategy starts or continues to play out.

Percy: Okay. Second question is on the delivery. Is the growth very different between the 2 main aggregators or it's very similar, just the Y-o-Y growth rates or whatever you call it, growth or decline, whatever it is. Are the numbers different between the two aggregators or they are in the same ballpark?

Saurabh Kalra: No, they were very, very different for us. Obviously, needless to say, there are disciplines in terms of planning together, working together, improving partnerships as people change from either sides, some things always get dropped and sometimes it becomes transactional. So to pull it up and make it again a partnership. So it was different for us without meaning which one was better or which one was worse, it was different.

Percy: So it means that there is a problem in only one out of the two aggregators, which has to be resolved, right?

Saurabh Kalra: Yes.

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Percy: And how quickly do you think that can happen? Will it take like one qu

arter? Or will

it take two, three quarters? What's your estimate?

Saurabh Kalra: Like I spoke about, we started correcting a lot of things in November, December. I think we've gotten the playbook right like even for delivery. I think in January, we are seeing some amount of fusion of improvement across both the channels, too. So we don't think it is going to take quarters. We think that we should start becoming flattish for sure across channels.

And our focus remains, like Akshay said, to be able to grow our own channel, too, so that delivery continues to remain a strong pillar because the market is growing.

Hearty point was not too many brands are able to create a delta on dine-in. And I feel very proud of the fact that we now have the playbook to grow dine-in at a very high level, which we already have and grow from there and also then play on the delivery side of it.

Percy: And this recovery, which is expected in one of the aggregators, does it come at a cost of margins for you or no?

Saurabh Kalra: Like we've always maintained, we don't rush into things. That's why if we have to take a punch on our face on lower sales, etcetera, we do it. But we make sure that none of our disciplines get compromised because we are not here for the short term. So what we are doing with all the partners is sustainable and is in the spirit of partnership. Yes, while the growth might be muted versus what it could be possibly.

Moderator: The next question is from Harit Kapoor from Investec.

Harit Kapoor: Just had one on the operating expenses. On the employee cost, if I just do a quick math on employee cost per store, you've seen actually that number coming off a little bit. Just could you -- and that's the feature of the last maybe 3, 4 quarters on a Y-o-Y basis. If you could just give a sense on what's happening on the tech side, there has been some help, which has allowed you to do this. How should we look at this number?

And the second part is on that -- on the operating cost side is the royalty bit. So while you did mention that incentives do fluctuate especially end of calendar year, this one is far lower than you've seen as a percentage, the rates are much lower than you've seen in the last several quarters. So is it just kind of end of the year incentive structure

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stuff and it should go back to normalcy from the next quarter? So these are my questions on the operating cost.

Saurabh Kalra: Yes. So like I said, it's an annual accruing activity. So if you look at 9 months to 9 months, that will give you an absolutely clear view. As far as labour is concerned, some of it is operating deleverage. I don't think there is fundamentally anything which is there. But if you look at it, we have been able to compensate for it in the other line items of the P&L.

So if you look at the P&L holistically, I think we've been able to do quite a decent job as far as cost is concerned. So despite a little bit of negative sales growth, we've been able to maintain and improve our profitability.

Harit Kapoor: Okay. Actually, my question was that you've done a very strong job because actually employee cost per store has actually come down. So that's actually something that I was trying to understand why? Okay.

Saurabh Kalra: Harit, maybe the benefit holistically is a little up by 20 bps, but yes, yes. Okay, go on.

Harit Kapoor: Yes. The second bit was. Yes, I'll take that. The second bit was on the uptick in growth that you were talking about in December, Jan. Sorry to just harp on this one. But how much of this would you believe would be driven by your own initiatives, which is either normalizing aggregator as the months go by, which is or -- and as well as the pickup of value as the advertising is hitting with the consumer and footfalls are getting picked up?

And how much of it is kind of, in your view, just overall demand led, which you would probab

ly be seeing in your other SKUs also because you're seeing that trend -- another competitor also just called that out that you're seeing some improvement.

So do you think it's also kind of overall demand-led or overall macro-led improvements also that have been favouring this performance?

Saurabh Kalra: So when we look at our October, November, December, which is our brand track, we don't see that the market has uplifted. It remains how it was in July, August, September. So it's been flattish as far as that is concerned. We have not yet -- we don't know about the results of Jan, Feb, March. So if market becomes a little bullish, we would know about it from our track results.

In October, November, December, definitely, we've not seen overall at an IEO level, which is informal eat-out level, there being tremendous amount of growth. In fact,

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it's remained pretty flattish from what it was in the previous quarter. So we would like to believe a lot of changes happened with experimentation, what we have done and then deployment of those experimentation in the marketplace.

Moderator: The next question is from Krishnan Sambamoorthy from Nirmal Bang Institutional Equities.

Krishnan Sambamoorthy: A few questions on McCafé. So the management has consistently maintained that 100% McCafé penetration is certainly not the end game, and there is a lot that can be done from a product offering perspective. Could you elaborate on some of the initiatives that you've taken so far? And have some of these been postponed in view of the operating environment?

Akshay Jatia: So we are at 100% penetration in terms of McCafé. And now the main job that we're

doing is to ensure that people try our coffee and our beverages. So I think we've been doing a lot of work in ensuring that our quality remains consistent across all these outlets now that have McCafé.

And number two, I think it's about creating the habit. So we have a great product at a great price, and we're figuring out ways and implementing ways to make them have a coffee more regularly. So I think that's the first task to be done.

In terms of product innovation, we definitely can keep improving on that. But I think the first task to be done is most important. You will see innovation at the beverage level quarter-on-quarter, and you'll see that as we deploy offerings.

But most importantly, in fact, this last quarter, we launched a subscription plan, which is actually being received extremely well by our customers. It's a digital plan, and I encourage everyone on this call to try it because I know that most people would be coffee lovers.

And I think it's fantastic value and people are commending the overall experience from purchase to redemption to constant usage. So I think it's a great question. And I think our entire task is focused around making coffee drinking at McDonald's a daily habit.

Krishnan Sambamoorthy: Sure. Actually, one of the other things that you maintained is that one of the strengths that McDonald's has is its ability to cater to various dayparts unlike some of the other QSRs and coffee was an important component of that.

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Would you agree that, say, competition from some of the newer players, specifically Third Wave, Blue Tokai has affected that strength that McDonald's or McCafé has had; and therefore, the initiatives that you're talking about are even more important.

Akshay Jatia: So definitely, I mean, it's a similar story with Western Fastfood, right, and QSR. Why did it become so popular eventually? Because obviously, customers got exposed to it.

And this job has to be done by the entire industry, which is why I always say competition is good because it; number one, exposes customers; and secondly, differentiates the best from the average to the bad.

And I think, obviously, as market leaders, we're going to continue to operate in that high level of quality.

And as the market expands, it only makes us better positioned to take advantage of the consumer opportunity, which is what's happening, definitely. And I think that we're very fortunate that we've been ahead of the curve. And I think the market is only going to grow, and we are here to take advantage of that.

Krishnan Sambamoorthy: Lastly, I don't know whether you will be able to share this or not. Over a 2 - to 3-year perspective, because of all these initiatives, do you see the revenue contribution from McCafé increasing by, say, 200, 300 basis points without sharing the absolute number?

Akshay Jatia: So obviously, beverage consumption increases, it is beneficial for margin. But the way I look at it is going back to our targets in terms of EBITDA and revenue growth. And I think that will kind of tell you the whole story because there's no point going in to it at a category level in regards to our business model because something goes up, something goes down. But obviously, if overall consumption goes up, high-margin products sell more, it will be beneficial from a profitability point of view.

Saurabh Kalra: And it's definitely a growth category for us.

Moderator: The next question is from the line of Rishi Dilip Mody from RDM Advisory.

Rishi Dilip Mody: Yes. My first question is on the INR99 value proposition that you all have launched. You mentioned that it's not gross margin dilutive. So could you just give me an understanding on how and where has the cost efficiency come through for us versus, say, the prior quarter? Like what's being done different to ensure that this doesn't turn out to be gross margin dilutive?

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Saurabh Kalra: Rishi, again, I will not give you too many details, but we used to run a 1 plus 1 proposition at INR69. So you have to look at it holistically of seeing what would have happened in the pro-mix. So it's about landing the product mix right. So we have worked on it. We don't see any dilution. So I'll not give you any details beyond that. I think, I've given you enough to get a feel on how.

Rishi Dilip Mody: So we have discontinued the INR69 offer, have we?

Saurabh Kalra: No, we have not discontinued. But in the pro-mix, when you put XYZ proposition, something goes down, something comes up. Overall, whether it's accretive on -- first accretive on rupee value, then accretive on percentage, how many customers can it get, there is a full matrix to it, and that's why we wanted to do a lot of trials before

we went live into it. And we did all that.

And needless to say, there are parts of supply chain efficiency when you know that you're going to sell a product at a certain level, you can go back and do things at the back end also. So overall, in the next scheme of things, this is not margin dilutive.

Rishi Dilip Mody: Okay. So EBITDA level, it's not margin dilutive, gross margin a little bit here and there. Is that the interpretation right now?

Saurabh Kalra: I will not give you that interpretation, but broadly, you can accept if that makes sense to you because, like I said, product mix, supply chain efficiency are still at the gross margin level. But yes, if this category becomes 100% of my sales, the percentage will go down needless to say, but you're actually running an entire product mix, right, in which McCafé is a category, this is a category, there is a core category, there is delivery business. So there are so many nuances to it, which I can't explain to you on a call for sure.

I think what is important is for businesses which are front-end facing is to be able to have the discipline of not doing stuff randomly and being able to go to the market and see what really impact it is creating. And for us, as we've seen now across the entire West and stores in South, we don't see it as margin dilutive.

Rishi Dilip Mody: Got it. Second question I had was on the royalty piece. So about 2.4% is the royalty

ty for this quarter. And for 9 months, it's 4.5% versus last year, 9 months was 5%. Is this any -- like should we consider that this year will be -- there's some accretion on the royalty piece or some discounting that we've gotten from McDonald's...

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Akshay Jatia: No, I think the way to answer that is this year would be the right base to look at it. I think we continue to work with our partner in terms of our royalty structure. And we've come to an agreement in terms of what the base should be. And this year is very well reflective of that base. As you know, we had put out a release when we closed that conversation. So that was only a few months ago. And I think this quarter is when the benefits have started kicking in.

Rishi Dilip Mody: Okay. So it will drop further like if H1 was higher royalty.

Akshay Jatia: No, no. This will be the royalty base and the rest is out on our website in terms of what the year-on-year escalation will be.

Rishi Dilip Mody: Okay. All right. Final question, other cuisine QSRs, like, say, Domino's or even Chinese QSR players have also increased their value proposition. They are also coming with INR99 lunch menu, INR99 combos, which used to be slightly higher priced earlier. Is that leading to a reduction in the pie overall for, say, burgers or for you guys? Is that impacting you all? Or it's now kind of settled down?

Akshay Jatia: So Rishi, I think we spent a lot of time talking about how these propositions that we've been deploying across the 5 pillars that I mentioned are actually bringing in more customers to our restaurant, right, where we've seen significant positive traction on guest counts over December and January. So if that was the case, then this wouldn't be happening, right? So I think we've already answered this question.

And competition will always exist. It existed 20 years ago, it exists now, and people will consistently try to capture the customers' mind. It's about how we do it differently, which allows us to continue to tread the path of market leadership, and we're very confident with the way we have centered our strategy around these five pillars that this will only continue.

Moderator: Next question is from Vishal Punmiya from Yes Securities.

Vishal Punmiya: Just a couple of small questions on innovations. If you could just highlight how has been the performance of the recently launched the Surprise Burger and also the Protein Slice, how is market -- how it has done versus your internal expectations? If you could give some numbers on that?

Akshay Jatia: So I think in terms of product innovation, the Protein Slice is definitely a great introduction. It's the first of its kind globally, and it's allowed us to continue to expand our offerings to be in the consideration set of customers. So we've got a huge thumbs

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up over there. And it's just the start. We're going to continue to build on these type of offerings that are valuable to a lot of the customers that come to us, and we have an opportunity to continue to grow this.

In addition to that, we'll be deploying innovations over the years, and we're thinking through it by keeping the customer at the center, and we're very confident that our calendar for this year also coming up is extremely strong.

Saurabh Kalra: And Chicken Surprise, we launched 2 years back, and it's -- and we've got great feedback. That's why we brought it front and center as far as even our value

proposition is concerned. So it's an old product, but we brought it front and center.

Vishal Punmiya: Just a follow-up on the Protein Slice. What is the number in terms of upgradations among the restaurants?

Akshay Jatia: We don't break that down because it goes up, it goes down, but the idea is to increase the consideration set or to make sure that we fall in the consideration set of all customers. So even those health-conscious customers who are look

ing for a

wholesome nutritious option can come to McDonald's and have a Protein Slice. But the idea is definitely to build on this conversion opportunity. So as it keeps building, we'll figure out how to share more flavor. I think it's too early right now to talk about it.

Vishal Punmiya: Okay. And just secondly, on one of the initiatives that we had done many quarters back, which is basically going away with the toy and introducing a book in the Happy Meals. What's been the performance after that? How has been the family discount after that kind of change in the portfolio?

Saurabh Kalra: So actually, there was an issue that we could not import toys out of the regular sources because of BIS issues and Government of India regulation, and we had to discontinue. We've been working on getting the toys back. As a short-term measure, we brought the books in.

And needless to say, books haven't been able to do what toys used to do for us. And then we are working -- till now, we are still working on being able to create a manufacturing facility either in India or being able to have a BIS certificate -- certified supplier outside India so that we can start importing toys and we can give back the toys -- get back the toys in our restaurants.

Moderator: The next question is from Tejash Shah from Avendus Spark.

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Tejash Shah: My question pertains to broader QSR industry and our value proposition also. So post-COVID, we saw that the whole industry kind of dialed up aggressively on value offerings, which also weighed on billing value.

So all the recovery that we are hearing on QSR for the last 2 months, should we also assume that at least when the traffic improves now, the transaction or billing value will increase and there won't be any further downgrading or more value-seeking behavior from customers from here on, at least from the base perspective?

Saurabh Kalra: I think it depends on how we look at it. I think the important part is, like I had said in October, November, December, we haven't seen IEO movement. Luckily for us, Western fast food has continued to grow on the back of rapid store expansion by everybody. So that's continued to grow.

And that's the good news in our category that out of the eat out, we've continued to remain high-growth area amongst all the relative scale in the eat-out segment. Now when eat-out improves, how it will play out is a question which we continue to listen and observe the consumer. But what we know is, as McDonald's, we are successful when we serve a lot of consumers.

And we would like to do that over the next 1 to 2 years, anchor back in serving more and more customers. That's why Akshay, when he talked about Slide 9, talked about aggressive guest count growth as one of the key levers which we have. We don't want to get distracted right now by any other task than to be able to grow the guest count for near to midterm.

Tejash Shah: Just one follow-up there. So let's say, the linearity between aggressive guest count growth and the overall billing value or transaction value, would that be narrowing down? Or you believe that you don't want to comment anything on that front?

Saurabh Kalra: Right now, I don't want to comment because there are so many levers. It will give you the ability to take price increases. The moment you are able to take price increases, obviously, your bill value goes up. So there are so many levers in order to increase bill value. But if you get overly focused on bill value when consumers are not walking in the restaurant, it doesn't yield good results.

So for us, the short- to medium-term is to be able to get the momentum of guest counts in the restaurant. We feel the second task is easier. You can do that even in the toughest time, getting extra penny from the pocket of the consumer is not the

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most difficult task. I think the difficult task is how do you make

a lot of consumers

walk in and that's our focus.

That's why I don't want to comment on what happens on the other side. Needless to

say, it's not that we -- if there is availability or we can focus on both of them together, we'll focus on both of them together.

Moderator: The next question is from Awais Bakshi from Sundaram Mutual Fund.

Awais Bakshi: Sir, just one question from my side. If we look at our overall performance, from a metro Tier 1 versus, say, rest of the market basis, point one, has there been degrowth, which has been more significant in one side of the market? Any comments on that, sir?

Saurabh Kalra: Yes. As we have mentioned, in July, August, September quarter also, South was leading, was a little higher as far as the decline is concerned and West was relatively better for us. And that's continued for us. However, like I said, we have experimented and we are now pretty confident that we have got a playbook to be able to grow in both the geographies.

Awais Bakshi: That's perfectly understood, sir. Just on a metro and Tier 1 versus, say, rest of the market side. Why I'm coming to this is the second part of the question that over last 2, 3 years, would it be fair to assume that relatively higher shares of our stores have been opened in relatively smaller tier markets given that, say, metro and Tier 1 are more smaller.

Saurabh Kalra: No, no. I think we have opened -- if you look at maximum numbers of stores have opened in the key cities, we have not opened more than 20% of our total restaurant opening in smaller towns.

Awais Bakshi: So compression is across these key cities too, hypothetically maybe due to competition on overall market being lower? Fair enough.

Secondly, just a follow-up on the discussion on the value proposition side. Do we look at our portfolio right now as value versus rest of the portfolio? Is that an internal thought process or marker we look at, at the overall restaurant side? Or that's not something we directly keep a track on.

Saurabh Kalra: I think one of the levers of value is an everyday affordable platform, but we would like to believe that our entire menu is value. A lot of people find value in the Spicy

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Chicken. A lot of people find value in the Crispy proposition. So we would not like to break value down into an everyday affordable platform. Needless to say, we do evaluate an everyday affordable platform with the new customers coming in, is it doing that job or not. But I wouldn't club value and say value means the cheapest item on the menu.

Akshay Jatia: Correct.

Awais Bakshi: And sir, directionally, this piece continues to improve for us? Or is that one conduit for driving our overall growth in the past?

Akshay Jatia: Yes, definitely because it's value for money that keeps customers coming and it is our core pillar of driving discounts.

Awais Bakshi: Sure. Helpful. Thank you. Thank you for the answers.

Saurabh Kalra: Thank you. Thank you very much.

Akshay Jatia: Thank you so much everyone. Thank you...

Moderator: Yes, sir, that was the last question. Would you like to give any closing comments?

Akshay Jatia: Yes. Thank you so much, everyone, for joining our call, and we look forward to hosting you next time.

Saurabh Kalra: Thank you.

Moderator: Thank you very much. On behalf of Westlife Foodworld Limited, that concludes the conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

Disclaimer : Please note that this transcript has been edited to correct any inadvertent grammatical inaccuracies or language inconsistencies that may have occurred while speaking. The audio of this call is available here .

Call: May 2026

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Date : 11th May, 2026

To, To,

BSE Ltd. ('the BSE') The National Stock Exchange of India Limited ('the NSE')

Phiroze Jeejeebhoy Towers Exchange Plaza

Dalal Street Bandra Kurla Complex, Bandra (East)

Mumbai 400 001 Mumbai – 400051

Sub : Compliance with Regulation s 30 of the SEBI (LODR) Regulations, 2015 ,
Submission of transcript of earnings conference call for the quarter ended
31st March, 2026.

Re : Westlife Foodworld Limited ("the Company "): Scrip Code -505533 and
WESTLIFE (NSE)

Dear Sirs,

In compliance with Regulation s 30 of the Securities and Exchange Board of India (Listing
Obligations and Disclosure Requirements) Regulations, 2015 , please find enclosed herewith
transcript of earnings conference call for the quarter ended 31st March, 2026, held post the
Board Meeting of the Company on 7th May, 2026.

In this regard, the transcript of the said earnings conference call has been uploaded on the
Company's website and can be accessed at the weblink:
<https://www.westlife.co.in/investors/financial-news-and-information/>

You are requested to take the same on record.

Thanking you,

Yours faithfully,

For Westlife Foodworld Ltd.

Dr. Shatadru Sengupta

Company Secretary

Encl: as above

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Westlife Foodworld Limited

Q4 FY26 Earnings Conference Call

May 07, 2026

MANAGEMENT :

■ Mr. Akshay Jatia – President & Chief Executive Officer

■ Mr. Saurabh Kalra – Managing Director

■ Mr. Shardul Doshi – Chief Financial Officer

■ Mr. Chintan Jajal – Lead Investor Relations

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Moderator: Ladies and gentlemen, good day, and welcome to the Westlife Foodworld Limited Q4 FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

We would like to remind you that certain statements made by the management in today's call may be forward-looking statements. These forward-looking statements reflect management's best judgment and analysis as of today. The actual results may differ materially from the current expectations based on a number of factors affecting the business. Please refer to the safe harbor disclosure in earnings presentation.

I now hand the conference over to Mr. Chintan Jajal. Thank you, and over to you, sir.

Chintan Jajal: Thank you, Rutuja. Good evening, everyone, and thank you for joining us on Westlife Foodworld earnings conference call for the fourth quarter and full year ended 31st March 2026. I am Chintan Jajal, Head of Investor Relations at Westlife Foodworld.

From the management team, I have with me Mr. Akshay Jatia, President and CEO; Mr. Saurabh Kalra, Managing Director; and Mr. Shardul Doshi, Chief Financial Officer.

As always, we will begin today's session with Akshay sharing his perspective on company's overall strategy and outlook. This will be followed by Saurabh taking us through the key operational and financial highlights. Post that, we will then open the forum for questions and answers. Throughout the call, we will be referring to earnings presentation and financial releases, which are available on the NSE, BSE, as well as investors page of our website.

With that, I now request Akshay to commence the session. Thank you, and over to you, Akshay.

Akshay Jatia: Hello and good evening, everyone. Thank you for joining us today. I hope you've had the opportunity to review our Q4 and full year FY26 results. This quarter, our performance was anchored in strengthening our everyday value platform and on-ground execution. Our focus was primarily on driving guest count growth by making everyday value accessible to everyone. Despite the challenges, we delivered a steady performance underpinned by improving guest count trends and sustained profitability.

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For the quarter, same-store sales growth stood at 1.5% while overall top line grew 9% year-on-year. What is particularly reassuring is the underlying improvement in footfall trend with positive growth across footfalls across all three months of the quarter.

Similar momentum is continuing into April as well, setting the base for a good start to the new fiscal year. That said, these are still early days, and we would refrain from calling this a sustained revival until we see a few more quarters and months of consistent momentum.

Our consumer proposition is very clear: accessible everyday value combined with iconic McDonald's experiences delivered with consistency and backed by strong economic discipline. We are encouraged by the early evidence of this strategy translating into sustained guest count traction. At the heart of this performance is our unwavering focus on everyday value. Value at McDonald's is trusted, predictable, and habit-forming. Our 99 everyday value meal continues to witness strong traction and has driven encouraging dine-in footfall growth across all our regions.

Building on this proposition, we are leveraging McCafé to drive a daily habit of coffee consumption in India. Our coffee is already loved by millions of people and to further amplify this, last quarter we launched a monthly coffee subscription program to drive repeat visits and strengthen McCafé loyalty.

We continue to focus on deepening consumer engagement to keep the brand contemporary and culturally

relevant. During the quarter, we rolled out two merchandise-led campaigns featuring a sipper and a tote bag aimed at driving Gen Z engagement and sustaining brand buzz within the cohort. These engagements were driven primarily through leveraging digital media and we are encouraged by the strong response and brand affinity that they generated.

I'm also delighted to share that last quarter we achieved a major milestone in our sustainability journey. We were ranked sixth globally in the restaurants and leisure facilities sector according to the S&P Global Corporate Sustainability Assessment and were included in the Sustainability Yearbook for 2026. This recognition was awarded to only six companies out of 126 in our industry globally, reflecting our continued commitment to embedding sustainability to be at the core of our long-term growth strategy.

Looking ahead, we remain focused on disciplined and prudent network expansion

aligned with improving demand trends and strong capital efficiency. We opened a record 48 restaurants this year, taking our footprint meaningfully higher across both

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existing and newer markets. Going forward, we plan to further accelerate our expansion by opening 60 plus restaurants annually with all new stores fully equipped with digital modern design and McCafes, reflecting our confidence in the strength of our industry and the opportunity that lies ahead.

Before I hand it over, I'd like to reiterate that our philosophy remains rooted in profitable and sustainable growth with a clear focus on stakeholder value creation. We are building Westlife for the long term through cycles with discipline and with our consumer proposition firmly at the centre of every decision we make. With that, I'll now pass it to Saurabh to take you through the operational and financial highlights for the quarter.

Saurabh Kalra: Thank you, Akshay. Good evening, everyone. I hope all of you are doing well. Coming back to the results, the fourth quarter reflected steady execution amid challenges with our performance driven by improving guest count momentum, disciplined execution, and sustained profitability margin. Throughout the quarter, we remained firmly focused on sharpening our consumer value proposition, which Akshay also spoke about, while consistently delivering the great customer experience McDonald's is famous for across both dine-in and delivery channels.

For the quarter, consolidated revenue stood at INR 6.6 billion, growing 9% year-on-year. For the full year of FY26, revenue stood at INR 26.3 billion, translating into 5% year-on-year growth. The quarter ended with a positive same-store sales growth of 1.5% at the system level driven by mid-single-digit guest count growth, which is the real heartening part.

While the West continued to outperform, I'm especially encouraged by the progress in the South where same-store sales growth also ended the quarter nearly flattish and a meaningful improvement versus previous quarters, and that too on the back of GC momentum which was marginally positive.

From a channel standpoint, on-premises sales grew 9% year-on-year while off-premises sales increased 6% year-on-year. Growth across both channels was supported by positive comparable guest count primarily driven by everyday value meals and sharper digital engagements. Importantly, the McDelivery platform continued to gain scale and salience, witnessing strong growth across dayparts and demonstrating early evidence of a robust and sustainable growth engine.

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Now moving to profitability, our continued focus on execution discipline and cost optimization helped anchor our margin performance. Gross margin for the quarter remained near historic high levels of 68.1%, improving by around 60 basis points sequentially. Restaurant operating margins improved by approximately 70 basis points year-on-year. Our operating EBITDA re

mains broadly stable year-on-year

despite higher advertising and promotion spend and continued growth investments. Cash profit after tax stood at INR 487 million, representing 7.4% of sales. FY26 witnessed continued inflationary pressures across key commodities, notably cocoa and coffee. However, the impact was mitigated through supply chain efficiencies and our full-year like-for-like gross margins stood at 67.7%, improving by around 140 bps year-on-year. Restaurant operating margin grew approximately 100 basis points year-on-year to 20.3% while operating EBITDA remained stable at 13.2%. For the full year, cash PAT was at rupees 2.4 billion, representing 9% of sales.

Our digital sales contribution stood at 76%, increasing over 100 basis points year-on-year, primarily driven by higher engagement across McDonald's app, McDelivery platform, and self-ordering kiosks. These continue to enhance frequency, personalization, and operation throughput at scale. Cumulative app downloads have now crossed 52 million with approximately 3.5 million monthly active users, growing at a healthy double-digit rate year-on-year.

On the network expansion, we continue to follow disciplined and a prudent approach. We opened 21 new restaurants in quarter 4, taking our total tally to 478 restaurants across 78 cities. New store performance remains encouraging supported by improved site selection and a stronger execution rigor.

On the operations front, we continue to closely monitor LPG situation and have taken proactive measures to mitigate operational risk as much as possible. Prior investment in store modernization and capability upgrades have translated into greater resilience in this current environment. All our restaurants are operational with less than 10% of

the restaurants operating on limited menu.

To conclude, Q4 reflects the strength and resilience of our core business fundamentals, our continued focus on everyday value, disciplined execution, and structured profitability. This positions us well as demand trends improve gradually. As we move forward, our priorities remain clear, driving guest count -led growth, strengthening our consumer value proposition, building brand affinity, scaling digital capabilities, and expanding our network responsibly.

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With that, thank you very much for your time and we are very happy to take whatever questions you have.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Devanshu Bansal from Emkay Global. Please go ahead.

Devanshu Bansal: Yes, hi , good evening, everyone. So, congratulations on good store openings as well as good gross margin performance. Sir, Q4 was impacted by supply side disruptions, there was some preponement of Navratri as well. So, wanted to check if you could help us better understand the normalized SSG during the quarter? This would help us better project the underlying consumption trends.

Saurabh Kalra: So, as I spoke when I was giving you the review of quarter four, we had high mid - single digit guest count comps. Needless to say, there were other pressures beyond Navratri also like LPG not being available in a few restaurants. 10% of our stores were impacted pretty much from 10th of March onwards. So, I think, but all of this in the big picture is all fair because last year also something would have happened.

So, what we would like to believe is if we take the same store bucket, what has it done this year? This is the number which comes out. So, I would not like to break it further and be able to say, we will remove Navratri, something or the other keeps happening in an Indian environment and the real performance is what comes out. So, for us, that's how I would put it as 1.5% is what we've delivered with a mid -single digit guest count comps, which is the number of invoices.

So, and we are pleased that after a long time

now, we've started hitting a momentum

which is 8% to 10% on growth and we believe we're poised to continue this momentum.

Devanshu Bansal: Got it, Saurabh. Saurabh, I also wanted to check across regions you indicated that South has turned positive and despite that we are at 1.5%. I wanted to check has there been a dip in SSG in the West region if you could throw some light there?

Saurabh Kalra: So, what I talked about South was, South has made a significant amount of improvement on the sales side while the guest count turned positive. And that is something which was a problem which we had pointed out in the previous call. So, we wanted to let you know about that. Like I said, there were multiple disruptions even in West like LPG etc.

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So, we are happy with what we've been able to achieve in terms of 1.5%. West remains strong. Obviously, most of you are based out of West. You can go to the restaurants and see West remains a very strong driver of growth for us. And what we are seeing is green shoots in West definitely. South also coming in, as I'm talking to you.

Devanshu Bansal: Understood. So, you're saying that guest count has turned positive for the South for the quarter, right, on a same store level?

Saurabh Kalra: Yes.

Devanshu Bansal: The last question from my end, we have taken conscious efforts to ramp up our delivery channel, plus last quarter we indicated improved relationship with aggregators also. And in your commentary, you mentioned that the monthly active users are growing at double digit, right? But if we see overall growth, it is around 5%, 6%. So, when do you expect these initiatives to reflect into better growth for us?

Saurabh Kalra: So, on total growth, I think there was a fundamental change we made and we spoke about it last year starting second half onwards, that what we do need is volume growth, which means guest counts need to start coming. Value is not difficult in a current environment to get, but we wanted to really, really focus on volume. So, that's what we did and we got good volume growth on our own channel, 3PO, and our dine - in.

While it grew there was a 2%, 3% difference and we're happy that dine -in grew faster. But normally if I look at an overall and I reflect back or reflect forward, I think we would like to believe we would actually grow at a similar level in both dine -in and

delivery. That's how we are looking at the business going forward. So 2%, 3% here and there keeps happening quarter by quarter.

But on the longer -term outlook, what I would like to believe is while delivery has grown 6%, the guest count was far higher. While dine -in has grown 9%, the guest count was far, far higher. So, we would like to balance equal amount of growth coming from both dine -in and delivery channels and all of them led by more volume than value.

Devanshu Bansal: Fair, enough. Just small follow -up for your own delivery channel. Is this monthly active user double digit growth also reflecting into transacting users for you?

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Saurabh Kalra: That's correct. That's correct. For our own channel, we see the highest amount of growth coming on our own channel. Obviously, the base of our own channel is smaller, relatively speaking. So, it does not really come into the result directly as of now, but we believe it should start reflecting over a period of time.

Devanshu Bansal: Okay, great, Saurabh. Thanks for taking my question.

Moderator: Thank you. The next question is from the line of Kaivalya Baing from IIFL Capital. Please go ahead.

Percy Panthaki: Hi, this is Percy Panthaki here. I just wanted to get some insight into your gross margin. What is the reason for the very healthy expansion that you have seen there?

Saurabh Kalra: Percy, we've been able to always make, there are three, four levers in gross margin and when all of them play together, we are always able to maintain and improve

margins. I think last year, inflation was a little bit in our favour versus what we normally get. It might not repeat this year.

In addition to that, if I look at it, we have got supply chain initiatives and we did a cost project internally, which has worked out quite well for us and we've been able to save some amount of gross margin which was able to not only mitigate inflation but also give us saving beyond that, which is what you see.

Percy Panthaki: Okay. And any price increases that you have recently taken? I believe Dominos has taken some price increases already and there are some inflationary pressures building up. So, what are your thoughts on FY27? What kind of contribution of pricing can we assume from the growth?

Saurabh Kalra: We've always maintained that year -on-year we pass on 2% to 4% of price increase year -on-year. We generally don't talk about when do we do it, how do we do it.

Normally, we do it in three, four tranches. It's a very small increase which you would not even be able to identify. For now, we've not been able to take any price increase for the last four, five months.

For immediate future, we don't have a plan as of now. We will come back to you. We believe the inflation which is hitting we should be able to manage. If there is a small price increase here and there , it might happen. So, for the year, the outlook remains constant. 2% to 4% is what we take so that we are able to manage inflation better.

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Percy Panthaki: And on South India, what exactly were the initiatives or the actions that you have put in, the interventions that you have put in, which has worked? Can you just explain it a little bit in detail?

Saurabh Kalra: So, South really, we were doing a lot of things. We put a stop to everything, and we went back to what we are really famous for, which is everyday value platform. And what we've done in West, we tried in South first and we've then started to roll out. Except Chennai pretty much everywhere we're doing everyday value platform. And in Chennai, we are experimenting in half the restaurant, which have given great results. So, this quarter we plan to roll everyday value platform including in Chennai. But other than Chennai, the entire South we've done everyday value platform, which has started to give us good traction.

Percy Panthaki: But when you say that you are doing a lot of things earlier which you have put a stop to, what exactly does that mean?

Akshay Jatia: I'll just clarify for Saurabh as well that I think focusing on the everyday value platform and what McDonald's is known for, which is delivering quality service and cleanliness in every one of our restaurants is what we've really focused on. So, we went back to the basics and I think in the South while we continue to leverage our different menu categories, we focused primarily on our core, which is ensuring that customers get everyday value and we offer them the best possible experience in our restaurants.

Percy Panthaki: Okay, got it. Thank you.

Moderator: Thank you. The next question is from the line of Krishnan Sambamoorthy from Ashika Institutional Equities. Please go ahead.

Krishnan Sambamoorthy: Yes, hi. Two questions from me. One is on the store openings front. You've guided for 60 plus openings in FY27, which is higher than the usual 40 to 50 stores that you've been guiding for. Can you take us through the rationale and your confidence, how have arrived at this number?

Akshay Jatia: So, I think, we've always committed to this larger number of 580 to 630 restaurants in our Vision 2027. And as we've been deploying all our initiatives to further grow our average unit volume, we've seen great momentum and we do feel that in our region there's a lot of opportunity for penetration.

And we've always maintained that we will continue to penetrate as we feel is logical and we feel now from 45 to 50 restaurants, 60 plus is

the number that our market can

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handle in order to grow sales profitably. So, I think that's how we came to give out this guidance and we're quite confident that it will further add to our growth aspirations.

Krishnan Sambamoorthy: Thanks. The second question is on store closures. While McDonald's has typically done a great job in terms of store openings, over the last couple of years you had between 7 to 8 store closures, which is not a very significant number of the overall number, but still higher than the longer -term average. My question is what are the reasons for store closures and particularly the store closures for the current year, and would this be a feature in subsequent years as well?

Akshay Jatia: So, in a retail environment, actually to operate most optimally you do have to keep re-evaluating your portfolio. We call it portfolio management. And across 500 odd locations there will be locations that either become redundant or are no longer commercially viable and actually it's best for the network that you optimize. It's one of the most effective ways to run a network. So, I think in the past we've been very prudent.

We will continue to be, but as our network keeps expanding you will see store closures to optimize our portfolio and I think the current number would probably be a fair representation of, you know, the guidance that we would give. And I think that it's only for the benefit of our portfolio.

Krishnan Sambamoorthy: Yes, just a follow -up to that, because of the relook at the South India business, were more of the store closures skewed towards the Southern market?

Akshay Jatia: No, nothing like that.

Saurabh Kalra: So, like Akshay said and you also know that we don't like to close too many stores.

We would like to do it for portfolio management. But if you look at it from a portfolio standpoint, we would have closed two, three stores, two, three malls shut down.

Some of the places there is a new highway which comes up and all of a sudden accessibility is blocked. So, it's not that we are keen on closing more stores.

As a portfolio like he said, we will continue to close six, seven stores because three, four stores automatically comes as some or the other problem occurs in this kind of a network. 1% store have an issue which occurs and then there is one or two more closure which can happen due to tenure etc. etc. So, it's nothing major which we would like to call. It's a part of our portfolio management and ways of working.

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Krishnan Sambamoorthy: Very useful. Thanks a lot.

Moderator: Thank you. The next question is from the line of Rishi Mody from RDM Advisory LLP.

Please go ahead.

Rishi Mody: Hello, hi guys. Can you hear me?

Moderator: Yes, we can. Please go ahead.

Rishi Mody: Yes. Firstly, I just wanted to understand the 80 -bps year -on-year improvement in opex...

Saurabh Kalra: Rishi, your voice is your voice is not clear. It's a little wobbly. So, if you can be closer and can be louder.

Rishi Mody: Is this better?

Saurabh Kalra: Little better.

Rishi Mody: All right. So, I wanted to understand firstly the 80 bps Y -o-Y improvement that you'll have shown on the opex front in your slide. What has that led to? What's led to that improvement if you could help me understand that?

Akshay Jatia: So, I think that, you know, we'll just take a look at what you're referring to. Which opening which number are you talking about?

Rishi Mody: Just a second. I have the PPT open with me.

Akshay Jatia: I think Rishi, I think this question we can take offline. You can reach out to Chintan and I think he can explain that to you along with our CFO because, we'd like to limit

the discussion to more strategic points.

Rishi Mody: Okay, fine. Second, you mentioned in the Q3 call that the toys issue is a BIS issue, but I was just reading up on it online. It seems that there's a structural

move by

McDonald's globally away from toys to books for some sustainability reasons. So, just wanted to understand are toys going to come back for your Happy Meals or if you could just give some clarity that on that piece?

Saurabh Kalra: So, like you rightly said, there was a BIS issue and government has also opened up a few countries now. We are working very hard with the supply chain team to make sure the toys come as soon as possible, including getting the BIS certified factories

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supplying us toys. We were also working parallelly for Indian vendors to get BIS approved. That's or Indian vendors to be both McDonald's and BIS approved. So, that is happening in the background.

We foresee that by next year, it will still take almost nine months to one year is in our judgment to be able to bring toys back. But books are already there. We have been -- since the time toys were banned, we've been using books as a Happy Meal giveaway in our restaurants. So, that's what an update on that is.

Rishi Mody: Okay, got it. Finally, just one structural piece on consumer behaviour, right? You'll launched this protein slice thing. So, just wanted to understand is there like are our consumers justifying coming in to have McDonald's with the protein slice as a healthier version or people are moving away from Western QSR citing health reasons? Like just what's your read on the consumer behaviour? Is there a health - conscious consumption wave that is structural in nature or it's people revert back to QSR?

Saurabh Kalra: So, let me come back to you on this point in two parts, right? The first part is as I talked about that there was a mid-single digit consumer the guest count growth, which means the number of consumers came were 5% extra and we are seeing the momentum grow even higher. So, I don't think that there is an issue when you talk about health.

In fact, as McDonald's I've always maintained and I always maintain this to everybody that if there could be absolute transparent norms where people choose what they eat, McDonald's would be better than most things people eat sometime even better than what you eat at home if would be my argument. But having said that, I think as McDonald's we charted a path in 2016 on real food, real good.

The first thing we did was made Aloo Tikki Burger which is our highest selling product into a balanced meal that broadly it confines to all the parameters which is calories coming out of carb, fat and protein are balanced basis the National Institute of Nutrition guidelines. So, we did this in the background. Now obviously you don't sell by saying healthy Aloo Tikki, right? So, it you or you say don't say nutritious Aloo Tikki. This is what we did in the background. Then we kept working on saying can we reduce sodium on French Fries? Then when we went out about reducing fat in our mayonnaise, right? That's something which has been happening from last 10 years in

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the background. Last year was protein slice for people who want to have excess protein in their diet, they know that you can always add 5 gram of protein.

So, it's a journey which McDonald's is taking not because there is health. Eventually, we would like our consumers to choose what they eat and in in that spirit, Millet Bun was a choice, this is a choice. So, we want to provide as many choices to our consumer as possible.

Rishi Mody: All right, got it.

Moderator: I would request Mr. Mody to please rejoin the queue.

Rishi Mody: Just a quick follow -up. Let me just check that with the management. When you said 5% customer growth, you meant 5% unique customer growth, or you meant like 5% bill cut growth?

Saurabh Kalra: So, obviously we don't give breakups. Needless to say, any business has a Pareto, lot of people customer come new, some are regulars. Now on this call, we do not give and share that information. But when you see 5% growth in an

y company there would

be a lot of new customers which would have come in the fold and a lot who would have continued to transact with us.

Rishi Mody: All right, got it. Thank you. That's all from my end.

Moderator: Thank you. The next question is from the line of Gaurav Jogani from JM Financial.

Please go ahead.

Gaurav Jogani: Thank you for taking my question. I have two sets of questions largely related to margins. So, first one is, with regards to your guidance on the gross margin front, you have mentioned that in the near term the gross margins could be at the 67% plus. So, is it largely in caution with the inflation that we are seeing on multiple counts? And if yes, you know, that's approximately 100 bps lower versus the current levels. So, any guidance on the same will be helpful.

Shardul Doshi : Yes, it is in line with the inflation which we are seeing currently in the market. There is of course lot of pressure which is there on the suppliers too with the geopolitical situation, so there'll be some inflation. But there are also some cost optimization programs which we run and hence we have given you the indicative number of in terms of the 67% COGS going forward. Sorry, the gross margin going forward.

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Gaurav Jogani: Okay, okay. Thank you. And just an alluding question to this is with regards to the guidance for the Vision 2027 margins. Now for this year, if we look at the pre -Ind AS EBITDA margins, they're roughly in the range of around 7.5% percent. Now for that Vision 27 number, we are -- you know hardly one and a half years away from that number. So, is there any change to the guidance or was still confident that we'll be able to achieve that guidance? Any change in the outlook if you can highlight?

Akshay Jatia: So, just to answer that firstly, from an Ind AS to Ind AS comparison, I think we're talking about roughly this 7.5% or 7.8% that you mentioned going to around 13% to 15%. I think a lot of the improvement is going to come through operating leverage and when we're seeing such momentum in terms of same -store sales growth and guest counts, we're quite confident that we will move closer towards what we've committed.

In terms of Vision 2027, the journey is for us to balance com p sales as well as new store additions over the next year and first cross say INR3,000 odd crores in sales. I think that's how we are looking at it and then we will talk about the breakup for the next two years sometime closer to the start of the next financial year to give more color on Vision 2027.

Gaurav Jogani: Okay, sure. Thank you. That's all from me.

Moderator: Thank you. The next question is from the line of Tejas Shah from Avendus Spark Institutional Equities. Please go ahead.

Tejas Shah: Hi, thanks for the opportunity. My first question pertains to the interplay between SSSG, gross margin and footfall that you have called out. So, clearly the fact that footfall has been higher than SSSG, I am assuming that a lot of recruitment of mix would have gone on the value format side. But still we delivered very good gross margin. So, was just trying to deconstruct that what worked on raw material side that you -- which worked in our Favor this quarter?

Saurabh Kalra: See luckily for us supply chain is managed on an annual basis. We've got contract sometime those contracts we are able to deliver higher volume so cost comes down and then the next protocol starts etc. etc. So, to me that's why we gave a guidance saying this quarter we've been able to achieve this, which is true for the year. Our internal goal is to be able to as close to the yearly number as possible for the next year, but realistic guidance is what Shardul gave you that, that's what we see is sustainable.

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Tejas Shah: Got it. Second, the acceleration on store expansion target restaurant expansion target that we have. Now you called out that it's a very volati

le environment as we

are entering this year. Just wanted to know have we budgeted in this guidance that let's say if this situation has to persist for first six months, this guidance will stay intact kind of factoring for this scenario to prolong?

Saurabh Kalra: Which scenario?

Tejas Shah: The current raw material scenario on the LPG and other crisis that you called out, which is hurting one part of the demand. I am saying in this guidance have we built a scenario that if this persists for let's say for six months, we remain committed to this this store expansion target?

Saurabh Kalra: We will because I think these are things which are not new to India. I think something or the other always comes up in our country like as dynamic as India. And I believe this volatility is also a friend of businesses. If you are able to use it effectively, these are all opportunities. So, I don't look at changing that. There are levers in our hand. For example, if it goes up dramatically it will go up for the entire industry and everybody takes up a little bit of price increase because of that.

So, so I think we've got we've got more and enough to manage at least on the cost side I'm not too worried. Our key goal like Akshay said remains how do we make sure that we deliver more comps sales and more growth with new store opening. And as long as that happens the rest will fall in place.

Tejas Shah: Got it. Thanks.

Moderator: Thank you. The next question is from the line of Saurabh Kundan from Goldman Sachs. Please go ahead.

Saurabh Kundan: Yes, thank you very much for the opportunity. Your value platform initiatives have obviously given you encouraging results with guest count being in mid -single digit.

Going forward, do you plan to accelerate these initiatives? Related question is this the 99 -value meal maybe other value initiatives that you have, have they been completely rolled out or you expect to sort of roll them out further into your network?

Saurabh Kalra: I think like I said, value is something which is intrinsic to the industry and especially McDonald's globally. We do the highest guest count and sales numbers across the globe because we are a strong value player in an omni -channel environment, right?

So, there are plays which are not yet played out. You will see us having a lot of exciting

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stuff coming in the next one to two years and value as the work has just started in our opinion.

Saurabh Kundan: Okay. Okay. This just trying to ask it in another way. There's a gap between the SSSG that you've reported and guest count. So, can we expect this gap to further widen or contract or remain the same is what I meant to ask basically?

Saurabh Kalra: No, no. So, obviously we are working hard because in most cases value platform should not mean dilution of so much. But we were very clear we wanted to get volume first. We've been volume starved a little bit in the last two years and we had to reimagine our strategy. I think value we've got multiple levers in place to pick it up whenever. So, we will remain disciplined around whatever we have done and not giving up any further margin than this as far as the product mix is concerned.

Saurabh Kundan: All right. All right. Thank you.

Moderator: Thank you. The next question is from the line of Siddarth from NAFA. Please go ahead.

Siddarth: Hello, sir. Thanks a lot for the permission from me to now raise a question to you. So, my question is around that in the recent quarters we've seen some slowdown in the QSR space as a whole. So, considering the recent Middle Eastern tensions and the LPG crisis going around, what's your forward -looking outlook in terms of the SSSG in terms of the existing operations? I would just like to have a view on that.

Saurabh Kalra: I think we've been repetitive on this front. We reap what we sow. I think we did not shy away even when we had negative growth that the

se are things of our making and

some decision which we made did not play out the way we anticipated it to play out.

We've gone back like Akshay said back to our basics to be able to go back to a model which works globally also and replicate that playbook in in India back to basics, back to EVM and we do not see with that strong platform us not having enough to increase the momentum on the same store sales growth front.

Siddarth: Okay, understood. So, is there any revenue guidance if you may possibly give me an idea on in terms of?

Saurabh Kalra: So, we don't give any forward -base margins guidance for sure. But like we would we as Akshay just spoke, we would like to go to INR3,000 crores as early as possible, right? So, we would like to grow our same -store sales growth as early as possible towards mid -single digits.

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Siddarth: Okay, understood. Thank you and wish you all the best.

Moderator: Thank you. The next question is from the line of Vishal Punmiya from Yes Securities. Please go ahead.

Vishal Punmiya: Yes, thank you. Question is on the McCafe performance...

Moderator: Sorry to interrupt you, Mr. Vishal.

Vishal Punmiya: Is this better now?

Moderator: Sorry, but we have lost the line for Mr. Vishal. The next question is from the line of Devanshu Bansal from Emkay Global. Please go ahead.

Devanshu Bansal: Yes, sir. Hi. Thanks for the follow -up opportunity. I just wanted to sort of check on this partnership which we've entered with Jio -bp. Is that also leading to this improvement in store outlook that we're sharing?

Saurabh Kalra: Actually, we've got partnerships with HPCL, BPCL, and now Jio -bp. So, that is those partnerships are meant to expand our footprint on the highways. We've done a good job as far as Mumbai -Pune highway is concerned and we see a lot of access control

highway coming in and we want to make sure that we've strong partnership so that we can put the network in. But all this was already baked in when we had given the guidance of going to 45 to 50 and then now 60 plus. So, it will not be basis one partner or one place. It is holistic.

We do want to have more restaurants in airports; we want to have more restaurants in infrastructure -led growth including malls and highways. So, that's one part of the portfolio. The second part of it is we want to continue penetrate markets the six key markets like Mumbai, Pune, Bangalore, Hyderabad, Ahmedabad, Chennai. That's not going out of flavour. So, if we do stores there, so it's a balanced portfolio which we want to drive and Jio -bp is one such partnership in that direction.

Devanshu Bansal: Amazing. And sir just wanted to check on these new beverages that have been launched globally under the McCafé platform. Any chances to bring those products to India as well? There is lot of noise around that.

Saurabh Kalra: Yes, I think global has done a fantastic job. They will also come as a part of global core.

We will make that choice when we need to. For now, we think we've got work to be done as far as the coffee category is concerned in the cafe. It will play out at some

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point in time. Like I said, we've got multiple things up our sleeves without giving you directly saying this is the global beverage platform we'll roll out in India also.

I would rather give you a guidance that we're very closely focusing on the consumer, and we are taking cognizance of this beverage trends amongst Gen Z too. But the first play we see is strengthening McCafé and coffee credential as the most important play as we go and solidify our beverage credential.

Devanshu Bansal: Got it, sir. Got it. Thanks for taking my question.

Moderator: Thank you. The next question is from the line of Vishal Punmiya from Yes Securities.

Please go ahead.

Vishal Punmiya: Yes, am I audible now?

Saurabh Kalra: Yes, Vishal, loud and clear.

Vishal Punmiya: Okay. So, my

question was on McCafé , if you could help with McCafé's performance in FY26 in terms of maybe revenue contribution or how revenue per store for McCafé has improved in FY26, that would be helpful.

And secondly, in terms of strategy for McCafé going forward, while there are many smaller cafes opening up every nook and corner, we also have a big QSR now entering the cafe space. So, any change in thought process or strategy for McCafé going forward or in terms of aggression?

Saurabh Kalra: I think the more the merrier as far as coffee is concerned. Coffee is a category which I think is underplaying right now in India and it's got a huge potential to grow. The more people who can work on creating daily habits, the better for us and better for coffee business. I think our job we've cut out if you look at it our proposition is differentiated. Probably we do the best coffee in the country at a price which is unbelievable and that we do because we want to create a daily coffee consuming habit in the country and democratize the coffee experience.

We want it to continue grow -- we see it as a growth lever even for the next two to three years to come. So, we don't really worry about who's coming, who's not coming because coffee scene has been hot pretty much with coffee shops etc. from the last five years and we've still been able to do a substantial job.

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I would argue that in most places we sell more coffees than any coffee shop in the trade area. So, I am quite confident of our McCafé proposition and I think our job is to democratize and make more people habituated to drink everyday coffee in McDonald's.

Vishal Punmiya: Yes, agreed on the quality part, the product is obviously one of the better coffees in the market, but in terms of maybe marketing initiatives do we need to scale up that part? And also if you could just update on the performance in FY26 in terms of revenue or mix within the overall business?

Saurabh Kalra: So, on overall business obviously we don't break it out, but all I can tell you is the biggest marketing work which we we've done is look at it only from a standpoint of how do we make McDonald's the destination to drink their everyday cup of coffee? And in that spirit, we roll out the subscription in which a McCafé beverage is available if you come 10 times in a month only for INR 55, which is you don't have to think twice from a monetary standpoint. I think if we are able to get the success we've gone to in that, we don't have to worry about anybody else.

Vishal Punmiya: Understood. Just lastly on pies as a platform, globally pie does really well in terms of

contributing to the meal. Any plans to basically add that to our India portfolio in a bigger way? We obviously had tried in the past, but any plans for future?

Saurabh Kalra: Yes, so on the menu like I said there will be exciting stuff coming in. Typically, we've got Pizza Puff, which is our Savory pie, which we sell right now. Whether we want to do sweet pie or not I think in the priorities list we have, we need to strictly prioritize what will really give us results and that's something which we are working towards and working with consumers to be able to say what will work. And you will see that happening in the marketplace and you will see exciting news even on menu from us.

Vishal Punmiya: Okay, understood. Just lastly appreciated the recent marketing initiatives regarding the sippers and the tote bags. I think it did really well. It was out of stock across all stores. I couldn't find it anywhere. But kudos to the team for that.

Saurabh Kalra: Thank you very much, Vishal. Thank you so much. You should talk to Chintan. He can send you the sipper and tote bag in advance when it comes.

Vishal Punmiya: Okay, sure, sure. I'll definitely do that. Yes, thank you.

Saurabh Kalra: Done. Thank you, Vishal.

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Moderator: Thank you. The next question

is from the line of Tejas Shah from Avendus Spark Institutional Equities. Please go ahead.

Tejas Shah: Hi, thanks for the follow-up opportunity. Just one question and this is one at industry level and one at our level. So, at a very broader level, QSR industry actually started massification or focus on value segment post -COVID revival phase. So, do you believe that from competitive landscape we've hit the price point in terms of where it doesn't make sense to go further below so that mix at industry level should not deteriorate from here? That's one. And it could be this could be conjecture answer also.

Second is actually in our mix also, from price point perspective do you think that we have reached to a stage where further democratization won't happen at least on the pricing part? And on in terms of roll out also, do you believe or do you read that it has actually reached an optimum mix in terms of where you would like it to settle down at?

Saurabh Kalra: I would like to believe that India is growing, per capita income in India is growing. So, what we have currently is a great value proposition for the consumers. The first question will be for how long should we hold this to make sure that we keep unlocking the consumer base of India to , which we want to. To me, that's the bigger question rather than us being able to say this is optimum, not optimum because see what value means keeps changing.

Immediately after COVID when we created even the Vision 2027, a large amount of assumption was big burgers will play a big role while it's not all which is not exactly played out. It did a great job; there's a base which we've set up and that base has remained pretty much consistent.

So, when I look at value, I think it's either cycles, these are promix play. I think, I am very sure that after value we'll at some point in time we'll go to core, then we'll go to premium, then come back to value. These are all cycles which will play out as they have played out in the past.

Tejas Shah: Sure. And from your past readthrough, usually what are the like approx. number also?

What are the tenure of such cycles?

Saurabh Kalra: Cycles?

Tejas Shah: Yes.

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Saurabh Kalra: See depends on activity that cycle I can't predict because when there is lot of information flowing through cycles last one year. Sometime cycle last seven years also. When we did branded affordability, that cycle was seven years. Then we became premiumization, that lasted for almost four, five years. Then it shortened just before COVID. It was almost two -to-three -year cycle. So, what will it now be depends on what people are feeling.

And therefore we need to keep very close watch on what the consumer is thinking, what the consumer is going through. You know, there could be fatigue when everyday everybody screaming new things. There could be a fatigue and people might go to back to classics. For that we need to always be listening to the consumer and create strategy accordingly. So, I would not predict the tenure of thing. All I am saying is nothing goes out of fashion. It always comes back.

Tejas Shah: Totally agree. Thanks and all the best.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to management for closing comments.

Akshay Jatia : Thank you so much, everyone, and we look forward to seeing you next quarter.

Saurabh Kalra : Thank you.

Moderator: Thank you. On behalf of Westlife Foodworld Limited, that concludes the conference call. Thank you for joining us and you may now disconnect your lines. Thank you.

Disclaimer : Please note that this transcript has been edited to correct any inadvertent grammatical inaccuracies or language inconsistencies that may have occurred while speaking. The audio of this call is available here .